

Emami Ltd. (EMAMILTD)

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Listing

TheNational StockExchange ofIndiaLtd.
Exchange Plaza,PlotNo.C/1,G.Block
Bandra KurlaComplex, Bandra (E)
Mumbai - 400051

ScripCode:EMAMILTD

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Phiroze Jeejeebhoy Towers

DalalStreet

Mumbai - 400001

ScripCode:531162

Sub:Transcript ofInvestors' Conference Callheldon29thJuly,2022

Pursuant toRegulation 30oftheSecurities andExchange Board ofIndia (Listing
Obligations andDisclosure Requirements) Regulations, 2015,weare enclosing
herewithcopyoftheTranscript ofInvestor's conference callheldonFriday,29thJuly,
2022,postdeclaration ofQ1FY23 results.

Theaforesaid information isalsoavailable on-the-website-of-the-company
www.emamilttd.in.

Thisisforyourinformation andrecord.

Thanking You,

Yoursfaithfully,

ForEmami Limited,

Assistant Company Secretary

Endo: a/a

regd.office: 687anandapur e.m.bypasskolkata 700107 india

phone:91336613 6264telefax: 913366136600e-mail: contact@emamigroup.comwebsite:www.emamilttd.in

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"Emami Limited

Q1 FY 23 Earnings Conference Call "

July 29, 2022

MANAGEMENT : MR. MOHAN GOENKA - DIRECTOR , EMAMI
LIMITED

MR. VIVEK DHIR - CEO, INTERNATIONAL
BUSINESS , EMAMI LIMITED

MR. VINOD RAO - PRESIDENT , SALES , EMAMI
LIMITED

MR. GULRAJ BHATIA - PRESIDENT , HEALTHCARE
DIVISION , EMAMI LIMITED

MR. RAJESH SHARMA - PRESIDENT , FINAN CE AND
IR, EMAMI LIMITED

MODERATOR: MR. PERCY PANTHAKI - IIFL SECURITIES
LIMITED

Page 2 of 13 Moderator: Ladies and gentlemen, good day. And welcome to Emami Limited Q1 FY '23 Earnings Conference Call, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Securities Limited. Thank you, and over to you, sir.

Percy Panthaki: Hi, good evening, everyone. Thank you for participating in this conference call for Emami's Q1 FY '23 results. I have with me from the company Mr. Mohan Goenka, Director; Mr. Vivek Dhir, CEO, International Business; Mr. Vinod Rao, President, Sales; and Mr. Gulraj Bhatia, President, Healthcare; and Mr. Rajesh Sharma, President, Finance and IR.

I'll hand over the call for -- to Mr. Mohan Goenka for his initial comments. Over to you, sir.

Mohan Goenka: Thank you, Percy. Very good evening, friends. I welcome you all to this conference call on Emami's result for the first quarter of FY '23.

As you all are aware, the environment continues to remain challenging, with the FMCG sector impacted by an unprecedented inflation, leading to subdued consumer sentiments and lower margins in this quarter. Despite the challenges, I'm happy that we have reported a resilient performance and profitable growth in Q1 FY '23.

On a high base of 37% growth in the last quarter, our revenues at INR778 crore have grown by 18% in this quarter. Our domestic sales grew by 13% on a high base of 42%, with a volume growth of 8%, with our newly acquired brand Dermicool contributing around 8% to the domestic sales. International business grew strongly by 45% on a base of 17%. Our overall volume growth has been around 10% in this quarter.

The quarter has been challenging for us where we have seen significant correction in two categories - Pain management by 30% and healthcare range by 25%, led by immunity portfolio. This correction has been due to a very high base of 70% growth in pain management range, and 59% growth in healthcare range last year. However, despite such huge corrections, our diverse portfolio of products helped us to deliver a robust performance at an overall company level.

This quarter, some of our leading brands like Navratna, Kesh King, Fair and Handsome, etc., as well as our international business helped not only recover the lost sales due to correction in pain management in healthcare range, but also helped to deliver an overall revenue growth of 10%, excluding Dermicool.

Navratna range grew by 29%, Kesh King range grew by 20%, Male Grooming grew by 32%, and 7 Oils in One grew by 45%. While BoroPlus range posted flat growth during this quarter. It grew by 6% on a three year CAGR basis. Pain management and healthcare range, despite corrections during the quarter, grew by 10% and 13

% respectively on a three year CAGR basis. So, if we exclude the pain management healthcare range, and the acquired brand Dermicool, our rest of the domestic portfolio grew strongly by 30% in value and 24% in volume terms.

During the quarter, modern trade grew by 42% and e-com grew by 55%. In this quarter, the contributions of e-commerce channel increased to 7.6% and modern trade increased to 8.2% of the domestic sales. CSD grew by 23% during the quarter.

Our rural penetration continued to progress steadily with project Khoj, in line with our plans. Our international business marked by a strong performance, especially by MENA and SAARC regions witnessed 45% growth in sales during the quarter. All our major brands, 7 Oils in One, Navratna, Fair and Handsome, Kesh King and BoroPlus performed well in the international markets.

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Page 3 of 13 With a high base of previous year and an unprecedented inflationary pressure that impacted the consumer spends across urban and rural markets, we posted a resilient profitable performance during the quarter. Our gross margins at 62.6% contracted by 340 basis points due to inflationary pressures, combined with unfavorable portfolio mix due to extraordinary high sales of pain management range last year.

EBITDA at INR173 crore grew by 2% and adjusted PAT at INR138 crore was flat compared to last year. Recent corrections in crude prices and the forecast of a normal monsoon are encouraging. Fiscal measures taken by government also augurs well. We are optimistic of witnessing an upward curve in the consumer sentiments in the near future.

As you are perhaps aware that today the Board of Directors, based on the recommendations of the Nomination & Remuneration Committee appointed five new independent Directors in view of completion of the full term of appointment of the other veteran Independent Directors, Mr. K.N. Memani, Mr. Y.P. Trivedi, Mr. P.K. Khaitan, Mr. S.B. Ganguly, and Mr. Amit Kiran Deb. The new Independent Directors come from diverse professional backgrounds, each bringing to the board their industry experience and wide knowledge.

Mr. Anand Rathi needs no introduction, he is one of the leading financial and investment expert, and founder of AnandRathi Group; Mr. Anjani Agarwal, former Senior Partner of EY for 26 years; Mr. Anjan Chatterjee, he is a founder of specialty group chains of restaurants; Mrs. Avani Davda, the founding CEO Tata Starbucks, and she is presently working as advisor to Bain & Company; and Mr Rajiv Khaitan, Senior Partner of Khaitan & Company. We are very excited to welcome the new members to our Board, who will bring much value to our organization with their rich experience and guidance.

With this brief, I now open the floor for Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Abneesh Roy from Edelweiss. Please go ahead.

Abneesh Roy: Yes, thanks. First question is on Dermicool. So we have seen a very strong summer even in Q2 in UP, Bihar, Jharkhand, and Bengal, given the deficit. So could you talk about that, do you see a good Q2 at least in these key states for Dermicool?

Mohan Goenka: So Abneesh, as of now we are not expecting great numbers from Dermicool in this quarter. So practically the sales become almost negligible. And prickly heat quickly there is no season, honestly.

Abneesh Roy: And this would also apply for your cooling hair oil for Q2?

Mohan Goenka: No, cooling hair oil doesn't apply, the two are very different products. So Navratna Cool Talc, in general, we are seeing an uptake -- upsales in talc, but not so much for Dermicool.

Abneesh Roy: Right. And my second --

Mohan Goenka: It's a specific prickly heat powder.

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Abneesh Roy: Right. My second question is on Dermicool, what are the key changes you've already done? Are you happy with the first quarter performance of around INR63 crore sale?

Mohan Goenka: We haven't done any changes as of now, Abneesh, because we are just taking the product in our fold from 1st August, till now it was still with them. Post transition then whatever changes have to be done, we will do.

Abneesh Roy: Right. My second and last question is on Q2 margins, other companies are saying Q2 margins could remain under pressure on the -- versus Q1 given rupee depreciation and lagged impact. What would be the sense in your portfolio, do you see Q2 margins Y-o-Y pressure being lesser? I understand seasonality bit, but if you could tell us on Y-o-Y basis, will the Q2 pressure be lower?

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Page 4 of 13 Mohan Goenka: In H2 we will be seeing the pressure easing, Abneesh. But Q2 still we are seeing the pressure would be there, because the stocks that we have bought, the raw material and everything is at a higher cost. So, maybe Q2 would be a little pressure, but it would definitely ease in second half.

Moderator: Thank you. The next question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited. Please go ahead.

Prakash Kapadia: Yes, thanks for the opportunity. On Dermicool, given that it's so fairly summer season product. When do we expect the brand to clock pre-COVID sales of around INR110 crore, INR115 crore? In the PPT you mentioned some initiatives, or it's too early? Once it comes under your fold in August and then we'll have some more game plan and clarity?

Vinod Rao: The Dermicool arrangement, I don't know if you know about it, it's been a distribution agreement with Reckitt. So their system continues to sell it this quarter, and the brand actually tapers off, so this become zero -- close to zero sales in August. So what we will really see is the true benefit coming out when we start loading, which is the JFM and April, May, June quarter, that's when we'll start realizing the true potential of that brand.

Prakash Kapadia: And on the pain management and Zandu Healthcare, obviously, the high base was there last year. Because I think last year, especially North had seen lot of traction on the balm portfolio. We had seen lot of new customer additions. So, what's the game plan for these two categories for the balance of '23? What initiatives are we taking to ensure growth comes back? Because if two of these power brands face this high base impact, it will be difficult for us to grow on a sustainable basis for the year.

Mohan Goenka: Prakash ji, it's not that way -- this quarter also you would have seen that despite of such a decline in these two categories, we have still managed to grow in other portfolios. So, definitely due to COVID induced -- those were absolutely due to the COVID this thing. Now we are seeing good traction in all the other categories. So there would be a challenge, as far as this is concerned, not that we are leaving it, we would still advertise, we are still going aggressive. But it is not possible to match the numbers of last year. And we haven't taken that in our targets also, honestly. Overall, we are still confident, at the company level we would be able to grow at good single-digit, despite a very high base of last year.

Prakash Kapadia : Okay. And lastly for Rajesh, what kind of amortization can we expect for Dermicool and Kesh King on a quarterly basis? Because I think Kesh King is now tapering off, much of it is done. But on Dermicool, this quarter also we've seen amortization figures. If you could give some sense for the balance quarters of '23 and onwards.

Rajesh Sharma: Right. So this June quarter was the last quarter for Kesh King amortization. So going ahead, roughly INR 22 -odd crore should be the amortization for Dermicool and other brands which we have.

Prakash Kapadia: INR 22 crore.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Yes. Hi Mohan Ji, Rajesh ji. Thanks for the opportunity. I have four questions, starting with international division. It is very astonishing to see the growth is very strong. Could you please elaborate what is driving this growth? I mean, if I look at last two, three years, we've had Russia and Ukraine problem which has just started. But before that when we checked, we had a distributor arrangement which we have revised. So all those pain points is behind and we can expect this kind of growth going forward?

Vivek Dhir: Thank you. I'm Vivek this side. International business growth, fundamental growth is coming from almost every market on account of brand-building activities that have stepped up. Also some of the distribution issues which we are facing in certain geographies, that is also behind us. But still we are seeing certain type of issues which are macroeconomic in nature, they still need to be sorted out. So despite the macroeconomic issues in Russia and Ukraine, we have been able to register a growth in quarter one.

Page 5 of 13 The adjacent region of Uzbekistan was not good for us, which is going to be sorted in this month itself, most likely. And apart from that, we're still facing issues in Sri Lanka counted for currency, and that should also be behind us in maybe a couple of months. Nepal is facing extremely tight liquidity situation.

We are also working on asking our distribution partners to expand their investments into the market. So even that can't be behind us. So most of the issues are team -- so that we continue to deliver a decent growth.

Some of the growth which we are observing in this quarter on account of a slightly lower base also of last year. It was a growth base, but not as big a base, so hence this number of 45% I think may not be there, but we will be in decent double-digit growth in every quarter.

Shirish Pardeshi: Vivek, that was very helpful. Just -- I have just one sub question. In Bangladesh, we have taken lot of steps in terms of distribution enhancement. So could you tell me how much was the growth in last two, three years and this year?

Vivek Dhir: In Bangladesh, we took distribution steps and also automation of the entire system and processes over there, so that now we have visibility. We have mapped close 130,000 -odd outlets in to our system. The daily productivity, that is also visible. So actions are being taken based on that. So, last two, three years we have been growing in double-digit.

Even this quarter we have registered a decent growth despite Ramadan and Eid, both Eids falling in this quarter. Despite that growth has been visible. But I think the portion over there is far bigger than what we are displaying the numbers as on date. We see bigger opportunities over there. And hence, I think management time and direction on Bangladesh, we are going to invest more in this particular area.

Shirish Pardeshi: Yes. Wonderful. Thank you. Mohan ji, my second question is on rural. Last two, three quarters you have been highlighting that there is a pain in rural segment. How this quarter or maybe going forward any qualitative comments you would like to offer, whether the growth has improved or it's still lagging?

Vinod Rao: Vinod here. So rural, we are seeing those headwinds, which is the economic headwinds and the slowdown that -- we are surely seeing that. But we've not stopped any of our initiatives that

we've made, so the investments that we're making in terms of all the expansion that is going in full steam. We are well ahead of our plans on addition of towns, and all the productivity measures we're hitting that.

And if you really look at the -- at a company level with the balms base, we are still growing in rural, which is faster than our wholesale. And we will continue to do that. So the net of portfolio without balms, without pain portfolio, our rural is actually growing at 21%. So, it's doing well for us.

We will continue to grow, the balm base will slightly ease out as we move in the forward quarters and our investments will go up. And towards the second half we have a further expansion where we'll add close to another 10,000, 11,000 towns. So we stand to get incremental out of those.

Shirish Pardeshi: So, just one follow-up here. You've mentioned that 11,000 towns you will add, so what is the current coverage in the quarter which has gone by?

Mohan Goenka: So we've added close to -- this quarter we've added very minimal, so we kind of -- the last quarter and that the second half we've added close to 8,000. So we are actually building in repeat purchases in this quarter. So the bulk of the expansion for this financial year will be in the second half. And till last year we were at 32,000 -odd villages, we added 8,500 last year. We've reached 41,000 now. By the end of the year we'll be close to 50,000 towns and villages.

Shirish Pardeshi: Okay. Just since you are there, let me make an attempt to ask. Can you qualify saying, last two, three quarters we have made lot of investments under the project Khoj. So, any quantitative data points you can offer in terms of distribution or in terms of quality, in terms of growth or something like that?

Mohan Goenka: Sure. So growth -- so we're measuring growths in two ways. We look at even total rural, and therefore the Khoj project which is in 13 states, what are the growth levels there. So we're delivering more than 1% growth than total rural in these Khoj towns.

Two is, from a -- like an expansion in the footprint, we have gone from 32,000 to now 41,000 towns and villages.

Three, we are getting our repeat purchase. So what we also track is the frequency at which the towns are buying. We're getting -- more than 90% of the towns we've added are repeat purchase every month. And this is a monthly phenomenon, it's not like a YTD repeat purchase.

And if you look at all of these parameters put together, plus the productivity of the people that we've put in, we've added around 400 -odd -- 453 people on ground, which has taken our rural footprint manpower presence from close to 900 to almost now 1,300. And we are seeing high productivity levels. Our cost to serve is also in well below budget. So overall, we're very happy with the project and the progress we're making.

Shirish Pardeshi: Okay. That's really helpful. My third question is on the healthcare business. What we have seen, the growth obviously on a high base has tapered off. But just wanted to understand the initiatives what we have taken in terms of the new product launches and in terms of penetration. I did have some discussion last time where we are trying to cover the front -end with the doctor, and the back -end with the availability. So maybe if there is any -- some update, how this programs, what we have run around, if you can share?

Gulraj Bhatia: So in healthcare basically, as you know, we have two parts of the business. One is the FMCG/OTC part, and the other is medico part where we reach out to doctors. So, regarding the doctor point you mentioned, I think our medico business has done reasonably well. Despite the high base we had last year we've

done well because of the extra headcount we've added in terms of reaching out to more doctors to both -- and to more retailers.

And both in the branded ethical business and then the generics classical business, we are on course to deliver the numbers which we had projected for this year. Of course in the generic business there was pressure on the immunity range, but the ethics business has done very well for us compared to the last year.

As far as OTC is concerned, basically we did, as I said, have a challenge on the immunity range even for OTC. But we have planned to add about 20% outlets and increase our rural footprint also by 20%. So, we will see the results of that in the second half given the initial seeding time it takes to build that infrastructure.

Shirish Pardeshi: That's really helpful, Gulraj sir. My last question, Mohan ji, on the Dermicool part. When we did the acquisition, we said that one quarter we will continue the distribution agreement with Reckitt, and the season has panned out. I just wanted to understand two updates. Whether you have already taken Dermicool pan-India because it is having a base of prickly heat, so whether that has happened?

And second, if you can say, what are the initiatives we said, because in the call when we did the acquisition you did mention that we are looking for a larger category. So maybe if you can help me what are the initiatives already taken or maybe will be taken in the future.

Mohan Goenka: So Shirish, Dermicool was already a pan -India presence product even when it was at Reckitt. And as I mentioned that it is coming to our fold from 1st of August. Now the season has gone, that's why we did not take it in the peak season. We did not want to do the transition in the peak season, so we are doing it in off season. Now the season comes only in the month of February, March. Before that whatever steps need to be taken, we will take those steps.

As far as new extensions or brands or products are concerned, that we are working upon it. It will take a while for us to launch some of the categories under Dermicool. But the entire distribution will come under our fold from 1st of August.

Shirish Pardeshi: So that will, Mohan ji, include the manufacturing in -house? Or we will have third -party?

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Mohan Goenka: Third -party. Anyway, it was manufactured by a third -party, we will continue with that.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Thank you for the opportunity, sir. And sir, one question is with regards to the Dermicool business acquisition. So sir, how much of that impact have we seen in terms of the gross margin here, given that the gross margin profile there was around 55%, 50% odd, and our overall company margins are north of 60%, so how much of the impact is due to Derm icool?

Rajesh Sharma: So, Gaurav, Dermicool contributes to roughly 8% of our domestic sales , so that is no t significant. The impact on gross margins came because of adverse mix was primarily on account of pain management portfolio, which Mohan ji discussed earlier that pain management grew significantly in the base quarter last year and we saw correction this year.

Gaurav Jogani: But sir, is the assumption right that the margins there is around 55 -odd-percent for Dermicool?

Rajesh Sharma: Yes, D ermicool has slightly lower gross margins, right.

Gaurav Jogani: Okay. Okay. And sir, just related question to Dermicool again. I mean, what would be the contribution of Q1 and Q4 to the annual Dermicool? I'm sorry, sir.

Mohan Goenka: So, as Rajesh said, almost 1.5% difference came due to the mix, not just because of the price increase. Last year, h

igher margin products, whether it was immunity or pain management, sales were very, very high, which has much higher margins than even 67%, 68%, okay?

Gaurav Jogani: Right.

Mohan Goenka: So almost 1.5%, is due to the mix.

Gaurav Jogani: Sure, sure. So sir, 3.5% I think the remaining would be around 0.5% or 1% would be due to Dermicool, due to thi s lower margin?

Mohan Goenka: No, no, not so much.

Gaurav Jogani: Okay. So the rest would be like RM inflation, I think?

Mohan Goenka: Yes, mostly it is RM inflation.

Gaurav Jogani: Okay, got it sir. And sir, with regards to Dermicool only, like your a nnu al sales how much would be the contribution in Q1 and Q4 for Dermicool in that sense?

Vinod Rao : It will be 90 -plus, because your Q2 is hardly nothing. So it will be 90 -plus-percent. Q2 -- in fact, Q3 is zero, Q2 is 10%. Yes, it's around 90% plus.

Gaurav Jogani: Okay. And sir, jus t one last thing, sir, on the tax rate bit. I mean, we again this quarter had received some MAT credit entitlement. So, now how much of this is less and what should be the tax rate percentage that we should assume going ahead?

Rajesh Sharma: Gaurav, we wo uld -- since last quarter March quarter we started accounting for MAT credit. And there would be MAT credits in the remaining quarters also. So, difficult to give an exact average tax percentage for me. But it should be roughly, I would say, around 18% kin d of tax rate should be there. Not more than 18%, it looks like that.

Gaurav Jogani: 18% if I account for the MAT credit entitlement as well, right?

Rajesh Sharma: Right.

Moderator: The next question is from the line of Harit Kapoor from Investec Capita l Services India. Please go ahead.

Page 8 of 13 Harit Kapoor: Yes. Hi, good evening. So, I just had a few questions, one was on the base effect in pain management and healthcare. So, if you just do the math t basis your three year CAGR and apply to maybe Q2 also , the decline on a Y -o-Y basis in Q2 would look much lower, maybe close to about 5%, 6% for the pain management business and maybe 15% odd for the healthcare business. Is that the right way to kind of look at it? Or am I missing something?

Mohan Goenka : No. Harit, in Q1 last year we had seen a significant -- in fact, extraordinary growth for pain management as well as healthcare because of the COVID impact. So, from Q2 onwards, we don't have that significantly higher base.

Harit Kapoor: Right . It'll be much lower, right? I understand pain management --

Mohan Goenka : Compared to Q1 it will be much lower, but still Q2 was relatively good, I would say, we had a decent base for pain management and healthcare in Q2. But compared to Q1 it would be lower, from H1 it normalized last year.

Harit Kapoor: Got it. The second question is on the -- two questions on rural actually. The first one was on the packs that you have -- or the new launches that you have done in certain brands, a INR20 bridge pack in Navratna, a 30 ml bridge pack in Kesh King, 30 gram shelf -ready pack for Fair and Handsome.

Is that kind of to leverage the kind of distribution expansion that you are doing in rural and hence try and improve the throughput, I mean, just wanted to understand your thought process behind it. Or is it that you're seeing that the market is -- rural is slow and small towns are slow, so you just want to kind of drive growth in smaller packs?

Vinod Rao : So the bridge pack truly will have a role both to play even in urban as well as rural. See, rural are LUP, which is your sachet we sell significant quantities. So we've been -- we have a healthy mix between the base pack, large pack, as well as sachet, or roughly it's around 35% is they are LUP.

So what we

're trying to do also is leverage some of these bridge packs to actually bring down certain contributions of our LUP in rural, this gives us a bit more profitable mix even in rural. And actually the sweet spot in terms of our put -down price suits both the customers in urban as well as the rural customers.

Harit Kapoor: Got it. Very clear. On the rural side only, I just also wanted to understand, we have seen a slowish kind of demand trend. But as we are exiting June quarter or early July, is there anything to suggest that there is some better pickup or improvement from a demand trend perspective? This is ex of what you guys are doing in the market.

Vinod Rao : Not really, we are not seeing anything. Say, whether it is July or even probably end of June, we're not seeing that uptick. I think a lot of our growth is also being -- also led by a few 1.2% is on the entire Khoj projects. So that's helping us probably deliver a better rural performance than we would have -- than what the market scenario is today.

Harit Kapoor: Got it, got it. And the last one was on Navratna. So, we had a good season of course, but if I would apply the same CAGR logic to Navratna, it still seems like there is a little bit of a decline there. We just wanted to get your sense that, what's happening, is it again the demand - rural demand issue or anything else? Or if you could deconstruct maybe talc versus cooling oil, just some more color there, please.

Mohan Goenka: So you are right, Harit, on a three year basis Navratna is still on a decline, and that is primarily because last two seasons it was at a steep decline, unfortunately, like so. So hopefully if the trend continues, the way we have grown in this quarter, if it continues and we are seeing growth in Navratna even in the month of July. So if it continues, then maybe in one or two years we will be able to make it up.

Harit Kapoor: Got it, got it. And last thing, if I may, was on the hair oils part. So, also Kesh King has recovered smartly, I think three year CAGR is also at about 7%, 8% as per my calculation, 7 in One continues to do very well. I just wanted to get your sense on whether this growth in both
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Page 9 of 13 these businesses is more distribution -led, it's more of your -- or is it more kind of -- just generally even in the same -store market share -led, I mean, could you just give a sense on that?

Mohan Goenka: So it is -- see, in Kesh King we have taken a lot of initiatives, particularly in the shampoo front. In my opening remark also I said, we are putting a lot of effort on sachets, and there are other initiatives also. So, it is not just distribution -led, it is an overall trust on the brand.

The larger point is what Vinod and everyone is pointing out is that despite of so much challenges we are investing on all fronts, whether in healthcare distribution or in consumer care distribution, and same is in Bangladesh and other international markets. The results, unfortunately, we have not seen today, because of the market conditions. But I'm very, very optimistic once the scenario improves we would see significant benefits coming in.

Harit Kapoor: One data point, how large is shampoo now in the overall in Kesh King portfolio?

Mohan Goenka: Shampoo is almost, 25% in Kesh King portfolio .

Moderator: The next question is from the line of Tejas Shah from Spark Capital. Please go ahead.

Tejas Shah: Hi, Manoj ji. Thanks for the opportunity. A couple of questions. First, if I see our modern trade and e-commerce saliency, even sequentially and Y-o-Y both, there is a decent improvement. In fact, in FY '20 we were at somewhere around 12.8%. And if I do the math, then somewhere we are now at 15% plus.

So just wanted to know,

is there any specific effort that we are putting on this side? A. And B, last year same time we are very bullish on zanducare.com, so what percentage of our online saliency is coming from Zanducare? And any thoughts on Zanducare's expansion as well?

Vinod Rao: Vinod here. I'll just address the MT and e-com part. So yes, you're right, we are making significant investments on modern trade. So, we've done two things, one is, we've added a lot of these standalone stores. So our earlier presence was slightly muted, we've added close to -- we are covering close to 6,000 stores which are standalone modern stores. And these are growing at a significant higher rate, we are growing at almost 80% levels.

We've also done significant investment in stores in the large hyper, and we are under a project called Midas where we are looking at the entire visibility initiatives in store. And that is giving us good growth points and they're significantly higher growth rates than total modern trade. So these two, three initiatives is really helping the modern trade growth where we are investing behind promoters and in -store visibility.

On e-com also, a lot of our large packs, as a trend we are seeing e-com specific SKU and portfolio growing at a much faster rate, and which is helping driving e-com growth. So we began e-com at -- so we continued to grow at almost 80-odd-percent on the base e-com, and that's delivering good growth for us. We've invested in the team, we have strengthened the team, we've almost doubled our team from what we began in the first quarter of last year, and that's helping us and we're doing critical account management listed in most of the accounts and that's helping driving growth.

I'll just give it to Gulraj to address the Zanducare part.

Gulraj Bhatia: Hi. So, regarding Zanducare, basically, I think in the last three, four months there has been the same, I think, high base of last year, similar to what we've seen in healthcare and pain management, given the fact that we did particularly well in the pandemic period last year. But we have taken on pretty aggressive growths for this year in the -- especially in the second half of the year, which will be led definitely by a number of new launches we are doing of digital-first brands.

So, along with the existing base brands and the new digital-first brands we are launching, which many of -- which will be new to the market, new to the industry, led by strong R&D development. We do see a strong growth potential for Zanducare, given the fact that many consumers are now moving to buying online, etc., and we are addressing the millennials, the digital natives.

So we do foresee strong performance coming, of course, in the small base. Related to the overall business, it would be smaller. But we are obviously investing for the future, not necessarily for this year, but for the next many years to come.

Tejas Shah: Sure. Thanks for the detailed answers. Just one follow-up on that. So, are there any of our brands which are actually clocking better market share in any of these channels versus, let's say, GT or the traditional ones?

Gulraj Bhatia: I think, across our portfolio if you look at the respiratory, if you look at immunity, if you look at digestives, and other segments such as sexual wellness. From whatever we know of, obviously, there is no industry tracking which happens like Nielsen, but whatever we've been able to understand from our competitors, companies in the market, we seem to have better in terms of growth, if you see imports in the last couple of years and even in this quarter, our relative performance has been better than theirs. So we have been market-driven most of the segment we are

present in.

Tejas Shah: Sure, that's helpful. And the last one for Mohan ji. Mohan ji, you have shared the details of the new Board Members and visibility -- and visibly the new Board has a good mix of experience and energy. But just curious to know, is this a routine rotation, or we actually wanted to use this opportunity to hit certain specific talent or experience gap in our portfolio -- sorry, in our Board members in terms of what they bring to the table in terms of the think tank that we have?

Mohan Goenka: So, of course, the five Directors, they had completed their term, okay, so we had to appoint five new directors. It was a good opportunity, I think we have got a very good mix of experienced Directors now, I'm sure they would add a lot of value.

Moderator: The next question is from the line of Vishal Gutka from PhillipCapital. Please go ahead.

Vishal Gutka: Most of my questions have been answered, but one more question is there. On the bridge pack, if you can just highlight how bridge pack from, what do you call, for Navratna, Kesh King, and Fair and Handsome has helped the growth in this quarter? And for Kesh King specifically, INR49 bridge pack we have launched, so in that are you providing applicator as well? Because then how the margins will look because if you have to provide the cost of applicator and the bottle, I just wanted to understand on that front.

Vinod Rao : The bridge pack, so we have not gone full hog on the bridge packs, but they're contributing significantly. We just about launched it, we were testing waters in some sense, but they're contributing significantly, it's around 2%, 3% as of today. But what we're seeing is the market acceptance was phenomenal. And we've seen us gain actual distribution, we've almost reached 60%, 70% of the core brand distribution because of these bridge packs.

And what we will continue to do is then keep investing behind this. And looking at this, we will be also looking at other brands of ours where we could launch bridge packs. Because this just helps arrest any consumers moving out of category. And if there is any downtrading that is happening, that stays within our category.

Vishal Gutka: Okay. And for Kesh King, if you can comment upon?

Vinod Rao : Sorry, what is the question on Kesh King?

Vishal Gutka: Yes. Sir, because Kesh King has to provide the applicator as well, right, for INR49 bridge pack, so how the margins will look? It will be margin dilutive in that case or how it will look on that -- in that front?

Vinod Rao : No, the margins are not at all dilutive on this pack.

Moderator: The next question is from the line of Abneesh Roy from Edelweiss. Please go ahead.

Abneesh Roy: A few follow-on questions. So first is a structural question, I remember saying that Emami wants to reduce the seasonality which is there in your businesses. Now if I see Dermicool, in Emami Limited
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Page 11 of 13 fact, it increases the seasonality because Q1, Q3 -- Q1, Q4 will be higher indexed, while Q2, Q3 almost negligible. So, will you now proactively try to address, again, the increase in seasonality? Or it is now much larger business, so it is okay?

Mohan Goenka: Abneesh, if it is addressed on its own, it is fine. We don't have a deliberate plan to address it, okay? Because brand building or brand buying is not in our control. If we like something or if it fits within our overall scheme of things, we will keep on acquiring those products, even if it is seasonal.

Abneesh Roy: Second is on immunity, because of COVID, Chyawanprash, etc. saw huge increase in penetration. But Indians are extremely focused on current theme, so the new customer also got added because of higher penetration. Any sense, Mohan ji, you have that

that they will remain?

Because clearly all companies are seeing that now sales have completely come off. This is not peak season, but how do you retain the new customers who have come? I understand penetration has increased sharply.

Gulraj Bhatia: Gulraj here. So you are right that ideally a certain number of customers should have been retained. But what we're seeing of the category and the industry as a whole, across all the immunity categories the level seemed to have gone back to the pre-COVID levels. If anything, there seems to be even more pressure there. While we don't have research data to prove it.

At the same time, we do believe that in certain segments there will be a certain retention, which is higher than what it was earlier. But currently what we are seeing for the industry as a whole, the -- we are not seeing any uptick compared to what it was pre-COVID levels. The reason could be that many people would have bought these products in last year in October, December, and they are carrying stocks.

So right now, people have gone to the other extreme where they're not really sort of -- the drop is far higher than what one would have thought it is. Now, we don't have data across segments on how many are the existing versus new customers at this point. Very difficult to judge that actually.

Abneesh Roy: And one question on bridge pack, so one is INR20 -- I was a bit surprised on that pricing, because normally bridge pack is something INR13, INR17, something like that. So, my question is, are you giving more value to customers on more grammage for that? So why will customer shift from the LUP to the INR20 pack?

Vinod Rao : On which were you saying, which pack specifically?

Abneesh Roy: The example you have given in the presentation, the INR20 bridge pack.

Vinod Rao : So we have -- in fact, across our portfolio we do have a wide range. So whether it's a sachet, we also have a INR50 pack, we have a 50 ml pack, we have across the brands. So the bridge pack actually is playing between the smallest pack which is in bottles for each of these brands and the sachet. So, we don't -- you're right, you don't see complete switch, you won't see the switch between a sachet user who is also an infrequent user in that sense to bridge pack. But what we're trying to do is look at driving the salience of these packs which builds profitability for us for those channels as well going forward.

Abneesh Roy: So essentially grammage you are not really offering more to the customer versus a sachet, will that be correct?

Vinod Rao : No. In a cost point of view, in the price for ml, no, but grammage definitely, yes, per 100 ml.

Abneesh Roy: And last question is on quick commerce, any data you can share, how relevant is it for your category? And have you tied up with all the key players?

Vinod Rao : In e-commerce?

Abneesh Roy: No, quick commerce, 10, 20 minutes, 30 minutes delivery.

Vinod Rao: So we are present on all these platforms.

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Abneesh Roy: But how is the exposure, as in, any number you can quote, how much of sales is coming from quick commerce?

Vinod Rao : It is very less, because they also operate with a very limited portfolio and they largely follow a very essential purchase kind of a model. They are also building, they are also reinventing the model as channels, and they are trying to look at delivery times which are slightly longer, which actually brings in a bit more planned purchase. So we have really very limited SKU presence in these channels, and we're just participating in that, the numbers are small.

Moderator: The next question is from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas. Please go ahead.

Kaustubh Pawaskar: Thank

you for giving me the opportunity. Sir, I just want to understand that how much was the raw material inflation for this quarter? And whether if we have taken any price increase in this quarter?

Rajesh Sharma : So we have taken roughly 4%, 4.5% kind of a price increase, blended price increase across the portfolio. And the inflation has also been very significant, and as a result of which our gross margins are impacted. So, two primary reasons as we discussed earlier for our gross margins getting impacted. One is the high inflation and second is the mix impact. Because last year in the base quarter we had high margin categories getting sold.

Kaustubh Pawaskar: So 4%, 5% price increase was taken into this quarter or it is a blended average?

Rajesh Sharma : It is a blended average price increase.

Kaustubh Pawaskar: Okay. And going ahead, are there any plans to increase the price considering the inflation? Because as you said that you have an inventory of high-cost raw material for another quarter or two. So are we looking at taking further price hike in portfolio or there would be -- there won't be any significant price increase?

Rajesh Sharma : So we expect our average price increase in the range of 4% to 4.5% for the full financial year as well, with similar kind of a price increase impact.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Yes, thanks for the opportunity again. Mohan ji, I've got two sub questions on the margin front. Last time you have guided that there will be a decline in gross margin because of the raw material and investment in the ad spend. So, I'm not asking for the next quarter, but how one should look at FY '23? How much ad spend do you think you would do will be in the range of 18% to 20% of net sales or it will go up?

And second, as Rajesh ji has mentioned that there will be mix change, which is not helping in this quarter. But do you think confident that second half your mix change will not require to take that kind of aggressive price increases?

Mohan Goenka: Shirish, so on a yearly basis, I don't think we should have an impact more than 2% as far as gross margin is concerned, okay. And we would -- and A&P we would try to be almost in the range of about 17% to 18%, not more than that. That is what we have planned. And sorry, what was your last question, Shirish?

Shirish Pardeshi: No, I'm saying, so you said that 200 basis point improvement -- the decline in gross margin which will happen. But I was more keen on if you have any plans, because you mentioned that Dermicoal will come in quarter four. So, is that the ad spend you will be able to manage within that range?

Mohan Goenka: Yes, we would be able to manage in 17% to 18%.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Page 13 of 13 Rajesh Sharma : Thank you, Percy. Thank you, IIFL. And thank you all the participants for joining us for our quarter one FY '23 results concall. Thank you.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Nov 2022

regd. office : 687 a nandapur e. m. bypass k olkata 700107 India
phone: 91 33 6613 6264 tele fax : 91 33 6613 6600 e-mail : contact@emamigroup.com website : www.emamiltd.in
CIN: L63993WB1983PLC036030
14th November , 2022

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Mumbai – 400 051 Mumbai – 400 001
Scrip Code: EMAMILTD Scrip Code: 531162

Dear Sir s,

Sub: Transcript of Earnings conference call

With reference to our letter dated 9th November, 2022 regarding intimation of Earnings Conference Call, post declaration of Unaudited Financial Results of the Company for the Second Quarter ended 30th September , 2022, we are enclosing copy of transcript of the said Conference Call.

The aforesaid document are also made available on the Company's website at www.emamiltd.in .

This is for your information and record.

Thanking You,
Yours sincerely ,
For Emami Limited,

Ashok Purohit
Dy. Company Secretary & DGM - Legal

Enclo: a/a

Page 1 of 13

"Emami Limited
Q2 FY 23 Earnings Conference Call "

November 11, 2022

MANAGEMENT : MR. MOHAN GOENKA – VICE CHAIRMAN & WHOLE
TIME DIRECTOR

MR. VIVEK DHIR - CEO, INTERNATIONAL BUSINESS
MR. VINOD RAO - PRESIDENT, SALES
MR. GULRAJ BHATIA - PRESIDENT HEALTHCARE
MR. RAJESH SHARMA - PRESIDENT, FINANCE AND IR

MODERATOR : MR. PERCY PANTHAKI FROM IIFL SECURITIES

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Page 2 of 13 Moderator: Ladies and gentlemen, good day, and welcome to Emami Limited 2Q FY'23 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Securities. Thank you, and over to you, sir.

Percy Panthaki: Hi. Good evening, everyone. This is Percy from IIFL. We are pleased to host the management of Emami Limited today. On the call with us are Mohan Goenka, Director; Rajesh Sharma, President, Finance and IR; Vivek Dhir, CEO, International Business; Vinod Rao, President, Sales; and Gulraj Bhatia, President Healthcare. Without further ado, I'll hand over the call to Mr. Mohan Goenka. Over to you, sir.

Mohan Goenka: Thank you, Percy. Very good afternoon, friends. Thank you for joining us today. I welcome you all to this conference call on Emami's results for the second quarter and half year ended FY'23. As you all are aware, the domestic FMCG industry continued to remain soft during the quarter, and demand sentiment remained muted due to high inflation, rural slowdown and liquidity pressure. In the given context, our overall net sales at INR807 crore grew by 4% and revenue at INR814 crore grew by 3% in the second quarter of the financial year.

Our domestic business grew by 1.2% during the quarter with a volume degrowth of 1.2% which may appear optically muted. However, given the various headwinds in the last 2-3 years, our domestic business grew by 8% on a 3-year CAGR basis. The corrections in pain management and health care are broadly in line with expectations due to high base as well as decline in consumption of COVID contextual products. You would be

aware that Helios Lifestyle, which operates under the brand, The Man Company, has become our subsidiary with effect from 1st July '22. During the quarter, it contributed 3.5% to our overall net sales. Our core domestic business grew by 5% and including international business, our Q2 growth is 8% over previous year, excluding the pain management and health care range and revenues from our new subsidiary, Helios Lifestyle.

Coming to our brand-wise performance. BoroPlus range grew by 17%; Male Grooming range grew by 2% and 7 Oils in One grew by 1% during the quarter. Due to the muted demand

environment, Navratna range declined by 5% and Kesh King Emami Limited
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Page 3 of 13 range declined by 10% whereas Pain Management and Healthcare range witnessed corrections of 13% and 16%, respectively. However, if you look at a 3-year CAGR, BoroPlus range grew by 5%; Kesh King range grew by 14%; 7 Oils in One grew by 18%; Pain Management range grew by 6%; Healthcare grew by 10%; and Navratna posted flat growth. However, Male Grooming range declined by 4%.

New age channels like Modern Trade grew strongly by 28% and e-commerce grew by 56% during the quarter. The contributions of e-commerce channel increased by 300 basis points to 7.8%, and modern trade contribution increased by 220 basis points to 8.7% of the domestic revenues. Both Modern Trade and e-commerce put together now contribute to 16.5% of the domestic revenues against 11.3% in the second quarter of last year.

Our international business grew by 17% during the quarter on the back of good performance across markets. CIS continued to grow despite disturbances due to our own infrastructure built in previous years. Other SAARC markets, including Nepal, Sri Lanka, et cetera, are also showing signs of recovery despite continued macro-economic issues. Growth from GCC stood at 39%, and I am happy to share that around 70% of GCC sales are now manufactured outside of India. And by the end of this financial year, we should be able to reach our maximum localization objectives.

During the quarter, our gross margins at 66.6% contracted by 230 basis points. This impact was on expected lines due to unprecedented inflationary pressure and favorable portfolio mix last year due to extraordinary high sales of pain management range. Despite this input cost pressure, we did not cut our advertising spends as we remain buoyant behind our brands looking at their long-term potential and rural recovery. We continue to invest aggressively behind our brands due to which our A&P spend increased by 400 basis points this quarter. Therefore, EBITDA at INR195 crore declined by 29% over previous year due to inclusion of new subsidiary costs, upfront marketing investments and strategic outlay on distribution expansion in Rural, and Modern Trade channels.

Profit before tax at INR186 crore declined by 18%, and profit after tax at INR180 crore declined by 3% over previous year. With the moderation in input cost inflation, we do not see much pressure on our gross margins in the second half of the financial year.

Though our EBITDA margins in the first half of the financial year at 23.2% are lower by 760 basis points against previous
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Page 4 of 13 year, we do not see much contraction in the second half which normally accounts for 55% of the overall annual EBITDA. Hence, for the full year, we expect our EBITDA margins to be in the pre COVID levels, that is around 27% for our core business. Going ahead, we are optimistic of delivering sustainable

growth on account of good monsoon, government impetus and correction in input prices. We are optimistic in

witnessing an upward curve in the consumer sentiments in the near future. With this brief, I now open the floor for Q&A. Thank you so much.

Moderator: First question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: My first question is on your comment that the margins will come back to pre-COVID in terms of 27% EBITDA margin for the core business. So what exactly do you mean for the reported margins? Because core business is not exactly the full business because now Man Company is also there and your recent Dermicool. So on a reported basis, what is the expectation in terms of margins?

Mohan Goenka: So that would be excluding the Helios. If you exclude the Helios, that makes it the core business basically. So reported numbers would be around 27% only.

Abneesh Roy: And including Helios, how much it will be? And that's my question because this quarter, your Helios revenue will be around INR28 crore based on the 3.5% of consol. So how is the profitability in this part of the business? And is there a seasonality in terms of the INR28 crore sales. Is there a big seasonality there?

Mohan Goenka: So there is no seasonality as far as Helios is concerned, Abneesh. And also the margins would not deplete so much in the second half for Helios. So it should be, as I said, it may be a max of 0.2 %-0.3% here and there. It will not have a significant impact.

Abneesh Roy: My second question is on the modern trade e-commerce. So it is around 8% each broadly. So here, if you could tell us versus your overall business, how is the mix different? And how is the, say, gross margin different ex of discount because a lot of these channels also have discounting which may not be there necessarily in the general trade. Is there a big difference in the gross margin profile?

Vinod Rao: There isn't much of a difference in the gross margins between the two channels. So we promote a set of SKU in a range large packs where we price them so that we give these discounts to consumer end. And we track channel EBITDA, so across Emami Limited
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Page 5 of 13 channel s, GT, MT and e-comm. And both e-com and Modern Trade channels are comparable to general trade EBITDA levels.

Abneesh Roy: And last question on your Digital First launches. So you have used the word organic in two of your product. So for example, in 7 Oils in One, how is the price premium versus the base product? And similarly, when I see apple cider vinegar, even Dabur has done that. So two sub-questions here. So will you also follow largely Dabur's strategy of doing a lot of such products on the e-commerce which say Dabur has already done. And similarly, what's the price premium of Zandu apple cider vinegar organic versus say Dabur's apple cider.

Mohan Goenka: So yes, Abneesh, we have for a long time, we have decided to do a launch, a lot of digital-first brands particularly on our existing range and also on the Zandu D2C platform. That is very, very clear. Of course, the Digital First brand comes at a premium. So 7 Oils in One is almost at a premium of around

almost 50%, 60% premium to our existing range. So that is how it is. And if you compare the price of apple cider vinegar with Dabur, what is the price? So we are slightly premium, Abneesh. We are slightly premium of about 12% to 13% compared to Dabur. So we are very cognizant of the margin what Vinod said because these two channels are aggressively growing, and we don't want to dilute our margins for these two channels. So we have kept the prices accordingly.

Abneesh Roy: Yes. The

only issue is in your own product, I do understand base version organic. It makes a lot of sense. But in apple cider vinegar, where there are private labels also, I don't know that 12%, 13% premium, customer will he stay? That was my question.

Mohan Goenka: So our aspirations may not be so high, Abneesh. It has come as a range. But we don't want to dilute our margins. That is very, very clear.

Moderator: The next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: So typically, in FMCG companies, we noticed a behavior that when gross margin is under pressure, they curtail the ad spend, so that there is some delivery at the EBITDA margin front. Now this time, we have not done it. Some other companies also in Q2, we are seeing have increased ad spend, even though there is a gross margin pressure. So what should we read in to this? Does it mean that now there is a lot of clarity that the input cost is coming down? And therefore, there is a confidence to sort of take ad spend up, or should we read it as that now expense have remained subdued for so Emami Limited
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Page 6 of 13 long that the situation has become dire and if we don't do it, then the brands are getting affected.

Mohan Goenka: Percy, I would say that there is a definite decline in the input costs. The pressure is easing. We are very confident that the markets should improve today or tomorrow. In fact, let me also share that we are happy to see the numbers coming in the last 10, 15 days, post all the holiday season. So there is some buoyancy coming in, in the wholesale markets, particularly for the winter products and it is across the board. So this was in expected lines. If the trend continues for another 30, 40 days, then we are very, very optimistic that you would see some good numbers coming in for everyone. So see, we would have to increase our advertising because you are also right that for quite some time, the advertising was subdued. We are expecting the market to pick up. So this is an important raw material for all of us if you want to grow the market.

Percy Panthaki: And Mohanji, on input cost, is there any visibility that it has peaked out and now clearly, it is coming down, and adjusted for seasonality, the Q3 input cost will be lower than Q2? I'm saying adjusted for the normal product seasonality.

Mohan Goenka: Yes, we are very confident, Percy, that the input cost pressure has eased off quite a bit, and there would not be any margin pressures in the third quarter.

Percy Panthaki: And secondly, on Kesh King, there is a 10% Y-o-Y decline. Now we understand that it is a high base effect. The 3-year CAGR is still quite healthy. But just wanted to ask you on a

sequential basis, that is Q1 versus Q2. Normally, there will be some seasonality for Kesh King, right? On a sequential basis, it would either be growing or declining at a particular percentage. So this year also, the Q1 versus Q2 growth or decline, is it in line with what is the normal historic trend?

Vinod Rao: Yes, there is not much of a seasonality you see. You see a slightly, in fact, a growth in this quarter, primarily because of the festive season. Overall oils grow in this market and especially the value-added hair oils. So in a seasonal point of view, we're not seeing that effect coming into play, really. Overall, the market is sluggish, and we have a sizable rural contribution across our portfolio, and that is where we are seeing pressures. But in the channels where we've invested and which are growing like Modern Trade and e-com, we are seeing healthy growth even on Kesh King which talks about our offtake as being healthy. And this is a temporary effect around the inflationary pressures that we're seeing across and largely due to rural.

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Page 7 of 13 Percy Panthaki: So, this year, Q2, was it more or less in rupee million terms, the sale value for Q2? Was it the same as Q1 or it has dipped yet?

Vinod Rao: Yes, it is same, it is same.

Moderator: The next question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited. Please go ahead.

Prakash Kapadia: Navratna, despite the sales base not being too high, it has actually de-grown. So could you give us some sense what is happening in the Hindi-speaking belt in terms of demand scenario? Is customer addition an issue or repeat purchase an issue for Navratna?

Mohan Goenka: Prakash, honestly, this is not just for Navratna. It is across the oil portfolio. You would see there is some down trading. People are not using oils as much as they were using earlier. Also, unfortunately, Navratna, the Extra Thanda oil, which is showing some decline, particularly post COVID because if you remember, COVID, people were very averse of the cold, getting cold because of multiple reasons. So they had stopped using a lot of these products, which caught cold. So since then, we are seeing a little pressure on the Navratna portfolio, particularly on the Extra Thanda. Otherwise, the base Navratna Oil is still growing, but Extra Thanda is pulling it down. But anyhow, I think now that the COVID is completely out of this thing, we are hopeful that in the next season with our new campaign and all, we should see some growth positively coming in the number of that portfolio.

Prakash Kapadia: And also if you could give us some sense how are the growth rates between Rural and Urban. Because the way Modern Trade and e-commerce have grown, I'm sure Urban is doing far, far better. So if you could give us some sense on rural and urban growth rate differentials.

Vinod Rao: So there is a significant difference between Urban and Rural, and one will have to break it up as retail and overall and then wholesale separately. Wholesale is trending to behave like rural and it typically behaves in a similar manner. So we see the demand challenges, we see wholesale also declining to that effect. But with Modern Trade and general trade retail and

e-commerce, we're seeing far ahead. It's actually almost 2x to growth of rural now.

Prakash Kapadia: 2x, okay. That's helpful. In terms of amortization, Rajesh, Kesh King, majority amortization is over in the June quarter. So this kind of a run rate of around INR45 crore to INR50 crore should be over the next few quarters in terms of the overall depreciation and amortization?

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Rajesh Sharma: Yes, right. So this quarter, INR23.5 crore amortization is without Kesh King. This is primarily on account of Dermicool, Creme 21, et cetera. So this would continue for some time.

Prakash Kapadia: And lastly, Rajesh, tax rates, we've seen some MAT credit being used in the first half because of which the tax rates are lower. So for '23 and '24, what kind of tax rate should we assume for the whole year?

Rajesh Sharma: So we have started accounting for MAT credit since the March quarter last year. And this would happen, I think, for another 2, 3 years. So at least for this year, I think average tax rate should be below 10% kind of. And next year also, we can assume 10% kind of a tax rate only.

Prakash Kapadia: Okay, until the time this MAT credit is not fully utilized. Okay, understood. And other

OpEx is also up quite sharply. Is there any one-off, Rajesh, in the other OpEx, excluding the ad spend because it's up almost, I think, 44% on a year-on-year basis?

Rajesh Sharma: This has also gone up because of the integration of Helios, which became subsidiary from July 1. So the revenues have also come and their other OpEx expenses have also been added up. And apart from that, we have also invested quite a bit on distribution initiatives, which is adding up. And then obviously, some other costs which were not there during the COVID period like travel, et cetera, have also increased compared to last year.

Prakash Kapadia: Okay, and partly because sales growth is muted, we are not seeing that leverage coming in?

Rajesh Sharma: Right. That's right.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Hearty congratulations for showing a good number. Can you just share the 17% growth what you have delivered? What are the things we can expect that got a benefit in this quarter and what else we can expect more in the international business going forward?

Vivek Dhir: I think our growth is a function of many geographies. So our operations exist in Southeast Asia, SAARC, Russia, CIS. So the markets which are more westwards, which is MENA markets, Russia, CIS, we are performing better than the Eastward markets, SAARC and Southeast Asia. So we expect similar type of growth in those regions again. But the Asian side of the business is also turning around and hopefully

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Page 9 of 13 should deliver better. And we expect, I think it's not exactly 17%. Somewhat in similar reason between 12%, 13%, 14% growth in quarter 3 as well and going forward. So many initiatives are happening on the brand side, manufacturing side and even infrastructure which we are building in the markets, which continue to yield results for us in coming time periods as well.

Shirish Pardeshi: I got that. That's helpful. I'm just only trying to relate, Mohanji, you said most of the manufacturing for all tax business will be outside India. So obviously, if the sales momentum is strong and the profitability is going to improve but on the other side, we see the Asian markets, say neighboring market in Bangladesh, which has done well last year, this is not done. So maybe can we expect that second half is going to be better for these all SAARC countries including Bangladesh?

Vivek Dhir : Absolutely. Say like when you look at absolutely neighboring markets, Sri Lanka has gone through a very, very bad phase. Currency depreciated is very, very sharply in the month of March itself and slow depreciation after that. Volumes dipped. There was hardly any money in the market. So things are coming back on track. We have witnessed from August onwards itself, things are on track, and we should be moving ahead. Bangladesh again has gone through bad phase. The dollar availability is pretty low in the country at the moment. But our fundamental business is doing fine over there. So when we look at the main brands, major brands, all are going at a decent pace. For some of our new initiatives, we are not able to invest in line, and hence, that is pulling us down in that market. Nepal also going through quite a bit of macroeconomic issues which we are working to come around those type of issues as well. So that we protect these markets. Macroeconomic is not in our hands, but our actions to overcome those issues are in our hands. So we are working around that area so that these markets also continue to perform for this.

Shirish Pardeshi: My second question is on BoroPlus, Mohanji. The growth, which is shown in this quarter, which is 17%, is it primarily because of the winter loading and maybe a follow-up there, that how do you see the season panning out for the winter in the so-called the strong markets of BoroPlus in the North?

Mohan Goenka: So yes, this is primarily loading, but we are also seeing a good amount of secondaries also coming in because winter has set in well across India. So we are very hopeful. And with the new campaign with Akshay Kumar, we are also going to be aggressive. So hopefully, BoroPlus range should do well. Even the lotions, BoroPlus Soft that we have launched this year, we are going all out as far as BoroPlus is concerned.
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Shirish Pardeshi: So the question here is that will we be able to get a better sales than last year, or we will have to manage for the sales, maybe a little more than the last year?

Mohan Goenka: No, no, we are definitely expecting better numbers for BoroPlus. We are expecting a double-digit growth for the year as far as BoroPlus range is concerned.

Shirish Pardeshi: Okay, my last question is on the Healthcare, Gulrajji. We have seen that both OTC Healthcare business has been declining.

What is it that we are trying to get it? I mean, one fact is that, yes, COVID contextual products are declining. But on the other hand, we have taken a lot of initiatives. We have put the feet on street and we are trying to do Zandu online. We are trying to expand the distribution. We have done a lot of new launches. So how confident we are I mean, obviously, on a Y-o-Y basis, the number may not look impressive, but in second half should be looking better in our control?

Gulraj Bhatia: So you are right that over the last 2 years, we had seen an exponential growth in some of our key categories in terms of immunity products, et cetera. So we are seeing a base effect in play, and as you said, we've over the last 2 years, invested in increasing our manpower coverage in retail and up-country markets. So we'll definitely see the results of that coming in as we go into the next few months. And we are also focusing on some of our power brands and trying to reduce the dependence on the immunity products. So definitely, probably from the next quarter onwards, we see a much better overall performance in terms of the comparison with last year. The last 2 years, if you see compared to FY19-20, both OTC business and the medical business has been performing well. It's just that the last 2-year base has been a bit challenging for us for this year in terms of the base effect.

Shirish Pardeshi: But just one follow-up here. Would you be able to quantify what kind of business now run rates we are getting from Zanducare online?

Gulraj Bhatia: So I think we have been focusing significantly on launching many digital-first products. And earlier, we had a higher focus or higher dependence on the legacy products, the current products. Month-on-month, the focus on the new products is increasing, which are the digital-first products. So currently, we are seeing a run rate of about INR2 crore, basically, and that will keep increasing month-on-month as we go forward.

Shirish Pardeshi: Okay. Okay. Wonderful. Last question, Mohanji, for the overall guidance. I mean, last time you said that there will be a cut in margins about 200 basis points. Is the commentary which will
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Page 11 of 13 prevail for second half or you're still not sure that if winter goes better, we might be able to recover the lost margin?

Mohan

Goenka: So I spoke on the margin front, Shirish, and we are confident of delivering around 27% EBITDA margins. That is what is the target that we have taken, which is at par to our pre-COVID core levels. So last year, last 2 years, we all know from 27% to 30% was due to the mix and no pressure on our input costs. But despite of high advertising, despite of everything, we should be able to achieve 27% EBITDA margins.

Moderator: Follow up question from the line of Percy Panthaki. Please go ahead.

Percy Panthaki: Yes, sir, just if you can tell us something about your distribution efforts. And how many new outlets have you added or new villages have you added? Or if you can give some color on whatever we have added, let's say, 2 years ago, what is the ramp-up in those outlets, if it was, let's say, indexed 200, something like that, some flavor on the efforts on distribution, please?

Vinod Rao: So the in the rural project under Khoj, we're doing well. So what we've done this year is looking at the demand. We've not gone on an expansion in the first 2 quarters, but we have consolidated the current footprint. So in all the other KPIs in terms of the value business we get per town and villages, so all the 8,000, 9,000 villages that we added in the past, we're getting 90% repeat rates. So in a sense, all towns added in the last quarter of last year, till date, we are getting 90% of those getting billed every month. And those are some of the efficiencies which are very good metrics that we're seeing. Our value per town or town or village has not dropped. What we've also done is we've optimized the current set of villages. So the 32,000 which we already had and these new 10,000, which is now a total of 42,000 footprint presence, we've been able to save a bit on our van costs. And that we're plowing back into the business and we'll look at expansion from December onwards, and we hope to add around 8,000 to 10,000 more villages taking our entire coverage from 32,000 last year to close to 50,000 by the end of this year.

Percy Panthaki: And on the margins, Mohanji, when you are saying that you are targeting 27%, in that scenario, what kind of ad spends are you also building into our model?

Mohan Goenka: Around 16.5% to 17%.

Percy Panthaki: Okay. And on innovation, what is the sort of target here in terms of new products driving what percentage of your sales? And what is it right now? And in this context, how do you
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Page 12 of 13 define new products like some companies defined whatever is launched within last 24 months or 36 months?

Mohan Goenka: Right now, Percy, our contribution from NPDs is roughly about 1%, 1.5%. We are trying to ramp this up significantly going forward. As I said, markets are slightly, once the inflation comes down, markets should also pick up, and we have a significant good pipeline of NPDs, both in Zandu and our existing range. So hopefully, going forward, it should be in the range of about 3% or so. That's what we expect from NPDs.

Moderator: We have the next question from the line of Amit Purohit from Elara. Please go ahead.

Amit Purohit: Just continuing on the previous question on the distribution expansion. Any target that we have over the next 2 years, this is the kind of villages you want to cater to? And also a follow-up on that is the kind of brands or the products which get sold now in the rural considering the fact that there is kind of a muted growth in the overall market. So which are the brands which are doing well for us in terms of repeat purchase that you highlighted?

Vinod Rao: So the immediate target is actually to get to 50,000 villages by the year-end. And that would be a big stride

we would have taken from the 32,000 we were 2 years back and we started the expansion only in the last quarter of last year. Going forward, also in the next 2 years, we hope to add in the zones of around 10,000 villages every year, but provided we hit the threshold or cost of sales benchmark that we've set for ourselves. And then accordingly, we will look at add villages. We have a significant wholesale contribution. So in a numeric sense, we deliver that, and there will be a point of time where

we won't add direct villages, and we'll keep consolidating the current additions.

Brands, largely all the brands that we've been doing, we have the similar mix that we have in Urban, that we have in rural. It's only the LUP and the mid-pack contributions are higher, and the large packs are virtually very, very low in the rural market. And we're seeing the similar response to what we're seeing in Urban general trade. We're seeing a similar kind of uplifts in brands. Same phenomenon we started seeing post October or even the September, October period. We're looking at winter. We're being stronger. We're seeing a much better performance around our winter portfolio. And yes, so brand mix is not too different. It's only the Healthcare, et cetera. Those contributions are far lower in Rural. Otherwise between Navratna, Balms, Kesh King and BoroPlus, we're seeing a similar kind of a mix.

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Page 13 of 13 Amit Purohit: And just one more question on the margins. You indicated 27% for FY'23. Beyond that, would you be looking to reinvest behind brands and keep the advertising spend high and keep the margin stable or you would look to get back to closer to around 30% margin or so on back of gross margin expansion?

Mohan Goenk a: We are committed to invest behind our brands and also to invest behind the distribution channels. Also, we see very healthy growth coming in from the Healthcare channels. So we have a lot of investments to do going forward. And so margins should be in the pre-COVID levels around 27%. If natural margin expansion happens, it happens. Otherwise, you should expect around 27% margins.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference back to the management for their closing remarks. Thank you, and over to you.

Rajesh Sharma: Thank you, Percy. Thank you, IIFL, for ending this call. Thank you all the participants for joining us today for our results call. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of IIFL Securities Limited, that concludes today's call. Thank you all for joining us, and you may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Feb 2023

regd. office : 687 a nandapur e. m. bypass kolkata 700107 India
phone: 91 33 6613 6264 tele fax : 91 33 6613 6600 e-mail : contact@emamigroup.com website : www.emamiltd.in
CIN: L63993WB1983PLC036030

7th February , 2023

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Exchange Plaza, Plot No. C/1, G. Block Phiroze Jeejeebhoy Towers
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Mumbai – 400 051 Mumbai – 400 001
Scrip Code: EMAMILTD Scrip Code: 531162

Dear Sir s,

Sub: Transcript of Earnings conference call

With reference to our letter dated 5th January, 2023 regarding intimation of Q3FY '23 Earnings Conference Call, post declaration of Unaudited Financial Results of the Company for the Third Quarter ended 31st December , 2022, we are enclosing copy of transcript of the said Conference Call.

The aforesaid documents are also made available on the Company's website at www.emamiltd.in.

This is for your information and record.

Thanking You,

Yours sincerely ,

For Emami Limited,

Ashok Purohit

Dy. Company Secretary

Encl: a/a

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"Emami Limited

Q3 FY '23 Earnings Conference Call "

February 03 , 202 3

MANAGEMENT : MR. MOHAN GOENKA – VICE CHAIRMAN &
EXECUTIVE DIRECTOR – EMAMI LIMITED

MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER –

INTERNATIONAL BUSINESS – EMAMI LIMITED

MR. VINOD RAO – PRESIDENT SALES – EMAMI
LIMITED

MR. GUL RAJ BHATIA – PRESIDENT –

HEALTHCARE – EMAMI LIMITED

MR. RAJESH SHARMA – PRESIDENT - FINANCE
AND INVESTOR RELATIONS – EMAMI LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL SECURITIES

Emami Limited

February 03 , 202 3

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Moderator: Ladies and gentlemen, good day, and welcome to the Emami Limited Q3 FY '23 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Percy Panthaki from IIFL Securities.

Over to you, sir.

Percy Panthaki: Hi. Good evening, everyone. From the management, we have Mr. Mohan Goenka, Director; Mr. Vivek Dhir, CEO, International Business; Mr. Vinod Rao, President, Sales; Mr. Gul Raj Bhatia, President, Healthcare Division; Mr. Rajesh Sharma, President, Finance and IR. So, without further ado, I'll hand over the call to Mr. Mohan Goenka, who will take us through the result.

Mohan Goenka: Good evening, ladies and gentlemen. I thank you for joining us today. I welcome you all to this conference call on Emami's result for the third quarter and 9 months ended FY '23.

During the quarter, demand patterns for the FMCG sector remained sluggish, with rural markets experiencing continued demand pressure. Further, a warmer winter season across the country

impacted sales even more. However, December witnessed a moderate rebound in demand with easing of inflation.

In the given macroeconomic context, our overall net sales at INR 975 crores grew by 2% and revenues at INR 983 crores grew by 1% in the third quarter of this financial year, which translates into a healthy 3-year CAGR of 7% compared to the pre-pandemic period. Our domestic business grew by 1% during the quarter, translating into a 3-year CAGR of 6%. Domestic volumes, however, declined by 3.9% in this quarter.

The Man Company, which became our subsidiary with effect from 1st July '22, contributed 2.8% to our overall net sales during the quarter. Our NPDs, including digital-first launches, also performed well, contributing around 4% of domestic net sales during the quarter.

Coming to our brand-wise performance. Healthcare range grew by 2%, 7 Oils in One grew by 5%. However, BoroPlus range declined by 3% due to a warmer winter. Pain Management range declined by 2%, Kesh King by 1%, Navratna declined by 6% and Male Grooming range declined by 1%.

However, if we look at a 3-years CAGR, Healthcare range grew by 8%, 7 Oils in One grew by 13%, BoroPlus grew by 5%, Pain Management range grew by 6%, Kesh King grew by 4% and Male Grooming range posted marginal growth. While rural markets remained muted, urban-centric new age channels like modern trade continued to grow strongly by 20% and e-commerce by 45% during the quarter. Our D2C portal, Zanducare, also continued its growth trajectory, led by digital-first launches.

The contribution of e-commerce channel increased by 260 basis points to 7.9% and modern trade contribution increased by 200 basis points to 10.5% of the domestic revenues. Both modern

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trade and e-commerce put together now contributes to 18.4% of domestic revenues against 13.8% in quarter 3 last year. During the quarter, our new and digital-first launches have also performed well in these new age channels, contributing 14% of sales in modern trade and e-commerce.

Our international business grew by 7% during the quarter, translating into a 3-year CAGR of 13% in spite of several key markets facing challenges like currency depreciation in Bangladesh, economic crisis in Sri Lanka, forex and liquidity crisis in Nepal, and ongoing political conflict in CIS countries, et cetera. The growth has been mainly driven by strong performances in markets of MENA, CIS, Bangladesh and Southeast Asia.

During the quarter,

our gross margins at 65.9% contracted by 150 basis points due to inflationary pressure and favorable portfolio mix last year. Our EBITDA at INR 294 crores declined by 14% over previous year. However, profit after tax at INR 237 crores grew by 8% over previous year.

In line with our guidance shared in the last call, we believe this would be the last quarter for margin contraction. With moderation in inflationary pressure, we expect expansion in our gross margins and EBITDA margins in the fourth quarter of this financial year. Hence, for the full year, we expect our EBITDA margins to be in pre-COVID levels, that is around 27% for our core business. Further, the Board of Directors have declared a second interim dividend of 400% that is INR 4 per share for FY '23 at today's board meeting.

I'm also pleased to inform that we have appointed Mr. Giriraj Bagri as the Chief Growth Officer to take forward our new brands, innovation, strategic investments and other growth opportunities. Mr. Bagri is an MBA from XLRI Jamshedpur and has served as the CEO of Raymond FMCG and CEO of ITC Foods division in the past. He has also worked in many consumer companies like Colgate, Palmolive, Kraft Heinz, et cetera, in senior positions.

Going ahead, the macroeconomic environment is expected to improve with inflation easing in December and the anticipated stimulus of the union budget should hasten the industry recovery. The upcoming quarter looks promising for the industry due to declining commodity prices, higher crop realization and continuous government interventions.

On the industry front, we do believe that going forward D2C and e-commerce would play an important role in the future growth strategy of the FMCG business with omnichannel distribution. We plan to be present in these emerging channels of growth, the foundation of which we have already started building through many of our strategic investments in the new age companies in recent past.

With this brief, I now open the floor for Q&A. Thank you.

Moderator: The first question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited.

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Prakash Kapadia: A couple of questions from my end. You mentioned in your opening remarks about inflation coming off a bit. So how does demand look like? What is the sense we are getting on urban and rural demand? Because currently, year-to-date, we see most of our power brands have shown either muted growth or no growth in some cases because of the adverse winter. So what do you think will drive growth for us in '24?

And specifically on Kesh King, again, it continues to be volatile. And on Healthcare now we have a favorable base. So is there visibility in terms of new product launches and growth coming back on the Healthcare side? These were some of the questions.

Mohan Goenka: So Prakash, the demand, as I said, still seems to be a little muted. The month of January, we haven't seen the kind of growth what we had seen in the last few weeks of December. So we will have to wait and watch for the complete recovery I think. It may take a while. I'm not too sure.

But hopefully, I think this should be the last quarter of this kind of a demand scenario. But if you ask me as of now, the demand is still little muted.

So Kesh King, yes, you are right, there are ups and downs. There was demand about a few quarters back. And discretionary is still under pressure. And we have seen in Nielsen also that all the oils have not performed well, particularly in this quarter, all the value-added oils, which includes the Kesh King. The Nielsen says a total decline of 10% for the category, whereas Kesh King has only declined by 3%. So as I said, overall the demand scenario has to improve, then only the brands will see some light of the day.

As far as Healthcare is concerned, yes, now we have a favorable base and we

have launched

some key brands in Healthcare, particularly for D2C. Gul Raj is on the line. I think he can throw some more light what new brands we have launched in the Healthcare range.

Gul Raj Bhatia: So essentially, we have focused, on strengthening our NPD launches in the D2C space. And we have launched some brands in the last 3 to 6 months. And there is a strong pipeline we are planning to launch for the coming quarters. And even in the traditional trade business, we are launching NPDs in some of the segments where we are not present in both OTC and in the Medical business. And in the Medical business, we launched 2 new products in the Avaleha segment. And both have done well, We launched them a couple of months back. So we do see both for the D2C business and the traditional trade business, NPD as being one of the growth drivers in the coming quarters.

Prakash Kapadia: And as per the current run rate, what will be the OTC and Ethical mix?

Gul Raj Bhatia: It would be in the region of about 2.5 to 1 in terms of the ratio.

Prakash Kapadia: 2.5 will be OTC, right?

Gul Raj Bhatia: That's right.

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Prakash Kapadia: And lastly, Mohanji, on rural, you mentioned that remains muted. So is it down trading? Is it LUPs? And how do you think rural will recover? Or what's the sense of rural and urban demand as we move forward?

Mohan Goenka: Yes, Prakash, So I think LUPs are slightly growing faster than the larger packs. So there is definitely some down trading that is visible. I would say this is across the board, not just rural. It is also seen in some of the urban markets also.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Yes. Two questions I have from my side. When I look at -- the winter was expected to start somewhere in the month of October. And we did some winter product loading. However, winter didn't pan out the way we were expecting. So understandably, November month was bad. But towards December and January, the winter has picked up. So just wanted to understand because you just mentioned that even January was bad. So is that structural problems that in the mass consumption we are seeing the demand outlook is very, very weak? And maybe if you can add some more color towards the winter portfolio, how do you think will pan out in next two months?

Mohan Goenka: So Shirish, as far as winter is concerned, the loading happens from the month of September, and by mid of December, the winter sales starts declining. We don't load after 15th of December. So whatever winter -- whether it is severe winter in December or January, those are only secondary numbers, not primary numbers. But even though the winter was good in some parts of the country, particularly the North, but overall it was still weak compared to some of the past winters that we have seen. Overall, the number of days were also very, very less this time. It may be a severe winter, but the number of days were very less. So overall, the winter was quite muted, honestly.

As far as demand is concerned, I don't see any structural issue, honestly. Every company, market,

we are seeing that there is some pressure in the rural markets due to inflation and which are evident from the numbers, what everyone is reporting. Of course, we have a larger contribution from the rural markets, so we may be a little more affected. But I'm not seeing that our shares are being taken away by somebody. Once the market rebounds -- I don't know which month, but I'm hopeful it may happen anytime soon. But once it rebounds, then we are definitely going to benefit from this.

Shirish Pardeshi: Okay. But -- just one follow-up. You said that in the entire country the rural is bad. So that's why I asked you that the mass consumption is faltering? Or is the same issue which we are seeing in the North

also South also?

Mohan Goenka: So when I say entire country, yes, of course. Of course, there are some markets which are more of a concern, particularly in the Northern India. But yes, the demand is muted across the board.

Shirish Pardeshi: Okay. My second question is on the employee cost. When I look at -- the employee cost and the console level has gone up substantially. Is there any one-off setting in this quarter number? Or this is going to be the cost for going forward?

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Rajesh Sharma: So the employee costs also include the cost of the new subsidiary, The Man company. And also, it is in line with last few quarters. Last year, cost was slightly lower. But if you look at our Q2, Q1 cost, it is otherwise in line with that.

Shirish Pardeshi: So you mean to say that INR 93 crores is going to be the regular cost now?

Rajesh Sharma: Yes. Around roughly INR 90 crores kind of, yes. That's the cost which we have been incurring for last few quarters.

Shirish Pardeshi: Okay. And just one last follow-up on the amortization. How much MAT credit which we will - we'll be using for next quarter? Or it will continue in FY'24 also?

Rajesh Sharma: So, there would be MAT credit in FY'24 also. Since we have started accounting for MAT credit from March '22 onwards, so this will be there for next year as well.

Shirish Pardeshi: Okay. So would you be able to guide what is the tax rate we should be considering?

Rajesh Sharma: I feel considering MAT credit, the tax rate should be roughly 10% to 12% kind of.

Shirish Pardeshi: Okay.

Rajesh Sharma: Difficult to estimate the exact MAT credit we will be availing, but it can be in that range.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: So my first question is with regards to the margin. You indicated that now we are seeing the bottom of the margin -- the cost in inflation and margin should pick up. So any guidance in terms of -- you can give particularly for the next year or so? How should we look at the margins to pan up because it has been really volatile in the past?

Mohan Goenka: So Gaurav, I think we guided that the margin should be in the range of 27%. And for next year, we are still to work out on our budgets. Let us work out on our budget, then we will be able to guide better. But we are very hopeful that there won't be cost pressure next year. That's what it looks like.

Gaurav Jogani: Sure. And sir, one question with regards to the appointment of Mr. Giriraj Bagri. We have in the past also appointed several consultants. So just wanted to get a clarity in terms of how different his role will be versus the various consultants that you have appointed in the past? And what will be key KRAs or key strategic areas to look for?

Mohan Goenka: So there is a slight difference. He is not a consultant. He has joined as a full-time employee. He has been designated as the Chief Growth Officer. This designation was not there in our company in the past. So of course, the mandate is to identify newer growth opportunities. It could be organic, inorganic. Of course, he has just recently joined. Let us see what he brings on the table.

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Gaurav Jogani: Yes. So as a company, I mean, what are all the things that you'll be looking from him, the things that you guided in your opening remarks as well, a few key areas that you'll be looking out for.

Mohan Goenka: So other than the existing brands, he would be looking after all the new growth opportunities, whether it is acquisitions or identifying digital strategy, plus new start-up ideas. So he would be responsible for everything other than the existing brands.

Gaurav Jogani: Sure. And sir, my last question is with regards to the Project Khoj. Sir, if you can give an update on to where we are? And how are we looking

to expand it given the current situation of demand not picking up?

Vinod Nandgopal Rao: So we are not stopping any investments on Project Khoj, and we will be expanding also because we are realizing all the KPIs. All the action standards on -- that we had decided in the beginning of the year, we are realizing those in terms of -- cost to sales are improved. We've optimized the current network and also saved on some of the subsidy cost that we used to run in the past.

And so as a system, we will -- we are on track. We are now present in 42,000 towns and villages across the country. We hope to reach close to 50,000 by the end of the year.

Gaurav Jogani: Sure. And sir, this -- if you can quantify some bit in terms of the sales? How it has able to boost the sales at least in the target pockets that we have been able to expand this distribution piece?

Vinod Nandgopal Rao: Sure. So despite our headwinds, at least in the rural channel, we'll been able to remain flat in the year. The 9-month rural channel growth is flat. And by rural, I mean, the sub-stockist network that we handle. And we've generated close to around INR 67 crores of business till date. It will end to something around INR 83 crores, INR 85 crores by the year end.

Gaurav Jogani: And sir, what kind of investments would you have made in this Project Khoj?

Vinod Nandgopal Rao: So the cost to sales are not too high. So as a total network cost in our sub-stockist channel and the rural channel, it has marginally gone up by around 7.8%. And the costs remain low, so it's in the 6% ballpark range. Total rural cost.

Moderator: The next question is from the line of Harit from Investec.

Harit: So just two questions. First is a clarification.

Moderator: Sorry to interrupt, sir. We'd request you to please speak a little louder or use the handset.

Harit: Yes, yes. So just 2 questions. Firstly, on the margins for FY '23. Mohanji, you mentioned 27% would be the core margin. So this would exclude Man company, right?

Mohan Goenka: Yes, yes, Harit.

Harit: Okay. Perfect, perfect. And the second question was on Healthcare. So it seems like now you would probably be lapping up any high base, especially on some of the portfolios which were

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COVID contextual. So I just wanted to get your sense about maybe post Q4, should this portfolio see an acceleration especially because of the kind of initiatives you have taken on innovation and your D2C portal as well? Or are you still -- are you saying that this would also be pretty much fully predicated on the macro? Just wanted to get your sense on that.

Gul Raj Bhatia: So as you mentioned, definitely after Q4, when the base effect of the higher base wears out, we would be seeing an acceleration of growth in the coming quarters from Q1 onwards. This should be driven both by NPD and other initiatives we'll be taking. As you probably know what had happened during the 2 years of COVID, consumers had gone for very high levels of health supplements and immunity product purchases. They've now gone back to the pre-COVID kind of scenario. So we would see the market coming back to the pre-COVID levels in terms of the purchase.

We are not seeing any external environmental factors in terms of impacting the health supplements or Healthcare product growth in that sense. So it would be back to the pre-COVID days. And in our case, we have a relatively low share in some of the categories such as immunity, such as digestive, so we would want to gain market share. Even the market is not as buoyant as it was in the last few years.

Harit: Right. The reason I ask is my assumption is that the Healthcare portfolio at overall level is also margin accretive. So that could actually lead to overall margin accretive growth for the company next year. So that was the context of my question, sir. Okay. Got it. That's it for me.

Moderator

tor: The next question is from the line of Kunal Vora from BNP Paribas.

Kunal Vora: Can you share your thoughts on FY '24? Would it be fair to assume high single-digit or double-digit revenue growth? And where do you see it coming in terms -- like how do you see the volumes and pricing playing out next year?

Mohan Goenka: So, Kunal, as I said, we are yet to work on our budget. But now that the base is favorable for a lot of our Healthcare range and also for the pain management, so we are very hopeful that next year we are definitely going to see at least 10% to 12% growth, is what we should expect from most of the product range. Of course, the market sentiments have to improve. But even though, not considering the market, I think we should grow at double-digit numbers.

Kunal Vora: Understood. Second question is, how has been your experience with the digital-first brand, MAN company? And would you look to buy more such brands, especially as many of the startups are facing funding issues?

Mohan Goenka: Yes. We maintain what we have said in the past that we are looking for some start-up opportunities. We keep on evaluating them. And if it fits within our strategy, then we will definitely look for a strategic investment.

Kunal Vora: Would it be fair to say that you are happy with the experience you had so far with whatever you've done?

Mohan Goenka: Yes, very much. We have invested in 4 companies, and all of them are very, very promising.

Kunal Vora: And lastly, where are the Fair and Handsome sales versus -- 2, 3 years back, you had hired a consultant and implemented some positions. How has been the experience so far from that?

Mohan Goenka: Yes. So, we had hired BCG for Fair and Handsome. And since then, we have seen some bit of growth. But last 2, 3 years have been a little challenging due to the COVID scenario. And now you all know that there is a pressure on the discretionary spend. Let us see. I think market going forward should improve for all of our brands.

Moderator: The next question is from the line of Aditya Sulakhe from Marcellus Investment Managers.

Aditya Sulakhe: So I have just 2 questions. So first was that if you could touch upon why there was a degrowth in the Pain Management system -- in Pain Management segment? And the second was that on the Pain Management segment has itself. So are you seeing any pressure from regional players in that segment?

Mohan Goenka: No, Aditya, there is no pressure from the regional players as much. It is only due to the base that Pain Management we have seen a little bit of decline. We had a very high base.

Aditya Sulakhe: Okay. And sir, what -- like how would you categorize the future prospects?

Mohan Goenka: Future -- I have said I maintain that for almost all the brands, we see a very bright future. We have not seen any competitive intensity increasing in any of our categories. So once the market sentiments improve, and now we have a favorable base, we are very hopeful of getting double-digit numbers for most of our categories.

Moderator: We have the next question from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: I have one broad question on the international market. If I go back last 4, 5 quarters, we have highlighted many pains and there were some distribution issues and then war happened. While last quarter we have shown a very strong growth of 17%, but this quarter the performance was a little weaker. So what are the corrective measures we can expect? And what are the things which we're exactly doing? Because I think last call Mr. Dhir said that things are in control and things will improve from here. Barring apart the currency headwinds, is the things are under control or we will have more pains in the international markets yet to come?

Vivek Dhir: When you look at the international markets, we had demon

strated a decent growth. So even in

this quarter growth is around 7%. We have lost some growth in one of the markets on account of non-supply efforts. So that will be rolling over into the quarter 4, and we'll bounce back into decent double digit growth in excess of 15%.

So one of the products we couldn't supply it, which has led to this particular thing. When you see the international market, so our western side of the business is still doing well, but the Indian subcontinent, which we call as SAARC market or something, is still under pressure, quite a bit

of pressure due to currency in Sri Lanka, even Bangladesh's currency had tanked reasonably after September. This is one quarter where we had depreciation against China also. So those things are still to catch up. It will take some time to have that into the impact. But overall, I think business is still very much in control to deliver double-digit growth in coming quarters.

Shirish Pardeshi: Vivek, I do understand what you're saying. But if I look at during the COVID period, even international business on a base was very weak. So on that 7% -- I'm sure you're not agreeing with the growth. But I'm only saying that do we really have a good handle what are the issues? Or whether if there is an issue with the product profile or even the portfolio, which is weaker? Because I can understand India winter was bad, but I think the international winter should not be a bad situation at this time.

Vivek Dhir: When you talk about, say, winter products, so BoroPlus has delivered a very decent growth in markets in Russia and CIS. And it has delivered a decent growth in Bangladesh as well, although it's a very small brand in Bangladesh. But Russia and CIS, it's a very decent brand. It's almost close to INR 80 crores plus brand. In those markets it has delivered growth. So every brand in quarter 3 has delivered a growth except one brand, where we had some unplanned maintenance in the factory and we couldn't supply those goods when this happened. And those standing orders will be delivered in this quarter.

So barring that, every brand has grown. Navratna has delivered us a growth of around 19%. Fair and Handsome is also 19%. Creme 21 is very high, around 85%. 7 Oils is also 12%. BoroPlus is 50%. So very decent growth, barring one brand, which we will supply it. So things have been very much under control.

Shirish Pardeshi: But do you mean to say that now January the shipment has happened?

Vivek Dhir: Between January to March, because there is again capacity also. After the maintenance, all back orders cannot be supplied in 1 month alone. It takes some time. So the deliveries will happen.

By most probably by March itself, most of the pending deliveries should be there and we should be back on that brand as well. So all brands are performing very well for us in the marketplace.

So we don't have any issue on account of...

Shirish Pardeshi: So you mean to say that international business on a Y-o-Y basis should -- when we consider 4 quarters over FY '22 when we compare FY '23, the international growth should be in the range of about 14%, 15%. That's what you're trying to say?

Vivek Dhir: For 9 months -- first 9 months, we are close to 20%. And most probably in quarter 4, which we -- Jan to March quarter, we should be delivering something similar.

Shirish Pardeshi: Okay, okay. Sure. My other question was to Rajeshji. Now you did mention that the raw material inflation which is there, but when we look at the raw material inflation -- at least other companies are confirming that the input material prices are coming down. So is that -- we are holding a high price inventory, and that's why the margins -- you are saying that will improve from the next quarter? Or we want to spend more on marketing and even trade promotions?

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Rajesh Sharma: Shirishji, you're talking about the COGS pressure in Q3?

Shirish Pardeshi: Yes.

Rajesh Sharma: So I think the pressure is easing out. And from quarter 4 onwards, we would, in fact, see some benefit. If you look at our quarter 1, quarter 2 pressure, the pressure has eased out in quarter 3.

And what Mohanji said in his opening remarks, from quarter 4 onwards, you should start seeing some gross margin benefits only.

Shirish Pardeshi: So like last quarter, Mohanji gave the guidance that the margin may decline about 200 basis points. So you mean to say that we will reverse the margin to maybe, say, 67%, 68% back in quarter 4?

Rajesh Sharma: Yes, we should see some better margins. Difficult to give a number, but I think Y-o-Y margins should be better.

Moderator: The next question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Sir, what I heard is that you are mentioning double-digit growth in most categories in FY '24.

Now this quarter, even adjusting for the base, if I look at the 3-year CAGR, it is trending at around 6%. So there is a bit of inorganic in this, there is a bit of pricing -- high pricing growth in inflationary times in this. So what exactly are our efforts towards distribution, new product development? Any other efforts that you would want to elaborate that gives us confidence of this double-digit growth even if the demand environment doesn't pick up?

Mohan Goenka: So, Sameer, as I had said that there is some benefit of correction in the base at least for this year. Of course, there would be some price increase also that we would be taking for next year. And there are some corrective measures in almost all the brands because of the muted demand that we have seen. We would also get a little aggressive on our marketing strategy because of the correction in the raw material prices. So there are a couple of things that we are planning for next year.

As Vinod also mentioned, we are continuing with our expansion in Project Khoj. We haven't stopped expanding in our rural initiatives or distribution initiatives. E-com, modern trade continues to be the focus area. A lot of new digital-first brands that we have planned would be rolled out next year. So there are a couple of things. Let us see how market behaves. Even though the market still would be muted, we are hopeful to see some good growth in the next year.

Sameer Gupta: Got it, sir. Just a follow-up here. You would still depend on the overall macro environment to improve to clock a double-digit growth? Is that a fair understanding? You might not get double, but 7%, 8% type maybe. But getting double, you might still need a fair recovery in consumption. Fair assumption?

Mohan Goenka: Yes, definitely. At least for some categories which are absolutely discretionary like Kesh King, Fair and Handsome, we would need the markets to improve. But other than that, I'm hopeful. If

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winter or summer is good, then there would be recovery in Navratna or BoroPlus or some of the other products.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Mohan Goenka: Thank you, Percy. Thank you IIFL and all the participants for joining us today for this earnings call of Emami Limited. Thank you. Have a good day.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: May 2023

regd. office : 687 anandapur e. m. bypass kolkata 700107 India
phone: 91 33 6613 6264 tele fax: 91 33 6613 6600 e-mail: contact@emamigroup.com website: www.emamiltld.in
CIN: L63993WB1983PLC036030

Dated: May 31, 2023

The Manager The Manager
BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot no. C/1
Dalal Street G Block, Bandra Kurla Complex
Mumbai- 400001 Bandra (E), Mumbai-400 051
Scrip Code: 531162 Symbol: EMAMILTD

Dear Sirs,

Sub: Transcript of Earning call pertaining to the Audited Financial results of the Company for the Quarter and year ended March 31, 2023.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call on the Audited Financial Results (Standalone & Consolidated) for the quarter and year ended March 31, 2023.

Web link to access above transcript is as under:

<https://www.emamiltld.in/investor-info/index.php#CCT>

You are requested to kindly take the above on records.

Thanking You

For Emami Limited

Ashok Purohit
Dy. Company Secretary
Membership No: F7490
Ashok
PurohitDigitally signed
by Ashok Purohit
Date: 2023.05.31
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"Emami Limited
Q4 FY '23 Earnings Conference Call "
May 25 , 202 3

MANAGEMENT : MR. MOHAN GOENKA – VICE CHAIRMAN – EMAMI LIMITED
MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER – INTERNATIONAL BUSINESS – EMAMI LIMITED
MR. VINOD RAO – PRESIDENT SALES – EMAMI LIMITED
MR. GUL RAJ BHATIA – PRESIDENT –

HEALTHCARE – EMAMI LIMITED
MR. RAJESH SHARMA – PRESIDENT FINANCE AND
INVESTOR RELATIONS – EMAMI LIMITED

MODERATOR : MR. DHIRENDRA KUMAR – IIFL SECURITIES
LIMITED

Emami Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Emami Limited Fourth Quarter FY '23 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dharendra Kumar from IIFL Securities Limited. Thank you, and over to you, sir.

Dhirendra Kumar : Hi. Good afternoon, everyone. This is Dharendra here from IIFL Securities. We are pleased to host the management of Emami Limited today. And on the call with us, we have Mr. Mohan Goenka: , Vice Chairman ; Mr. Rajesh Sharma, President, Finance and IR ; Mr. Vivek Dhir, CEO International Business; Mr. Vinod Rao, President, Sales; and Mr. Gul Raj Bhatia, President Healthcare Division.

Without further ado, I'll hand over the call to Mr. Mohan Goenka: . Over to you, sir.

Mohan Goenka: Thank you, Dharendra. Very good afternoon, ladies and gentlemen. Thank you for joining us today. I welcome you all to this conference call on Emami's results for the fourth quarter and year ended FY '23. The industry is currently experiencing a mixed demand environment with discretionary categories like personal care continue to remain muted as consumers, especially in the rural areas, are reducing nonessential expenditure.

Inflation in rural areas reached 6.8% in FY '23, the highest level in the previous 9 years. The rural inflation surpassed urban inflation for the first time since FY '18. Additionally, excessive rainfall in many areas of the country in March impacted the demand for summer products. In the given macroeconomic environment, our overall revenues at INR836 crores grew by 9% in the fourth quarter of this financial year.

Our domestic business grew by 5% over previous year in Q4. For the full year, our revenues at INR3,406 crores grew by around 7%. Domestic business grew by 4% on a very high base of Pain Management and Healthcare products. Excluding sales from both these categories, our domestic business grew by 10% in FY '23. Dermicool and The Man Company contributed around 10% to the consolidated revenues in the fourth quarter and by around 6% in FY '23.

Coming to our brand-wise performance, Navratna range declined by 3% during the quarter but grew by 2% on a 4-year CAGR basis. For the full year, it grew by 6%. Kesh King range grew by 1%, both during the quarter and full year. Male Grooming range grew by 29%, and BoroPI us range declined by 25% in the fourth quarter. They grew by 3% and 1%, respectively, in FY '23. Pain Management range and Healthcare range, being COVID contextual categories, witnessed corrections during the year.

Pain management range corrected by 9% during the quarter, but grew by 7% on a 4-year CAGR basis. For the full year, it corrected by 14% but grew by 7% on a 4-year CAGR basis. Similarly, Emami Limited

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Healthcare range declined by 13% in the fourth quarter, but grew by 8% on a 4-year CAGR basis. In FY '23, Healthcare range declined by 12%, but grew by 8% on a 4-year CAGR basis. Also, I'm happy to share that most of our major brands have increased their household penetration level during the year.

Our sustained interventions and marketing efforts for all our brands have ensured that they have not lost any market shares and, in fact, have cemented their leadership position in their respective categories. Our innovation pipeline continued to plug gaps in our existing portfolio, and I'm happy to share that we launched around 20 products in FY '23 with the majority being digital-first launches on our D2C portal Zandu Care.

While our recent launches contributed more than 3% to our domestic sales in FY '23, they contributed around 7% to modern trade and 20% to e-commerce sales. In quarter 4 FY '23, we

have launched Zandu Fast Relief spray recommended by Indian Association of Physiotherapists. We have seen continued growth in modern trade and e-commerce since the several past quarters. The trend continued in Q4, where modern trade grew by 18% and e-commerce grew by 64%, increasing their saliency to more than 20% of domestic sales, a 500 basis point jump over previous year. This, along with our continued distribution efforts have helped reduce our dependency on wholesale channel.

Our international business continued its stellar performance, growing by 19% in Q4 and by 20% in FY '23, despite of high inflation and several key markets facing challenges like currency depreciation in Bangladesh, economic crisis in Sri Lanka, forex and liquidity crisis in Nepal and ongoing political conflicts in CIS countries.

The growth has been mainly driven by strong performance by our power brands in the markets of MENA, CIS and Bangladesh. As expected, the quarter witnessed some moderation in input costs, which led to an expansion of gross margin by 60 basis points at 63.1% during the quarter. Despite integration of our subsidiaries, which are in investment phase, our EBITDA at INR200 crores, grew by 22%, with margins at 23.9%, expanding by 260 basis points. Our profit before tax at INR148 crores grew by 51% over the previous year.

For the full year, EBITDA at INR863 crores declined by 9%, but compared to pre-COVID period, it grew by 4% on a 4-year CAGR basis. Our EBITDA margins, excluding strategic investments at 26.7% are close to pre-COVID levels and including strategic investments, they stand at 25.3%.

Profit before tax at INR670 crores declined by 3% over previous year, but grew by 14% on a 4-year CAGR basis. Going ahead, we expect the growth momentum to improve in FY '23 driven by a mix of macroeconomic support and our internal interventions. Our investments in new age start-ups like The Man Company and Brillare, have not only given us insights in the digital front, but also accelerated our growth levers.

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With inflation moderating, the upcoming quarters look promising for the industry due to declining commodity prices, better monsoon, higher crop realization and continued government interventions. With this brief, I now open the floor for Q&A. Thank you.

Moderator: Our first question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi : Start with -- I have a few questions, but I've been wanting your direction. In the quarter, our employee cost has gone up by 16.8%, and other expenses has gone up by 20%. While expense has declined, the revenue momentum is still muted, and these costs are going up. Is there any explanation here?

Rajesh Sharma : The costs have gone up because we have also integrated The Man Company subsidiary since third quarter. So these expenses were not there in the base quarter of last year's Q4.

Shirish Pardeshi : Yes. But if you take out that effect, what will be the number look like?

Rajesh Sharma : So that would be in the range of around 10%, 11% kind of.

Shirish Pardeshi : Okay. And similar impact is there in the other expenses also?

Rajesh Sharma : Sorry, in the?

Shirish Pardeshi : Other expenses also?

Rajesh Sharma : Right. Other expenses. Apart from that, as we have taken up a few distribution projects. So on account of that also, we have spent some money, project cost and other distribution initiatives.

But again, because of The Man Company etc, the costs have gone up by around INR9 crores, INR10 crores in the quarter.

Shirish Pardeshi : So just a follow-up here. Could you share for FY '23, the entire revenue for these 2 subsidiaries?

Rajesh Sharma :

So as Mohanji mentioned in the call that both Dermicool and The Man Company, which were not there in the base quarter, have contributed roughly 10% in this quarter. And for the full year, it is around 6%.

Shirish Pardeshi : Okay. Okay. One more follow-up here. The ad spend has now settled to around 15.5% of net sales, which has come down almost 300 basis points. So in FY '24, where do we look at the ad spend? I mean, obviously, I can understand the season has not done well, so maybe you'll have withdrawn some ads. But any indicative number you -- or any target you were planning to have in FY '24 for ad spend?

Rajesh Sharma : So for this year, the ad spend is similar to last year. Whereas last year, we had spent around 16.5%, this year also similar spend is there. So next year, we hope to be within a similar range, however we would endeavor to spend a little more. So it can be in the range of 16.5% to 17%, kind of.

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Shirish Pardeshi : Okay. And on brands, I have two questions. One on the Fair and Handsome. What is it that you have done? Is it purely the ad spend or because the commentary what Mohanji gave, the discussion demand is under pressure. Even if you look at quarter 4, the Male Grooming segment has grown 29%. Is it the consolidation effect there? Or it's purely the distribution gain what we have got?

Mohan Goenka: Shirish, it is primarily due to the base impact because last year due to COVID in quarter 4, the Fair and Handsome had -- did not perform so well. So that's why in quarter 4, it has grown at 29%.

Shirish Pardeshi : But last 45 days, do you think the similar growth is there?

Mohan Goenka: No, the growth is not 29%, 30%. So it has moderated. Now the growth should be somewhere in single digits.

Shirish Pardeshi : Okay. Okay. And my last question on the brand. So the -- any word why the Healthcare business is declining so much? And how much the correction you can expect in next 1 or maybe 2 quarters?

Gul Raj Bhatia : So I think the correction, as I mentioned, in the last quarter, would -- there was some correction which happened in the last quarter also. But from this quarter onwards, we'll be on a growth track. So both in the OTC business, and in the medical business, we will be having good growth. So the base effect of the COVID, certain categories rose, such as Chyawanprash, etcetera, was there till last quarter also, which should get nullified from now onwards.

Shirish Pardeshi : Yes. So why I'm a little surprised...

Gul Raj Bhatia : I'm sorry.

Shirish Pardeshi : Yes. No, no, I just wanted to check with you. I'm a bit surprised because what Mohanji said that we have launched many new products. There is an effort which is expanding on the Zandu online business also. And despite that, there is a decline. So I'm a bit worried. I mean, I was expecting a flat number. I'm not giving a target, but I was expecting a flat number, but the cut is little higher.

Gul Raj Bhatia : Yes. So if you look at the previous year, which is basically the periods of -- there were two COVID rates that had happened. One happened in the period of April, May, June '21. And then there was a second wave which happened in January, February '22 Omicron. So during those periods, we had done reasonably well in terms of growths of the immunity range, both on the medical side and on the OTC side. So that has actually impacted us, our growth this year due to the base effect of this.

Moderator: Thank you. Our next question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited. Please go ahead.

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Prakash Kapadia: Yes. A couple of questions from my end. Given that we've mentioned there were unseasonal rains in our opening remarks and in the PPT. So what is the demand on summer portfolio? Because a quarter ago, we were confident of

double-digit growth happening in FY '24. So clearly, summer portfolio seems affected. So how do we look at FY '24 given that we've seen this disruption again in the summer portfolio?

Mohan Goenka: So Prakash, we will have to wait because summer, we still have one month to go. But, yes, you are right that the summer has been weak as far as last two months are concerned because of the rains in most parts of India.

So let us see, let us evaluate, but other than summer products, because what we have seen is encouraging, that all the other categories, whether it is pain or Fair and Handsome or Kesh King or Healthcare, all are firing. So there is some momentum what we are seeing it from the rural markets and from all other markets. The only issue is the summer portfolio. Yes. If the summer would have been favorable, then I'm sure the growth would have been very good.

Prakash Kapadia: And Gul Raj was mentioning about Healthcare. So given Healthcare and pain management, is there visibility of growth happening in '24 and beyond because the base seems favorable? Gul Raj did mention about Healthcare. What about pain management?

Mohan Goenka: Yes. So pain management is also doing well in these last two months.

Prakash Kapadia: So there seems to be visibility for growth in these two large categories, Healthcare and pain management, for us?

Mohan Goenka: Yes. On all the other categories also, as I said, other than just the summer because very clearly, we are seeing some issues only on the summer portfolio.

Prakash Kapadia: All right. And lastly, Mohanji, on our subsidiary and associate companies, could you give us some road ahead? I think Brillare last year was INR82 crores sales, Brillare Science was around INR17 crores, INR18 crores of sales. What kind of trajectory and growth they have seen? What

is the road map? What was the path to profitability and scale? If you could give us some direction on these, that would be appreciated.

Mohan Goenka: So they are at initial stage here, Prakash. And this year, we have taken very aggressive numbers as far as the start-ups are concerned. Most likely, we are expecting at least a 50% to 60% growth from these start-ups in this year. That is the target that we have set in. We are more bullish on The Man Company.

Prakash Kapadia: Yes. And what kind of growth would that have seen in FY '23?

Mohan Goenka: Around 40% growth in The Man Company.

Moderator: Thank you. Our next question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

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Abneesh Roy: My first question is on the summer categories. So you're an expert in the FMCG. So when you see the numbers for summer categories of other companies, for example, the beverage business of Dabur, also Varun Beverages, there we see very high growth in Q4 and my sense is even possibly in Q1. Against that, when you speak of the slowdown still in your summer categories, what would be the reason because, broadly, the things should be very similar, right? You can't have such a big difference?

Mohan Goenka: No, Abneesh, we would have to wait and watch because our intelligence says that everyone is suffering in these last two months. The summer was good because they had a bad base. That's why the fourth quarter did very well as far as the beverages are concerned. But as you rightly said, we have a large summer portfolio, and we are in touch with the market. Every company who has summer portfolio is suffering.

Abneesh Roy: Right. Okay. Second is in terms of your start-up business, you mentioned your target for FY '24 is 50% to 60%, which is, in fact, an acceleration versus the 40% seen in The Man Company. In that, what is giving you the confidence because we are seeing generally the D2C and start-up business now facing challenges given customer has completely gone back to the traditional ways of buying

in terms of pre-COVID behavior, so what is giving us the confidence in this?

Mohan Goenka: This year also, Abneesh, we grew by 40%, as I said. There are a couple of new initiatives that we are taking in The Man Company and our experience in e-commerce we have integrated with them. You have seen our growth momentum in the digital front. So there are a couple new launches that we have planned, and we are going to invest heavily as far as the male grooming is concerned. So of course, their team is looking after The Man Company, and they are very confident of achieving at least 50% to 60% growth with the investments that we have set in.

Abneesh Roy: Right. And my next question is on Dermicool, which has...

Mohan Goenka: And also expecting it to be profitable next year as far as The Man Company is concerned.

Abneesh Roy: But not in FY '23, right?

Mohan Goenka: Not this year. This year was not profitable. But next year, we expect The Man Company to be profitable.

Abneesh Roy: My next question is on Dermicool. So this was the first full year after the acquisition. So could you take us through what changes happened? How is the final number of FY '23 looking and was it's initial revenue expectation?

And in terms of the brand, now you have two different brands in the same category. So any thought on the two separate brands you want to continue longer term? And in terms of pricing, positioning, promotions, etcetera, how things are different between the two?

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Mohan Goenka: So this was well calculated at the time of acquisition, Abneesh. Both brands don't compete with each other because Dermicool is a quickly heat powder, whereas Navratna cool talc is a general purpose cooling powder. So both really don't compete.

They also don't compete on the SKUs because Navratna, primarily the sales come from a smaller SKU, which is priced at INR10. So that is the key selling SKU as far as Navratna is concerned.

Whereas Dermicool, the sales come from 150 grams. So they don't compete. The consumer profile is very different of a Navratna cool talc and Dermicool.

But last year, we did almost INR 112 crores revenue from Dermicool. This year, we are expecting about 15% growth from Dermicool. But as I said, unfortunately, the beginning has been slow because of the summer. So let's see how much can we achieve, but that is what we have set the target as.

Abneesh Roy: Sure, sir. And final question, Kesh King 1% each growth in Q4 and FY '23. FY '24, how are

things looking? I understand you had 30 ml SKU at Rs. 49. Apart from that, also last two, three years, you have done a lot of work in terms of new products, LUP, etcetera. So FY '24, how do you think Kesh King range?

Mohan Goenka: Kesh King range, Abneesh, is doing well in this quarter. So if the momentum continues, we are confident of about 10% growth in Kesh King.

Abneesh Roy: Okay. And for the full domestic business also, you think high single digit growth is possible this year?

Mohan Goenka: Yes, Abneesh, unfortunately, summer has been a little weak. But as I said, we are seeing some momentum coming in from the rural markets. And that's why we are seeing growth across the categories other than summer. So if the trend continues, we are very hopeful that it should be about 8% to 10% growth for the domestic business. What is very, very heartening is that the input cost pressure has really eased and we are seeing margin expansion. So we would be able to put in some money on advertising on most of our categories. So let us hope if -- other than Navratna portfolio or Dermicool, if all the other portfolio fires, then we are very confident of doing about 8% to 10% growth.

Moderator: Thank you. Our next question is from the line of Sneha from RSPN Ventures. Please go ahead.

Sneha: Good evening, everybody. Sir, as I read the report regarding the promoters to pledge their

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Limited shares, so what are the plans for promoters to reduce the pledge?

Mohan Goenka: Ms. Sneha, in all my calls, we have maintained this consistency that we have identified certain assets...

Sneha: Yes.

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Mohan Goenka: Yes. So we have identified certain assets. And once the transaction materializes, particularly the hospital one, you would see reduction in pledge.

Moderator: Thank you. Our next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: So first question on the A&P side. And this year, you've been at about 16.5%. You said that investments -- you'd like to invest more given that the margin tailwind is there at the gross margin level. So I just wanted to get your sense on which are the areas that we are looking to accelerate investments? You mentioned male grooming? Any other areas that we can kind of just talk about?

Mohan Goenka: Yes. So Harit, most likely, we are expecting our advertising to be in the range of about 17%, which is similar to this year. This year was 16.5%. So other than summer, because summer has not had a good beginning. Other than summer, we are up our expenditures in all the categories, all the categories, Healthcare, Kesh King, Fair and Handsome, balms, all the categories. We are expecting about 150 basis point expansion in our gross margins. So if we keep our advertising in the range of about 17%, there should be some expansion in our margins.

Harit Kapoor: Got it. And just on -- one more question on the margin side. Last time, I think we mentioned, the core margins of 27%. I think it is the -- outside the investment portfolio. Given the raw material environment, is the confidence level even higher on this number?

Mohan Goenka: Harit, it looks like, because it is really easing. So if the trend continues, because it's very difficult to say how because it's just the first quarter. So if the trend continues, yes, we are very confident of achieving more than 27%.

Harit Kapoor: Got it. The other one was on pricing. Typically, your model has always added a 3% to 4% pricing from a revenue management perspective. Is it fair to assume, given the material costs are the way they are, '24 will be more of a volume growth-driven year rather than anything on pricing, right? So that's a fair way to look at it?

Mohan Goenka: No, Harit, despite of that, we have taken some price increases. Our price increase has been in the about 3%, 3.5%. Yes. So if you grow at about 8% to 10% balance would be volume growth.

Harit Kapoor: Perfect. And just one question on rural. So you did mention that there is some kind of momentum that you are seeing. One is the year-over-year momentum given that rural has been fairly weak over the last 3, 4 quarters. But from your super stockists, etcetera, who you guys deal with on a regular daily basis, from a distributor, do you feel that some of this momentum is real and sticky, at least early signs? Obviously, except your summer portfolio? Yes.

Mohan Goenka: No, definitely, Harit, as I said, that some of our portfolios like Male Grooming or Kesh King, even -- Kesh King, Fair and Handsome, balms, they are -- they have all started showing some signs of recovery in the rural markets. But unfortunately, the summer portfolio is pulling us down. But -- yes, there is some positivity when I discuss it with our team and also the dealers.

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Moderator: Our next question is from the line of Ajay Thakur from Anand Rathi Securities. Please go ahead.

Ajay Thakur: I wanted to understand more on the distribution initiatives that we have undertaken. Can you please elaborate on the same? And also, if you can just spell out what are our targets in terms of the distribution increase for FY '24, '25 versus FY '23?

Vinod Nandgopal Rao: . So we've continued our investments in the Pro

ject Khoj, which is a rural expansion. So we've

added close to 11,000 towns last year, and we've reached around 52,000 towns and villages at the end of financial year.

And we will continue to consolidate that because we've added a lot of van town and sub-stockist towns. We will consolidate, optimize. But at the same time, we will add the high throughput towns, we expect to add around another 8,000 towns and reach around 60,000 towns and villages by the end of next year financial.

And we've -- and if you take the chemist project, we added around close to 31,000 chemists last year, which takes us to around 1.3 lakh chemists across the country. And here, we don't plan to add more chemists, but we'll consolidate that business and derive business out of those expansion that we've done .

Ajay Thakur: Also just want to understand more in terms of the hair oil markets. So there have been, as most of the hair companies have actually shown quite a bit of a growth in the hair oil segment, even for Navratna, we have seen 6% kind of a growth. So just wanted to get your sense in terms of how you look at the hair oil market going forward? Can we expect the momentum to continue? What would be our aspiration in terms of growing the portfolio and Kesh King portfolio therein?

Mohan Goenka: So Ajay, as I said, the momentum is better than what we had experienced in the last few quarters. And other than Navratna because Navratna has been a slow start only because of the summer and nothing else.

But Kesh King is performing better than our previous quarters . So Kesh King being a little expensive product, we will still have to wait and watch. We have launched a small size also in Kesh King as a bridge pack. So -- as I said, we are confident that Kesh King should do about 10% growth. Navratna, we would have to wait and watch.

We still have 1 month to go as far as summer is concerned. So -- but we are bullish. We have performed it in the past. If you see 4 years CAGR everywhere, we have done about 6% to 7% growth. So we are not seeing any worrying fine as far as the hair oil portfolio is concerned because we have not seen any competitive intensities as far as Kesh King or cooling oils are concerned.

Ajay Thakur: Okay. And lastly, Mohanji, I just also wanted to understand more on the new innovation pipeline. What kind of segments we would be targeting going forward? Any more color on the same would be helpful.

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Mohan Goenka: So I really can't be very specific on new product development, but they would be primarily in D2C. We are really focusing on the digital -first brands. we have done exceedingly well. Today, our modern trade e-com contribution is almost 20%. We have launched a lot of digital -first brands, identified a lot of digital first brands, some premium categories we have identified. So most of it is going to be in D2C.

Moderator: Our next question is from the line of Namant Satiya with Mirae Asset. Please go ahead.

Namant Satiya: Yes. Sir, could you please call out the organic volume growth for this quarter? I believe the overall volume growth is 2%. So -- see, excluding Dermicool and The Man Company, what would that number be?

Rajesh Sharma : Yes, Namant. So overall, Dermicool and The Man Company contributed around 10% to the top line. So that's the addition which we have got.

Namant Satiya: Okay. I was trying to get a sense on the volume -- organic volume growth numbers.

Rajesh Sharma : So organic volume growth was negative

Namant Satiya: Okay. Sure. And sir, secondly, a bookkeeping question. So in the standalone books, other expenses have jumped about 60%, 70 %. Could you explain that?

Rajesh Sharma : Okay. In the standalone books, the other expenses have gone up because of the cancellation of dividend announced by one of our subsidiaries, Emami Bangladesh , which we had earlier accounted -- Because of the

forex remittance problems in that country, Bangladesh, they have

not been able to remit the dividend, which they announced in the beginning of the year.

So they had to cancel the dividend because they are not allowed to repatriate the funds to India.

So that amount has been shown as other expense in this quarter because the dividend stands cancelled from our subsidiary.

Namant Satiya: Understood. And adding to that, there's also another INR32 crores impairment as well that's included in other expenses in the standalone books again?

Rajesh Sharma : Yes. That is also for our this strategic investment on account of the Brillare Science because earlier, we had accounted for a lot of valuation gains on the investment in the standalone books and also on the options which we had.

So now because last year, we have not seen significant growth in the numbers of Brillare Science, so against the projections, which we have considered earlier the actuals are lower , , we had to take some impairment on the investment against increase in the same , which we had considered earlier.

Namant Satiya: Sure. So, the dodges, is it possible to go through to the consol books of this or nothing in other expenses of consol books??

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Rajesh Sharma : So on -- at the consolidated level, we have provided for some impairment in the intangible assets of the Brillare Science on a roughly INR8-9 crores. This is as per the valuation exercise done at a very conservative level.

Moderator: Our next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Yes. Rajeshji just to continue, that was my question, to get a little more depth. This impairment, what you are saying, is there any charge which will also get followed up in FY '24 or you've done one time?

Rajesh Sharma : Shirish, as I just mentioned, this impairment is done basis valuation on a very conservative side, this is the DCF valuations and I think DCF valuations don't work for the start-ups because if you look at any kind of market valuations, that is mostly on the multiples of revenue side. But still for the accounting part, we have taken this impairment. But going ahead, it doesn't look like that there would be any significant impairment going ahead. And for the standalone at least, we should be able to recover the amount which we have provided this year.

Shirish Pardeshi: Next question is on book keeping. How much MAT credit is still balanced and will be exercised in FY '24? And what is the steady taxes that we should build in for FY '24.

Rajesh Sharma : So FY '24 tax rate should be similar to FY '23 current year tax that you can consider because next year also we would be accounting for our MAT credit. And we will start utilizing our MAT credit from FY '27.

Shirish Pardeshi: Okay. My last question to Mohanji. I just wanted to be a little clear in my mind. Over the last 4 to 5 years, so I know you are at the mercy of season, things has not happened, we had COVID, we had good time, and now we are back to square one. So since the time you have become Vice Chairman, what are the tangible changes you have brought in, in terms of efficiency, throughput? Or maybe if you can highlight if things are under control or we can really expect something inwardly looking than outwardly?

Mohan Goenka: So Shirish, just the change in designation, it doesn't mean that there has been some big ticket changes because we were always at the helm of the business and driving the business. Of course, in the last 3, 4 quarters, what we have really invested in is in terms of distribution, in terms of strengthening our manpower, strengthening the team, strengthening modern trade e-commerce, which we were lagging behind. Of course, there are challenges, as I said, it is very specific to summer. Other than that, I don't see any challenges. We have a very strong pipeline of D2C brand that you're going to see this year.

pipeline of D2C

brand that you're going to see this year.

So if rural continues to perform well, I'm very confident that we will get back to 8%, 10% growth levels. International has stabilized very well. We expect at least 20% growth in the international business. Healthcare, Gul Raj is here, we expect at least 15% to 20% growth from the international business -- sorry, from the healthcare business.

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So I think, overall, things are very much in control. Of course, there would be some ups and downs as far as the summer or the winter portfolios are concerned, if the season is favorable or unfavorable. But I would definitely say that things are very much in our grip. And if you take a slightly long-term view, then we are in a very good trajectory. That's what I feel.

Shirish Pardeshi: That's good to know, Mohanji, but I'm still happy on my times. About 3 quarters before, we have shown a lot of momentum in Healthcare. We added feet on street, about 300-odd people were added. But when you look back and now when you compare, we have done from our bit, but if the market is not supporting, we'll come back and question you the seasonality factor. But that's why I'm saying I'm a bit worried that really when you say things are under your grip,

can we see a bright year in FY '24? I mean, seasonality will continue having its own effect.

Mohan Goenka: So Shirish, I don't know what lens you look at. I have always maintained that we will not do anything for the short-term gains, okay. We invest for long term, and we will keep on investing for long term. So we are very happy on certain fronts. Of course, as I said, we have -- for all our categories, our penetration levels have gone up, but consumption levels, that overall has reduced for some categories. Other than the summer, I'm not seeing any challenge.

So the e-com, modern trade, international business, people, distribution, we have invested a lot.

Digital-first brands, I'm saying we are launching a lot of digital-first brands. So there, from our lens, I think there is a lot that we have done, and we will see the results in coming quarters.

Shirish Pardeshi: I agree with you, Mohanji, but the whole question for me is that when we can see the excitement in the stocks?

Mohan Goenka: That is not in my hand, Shirish, and we can only do our job. And as I said, I'm very optimistic. I'm very happy that there should be some margin expansion this year.

And I hope that we invest that money on advertising to getting some new consumers. We have been able to contain our competitors as far as Kesh King, other categories are concerned, even Male Grooming is concerned. So there are some positive signs also.

Shirish Pardeshi: Okay. And the last point, you have maintained over now the last 2.5 years that we will divest the non-core assets and the pledge things will happen. Is there any time line you want to say that? I mean, I know things are a bit little complicated on ground.

But if a hospital deal is not happening, do you have any momentum? Do you have any other plan to liquidate and get the pledge at the lowest level?

Mohan Goenka: If the hospital deal doesn't happen, Shirish, we will have to get back to the drawing board. We would have to find certain alternatives, but I am very, very confident that the deal will materialize. It is just a matter of time.

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The deal is signed, sealed, everything. We are just awaiting government approval. As soon as we get it, the transaction would conclude. It's just a matter of time. I think max of about 3 weeks to 4 weeks, that's what we think.

Moderator: Our next question is from the line of Bhavesh Jain from Enam AMC.

Bhavesh Jain: Sir, on this Bangladesh, any concern with this forex unavailability on the growth side because we are seeing a lot of headwinds related to economic growth

with also over there?

Mohan Goenka: So Vivek, you are there, can you reply?

Vivek Dhir: Hello, I'm Vivek this side. So like growth wise, why we don't see any issue. We have covered sufficiently for the material side, which material is imported into the country. And we are managing foreign exchange for purchase of material.

So that is happening. And we are very suitably placed in each and every categories within Bangladesh and growing over there. So growth wise, there is no issue over there.

Mohan Goenka: Any forex related issues, Vivek, you want to highlight?

Vivek Dhir: Sir, not as a concern for the business at the moment. Remittances are available for raw material purchases and packaging material purchases which we are doing. So there is no concern on that side as well. So we're able to run our business. And we are keeping our strategic inventory coverage as well.

Mohan Goenka: Yes, and we are very -- we are very, very confident, Bhavesh, that the international business should grow at about 20% for this year.

Bhavesh Jain: Okay. And sir, ex of this Helios, what will be our margins for the quarter and the whole year?

Mohan Goenka: Ex of Helios?

Bhavesh Jain: Yes.

Rajesh Sharma: It is around 27%.

Bhavesh Jain: For the whole year, right?

Rajesh Sharma: Yes.

Moderator: Our next question is from the line of Anurag Lodha from Axis Capital. Please go ahead.

Anurag Lodha: I just had one question. So you've taken these initiatives of [inaudible 0:50:07] distribution across towns, right? So sir, how is this driving revenue growth? Because, I mean, we've been adding a lot of towns aggressively. So I just wanted to get a sense on how it is driving growth

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going ahead? And I just wanted to understand if there has been any lag from older distribution centers due to which the growth has been impacted?

Vinod Nandgopal Rao: Yes. So the rural growth, despite the headwinds that we face in the rural economy, and we've seen a slowdown across rural, that didn't stop us from investing there in rural.

And we looked at the high potential towns and villages. So we used a different model. We didn't go in concentric circles of looking at town clusters and then looking at a population, cutting and driving distribution. We looked at potential, potential with respect to our categories, and we drove distribution in that manner.

So that gave us a lot of confidence because we've got a very high repeat rate. So all the 11,000 towns that we've added, we've got repeated, so more than 85% per month on the expansion. That gives us a lot of confidence that we've added the right kind of towns and villages. And it has helped our overall rural expansion, which has gone from 32,000 2 years back, now we've almost doubled it. We almost had 52,000 towns and villages.

So what tends to -- can happen in expansion of this nature as and when you go a bit more directive, there could be some fallout and some impact of it on wholesale as a business because wholesale kicks in directly to this and we do not have too much control over that business.

But adding directly gives us a lot more control because these are then digitized, and we know exactly where the sales are coming from. So overall, I think once the demand kicks in, we will be able to see much better growths coming in from overall rural. And I think that the infrastructure has been created for even future.

So in a one -odd year, one shouldn't look at it, you should look at it more in the long -term point of view. And that's why we've invested behind the rural.

Moderator: That was the last question of our question -and-answer session. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Rajesh Sharma: Thank you all the participants for joining us for today's earnings call of Emami. Thank you, IIFL, for

arranging this. Thank you. Have a nice day.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Aug 2023

regd. office : 687 anandapur e. m. bypass kolkata 700107 India
phone: 91 33 6613 6264 tele fax: 91 33 6613 6600 e-mail: contact@emamigroup.com website: www.emamiltld.in
CIN: L63993WB1983PLC036030

Dated: August 11, 2023

The Manager The Manager
BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot no. C/1
Dalal Street G Block, Bandra Kurla Complex
Mumbai- 400001 Bandra (E), Mumbai-400 051
Scrip Code: 531162 Symbol: EMAMILTD

Dear Sirs,

Sub: Transcript of Investor Conference Call pertaining to the Unaudited Financial results of the Company for the Quarter ended June 30, 2023.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Investors' conference call organized on August 7, 2023 post declaration of Financial Results (Standalone & Consolidated) for the quarter ended June 30, 2023.

The said transcript is also available on the website of the Company at www.emamiltld.in.

You are requested to kindly take the above on records.

Thanking You

For Emami Limited

Sandeep kumar Sultania
Company Secretary & VP – Sales Commercial
Membership No: A13546
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"Emami Limited
Q1 FY '24 Earnings Conference Call "
August 07 , 202 3

MANAGEMENT : MR. MOHAN GOENKA – VICE CHAIRMAN &
WHOLE TIME DIRECTOR – EMAMI LIMITED
MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER–
INTERNATIONAL BUSINESS – EMAMI LIMITED
MR. GUL RAJ BHATIA – PRESIDENT –
HEALTHCARE – EMAMI LIMITED
MR. RAJESH SHARMA – PRESIDENT FINANCE AND
INVESTOR RELATIONS –EMAMI LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Emami Limited Q1 FY '24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Securities Limited. Thank you, and over to you, sir.

Percy Panthaki : Hi. Good afternoon. Welcome to this call for the Emami Results. With me, I have from the management, Mr. Mohan Goenka, Vice Chairman and Whole Time Director ; Mr. Vivek Dhir, CEO, International Business; Mr. Gul Raj Bhatia, President , Healthcare and Mr. Rajesh Sharma, President, Finance and IR.

Without further ado, I'd like to hand over the call to Mr. Mohan Goenka, who will take you through the results presentation. Over to you, sir.

Mohan Goenka : Thank you, Percy. Very good afternoon, ladies and gentlemen. Thank you for joining us today. I welcome you all to this conference call on Emami's result for the first quarter of FY '24.

Both our consolidated and domestic revenue grew by around 7% in Q1 with domestic volume growth of 3%. The quarter witnessed some sequential recovery in demand for non-summer products with a moderation in inflation. Pain Management and Healthcare range sprung back to double-digit growth in Q1. Pain Management grew by 13% and Healthcare range grew by 11%. Boro Plus range grew by 19%.

As we have seen, the summer season was affected across the country by unseasonal rains, which impacted sales of our summer products across categories during the quarter. Navratna range was thus impacted by the unseasonal rains and declined by 8%. However, despite the bad season, Dermicool grew by 9% on account of distribution initiatives undertaken by us.

Kesh King grew by 2% and male grooming range posted flat growth due to high base.

Modern Trade and e-commerce continued to perform well, growing by 45% and 47%, respectively, increasing their saliency to 19.4% of domestic sales, an increase of 510 basis points against Q1 of last year. International business grew by 8% during the quarter, with a constant currency growth of 11%, led by strong growth in SAARC, GCC and CIS regions.

The quarter also witnessed strong double-digit growth in major brands like Navratna, 7 Oils in One, Fair and Handsome, and Creme 21 in the international markets.

With softening of key raw material prices, the quarter witnessed an expansion of gross margin by 240 basis points at 65.4% in this quarter. We increased investments behind our brands with A&P spends going up by 11%. EBITDA at INR 190 crores grew by 10%, with margins at 23%, expanded by 60 basis points.

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Profit after tax at INR 138 crores grew by 87% and adjusted PAT at INR 161 crores also grew by 17% over previous year.

Going ahead, we expect a steady recovery in rural demand, fuelled by easing of liquidity pressures, forecast of a near normal monsoon and moderation of inflation. Our international business is expected to maintain its growth trajectory to post even better results in the next 9 months. And with further softening of raw material prices, we continue to expect improvement in gross margins going ahead.

Our focus will be on driving our long-term strategic priorities, including brand building. We will also continue to invest behind our brands to provide superior value to our customers, and are optimistic of our ability to deliver a consistent, responsible and profitable growth in near to long-term.

With this brief, I now open the floor for Q&A. Thank you.

Moderator

: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Prakash Kapadia from Anived Portfolio Managers.

Prakash Kapadia : Couple of questions from my end. Earlier, we were under-indexed on modern trade and e-commerce. Now last few quarters we've been growing very rapidly in both of these channels. So what is driving this growth? And what categories are driving this growth, if you could give us some sense?

Secondly, on the rural demand, is the worst over? And can we expect better sales in the coming quarters?

Mohan Goenka: So, Prakash, in modern trade and e-commerce, our base was always very low. So we entered late into these two channels, but we have been focusing in these channels for the last almost 8 to 10 quarters. Yes. So that is one of the primary reasons why these channels are showing almost 50%, 60% growth every quarter. Now that we have reached at almost 20% contribution, I expect these channels to now grow anywhere between 15% to 20%. That's what I expect. All the brands that we sell in the GT are brands which contribute both in e-com and modern trade.

Prakash Kapadia : It's an across the brand performance, not any specific category or specific brand ?

Mohan Goenka : Yes. Because, as I said, we have launched a lot of SKUs exclusively for these channels, which was not there in the past. So some products like Navratna, Kesh King, they may have a 500 ml, which is only available in e-com or modern trade and a lot of exclusive promotions also, which is only related to these channels. So that's one of the key factors that we see the growth in these two channels.

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Coming to rural, Prakash, I think still there is some challenge. I would not say that all the challenges are behind us. Some markets are slightly better, but we will have to still wait till the inflation moderates to see long-term growth in the rural markets.

Prakash Kapadia : And one data keeping question for Rajesh. If I look at depreciation and amortization, it is at INR46 crores this quarter as compared to INR 64 crores last quarter, and this quarter also includes a INR 16 crores kind of write-off which we have taken on Brillare. So what should be the run rate in the medium-term from here on?

Rajesh Sharma : So, Prakash, I think, INR45 crores, INR 50 crores kind of range should be there going ahead. So amortization last year first quarter had the Kesh King also, which is no more there. So INR23 crores, INR 24 crores kind of amortization would be there and INR20crores, would be there on account of depreciation.

Prakash Kapadia : Normal depreciation?

Rajesh Sharma : Yes.

Prakash Kapadia : And if I were to look at results, Rajesh, there is no one-off in the base, right? Now everything is comparable. The Dermicool is coming in, acquisition is coming. We are comparing like-to-like, right, on a year-on-year also?

Rajesh Sharma : Helios, i.e. The man company, became subsidiary last year in Q2 from July 1. So its numbers are not there in the base quarter.

Prakash Kapadia : And this is the only difference?

Rajesh Sharma : Yes.

Prakash Kapadia : So Q2, it is like-to-like?

Rajesh Sharma : Right.

Moderator: Thank you. Next question is from the line of Tejash Shah from Spark Capital. Please go ahead.

Tejash Shah : Sir, we have been doing very well in international business as well. So just wanted to know what is clicking for us in the international market? And is it largely territory addition that we are doing or we are seeing robust repeat purchase also in the core markets for us?

Mohan Goenka : Yes. So, Vivek, would you like to take this?

Vivek Dhir : Yes, sure. So when you look at our major demand, major growth is coming from the existing markets. So that is where we are growing and in the current brand, the big brands. So innovations are still being seeded and

they will seed the future growth for us.

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While we say we are growing in decent double-digits in most of the existing markets and brands, we are still facing some issues in terms of currency. So Russia is one area we are facing the currency issues. It has seen sharp depreciation in last 3, 4 months. But we have plans for that.

But to answer your question simply, most of the growth is driven from existing markets and existing brands, which have become stronger in those regions and geographies.

Mohan Goenka : But that is on back off also a strong focus in terms of advertising, very regional focus advertising, yes. Now our international business gives good profitability. So our investment also has gone up significantly in the international business. Lot of stability has come in.

Tejash Shah : And sir, which will be your top 3 brands in international markets?

Vivek Dhir : Top three brands, we can share with you. So Navratna remains the largest, After that is Fair and Handsome. Then we Creme 21 which was acquired - that is also very substantial for us.

Fourth brand which is substantial for us is 7 Oils in One. So that fluctuates between number three and number four for us in the business. And then Boro Plus is there. Then we have OTC portfolio under different brands of Zandu and Mentho Plus, which also does well for us in various markets.

Tejash Shah : And sir, this is largely India diaspora we are catering to or brand equities kind of working with as well?

Vivek Dhir : So, I think you will read our annual reports as well. The Russia CIS business, which is around 11%, 12% of our total international business is all non-Indian consumers. Then we talk about say, Bangladesh. Bangladesh is all non-Indian consumer base.

Then we have a decent sale of our OTC in Africa markets, which is also non-Indian consumer base. Then in Southeast Asia, it's a mix of Indian consumer as well as local consumers over there. So Myanmar is largely local consumers, hardly any Indian consumers over there. So -- but in GCC you will find we have a mix of Indians as well as Arab consumers.

So Creme 21 caters largely to our Arab consumers, and Asian brands, our domestic brands cater to the Asian consumers over there. But our brand expansion of Navratna and 7 Oil, the portfolio which goes to the Arabs is also different. So that we don't retail in India. So that also gives us decent market within Arab, including Iraq as well as Egypt.

So Egypt, unfortunately, has been pretty bad for us this particular quarter. Except of Egypt we have grown by around 20% in constant currency terms, in rest of the international markets. So, it's a very good mix of international consumers in our portfolio as on date.

Tejash Shah : That's very helpful. Only second and last question is on gross margin tailwinds that you spoke about in your opening remarks, and you said that you'll use for strategic priorities. So just

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wanted to know, will it be largely reinvesting it into ATL, BTL activities? And then, how should we think about a margin -- EBITDA margin range for FY '24?

Mohan Goenka : So, Tejash, mostly it will go in A&P because most of the investments in Project Khoj is completed. So, we will be very careful. We will wait and watch how the summer -- how the winter pans out to be. If the winter is good, then we would definitely increase A&P by 1%. But overall, despite of that, we expect margins to increase by at least 200 basis points, 250 basis points.

Tejash Shah: Okay. That's very helpful. That's all from my side. Thanks and all the best.

Moderator: Thank you. Next question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy : Congrats on good recovery in the non-summer. I had 3 questions. My first question is in terms of the talcum powder

r. Your Dermicool has seen good growth of 9% versus Navratna, minus 8%. The other key player, they said that they have gained market share in this quarter. So I wanted to understand, on an overall basis, if I combine both the brands, we have lost market shares.

And second is, because Dermicool is growing faster, would you kind of prioritize wherever they are competing? Lot of areas they don't compete. But because it's growing faster, would you prioritize that in the coming years?

Mohan Goenka : So, Abneesh, as per our data, we haven't lost market shares, okay? Dermicool, as you know, had come into our fold this quarter. So we really focused wherever there was gaps. If the summer would have been good, Dermicool growth should have been more than 18% to 20% and not 8%.

Because Navratna talc already has a very huge base -- our Navratna talc sales is almost INR170 crores, INR 180 crores in these 3 months, 4 months. So it was very difficult -- because of poor summer, we could not do better. But I don't think they cannibalize at all. They don't cannibalize, and each have very distinctive markets. We will keep on focusing both the products. Because total, if you would see Dermicool plus Navratna Cool Talc, the sales is almost INR300 crores. So these have substantial revenue plus profit. So we can advertise both.

Abneesh Roy : Sir, my second question is -- and I see your strategy versus other key Ayurveda players, two things I wanted to ask. One is, they are setting up a huge team of around 400 feet on the ground to go to allopathic doctors so that allopathic doctors can recommend the Ayurveda products. Would you also think something similar? And does it work?

And second, they have also come out with a cooling hair oil. I understand this has been tried by many players earlier. You have held on really strongly to the market share. So any take on that? Because they claim to have a 15% market share in the areas where they have launched the cooling hair oil.

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Mohan Goenka : So, I will answer the cooling oil, then I will ask Gul Raj to take it on the Healthcare. So, Abneesh, what our data -- because somewhere I was also reading that the total sales of their cooling oil was INR5 crores to INR 6 crores. So the market size is very large, and INR5 crores, INR6 crores doesn't give 15% market share. We haven't lost even 0.1% market share in the cooling oil.

So, unfortunately, the season was bad, which you all are aware. If season would have been good, we would have definitely grown on Navratna oil. Our market intelligence shows that there is no pressure in Navratna cooling oil. And on the allopathic doctor coverage, Gul Raj?

Do we have any plans for Healthcare to reach to allopathic doctors?

Gul Raj Bhatia : Like you mentioned from some of the competitors perspective, there are a few companies which have been focusing on allopathic doctors, or are planning to focus more. In our case, about one third the doctors we cover are allopathic doctors and the rest are Ayurvedic doctors. But since our coverage is less compared to some of our competitors, we believe that -- if you look at the per doctor sales uptake, we believe that there is still a lot of scope to improve our -- both our coverage and the throughput per doctor.

And hence, our focus is still going to be on expansion in the Ayurvedic doctor segment, both from a number perspective, coverage perspective and throughput perspective, because we believe we can gain market share and business through that. So, we will continue focusing on one third of the doctors being allopathic, but we do not have limited plans to expand the allopathic doctor coverage right now or in the coming months.

Abneesh Roy : Sir, last question. So very impressive scale-up of modern trade, e-commerce. My specific questions here are -- I also see, for example, currently, Independence Day, lot of

of the e-

commerce are running very aggressive campaigns. Are you also very aggressively participating in your categories there?

Second is, you are currently almost 19.4% in terms of this contribution. In your categories, what will be the benchmark currently the best player has? So, are you already there? And three years, four years down the line, where do you see this number?

Mohan Goenka : So, Abneesh, wherever there are opportunities, we participate very, very aggressively. There is no doubt. As I said, on e-commerce, we have grown exponentially almost in the last 4 years from 0% to now 10%. So we have aggressive plan. Team is in place. Everything is in place. And I also said in my remarks somewhere that, now that the basis are 20%, we expect to grow at anywhere between 15%, 20%, not at 40%, 45%. So in the next two years, three years, I think it can reach to about 25% to 26%. That's what we expect.

Some of our peers, the data that we have seen, they are already at 25%, 26% now. So, it will -- I think it will stay at 25%, 26% in the long-term.

Abneesh Roy : One very quick follow-up.

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Mohan Goenka : Also one more point Abneesh that this year we have really focused on margins in these two channels because these channels are growing so fast, and these had lesser margins. So this year our focus has been primarily on expanding margins in modern trade and e-commerce.

Abneesh Roy : What will be the gap in terms of this margin versus...

Mohan Goenka : Gap can't be -- I can't be very specific, but gap has -- will narrow down substantially this year.

Abneesh Roy: Thanks. That's all from me.

Moderator: Next question is from the line of Mr. Percy. Please go ahead.

Percy P anthaki : Congrats on a good set of numbers. So I just wanted to understand, sir, of course, summer issues are well known, but apart from the summer issues, your rest of the portfolio has performed very well. So just -- can you take us through what are the initiatives that you have implemented internally within the organization which has led to this? Of course, there might be some amount of effect from the improving demand scenario for FMCG, but I'm sure that a larger part is due to your own efforts. So if you could just elaborate the programs and the initiatives you have taken, which has resulted into this?

Mohan Goenka : So, Percy, absolutely, we have been taking a lot of initiatives, and some of the initiatives are yielding results. One of the key initiative was, of course, our distribution expansion, the Project Khoj which led to this kind of a growth. And a lot of analytics that we had done, lot of bridge packs that we have launched in the last 3 quarters has helped to penetrate much deeper, and also increase in advertising spends.

So, we reduced some advertising spends in summer portfolio, and we increased some advertising spends in rest of the portfolio. Because, as I said, the margins are expanding, so we

have good leverage. And -- so we are getting a little aggressive on A&P. So I think everything is falling in place, what I feel. Confidence also. Once you get numbers, you get confidence, the market also responds. It's a cycle.

Percy Panthaki: On the distribution part, can you give us some data? How many outlets do you have under direct coverage now?

Mohan Goenka: It's almost 10 lakh outlets, Percy.

Percy Panthaki: And your plan here over the next 12 months and 24 months?

Mohan Goenka: So, Percy, we are done with Project Khoj. We have completed the target which we started 2 years back in -- everywhere, whether it was e-commerce, modern trade, chemist outlets, rural coverage and direct distribution. Now the next key challenge is to increase throughput from these outlets. That is what is the next call.

Percy Panthaki: And anything you would like to sort of elaborate on that in terms of how do you plan to do that in terms of the throughput per store increases?

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Mohan Goenka: That would be majorly through trade marketing initiatives, so identifying the core outlets and giving more trade imports in certain outlets. So that is through a lot of analytics that we are doing.

Percy Panthaki: Coming to the product portfolio, can you let us know what are your thoughts on innovation and what is the mix you are targeting of the growth from innovations versus the existing products that you have?

Mohan Goenka: So this quarter also, Percy, I think, through innovation, we got revenue of around -- yes, around 2.5%. And for the whole year, it should be in the range of about 3%.

Percy Panthaki: And here, how do you define innovation? Products launched in the last 12 months, 24 months? Or some other definition?

Mohan Goenka: Products launched in the last 2 years, 24 months.

Moderator: Next question is from the line of Shirish Pardeshi from Centrum Broking Limited.

Shirish Pardeshi: Sir, to start with, we have seen there lot of action in the Kesh King portfolio. We have now -- had shampoos and now we have added organic range of shampoos, and we have done onion shampoo also. So just wanted to understand in medium to long-term, how are you looking at Kesh King portfolio? And what are the -- our targets?

I mean, though, we have taken some action in terms of activation and new product launches, but the sales has grown only 2%. So, of course, these new launches will take some time to stabilize. But if I say that in '24 and '25, what are the growth rates you are anticipating in this portfolio?

Mohan Goenka: So, Shirish, we expect more action coming in from shampoo and the organics range. Our investments also are increasing more in the shampoo and on the new range. So we expect the Kesh King on an overall basis for the next 2, 3 years to grow at around 7%, 8%. That's what we expect. Quarterly numbers are very difficult to give because of -- sometimes high base consumer of promotions makes a lot of difference in this portfolio.

Markets also, Shirish, you must appreciate because of an expensive oil, and the consumers are primarily mass consumers. So there was little bit of offtake issues for oil because the price is INR160, INR170 for 400 ml. So if market also stabilizes, we may see good, better growth, but shampoo should yield better results than the oil, at least that's what we see.

Shirish Pardeshi: So do you think shampoo would contribute now from 25%, 30% to 50% of sales?

Mohan Goenka: That may take some time, Shirish. But yes, shampoo, because market is also very large, and we are seeing good traction even in tough times, so shampoo contribution would increase continuously.

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Shirish Pardeshi: So just one question here. This organic range is priced premium to your erstwhile shampoo portfolio? Or is it similar price?

Mohan Goenka: No, it is much premium.

Shirish Pardeshi: My second question is on the Boro Plus. Though this quarter we have seen a very strong sales, despite Boro Plus season is not there. So I just wanted to understand, is it that filling pipeline we have got because of the new product extension or there is a core portfolio also looking up?

Mohan Goenka: This quarter, Shirish, Boro Plus contribution is very, very low. On a total sales of Boro Plus, this would be hardly anything. So this growth has got not -- little bit in this quarter, most of the growth has come from Boro Plus soap. But otherwise, overall contribution is miniscule.

Shirish Pardeshi: My third question is on the Healthcare range, though we have the base which is coming in and normalizing, 11% growth is good growth. But just wanted to understand, little more deep dive, if you can split what is the ethical OTC and the expansion in terms of other products what we have done in the last q

arter? So maybe I wanted to understand the qualitative -- what are the things which are working and what is not working? Or is there some more work which is to be done? I mean, obviously, we have understood that there is focus on us expanding the doctor coverage, and I think last 2, 3 quarters we have been talking. So in that journey, where we are and what are the growth rates we can expect for the rest of the year?

Gul Raj Bhatia: Yes, Mr. Pardeshi. So we have been focusing on all the 3 businesses over the last couple of quarters. In OTC, as you know, we've had the challenge of high base during COVID many of our products which are health supplements or immunity-led. So we've been focusing on other segments such as vitality products, digestives and other health supplements, which are not dependent clearly on season or during the COVID period.

And we are seeing some results in some of the categories in the OTC range. We are also doing much more aggressive advertising in some of the focus categories, which we believe can do much better in the coming quarters.

As far as the Medico business is concerned, we are purely focusing on market share gain in certain product segments and certain geographies where we are under-leveraged or under-indexed today. And it will come both through organic expansion in the current set of retail outlets and doctors we go to and through both doctor additions and outlet additions.

We've also seen a good ramp-up in the D2C business, which is zanducare.com, where our focus is not so much on the legacy products, but on launching digital first products. And we will continue focusing on launching in the coming quarters these products. As you would probably appreciate, the costs of marketing have gone up in the last few quarters in e-com because of number of players having come in across categories, not just limited to Healthcare.

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And hence, we are cognizant of making sure that we get the best ROI on what we do. We are also trying to leverage not only zanducare.com, but other online marketplaces and also some of the modern trade channels where we believe we can scale up.

Shirish Pardeshi: So, suffice to say, the digital contribution would be now plus 10%?

Gul Raj Bhatia: When you refer to digital, you're referring to the e-com?

Shirish Pardeshi: Yes, I'm saying, you said that there is incremental focus with your own website, Zandu online and -- plus others. So what would be the non-GT or non-traditional contribution?

Gul Raj Bhatia: So, on the digital side, it would be in the region of around 10%. And we believe that, that will keep scaling up.

Shirish Pardeshi: Mohan ji, my next question -- second last question, in fact. On the D2C you have not spoken anything. So could you share something about Cannis Lupus and TMC?

Mohan Goenka: Yes. So these 2 companies are also doing very well. Brillare and Helios, i.e. The Man Company have grown by almost 27%. So TMC is now breakeven in this quarter. There is no negative EBITDA. And -- so I think both the companies where we have invested earning as per our targets.

Shirish Pardeshi: But what would be the sales contribution in this quarter?

Mohan Goenka: Sales contribution in this quarter?

Shirish Pardeshi: Yes. And maybe if you can say that is this year?

Mohan Goenka: In this year, it should be around 4%. Yes, around 4% to 5%.

Shirish Pardeshi: And my last question on -- any update you could share on the hospital?

Mohan Goenka: So, Shirish, on the hospital front, we are very optimistic that the transaction should be completed by this month end.

Shirish Pardeshi: So it is going as per plan? Or is there any -- some twist?

Mohan Goenka: No, no, there is no twist at all. Why would there be any twist. It is as per plan. No, we are the -- because it is at the government level, we will have to wait. So -- but we are ve

ry optimistic

that month end it should conclude.

Moderator: Next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: Sir, my first question is with regards to the follow-up to the previous participant's question. So once this hospital transaction is being done, will the entire pledge go away? Or still, there will be some pledge left after that?

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Mohan Goenka: So, Gaurav, no, post this transaction, pledge -- complete pledge will not go away. It should be in the range of about 18% to 20%, depending on the share price. And presently it is at 33%.

Gaurav Jogani: Sir, my next question is with regards to, again, the MAT credit entitlement. It shows some balance of around INR300-odd crores as on June 23. So how should we build in this MAT credit entitlement going ahead? What will be the quarterly run rate that we could see still going ahead?

Rajesh Sharma: So, Gaurav, we would be generating MAT credit till FY '26 when our Pacharia plant is enjoying some tax benefits. So from FY '27 onwards, we would start utilizing the MAT credit.

Gaurav Jogani: Sir, what would be the annual run rate for this MAT credits that you might receive?

Rajesh Sharma: In FY '26, it is difficult to comment on the quantum of MAT credit we'll be generating because of the taxability of the various units. But I feel, conservatively 10% kind of tax rate we can build in. So it should be around that only.

Gaurav Jogani: 10% until FY '26, right?

Rajesh Sharma: Yes.

Gaurav Jogani: And sir, the third question is with regards to the strong growth we have seen in the modern trade and e-commerce. But at the same time, the overall company growth rates have not matched the rates that we are seeing. So -- which clearly indicates that in the GT, the growths have declined. Sir, any particular reason that you would highlight why these growths have declined in the GT channel? And what steps are you taking to revive this growth?

Mohan Goenka: Gaurav, GT, it has not declined. It is flat. Primarily, the decline is due to the summer portfolio. Our summer portfolio in this quarter contributes almost 41%. Okay? And Navratna sachets, which is primarily a GT brand, that has declined. So that is the only reason why GT has not performed so well.

Gaurav Jogani: Sir, but if we even take out Navratna also, I mean, the other portfolios of GT, even The Man portfolio -- not The Man portfolio, the Male Grooming portfolio rather, that has also kind of remained flat. Anything -- Male Grooming, we have kind of tried to relaunch it multiple times, but say, the growth has been eluding there, plus Kesh King performance always remains partly here and there. So how should one build growth rates on a steady-state basis? Because even if I see, the growth is largely driven by TMC. So what kind of growth rates should one build going ahead on steady-state basis?

Mohan Goenka: So, Gaurav, particularly the Male Grooming, last year, we had a very high base for the first 4 months. That is one of the key reasons why the Male Grooming is flat. But going forward, we are very confident of double-digit growth in the Male Grooming portfolio. You would see this from the quarter 2 onwards. Okay?

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And in Kesh King, as I said, oil is a little bit under stress because of lower offtake, particularly for the mass consumers. But shampoo is doing well. Shampoo has grown. Unfortunately, oil has not grown. So we will just have to wait till the market recovers as far as the oil is concerned. But we are also spending a lot on shampoo.

Moderator: Next question is from the line of Mr. Percy Panthaki from IIFL Securities.

Percy Panthaki: Sir, just trying to get the construct of your growth over the medium term, let's say, over the next 2 to 3 years. I think what -- you would be targeting around a 10% kind of

a sales growth.

And you mentioned in response to an earlier question that Kesh King would be about 7% to 8% kind of a growth. So would you help me in understanding if not -- I'm not looking for exact numbers, but where do you think that -- which are the categories and brands which can grow higher than the company average of 10% and which are the brands which will grow lower than the company average of 10%.

Mohan Goenka: So, Percy, so international business, we expect to grow at about 15% in the long-term. That is one. Secondly, Male Grooming, I'm very confident from quarter 2, it should be a double-digit. Healthcare, which is roughly about 10%, 12% contribution, should also do double-digit growth.

A lot will depend on summer, winter portfolios, if summer, winter -- if one of the seasons are good or both the seasons are good. And I'm also confident that Boro Plus, Navratna should do anywhere between 6% to 8% growth. So by and large, I don't see a big challenge in getting 8% to 10% growth in medium to long-term.

And we're also spending a lot more on A&P, expanded our distribution channel also. So everything should yield results. Markets -- please understand, rural has not yet recovered. So once the rural recovery comes in, that should also benefit.

Percy Panthaki: On margins, you mentioned a 200 to 250 basis points expansion. You were talking about gross

margin or EBITDA margin?

Mohan Goenka: EBITDA margins.

Percy Panthaki: And this is full year FY '24 on a Y-o-Y basis?

Mohan Goenka: Yes. At least, as per the current basis.

Percy Panthaki: So like FY '23 was close to 25.5%, so at least 27.5% is what you are expecting?

Mohan Goenka: Yes.

Moderator: Next question is from the line of Abhijeet Kundu from Antique Stockbroking.

Abhijeet Kundu: My question was primarily on, what are you doing to deseasonalize the portfolio? Because for a very long time we have been seeing that there are the vagaries of season and there are

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problems. And those problems are very evident. So what are we doing to deseasonalize the portfolio? And is there a thought process that, over a period of time, 3 years, 5 years, whatever, do we see as a portfolio and for -- a certain percentage of sales come from a portfolio, which is more dependent on season? Because a lot of companies are saving the cost, particularly in consumer segment. So just already your thought on that?

Mohan Goenka: So Abhijeet, we don't have any plan to deseasonalize our portfolio. Whether -- if you have seen, we have acquired Dermicool, which is again a seasonal brand. We look from the consumer lens wherever there are gaps, and we find that there are opportunities where we can fill in those gaps and make money. That's where we focus in. So idea is not to look at seasonalized and non-seasonalized products.

Moderator: Next question is from the line of Aishwarya from iThought Advisories.

Aishwarya: I wanted to ask that, Emami has increasingly acquired new companies like TMC and all that. If I can please get a breakup of the sales?

Mohan Goenka: Breakup of sales of? TMC?

Aishwarya: Yes, TMC and TruNativ and all that?

Rajesh Sharma: Yes. As Mohan ji mentioned in earlier query that TMC and Brillare would be contributing roughly 4% to 5% of revenues this year, as already mentioned. Yes.

Aishwarya: Any estimates for the long-term, sir?

Mohan Goenka: Sorry, it is difficult to comment on acquisitions. So the TMC is growing faster. But on an overall basis, range will be around 5%.

Moderator: As there are no further questions from the participants, I now hand the conference over to management for the closing comments.

Mohan Goenka: Thank you all the participants for joining us today for our Q1 results conference call. Thank you, IIFL, for arranging this. Thank you. Have a good day ahead.

Moderator: Thank you.

Mohan Goenka: Thank

you.

Moderator: On behalf of IIFL Securities Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Nov 2023

regd. office : 687 anandapur e. m. bypass kolkata 700107 India
phone: 91 33 6613 6264 tele fax: 91 33 6613 6600 e-mail: investors@emamigroup.com website: www.emamilttd.in
CIN: L63993WB1983PLC036030

Date: 9th November 2023

The Manager The Manager
The National Stock Exchange of India Ltd. BSE Limited
Listing Department Corporate Relationship Department
Exchange Plaza, Plot No. C/1, G. Block Phiroze Jeejeebhoy Towers
Bandra Kurla Complex, Bandra (E) Dalal Street
Mumbai – 400 051 Mumbai – 400 001
Symbol: Symbol: EMAMILTD Scrip Code: 531162

Dear Sir(s),

Sub: Transcript of Investor Conference Call pertaining to the Unaudited Financial results of the Company for the second quarter and half year ended September 30, 2023.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Investors' conference call organized on November 06, 2023, post declaration of Financial Results for the Second quarter and half year ended September 30, 2023.

The said transcript is also available on the website of the Company at www.emamilttd.in .

You are requested to kindly take the above on records.

Thanking You,

For Emami Limited,

Sandeep Kumar Sultania
Company Secretary & VP – Sales Commercial

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"Emami Limited
Q2 FY2024 Conference Call "

November 06 , 2023

ANALYST : MR. PERCY PANTHAKI – IIFL SECURITIES LIMITED

MANAGEMENT : MR. MOHAN GOENKA – WHOLE TIME DIRECTOR &
VICE CHAIRMAN – EMAMI LIMITED

MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER ,
INTERNATIONAL BUSINESS – EMAMI LIMITED
MR. GULRAJ BHATIA – PRESIDENT HEALTHCARE –
EMAMI LIMITED
MR. MANISH GUPTA– PRESIDENT SALES – EMAMI
LIMITED
MR. RAJESH SHARMA – PRESIDENT FINANCE &
INVESTOR RELATIONS

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November 06 , 202 3

Page 2 of 9 Moderator : Ladies and gentlemen, good day and welcome to Q2 FY202 4 Earnings Conference Call of Emami Limited hosted by IIFL Securities Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presenta tion concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Percy Panthaki from IIFL Securities Limited . Thank you and over to you!

Percy Panthaki : Hi good evening everyone . Thanks for joining us on the Emami results con call. I have with me Mr. Mohan Goenka – Whole Time Director and Vice Chairman ; Mr. Vivek Dhir – CEO, International Business; Mr. Gulraj Bhati a, President , Healthcare , Mr. Manish Gupta – President Sales and Mr. Rajesh Sharma – President Finance and IR . I will hand over the call Mr. Mohan Goenka who will take us through the results presentation and then we will open up for Q&A . Over to you Sir!

Mohan Goenka: Thank you Percy . Very good evening ladies and gentlemen. Thank you for joining us today. I am pleased to share some good set of numbers amidst the challenging economic backdrop. Despite the subdued consumpti on demand especially in rural markets, Emami has showcased resilience and profit led growth in the second quarter and first half ending 30th September 2023. In Q2, our consolidated revenues soared to 865 Crores demonstrating 6% growth. Our domestic busines s exhibited fairly impressive resilience with a 4% growth in net sales and a nearly 2% increase in volumes . Notably urban centric channels like modern trade and e -commerce witnessed robust performance underscoring our adaptability to changing market dynami cs. On a brand level, Navratna and Dermi Cool range performed well and recorded growth of 12% in Q2

. While healthcare range grew by 4% and pain management by 1% . Boroplus male grooming and Kesh King range declined in single digits on account of lower consu mer demand from the price sensitive sections of mass consumers. Additionally our strategic investments in subsidiaries Helios and Brillare Sciences outperformed expectations witnessing a stellar 63% growth. Internationally, we continued our upward trajecto ry growing by an impressive 16% in constant currency and 12% in INR terms. Despite challenges in certain markets due to currency fluctuations and import restrictions, our international business remained buoyant d riven by key regions such as M enap and S AARC . With lower input costs and judicious price hikes, we achieved a significant expansion of gross margins by 350 basis points reaching 70.1%. Our EBITDA registered robust growth climbing by 20% to 234 Crores with margin expanding to 27%, a rise of 300 basis points. For the first half of the financial year, our revenues grew by around 7% accompanied by an expansion of gross margin by 290 basis points. EBITDA experienced a robust 15% growth with margins expanding to 25.1% an increase of 1 80 basis points. Notab ly, our profits after tax for the first half saw an impressive surge of 23% at 316 Crores . Further, the company made its foray into the juice category with AloFrut through strategic investment in Axiom Ayurveda Private Limited by acquiring 26% equity stake . I am happy to announce that despite absorbing around 230 Crores related to buyback of shares, the company maintains a robust cash balance. Consequently, our board has declared an interim dividend of 400% amounting to Rs.4 per share for FY 2024. I am also pleased to inform you that following the disinvestment of promoter's majority stake in AMRI Hospitals, the promoter's pledge levels are now reduced to around 15% of the promoters holding in line with our commitment. What is even more promising is our outlo ok for the future. Despite the headwinds, we are optimistic about the coming quarters. Anticipated improvements in agricultural yields, the onset of festive season, rising rural wages and increased government spending on infrastructure projects are

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Page 3 of 9 positive indicators that bolsters our confidence in the recovery of rural markets. Our unwavering focus remains on driving our long-term strategic goals and enhancing our capabilities. We are determined to continue investing in our brands ensuring superior value for our consumers. With these efforts and the resilience that is a hallmark of Emami's journey, we are confident in our ability to deliver consistent, responsible and profitable growth in the medium to long term. With this overview, I invite Q&A.

Moderator : Thank you. We will now begin the question-and-answer session. We have the first question from the line of Abneesh Roy from Nuvama Institutional Equities . Please go ahead.

Abneesh Roy : Thanks and congrats on the margins. My first question is on the D2C ZanduCare business. So essentially I see a lot of new products being launched. So my question is out of the Zandu portfolio what percentage of the products which are sold on Zandu D2C website are also available on third parties, say Amazon, Flipkart, BigBasket , etc. Second is what is the thought process behind launching a very non FMCG kind of product or just tumbler etc. We do not see FMCG company normally do this, but I understand the Ayurvedic thesis behind this but why does a FMCG company need to do this?

Gulraj Bhatia : So thank you for that question. Basically, the whole purpose of launching our D2C portfolio ZanduCare was to look at leveraging the opportunities which are coming up rapidly in the Ayurveda healthcare space and we launched a number of new products basically which are targeted towards improving the healthcare need gaps which

h consumers have and we are not only selling them on the D2C platform, but we are also selling them on other e-commerce market places and also in the modern trade channel. In that context, we do not just want to limit ourselves to only products or medications which are the traditional healthcare segments. We want to cover the whole gamut of products which probably come in the range of Ayurveda products and that context, the benefits of using copper vessels for storage of water for water bottles or even glasses becomes an important component. And that is why we are looking at getting into this segment which is a fairly large segment which traditional ayurvedic companies are not catering to as of now and we have seen a fairly good response on the launch of these products.

Abneesh Roy : On the overall company for the India business, if you could tell e-commerce and modern trade, what is the growth and do you expect acceleration given festival demand will be in Q3, would you expect that?

Mohan Goenka: So the growth has been in the range of about 17 to 18% in modern trade and for e-commerce it is about 50% growth in this quarter.

Abneesh Roy : You expect acceleration.

Mohan Goenka: So we expect to have similar kinds of growth coming from both the channels, both from modern trade and e-commerce. In fact, our e-commerce has now reached to almost 13% of our total business and modern trade is at 11%. So put together, we have almost reached to 24% both MT and e-commerce.

Abneesh Roy : One last follow up I remember at the end of FY2023 now you had said e-commerce plus modern day is 20% of business. So this year you want to do more focus on profitability rather than sales growth. I see sales growth being strong could you address on profitability, is it meeting your initial ...

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Page 4 of 9 Mohan Goenka: Yes Abneesh so that is part of our overall margin expansion plan because now both the channels put together is around 25% of our total business and margins are slightly lower compared to our GT business. Definitely we have improved our margins in both the channels. There is further scope of improving margins in e-commerce in modern trade. It will come gradual but yes, there are levers of margin expansions in these two channels.

Abneesh Roy : Thanks. That is all from my side. Thank you.

Moderator : Thank you. We have our next question from the line of Prakash Kapadia from Anived Portfolio Managers . Please go ahead.

Prakash Kapadia : Could you talk about rural markets . We were targeting 60,000 villages. So what is happening our bridge packs increasing , what geographies are we concentrating on in the opening remarks you mentioned about you being positive about rural recovery coming back , that is the first question. Secondly, the mist channel was very important during COVID time so as Zandu healthcare sales are now bouncing back on the low basis and on normalized base how much is that important for Zandu healthcare doing well from here on and Kesh King what seems to be hurting us because growth remains muted there despite we trying organic shampoo, new variants. What is happening in some of these things? So are not small packs working in Kesh King. What is

happening? Those are my three questions.

Mohan Goenka: So Prakash rural as I said is still muted. I would not say that it has bounced back but of course the election season is going to come in now very soon and government we are all hearing good amount of spends coming in from infrastructure rural side. So we all are hopeful that the market should bounce back. At the same time with our project Khoj reaching out to almost 60,000 villages. Those projects are almost complete and due to our investments in these channels, we have somehow managed to sail through and we have not declined with the kind of weakness that has been in the market. Same

li
es in chemist also. We have expanded our chemist reach to 1,25,000 outlets now through the new initiative. There also if you see very specific expansion in chemist channels, our growth in chemist is almost 20% so these are initiatives. Unfortunately, as I said, the markets are slightly weak. Once the consumer demand at rural end, any of these channels bounce back, we would significantly benefit. As I said, we are well prepared. We are well geared, but very difficult to say when the market would bounce back. As far as Kesh King is concerned, it has a cycle. So I am not very worried about it. Yes, this quarter we have declined, but I am again confident that in the third quarter we will see a growth because it has to do with consumer promotion at times. When there is a consumer promotion, the sales really goes up and when we withdraw the sales comes down a bit. So, hopefully we will end up the year with the growth positive note.

Prakash Kapadia: I will join back if I have more questions. Thank you.

Moderator: Thank you. We have our next question from the line of Shirish Pardeshi from Centrum Capital. Please go ahead.

Shirish Pardeshi: Hi, good evening. Mohan ji, Rajesh ji and the team. What I understand is you in the beginning said that you are happy with the growth which has happened. So if you can break because to our understanding June, July, and August was bad. So is the recovery back ended or it is front ended because the season is panning out and we have been able to get some benefit because of the loading of the products which is more relevant to the winter care.

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Page 5 of 9 Mohan Goenka: Shirish honestly, we have not loaded so much stock, what actually we had done last year. So that is not a big concern. I would say yes, the markets are still weak and most of the growth in this quarter has come from the e-commerce and some of our strategic investments that we had done. So we are still waiting for winter to set in honestly. Post Diwali we will get a fair picture how the winter products are panning out to be. Whatever loading had to be done is done in the month of October and September, but we will have to still wait for the secondaries to happen.

Shirish Pardeshi: The reason why I am asking because if you have not done the loading of winter products say end of September, but the initial report says that the winter is started setting in the north. So assume that last year we had a bad winter or the winter was not so severe. So given that benign base are you confident or is there signs on ground seeing that the rural and urban markets are faring well in last 30-40 days?

Mohan Goenka: You can say so Shirish that markets have definitely slightly bounced back. It is not the same weakness what was in the month of July, August. So the festive season has gone down well last year if you would see the pooja festivals or the Diwali was all in the month of October. This year the Diwali is mid November, so markets typically bounce back post the Diwali festival. I am talking of the more GT. The secondary will happen particularly for our brands post Diwali. Last year Diwali was in October. We will have to wait for another 10-15 days to see how the secondaries actually pick up, yes, but you are right that now the winter has set in some of the markets in the north.

Shirish Pardeshi: Okay my second question is on the strategic investment what we have made in the Man company and Brillare so will you be able to quantify what is the revenue we have got this year and last year same quarter. So 63% growth is very humongous and more qualitatively what this growth is driven and what are the things is there product portfolios expanding, is the reach is expanding or is the genuine e-commerce trend is moving and picking up this brands?

Mohan Goenka: So there are multiple reasons Shirish. O

f course the focus has increased tremendously on both the companies. There is premiumization which is happening. We have also launched a lot of new products in Helios and Brillare and at the same time we have gone beyond e-commerce. A lot is now coming to modern trade and also to some of the large GT stores. So that is also helping in expanding the Man company portfolio and as far

as the revenues are concerned we will not be able to give very specific numbers, but the base is not very low now.

Shirish Pardeshi : I mean in terms of revenue contribution or what is the absolute number put together both of the brands not saying individual now we are consolidating so from the margin perspective what is it that are broken even at the EBITDA level or there is some loss which are still booking in this year?

Mohan Goenka: So TMCs now breakeven but Brillare still, but it is a very miniscule kind of margin erosion honestly. As far as the percentage contribution is concerned both the brands put together should be in the range of about around 5%.

Shirish Pardeshi : Total five or 5% each .

Mohan Goenka: Total around 5%.

Shirish Pardeshi : Okay my last question is on the margin front though we have seen an impressive recovery and you said in Q4 that there is no problem of getting the margin back . From Emami Limited

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Page 6 of 9 here onwards what are the margin levers which we have because directionally most of the raw material is, looking downward except L LP at this time which is little firm so any reading , any thought through how we should look at the second -half margin?

Mohan Goenka: Second half margins, again Shirish I am saying that is not a concern honestly because raw material prices are still benign. As I said both these channels, modern trade and e - com, which now contributes to almost 24 -25% there the margins are relatively lower compared to the GT channels and we see significant improvement in margins in some of these channels, so margin is not a concern. We are only awaiting a good set of winter and some rural recovery. That is it.

Shirish Pardeshi : Okay Mohan ji . Thank you and all the best.

Moderator : Thank you. We will take the next question from the line of Percy Panthaki from I IFL Securities. Please go ahead.

Percy Panthaki : Hi Sir. On the portfolio of the male grooming, the Fair and Handsome , what really we need to do to make this brand sort of back on the growth path because I understand the overall demand scenario is weak and as that improves of course that is one part of the equation. But apart from that is there anything else to be done?

Mohan Goenka: Yes, Percy, I think as marketers we are definitely looking at what major changes brand needs to go through because you are right that brand has come to almost at the kind of stagnancy and we definitely have plans as far as marketing is concerned, so it needs a complete re -launch and we are working towards it.

Percy Panthaki : Sir on the other part of the portfolio, which is sort of the Boroplus portfolio. It was originally in a cream, then you launched lotions etc ., can you give some idea on what is the contribution of lotions because lotions is more of a mainstream format which is catching on. So are we seeing that over the years the salience of lotion has like definitely increased and that is sort of becoming more of a mainstream rather than just the antiseptic cream now?

Mohan Goenka: Definitely Percy I think Boroplus brand is no more just an antiseptic cream. So we have significant contributions coming in from lotion , Boroplus soap, Boroplus Soft, Boroplus Aloe Vera Gel. So these are the four brands under Boroplus and the contribution of these brands should be around more than 20 -22% in the total Boroplus scheme of things .

Percy Panthaki : Right. Yes that is all from me. We can go back to the question queue .

Moderator : Thank you. We have a question from the line of Shirish Pardeshi from Centrum Broking . Please go ahead.

Shirish Pardeshi : Hi Mohan ji thanks for the opportunity again. Two questions in the international business though this quarter we have seen a very strong growth but what we also learn from you that there is a currency devaluation which has happened in certain part. CIS is one of the important piece to our strategy and that has seen some weakness. I mean I understand there is Russia geopolitical disturbance but I think if I look back last four or five years, we have taken a lot of actions. So when do we see a double -digit growth and the part two to this question is that do you think the second half also we will be seeing a very strong double -digit growth in the international business?

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Page 7 of 9 Vivek Dhir : Yes Mr. Shirish CIS Russia this is one bad quarter which happened for us due to some uncontrollable issues but when you look at the CAGR over the quarters and quarters, it is performing very well for us that market and we expect it to bounce back in Q3 and Q4 again to a decent growth rates due to the efforts which we had made in the

marketplace over the years. So that is not a concern. The concern which happened was more internal in nature and we could not handle that particular thing and that is behind us now on that particular issue. Most markets are showing growth and even the MP Ds which we have done in Russia in CIS they have got a very decent acceptance with the trade channels, although most of our revenues come out of pharmaceutical channel over there where the purchase packs is in the units of 3 units or 2 units at time by a pharmacy. Even then our acceptance for MP Ds is becoming very decent over there. So we see a very bright future in this market going forward as well.

Shirish Pardeshi : Okay my second question is on Zandu I think Gulraj ji I was more keen to look at double digit growth in healthcare given the base is benign . The growth in Q2 is just 4% though we have seen a very strong momentum on the e-commerce but could you talk something on the GT channel, how it is faring well or what is it that the product interventions which are doing . I mean the base is now going to be normalized in second half also so can we expect a double -digit growth?

Gulraj Bhatia: Thanks Mr. Pardeshi for your question. So actually on the back of Zandu better Q1, we did see a decline in terms of the growth numbers in Q2 specifically in the medicine business. If you see overall also it has not been just limited to Zandu. If you see the overall market for various reasons in Q2 for the entire OTC and medicine business is a bit of a challenge more stagnant in Q2. So in one of our major other players in the markets declared the results a day or two back. So they have also had a fairly challenging Q2 and the current couple of months have been much stronger for the OTC business. So we do see Q3 to be much better. May not be strong double -digit growth, but definitely high single digit growth is what we are seeing and we do see the market being on an upward trend and the general business will be on upper trend in the coming quarters.

Shirish Pardeshi : Okay my last question on the sales front, I think Mohan ji you alluded saying that project Khoj , the project is now done. There are a lot of benefits. I am sure you would have got it because of the distribution in the rural but therefore my question to Mr. Gupta is that what is the next strategy which we are trying to look at . Is the distribution efforts has already done and now we are looking for throughput or there is still further room for growth in terms of sales efforts to get into maybe tier three, tier four towns and maybe some colour, the alternate channels are firing well but the core problem is still lying in

the GT. So what are the efforts, initiatives which we are expecting for next two to three quarters?

Manish Gupta : Thanks for your question. So I think project Khoj has prepared the foundation and laid the very solid foundation for reach to these markets. As Mohan ji mentioned earlier in the call, as the markets recover back, I think we are sitting and waiting for these demands to perk up so that we can service very quickly. Now to your query about what other initiatives are happening, as he mentioned earlier on, whether it is the middle Indian markets or whether it is the pharmacy channel opportunities we have done a lot of good work over the last few years, so it is all there . I mean the basic foundations are there and as the demand perks up our GTM is there to fire it up in terms of the fulfillment story.

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Page 8 of 9 Shirish Pardeshi : Okay but is there any special initiatives which we are planning to take once the market recovery happens and this question is more pertaining to rural because I do understand the weakness is there, the food inflation has now started subsiding but in terms of structural changes, in terms of distribution or what we can do the justice to lift the sales .

Manish Gupta : See a lot has happened over the last two or three years. I think we first need to chew what we have bitten. We first need to put the performance through these channels, make the foundation stronger and continue to do that. The current reach that we have is quite a lot and if you have to maintain the current cost to serve and maintain the profitability out of those channels, I think the prudent thing is to stay and first get the sales out of it. Then we will take the next step in terms of what next bite has to be taken.

Shirish Pardeshi : Okay alright. Thank you and all the best.

Moderator : Thank you. We have our next question from the line of Nitin from Emkay . Please go ahead.

Nitin : Hi thanks a lot for giving me the opportunity. My first question is with respect to the guidance we have provided 8 to 10% top line in international growth, double digit growth in healthcare and male grooming and 200 to 250 bps margin expansion. So like how post Q2 numbers and how do you see the guidance holding on?

Mohan Goenka: So we do not give guidance Nitin let us say, but surely you have seen that our margins have expanded by 200 basis points and I am very confident that we will end up the year by at least 200 basis points expansion in margin. That is what it looks like and top line number also you have seen for the first half, we have done almost 7% and we will hope to end the year also in the similar range. Of course a lot will depend on the winter season and rural recovery but we are confident that we will be able to do high single digit growth so markets are very, very stable I would say. I am more confident on the margin front. We can recover very significantly if the winter sets in well and there is good amount of rural recovery but in this difficult times I would say 7% is also a good top line number.

Nitin : Yes certainly and in terms of like with the competitive intensity does any of your categories seen any sort of surge in competition?

Mohan Goenka: Not so much Nitin only in the cool oil we had seen Dabur launching a cool oil so that is the only new competition that we have seen. So let us see.

Nitin : Thank you and lastly in terms of this festive period so any part of the portfolio which is more skewed towards festival like would you like to highlight?

Mohan Goenka: Towards festival.

Nitin : Yes.

Mohan Goenka: No we do not have any specific skew. We are more winter skewed.

Nitin : Thank you.

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Page 9 of 9 Moderator: Thank you. Ladies and gentlemen that was the last question for today. I now hand the

conference over to management for closing comments. Over to you, Sir.

Rajesh Sharma : We thank all the participants for joining us at Q2 con call. Thank you I IFL for arranging it. Thank you Percy. Have a good day.

Moderator: Thank you, Sir. Thank you on behalf of I IFL Securities Limited that concludes this conference. Thank you for joining us and you may now disconnect your line.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Feb 2024

regd. office : 687 a nandapur e. m. bypass k olkata 700107 India
phone: 91 33 6613 6264 tele fax : 91 33 6613 6600 e-mail : investors@emamigroup.com website : www.emamilttd.in
CIN: L63993WB1983PLC036030

Date - 16th February, 2024

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Mumbai – 400 051 Mumbai – 400 001
Scrip Code: EMAMILTD Scrip Code: 531162

Sub: Transcript of Investor Conference Call pertaining to the Unaudited Financial results of the Company for the third quarter ended December 31, 2023.

Dear Sirs,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Investors' conference call held on February 09, 2024, post declaration of Financial Results for the third quarter ended December 31, 2023.

The said transcript is also available on the website of the Company at www.emamilttd.in.

You are requested to kindly take the above on records.

Thanking You,

For Emami Limited,

Ashok Purohit
Dy. Company Secretary
Membership No: F7490

(Encl: As above)

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"Emami Limited Q3 FY24 Earnings Conference Call "

February 09, 2024

MANAGEMENT : MR. MOHAN GOENKA – WHOLETIME DIRECTOR &
VICE CHAIRMAN , EMAMI LIMITED
MR. VIVEK DHIR – CEO (INTERNATIONAL BUSINESS),
EMAMI LIMITED
MR. GUL RAJ BHATIA – PRESIDENT (HEALTHCARE),
EMAMI LIMITED
MR. MANISH GUPTA – PRESIDENT (SALES), EMAMI
LIMITED

MR. RAJESH SHARMA – PRESIDENT (FINANCE & IR),
EMAMI LIMITED
MODERATORS : MR. PERCY PANTHAKI – IIFL SECURITIES LIMITED

Emami Limited
February 09 , 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Emami Limited Q3 FY24 Earnings Conference Call Hosted by IIFL Securities Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Securities Limited. Thank you, and over to you, sir.

Percy Panthaki: Hi, everyone. Good evening and welcome to this Q3 and nine-month FY24 Results Call for Emami. On the call with us from the management, we have Mr. Mohan Goenka – Whole-Time Director & Vice Chairman, Mr. Vivek Dhir – CEO, International Business; Mr. Gul Raj Bhatia – President (Healthcare); Mr. Manish Gupta - President (Sales); and Mr. Rajesh Sharma – President (Finance and IR).

I'll hand over the call to management for their "Initial Remarks" and then we will open up for Q&A. Over to you, sir.

Mohan Goenka: Thank you, Percy. Very good afternoon, ladies and gentlemen. Thank you all for joining us today.

It's a pleasure to have you with us as we reflect on the performance of this quarter. Quarter 3 saw similar demand trends witnessed in Q2 with lower rural offtakes and demand from mass consumers in the low income segment still not picking up. Moreover, as you all know, the quarter experienced a delayed onset of winter with lower intensity impacting the demand for winter products.

Despite these challenges, we delivered a resilient profit-led growth in Q3 of this year.

Our consolidated revenues at Rs. 996 crores grew by 1.4% with volume decline of 0.9%.

Notably, while domestic sales remained flat, our non-winter portfolio grew by 5%. Navratna and Dermicool range grew by 7%. Pain management grew by 3%. Healthcare excluding Chyawanprash and honey grew by 3%; Overall healthcare range being flat for Q3. Helios and Brillare Science grew robustly by 80%; however, BoroPlus declined by 9% due to the late onset and mild winter. Male Grooming range and Kesh King range declined by 6% and 13% respectively.

During the quarter, we launched Zandu Agni Balm, a stronger multipurpose balm to counter regional competition and gain shares from overall balm portfolio. Further, we also launched five digital first launches during this quarter on our D2C portal Zanducare including an Ayurvedic Emami Limited

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toothpaste Dantveer. Overall, we have launched more than 20 such innovative products on Zanducare platform in the last 9 months and around 90 new products since its launch, underscoring our commitment to diversification and innovation.

Despite prevailing challenges due to currency depreciation in key markets, general elections in Bangladesh, continued political disturbances and crisis around the Red Sea affecting the movement of goods, our international business also continued its robust performance going by 11% in constant currency terms and 8% in INR terms driven primarily by the MENAP region. We also launched a pure glycerin oil under Creme 21 and a conditioning shampoo range under 7 oils in one in select international markets.

Favorable input costs led to an expansion of our gross margin by 290 basis points to 68.8%, EBITDA at Rs. 315 crores grew by 7% with margins expanding to 31.6%, a rise of 170 basis points. PAT at Rs. 258 crores also saw a healthy 9% growth with margins expanding by 180 basis points to 25.9%.

For nine months ended December 23, our revenues grew by around 5% accompanied by an expansion of gross margin by around 300 basis points despite seasonal challenges. Our EBITDA grew by 11% with margin expanding to 27.

5%, an increase of 170 basis points. Our profit after tax at Rs. 575 crores also saw an impressive growth of 16%.

I am happy to announce that our board has also declared a second interim dividend of 400% amounting to Rs. 4 per share for FY24 to reward the shareholders.

The economic landscape is evolving favorably with several key indicators pointing towards a

promising future. The recent downtrend in inflation is a positive sign and an expected recovery in rural markets coupled with government impetus would lead to strong growth ahead. Further, the announcement related to government focus on poor women, youth, farmers, and increased allocations towards MGNREGA in the union budget, coupled with better than expected GDP growth in the last quarter further fortify our confidence in the potential for improved growth. These macroeconomic factors combined with our accelerated scale up of emerging channels, distribution initiatives, D2C portals, Zanducare, strategic investments, innovation, pipeline, and ongoing investments in our core brands are poised to drive growth going ahead.

With this overview, I invite the questions. Thank you.

Moderator : Thank you. Ladies and gentlemen, we will now begin for the question and answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

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Abneesh Roy: My first question is on the five D2C launches. So, what is the long-term potential either in the specific segment of the industry and from these brands? And you also are trying to improve margins in modern trade. So, last one year, how is the trajectory there? Have you arrived at the initial goal in terms of the profitability in this part of the channel?

Mohan Goenka: So, Abneesh, I will answer on the margin front. We have improved our margins on modern trade in the last 9 months, though it is slightly not as we had expected. There is further room to expand margins in both e-commerce and modern trade. As far as the D2C brands are concerned, Gul Raj is here, he will take.

Gul Raj Bhatia: So, we've launched new products in multiple segments in the D2C platform covering healthcare. And as Mr. Mohan Goenka mentioned, we've launched around 90 products in the last 3 years and about 20 products in the recent current year, in the last 9 months. And we are seeing a scale-up happen of multiple products and multiple categories through the D2C platform. So, very bullish on the digital first products going forward, both in the current quarter and in the coming quarters. We've also launched a very potent and a very efficacious toothpaste called Dantveer, as you may have seen from the note. And we are fairly confident that we can scale this brand also up in the next few months and in the coming years.

Abneesh Roy: So, follow up sir, any D2C brand you have managed to bring to modern trade, and any synergy benefits you're seeing for D2C with Man Company. And on toothpaste, that's very competitive. And Dabur, of course, is doing quite well in terms of naturals. And then there are two MNCs also. So, toothpaste generally is a tough category. I understand yours will be more of a D2C and naturals. But generally, it's a very tough category. So, why toothpaste?

Gul Raj Bhatia: As you know, the toothpaste category is very large and over the years, the Ayurvedic segment or the natural segment has been growing much higher than the normal toothpaste, which are non-Ayurvedic or non-herbal. So, we do believe that there is ample scope to gain market share in this segment, even though the overall category may not be growing. And based on both the online segment in terms of the online purchases through various platforms, including Zanducare and our entry, which we are making into the modern trade, we are fairly confident that while it's a competitive category, the kind of

formulation we made, the kind of proposition we are offering to the consumers, we would be able to gain market share in this segment.

Mohan Goenka: Also Abneesh, now that the margins are pretty high in toothpaste, particularly this Ayurvedic segment, we strongly believe that Zandu has right to win because Zandu, in Ayurveda, is a very well established brand and we were working on the formulation for quite some time, I think we have a winner formulation. So, we have just launched these channels for the time being, but I am very confident going forward, we will take it to the retail and the larger markets because margins have been high now in toothpaste.

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Abneesh Roy: Mohanji, one follow up, in terms of positioning, how does this compare with Patanjali's Dant Kanti, Dabur's Red and Vaidhakti of Colgate? So, will this be more a premium given D2C?

Gul Raj Bhatia: It would not be at a premium like we would have other products in the category because there is a certain price point in the category, but definitely in terms of the formulation, we got certain ingredients which are much more efficacious. So, we're not looking at it being limited to a very niche kind of audience. We want to get into the main market or the mass market, but we are doing the launch through online and through select channels, which are emerging channels like modern trade. So, we don't intend it to be a very premium or a very niche offering in that sense. It will be more mass market as we go forward.

Abneesh Roy: Thanks. My last question will be on your Kesh King. Post acquisition, first one or two years

were tough and then again, it's been volatile erratic. Now 13% dip in last two years, three years, you have tried to diversify portfolio also. So, is this because generally hair oil demand conditions are tough? Is it because downtrading is happening? So, would you want to now make it more mainstream in terms of pricing? Will that be needed for growth to come back in this?

Mohan Goenka: So, Abneesh, we are not looking our pricing. Presently you are right that hair oil segment is slightly struggling and particularly Kesh King is a premium oil. So, there is some bit of stress but this we have seen 1 or 2 quarters decline, then we suddenly see an uptake. So, maybe the quarter 4 we will see some bounce back in Kesh King. This has been a one-off decline of 13% but going forward, it should bounce back.

Abneesh Roy: That is the issue. But when I compare pre-COVID annual sales to now FY24 annual sales, what is the CAGR you must have seen? And you have diversified portfolio also. So, if you knock that off, obviously, the core business would have seen a dip, right? Pre-COVID to now, full-year sales?

Mohan Goenka: Yes if you see last four years, Kesh King oil is at a 5% growth CAGR. When you compare pre-COVID levels, so this is one-off, a decline of 13%. It's not that the oil is declining. And markets are also tough right now for discretionary products like this. There is some bit of down trading happens because of price at what we sell. I am not very worried. The onion and the other ranges that we have launched in Kesh King are doing much better. But once the market revives, I am sure this should also get to at least 6% to 8% growth.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: I have a few questions. The presentation is becoming now shorter. There are no mentions about 7 in 1 oil. The volume growth also is not given. And more importantly, if you can give some more color, what is happening with the modern trade and e-commerce because this number is

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also not seen in the presentation. So, maybe if you can give some more overview how this has happened?

Rajesh Sharma: 7 oils

has also got impacted this quarter because of the discretionary overall getting impacted.

So, it is almost down by 5% this quarter. But for the full 9 months if you look at, it is almost flat this year.

Shirish Pardeshi: And what is modern trade and e-commerce saliency in this quarter?

Rajesh Sharma: Modern trade and e-commerce is around 22%.

Shirish Pardeshi: And growth?

Rajesh Sharma: Growth on those channels is around 10% for modern trade growth and 17% for e-commerce.

Shirish Pardeshi: My second question to Mr. Gul Raj Bhatia. On Zandu Online though it is heartening to know that we have launched almost 90 new products and we have been consistently adding more products. But if I look at last 2 years' experience, I think we started with 1%-1.5% contribution. So, give some more depth who are the typical customers who are buying, what is the profile because if the start has happened with the extrapolating the Ayurvedic substance and we are adding the platform products on that. So, how we should look at and think about the growth in the Zandu, fueling the entire Zandu portfolio?

Gul Raj Bhati: So, as you know, during and post-COVID, the online purchases of consumers in general have gone up. And in terms of the consumer profile, demographic exercise, they tend to be more of millennials. Typically people between the ages of 25 to 35 years, they may not be buying these products for themselves alone. In the case of Zandu care, they would be buying as caregivers for their parents or their older sisters or brothers etc. And in general, we know that this segment has been growing month-on-month, quarter-on-quarter and there has been a large influx of new players also in the Ayurvedic segment. So, we are seeing a good scale up of certain segments which we've launched in, and we are very confident that both in the coming quarter and the coming quarters, we will see many categories scaling up further in terms of the D2C platform. And it'll extend not just online, but it will also extend into emerging channels, as I mentioned, such as for example, modern trade both in terms of the regular supermarkets and the pharmacy chains also. We also do see a scale up happening on the other e-commerce platforms such as Amazon, such as Flipkart etc. and the e-chain pharmacies also. So, we are very bullish on the launches we've done. They took some time because when you launch any product in healthcare, you have to do many tests internally and stability studies etc. But now we've got a certain critical mass to be able to scale up going forward and we are already seeing that happen.

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Shirish Pardeshi: I understand Mr. Bhatia. If I bring my marketing experience, you have been recruiting

customers, obviously because of the online, the product is available, there is a recruitment of customers. But the question here is that the overall sales momentum is flattish. So, I am not being able to surely say that if this product extension and the new product has been able to get, because if I look at the healthcare business is flat, and this is despite our weaker base also. So, what is it that we are missing?

Mohan Goenka: Shirish that is primarily because the Ch yawanprash portfolio has declined. The winter portfolio in healthcare has declined. That's why you are seeing flattish numbers. If you go product-wise numbers, the brands have grown at 5 % to 7% . It is due to only the Ch yawanprash that the portfolio is not growing. And see, all of these are new launches. All of these are promising. Some of them are large categories. At least we are getting an entry into these categories now. We have definite plans as Gul Raj said. Health care has to grow at about double -digit growth. We are very, very confident. We are trying. If we have to tweak something after launches in e-com, then we might do it if we take it to the D2 C.

Sh

Shirish Pardeshi: My further follow up on the domestic business, the volume, what is the volume growth we have seen in this quarter?

Mohan Goenka: Volume is declined by 0.9% .

Shirish Pardeshi: It is flattish?

Mohan Goenka: This is again Shirish , you have seen that we have declined by almost 9% in the winter portfolio, winter is large in this quarter .

Shirish Pardeshi: I understand sir, that's why my last fundamental question is that over the last 4 -5 years, we are not lucky that all the 3 seasons have spanned out well. So, what is it that we are trying to do? I mean we have seen a revival in the senior management also. We are now trying to gather the momentum with acquiring D2C brands and now we are bringing in mainstream. So, how we should build the next 3 years? I mean seasonality is the part which we have been struggling , but in the management terms, what are we trying to address? Is this growth is always dependent on the outside seasonality factors?

Mohan Goenka: No, not at all, Shirish . We have come a long way. Our dependency on seasonality has reduced significantly. It cannot just go overnight. Our new launches are by and large non -seasonal. If you see our pain portfolio, which is almost 26% of our revenues is non -seasonal. So, barring Boro Plus Cream and somewhat of Navratna Oil and Cool Talc, these are the only seasonal brands that we have in our portfolio. Male Grooming, Man Company or these are non -seasonal portfolio. So, we have come a long way I would say in reducing seasonality.

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Shirish Pardeshi: I agree sir but the question here is that if there is no price inflation which is going to be visible for next at least 2 to 3 quarter in the near term. Is the volume growth will go to 5 %, 6%, 7%, 8%, 9%? That's the question.

Mohan Goenka: The aim is, of course there, Shirish , is that the volume growth should be in the range of about 6% to 8% and that is what our aim is. You all are aware that market right now is not the best markets. The rural market is under stress. So, there, winter has been under stress. So, these are certain factors we have to keep in mind. What is in our control, we are only doing that. We are continuously premiumizing our categories. We are launching products. We are doing what is best we can do. We have the kind of growth you have seen in TMC and Brillare in the last one year, the numbers have almost doubled. So, there also we have been very aggressive, and we have worked extensively hard to maintain our margins, grow our margins, despite of high margin categories at a decline. Boro Plus Cream has declined, which is a very high margin category. So, despite of all those factors, e-com, modern trade are growing very fast, which is again a lower margin compared to our GT. So, there are multiple factors which we look at, and I think once the market momentum starts, I think we are absolutely geared to get into the growth mode.

Shirish Pardeshi: And just last quick question on the pledge, any word where we stand today and what is the way forward?

Mohan Goenka: Pledge is still at 12% , Shirish and as I have said, we are committed to bring it down to single digits. I am very confident that I can't give in which quarter, but management is committed that we will bring it further down.

Moderator: Thank you. The next question is from the line of Hari t Kapoor from Investec. Please go ahead.

Harit Kapoor: I just wanted to have a question on the D2C part, you know, Brillare and Man Company , specifically. Is some of the margin tailwind, small part of the margin tailwind also that some of these brands are scaled up and you're going from little loss making to say not as much loss making as well. So, that's some scale benefit you're getting from there as well in the last couple of quarters ?

Mohan Goenka: Yes Harit, so Man Company , there is a big shift which

w as a negative EBITDA margin has

become positive because our growth has been almost 80 %. So, due to the scale up , the brand is now making profits. Same is with B rillare, the negative EBITDA margins which was in the tune of almost 40 %-45% has come down to minus 20%. So, there also we have due to the scale we are getting better r esults.

Harit Kapoor: The second part was on the material cost side, I think largely most costs are in a bag now. Just wanted to get your sense on menthol. How do you see that playing out? Any kind of outlook on Emami Limited

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that commodity because it's fairly unique to you in the listed space. So, just wanted to get your sense on that ?

Mohan Goenka: So, Harit, menthol is also benign. There is no pressure on cost. It's not jus t menthol. I would say even LLP or the other key raw materials are also benign. So, I am not seeing any pressure as far as the input cost is concerned.

Harit Kapoor: And just a follow up, this is the last one. Typically, you have been used pricing also as a tool to manage inflation, even OpEx inflation and you've been very successful, hasn't really worked your growth etc. So, in the context where inflation is kind of range -bound, benign, you see next year also some opportunities for pricing?

Mohan Goenka: We will take a call as it comes , Harit. In the past, we have taken a price increase of almost 2% to 3%. And that definitely we always look at roughly around 3% of price increase. So, next year also, hopefully, we should stick to those numbers.

Moderator: Thank you. The next question is in the line of Percy Pant haki from II FL. Please go ahead.

Percy Panthaki: Sir, can you give us your thoughts on healthcare? I mean, this is a portfolio which we have been trying to sort of build aggressively over the last decade or so. And it's not just us, other players, for example, Dabur also has been sort of talking about th is since the last 10 years. And whenever we talk to you or Dabur, we get the sense that this is the new growth driver. I mean, this is a segment which will grow like 2x of the overall company. But this has not played out that way over the last decade. So, what is the reason that it has not happened? And what are the learnings for us which we can implement? And would you still sort of hold out that target that healthcare is the pillar or the driver for growth which will segment which will be growing f aster t han the overall company?

Gul Raj Bhatia : Yes, Mr. Percy , we are fairly confident that we would be seeing strong double digit growth in the current quarters and the going forward quarters in years for the reason that in our case our relative mar ket shares are low across product segments. So, it's a question of investing into these identified product segments to grow the market. At the same time, we are fairly confident that in terms of our product efficacy, our manufacturing capabilities, quality of products, and the fact that we are making a strong foray into the new age product segments which are doing well, both in terms of the online and offline go -to-market strategies . We are confident that the healthcare business would do relatively better t han the other parts of the business, primarily because we have scope to grow our market shares because that gives us confidence that if we get the GTM right, we would definitely see a scale up happening more than what's probably been seen over the last 10 years.

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Percy Panthaki: Is there something that we as outsiders, analysts, and investors are not able to see in this industry? Because see, our cues that we take from the industry overall are just from these two companies, which is Emami and Dabur, which ar e in the listed space, and we get regular information about. And if we take these two companies as a proxy for the sort of Ayurvedic or natur

al health care

space, then that overall industry itself has not really grown unless you're saying there is someone in the unlisted space whose growth is much higher and that's why we are not able to sort of, I mean that's why the two companies are not a correct proxy for the industry. So, I am more trying to understand what has gone wrong in the past and not for E mami but for the industry as I understand it. So, that then I can have a better understanding of what needs to improve in the future.

Gul Raj Bhatia : So, as you' re aware, apart from Dabur and Z andu, there are other brands like Patanjali. There is Himalaya. There is Baidyanath . So, if you look at the overall pure health care, I am not referring to health care as in say, a toothpaste , that's not health care per se. But if you look at the core health care, especially in the Ayurvedic segment, I think the overall growth as per my sensing over the last maybe 6 to 7 years has been between 10 % to 12%.

Percy Panthaki: Unlisted players have sort of gained at the cost of the listed players because the two listed players are not showing that kind of g rowth over a decade ?

Gul Raj Bhatia : Yes, so what happened is that during COVID, we saw huge growths happening basically. So, I

am looking at the COVID scenario also where we saw growth upwards of 40 % to 50 % at least in our business. Post-COVID, there has been a certain diversion of the consumer funds, which have gone into more of the discretionary spends, more into travel, more into eating out, QSRs. So, we've seen that kind of a blip which has happened in the last maybe two years. So, there's been a complete move away from the core healthcare products like immunity, etc. And within the 5 or 6 players I mentioned, some of the players have not done so well in terms of overall business. So, there's been a certain market share gain which is happening across the category. And in the online space, there has been a fair amount of activity which has happened over the last 3-4 years. So, there are players who come in. We are obviously not able to quantify what their numbers are. But so the traditional channels, if you look at the pharmacy channels etc. or the Ayurvedic stores would have seen a 10 % to 12% growth overall. But the online segment, in my view, would be growing at upwards of 25 % to 30% because the niche offerings or because of the specialized offerings. So, we do believe that going forward, we have to understand the trends which are happening. There is also a certain move happening in terms of chronic diseases, diabetes, bone health, cardio. So, there are needs or there isn't requirement for specialized offerings in these segments. Even the services segment is picking up, whether it is wellness, whether it is Pancha karma, whether it is other forms of treatment. So, this segment will continue to grow in my view upwards of 12 % to 15% between offline, online and services. And we are making plans to be getting into the relevant segments for us besides, obviously, as I mentioned growing our market share.

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Percy Panthaki: And just a follow up to your comment on the market share potential that you see. So, can you just very briefly explain what is the competitive landscape here? What is the Pareto in terms of the top five players versus the long tail etc.? And where is the market share gain going to come from, is it mainly from some very fringe kind of a players or do you think that the kind of products you have they compete more with the larger players and therefore if there is any market share gain, it will be from the larger players only?

Gul Raj Bhatia : So, if you look at that the three broad segments, one is the OTC business products like Chyawan prash, honey, etc. Kesari Jivan, Nityam, Vigorex. The second segment is a pure medico marketing, which is going to the Ayurvedic doctors

and other ways. The third is the D2C

segment. So, in the OTC segment, we have a very large brand called Pancharishta, which is a very unique product, as you know. So, there we define the category. So, to that extent in that category, there's been a bit of a slow down post COVID, but we have ample scope for growing our business or our share in the relevant other categories such as vitality segment, supplements, etc. where we will be competing with the larger players. We are not competing with the fringe players because they are relatively small and if you look at the medico part, there we would compete both with the larger players and the smaller players. What's happened in the last maybe couple of years is that in the medico segment, the smaller players are also making forays into various states various regions, etc. So, there we compete both with larger and the smaller players and our strengths by way of our manufacturing facilities. In fact, we are the only company which has two WHO GMP manufacturing units. So, we tend to be at a slightly or at a much higher cost than some of the non-compliant players. So, there we would again be competing more with the larger players, though the market shares of the larger players are being eaten by the smaller players. And at the D2C segment, I think over the last three years, whatever work we put in, I think we are poised to reap the benefits more than other players. That's why you would see the digital first products in the D2C segment for us doing relatively much better than both the larger players and the smaller players who got into the market in the last 2-3 years basically.

Moderator: Thank you. The next question is from the line of Anurag Lodha from Axis Capital. Please go ahead.

Anurag Lodha: So, I just wanted to ask you if the ETR has come in at about 7.7 % for nine month period, so can you guide us as to what the ETR for the full year would look like? The full year ETR guidance sir, effective tax rates?

Rajesh Sharma : On tax rates, so we can expect similar kind of tax rates for Q2 quarter 4 also and next year also around 10% would be there considering the MAT credit entitlements we are entitled to.

Anurag Lodha: And so can you tell us about the cash balances that you might have?

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Rajesh Sharma : We have roughly Rs. 400 crores of net cash available with us. And we have just announced a second interim dividend today.

Moderator: As there are no further questions, I now hand the conference over to the management for the

closing comments.

Rajesh Sharma : Thank you, IIFL. Thank you, Percy , and thank you all the participants for joining us this conference call on our Q3 results. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of IIFL Securities Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Jun 2024

regd. office : 687 anandapur e. m. bypass kolkata 700107 India
phone: 91 33 6613 6264 tele fax: 91 33 6613 6600 e-mail: investors@emamigroup.com website: www.emamiltd.in
CIN: L63993WB1983PLC036030

Date: 03rd June, 2024

The Manager The Manager

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Department Listing Department

Phiroze Jeejeebhoy Towers Exchange Plaza, 5th Floor, Plot No. C/1

Dalal Street G Block, Bandra Kurla Complex

Mumbai- 400001 Bandra (E), Mumbai-400 051

Scrip Code: 531162 Symbol: EMAMILTD

Sub: Transcript of Investor Conference Call pertaining to the Audited Financial results of the Company for the quarter and year ended March 31, 2024

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed the transcript of the Investors' conference call held on

29th May, 2024, post declaration of the Audited Financial Results (Standalone & Consolidated) for the quarter and year ended 31st March, 2024.

The said transcript is also available on the website of the Company at: www.emamiltd.in

Thanking You,

Yours Sincerely,

For Emami Limited

Ashok Purohit

Dy. Company Secretary

Membership No: F7490

(Encl: a/a)

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"Emami Limited Q4 FY-24 Earnings Conference Call"

May 29 , 2024

MANAGEMENT : MR. MOHAN GOENKA – WHOLE -TIME DIRECTOR AND
VICE CHAIRMAN , EMAMI LIMITED

MR. VIVEK DHIR – CEO INTERNATIONAL BUSINESS ,
EMAMI LIMITED

MR. GUL RAJ BHATIA – PRESIDENT , HEALTHCARE ,
EMAMI LIMITED

MR. MANISH GUPTA – PRESIDENT , SALES , EMAMI
LIMITED

MR. RAJESH SHARMA – PRESIDENT , FINANCE & IR,
EMAMI LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL SECURITIES LIMITED

Emami Limited

May 29 , 2024

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Moderator : Ladies and gentlemen , good day and welcome to Emami Limited Q4 FY24 earnings conference call hosted by IIFL Securities Limited.

As a reminder , all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance

during the conference call , please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Securities Limited. Thank you and over to you sir.

Percy Panthaki : Hi everyone , good evening. It's our pleasure to host the Management of Emami Limited for their 4Q Call.

I have with me on the line , Mr. Mohan Goenka – Whole -Time Director and Vice Chairman , Mr. Vivek Dhir – CEO International Business , Mr. Gul Raj Bhatia – President , Healthcare , Mr. Manish Gupta – President Sales and Mr. Rajesh Sharma – President , Finance and IR.

I will now handover the call to Mr. Mohan Goenka , who will take you through the presentation and then we will open up for Q &A. Over to you sir.

Mohan Goenka : Thank you Percy. A very good afternoon , ladies and gentlemen. Thank you all for joining us today. It's a pleasure to have you with us as we reflect on the performance of the past quarter.

I am pleased to share that we have navigated through headwinds with our ongoing efforts on distribution and brand building yielding positive results , reporting a volume led revenue growth during the fourth quarter. Notably the rural market is also witnessing a recovery which bodes well for our future prospects. While consolidated net sales at 881 crores grew by 8% , revenue from operations at 891 crores grew by 7% over the previous year in Q4. Our domestic business grew by 8% with a healthy volume growth of 6.4% .

Coming to our brand wise performance :

Pain management grew by 9% , healthcare grew by 10% and 7 oils in one grew by 20% , Boro plus range grew by 33% on account of extended winters . While Navaratna and Dermicool posted growth of 1% during the quarter , Male grooming range and Kesh King range were impacted on account of lower discretionary consumption and declined by 2% and 9% respectively. However , we believe this is a short -term issue and both the brands would bounce back once the market recovers . Further I am happy to share that Helios and Brillare continued to grow robustly by 86%.

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During the quarter , we launched Nature First healthy radiance range under Fair and Handsome brand and also introduced four digital first on Zanducare D2C portal .

Increased distribution through project KHOJ resulted in additional coverage of more than 20 ,000 towns in rural regions . Since the launch of the project more than 15% of our direct rural sales were achieved from these newly activated coverage towns. Further our sales enablers like upsell , cross sell tool , beat optimization and chemist outlet expansions were also scaled up during the year. Additionally , our contribution from modern trade at 10% increased by 110 basis points and e-commerce contribution at around 12% increased by 290 basis points in FY24.

Despite the geopolitical crisis and currency depreciations in key geographies , our international business grew by 9% in constant currency and 8% in INR terms driven primarily by MENA region . In FY24 sales of 7 oils in one crossed INR 1 billion in the international markets. Creme 21 also registered its highest ever sales. Our international business further strengthened its portfolio by introducing a range of shampoos and conditioners under 7 oils in one brand and the baby care range under Creme 21.

Our gross margins at 65.8% expanded by 270 basis points. We invested strongly behind brand building activities resulting

in 39% growth in A&P spends in this quarter. Despite such investments , EBITDA at 211 crores grew by 6%. For the full year , we achieved revenues of 3,578 crores with a growth of 5% with gross margin of 67.6% expanding by 290 basis points. EBITDA at 950 crores grew by 10% with margins expanding to 26.5% , an increase of 120 basis points. Our profit after tax at 724 crores grew by 13%.

Looking ahead , we anticipate an improvement in consumptions , both in urban and rural markets , sustained by optimistic prospects for the Rabi crop and a forecast of normal monsoons. Our commitment to investments behind our power brands , expanding distribution network and enhancing capabilities positions us favorably to seize market opportunities. Our outlook for the coming quarters remains positive. With a strong summer season and forecast of a good monsoon , we will continue to be focused on our objective of achieving sustainable and profit -led, volume driven growth and amplifying our new growth engines. Favorable macroeconomic indicators , accelerated expansion efforts across emerging channels and strategic initiatives alongside a robust innovation pipeline , coupled with sustained investments in core brands will propel us towards strong growth in the days to come.

I now open the floor for Q &A. Thank you.

Moderator : Thank you very much . We will now begin the question -and-answer session. First question is from the line of Arnab Mitra from Goldman Sachs.

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Arnab Mitra : Mohan ji, couple of questions from my side. So , you mentioned the rural pickup. Are you seeing it in your own sales numbers or is it more a reflection of the Nielsen data which is I think now showing rural going a little ahead. So, just wanted some sense of what you're actually seeing on the ground in the march quarter and also in the June quarter till now ?

Mohan Goenka: Arnab , I am talking about our internal numbers. Not so much from the Nielsen , of course Nielsen also in the last 4-5 months they have been very bullish on rural. But internally also we are seeing some signs of recovery from all corners which we are also seeing in this quarter. So, hopefully this trend continues both in the urban and the rural areas.

Arnab Mitra: And Mohan ji this quarter specifically other than Boroplus which is obviously bit seasonal , the non-seasonal categories like pain and healthcare have also seen some pickup. So , do you think there is something overall like improving at that end or would you more put it down to the distribution initiatives on your side?

Mohan Goenka: Arnab as our distribution initiatives have been going on for quite some time now. The project Khoj has been there for last almost six to seven quarters. But definitely there is recovery, we are seeing across channels and there is momentum , both in healthcare in pain, in summer portfolio. So, there is some kind of a recovery which we are seeing across channels.

Arnab Mitra: And my last question was on margin. So , in this quarter specifically the GM increase was more than offset by the advertising spend increase. Is this a trend you expect an FY25 or do we see actually some EBITDA margin expansion also if the growth remains reasonably healthy?

Mohan Goenka: On margin front Arnab , we are well positioned. That's why we could spend 39% growth we have seen this quarter also. We would want to spend on our core brands for growth that is for sure. If the momentum continues , our advertising would also go up. But because the input side input is benign still. So , there might be some margin expansion in this year what we expect.

Moderator: Next question is from the line of Hari t Kapoor from Investec.

Harit Kapoor: My first question is on the summer portfolio. So , if you look at Q4 obviously , the summer portfolio growth has not been great, and I guess it was probably due to a

delayed winter. But I

just wanted to get your sense about how the first quarter is kind of moved , at least the initial trend. It looks like it's been a strong summer, and most categories are going to see pick up. So, I was just wondering if you have seen that in your performance as well , at least from a summer perspective.

Manish Gupta: So, the good news is yes , we are seeing it absolutely on the numbers. I mean the summer this year as you rightly said is like been extremely severe and we are benefiting from that.

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Harit Kapoor: The second thing is on the ad spend. So , Mohan ji, you've got a 20% kind of A&P to sales ratio which you haven't done as such consistently. I was just wondering with the market outlook improving a little bit , do you see pace of innovation kind of further picking up over the next 12 to 18 months? Because I remember you saying that we're ready with a lot of things, but the market is not conducive. But with the market now picking up do you see more news there? I know you have done 35 plus in the products and variant launches but just wanted to get your sense on that and how does that reflect on the A&P side as well?

Mohan Goenka: So, very much , Harit, I think we are well positioned now. A lot of new launches are in the pipeline. You would definitely see some coming in the next two quarters. So , we are bullish now. We are well settled , both in terms of distribution and innovation margins. So , we would be aggressive very honestly going forward.

Harit Kapoor: And the last thing was on pricing. So, typically , you have a 2% to 4% type of a price increase trajectory on an annual basis to take care of , not only COGS but also the other OPEX . I was just wondering whether you've actioned some of that already , do you expect that happening during the year , how do we see that?

Mohan Goenka: Harit , honestly, we would not be very aggressive in terms of price increases because the input as I said are benign. We are expecting a bit of margin expansion despite of less price increases. Price increase , we expect not more than 2%-2.5% in this year.

Moderator: Next question is from the line of Mr. Percy Panthaki from IIFL Securities.

Percy Panthaki: Very interesting to note the growth in the sort of new age brands Brillare and Man Company . Can you give some idea on how big those brands are if not in absolute rupees crores , some indication in terms of what percentage of sales do they contribute to this quarter?

Rajesh Sharma: So, both TMC and Bill are would be contributing over 200 crores kind of to our revenues for the full financial year this year.

Percy Panthaki: Are you also seeing like a good quarter -on-quarter ramp up or it's more or less equally spread out throughout the quarters?

Rajesh Sharma: It's slightly increasing quarter -on-quarter going ahead. So , this quarter also if you look our growth has been significant at more than 80% compared to overall 60% kind of growth for the full year.

Percy Panthaki: Secondly , I just wanted to understand , what is the pipeline inventory as of end of March? Is it higher than what it should be around that time of the year or is it lower than what it should be at that time of the year? How are you placed on the pipeline both in the distributor as well as the other parts of the trade?

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Manish Gupta: So, for the month of March because as you know we start loading for the summer. So, I like to like we are in a good situation. There are a couple of concerns which we have addressed in the month of April and May but nothing to be worried about.

Percy Panthaki: So, would I be right in assuming that actually the summer sell -in would have been sort of lower than expected because the onset of summer was delayed or that's not the case?

Manish Gupta: No, not really. See the onset

has an implication on the tertiary and the secondary part. But from a loading perspective we were pretty much in line with how things worked out. So , we typically start in the month of February onwards , so no change.

Percy Panthaki: And how would this affect your primary sales for Q1 if at all there is any effect? Should we— because the loading has already happened, but the sale has been delayed because of the delayed onset —do we see the sales sort of being a little softer in Q1 or that's not the way to look at it?

Manish Gupta: No. See I think one change which we have made consciously is that to be prudent about what kind of loading we do in Quarter 4 as we are into Feb and March. So , we've been very cognizant about it and thanks to the great summer start which has happened , actually we are right now in a very good situation on April and May , so you won't see a softer Q1 to that extent.

Percy Panthaki: Also , on Kesh King brand what really is that brand? Why are we seeing declines in this? And I mean if I look at the brand history over the last 7-8 years since you have acquired it , it has been a roller coaster ride? There are some years in which it does very well and then some years in which it sort of stagnates or declines. Then some initiatives are taken due to which again we see a strong growth and then again it declines. So , what really do we need to have a more steady stable modest growth in this brand? And what is currently the problem , that is the brand due to which there is a decline in the sales ?

Mohan Goenka: So, Percy if you see last 5 years CAGR , Kesh King has grown at about 4% which is in line with many of our other brands. Of course , you are right that there is less of consistency, but we are taking a lot of steps for Kesh King to see that we grew at about 5% to 7%. Of course , there has been a lot of competitive intensity in this category , not just from some of the other brands but also some of the D2C brands. So , we are just reworking on this to see how we can grow at 5% to 7% consistently on Kesh King. We have aggressive plans for shampoos under Kesh King.

Percy Panthaki: And the other area which has not been doing well since quite some time is the male grooming range. So , what are the plans to revive that? We have tried different things. We have launched different products. Some have worked some have not worked. A few years ago , a problem was identified that the face is getting covered with beard and therefore people are using less of this. But how do we —I mean I understand all the issues but —is it possible first of all to tackle these issues and bring the male grooming range back to a healthy growth or you think that this is a

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structural issue and we have to live with it and therefore the growth will be lackluster in this sub segment ?

Mohan Goenka: Percy, we have taken some very interesting call for male grooming though we have been going very aggressively as far as The Man Company is concerned. But yes , Fair & Handsome for the last few years is struggling. We have made a note of it and we have reworked on the strategy. You would see something coming in the Q2 of this year.

Percy Panthaki: So, when you are giving these numbers of male grooming which is for Q4, it is excluding The Man Company, or this includes The Man Company also ?

Rajesh Sharma : Excluding The Man Company.

Moderator: Next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Just two questions. I think Manish alluded saying that the season has panned out very well for Navratna. What is the growth which has panned out in Boro plus? Is there any separate initiatives we have taken ?

Mohan Goenka: Shirish, you mean in the first quarter for Boroplus?

Shirish Pardeshi: Yes, Quarter 4 Boroplus growth is much stronger.

Mohan Goenka: Right. That was for

there was delayed winter. So, that's why we saw that growth. But Q 1

Boroplus is very small. Extended winters in Q4.

Shirish Pardeshi: Therefore, my question is that we might have seen the extended winter and growth is better. But if that inventory is getting stuck, I understand the Quarter 1 and Quarter 2 will be a slower saliency for the Boro plus. But is there any specific beyond winter effect has happened?

Mohan Goenka: No not really, Shirish. It is just due to the extended winters.

Shirish Pardeshi: Mohan ji my second question is on international business. Again, international business has been little volatile when we look at last three to four quarters. What is the steady state growth we are seeing? Maybe 2 years before we have done a lot of changes in the international business. So, maybe if you can add what kind of pains we are struggling and seeing at this time and what kind of growth we are aspiring for FY25?

Vivek Dhir: So, international business has been really stable even post Covid as well. It is not three or four quarters. It is around maybe the last 12 quarters. You will see numbers are happening. So, fundamental strengthening of the structure in each of the geography is also happening. We have also made some recent changes in Nepal to pave the way for local manufacturing in maybe two

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years down the line. So, things are happening. We are branding. We are doing local innovations in many countries. We are doing the manufacturing. And manufacturing is further led by localization of procurement as well. Many things are happening altogether to have a permanent growth in the international business and we will have double digit growth in coming quarters as well. So, we don't have any concerns per se apart from political disturbances or the currency issues which are happening to us in Bangladesh or Russia, currencies are tanked for us. Political issues have happened. Bangladesh had seen some election time during the month of December and January. So, those are macroeconomic issues.

Shirish Pardeshi: My second last question on the D 2C brands. Rajesh ji would you be able to quantify what kind of revenue contribution or absolute number we would have got for these two companies Man Company and Brillare in FY24 and what kind of profitability or losses we would have booked for the entire year?

Rajesh Sharma: So, both put together TMC and Brillare, we got turnovers of over 200 crores for the last financial year. And of that, the bulk of the revenues have come from The Man Company where it is now EBITDA positive since last year. So, there we are not incurring any losses anymore. Brillare being a smaller contributor is still investment phase and has good plans of growth going ahead.

Rajesh Sharma: But the loss on Brillare has come down significantly.

Shirish Pardeshi: That's what I wanted to check. But then anyway I will take it offline. This last question on the margin front are we aspiring because most of the FMCG companies are saying that there is a chance that they might take some price increase. So, have we implemented any price increases in last 40-50 days or planning to take?

Mohan Goenka: Yes, we have taken some price increases in some of our portfolios Shirish. But as I said for the year it could not exceed more than 2%.

Moderator: Next question is from the line of Nilai Shah from Moon capital.

Nillai Shah: Mohanji, just one question from my end. In terms of Fiscal '25 growth aspirations, what would that number be given the fact that the summer seems to have worked out well which is laid into 1Q as Manish mentioned and then we also will be cycling basically two back-to-back weak winter seasons? So, would you say a double-digit growth is something that Emami should be aspiring to for Fiscal '25?

Mohan Goenka: Definitely, Nillai. I think as the summer

has started well and you are right, we have lower basis

for winters. So, we definitely expect more than 10% growth for the financial year.

Moderator: It seems that we have lost the connection from the current questioner. We will move to the next question from the line of Harit Kapoor from Investec.

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Harit Kapoor: Follow up, on the distribution side, the last couple of years we have seen GT lag quite materially in terms of growth. While we've done very well on the new channel, I was just wondering whether this decline in GT has kind of narrowed in the last quarter or two especially with rural improving a little bit. So, just wanted to get your sense on that as well as obviously your own initiatives in GT. So, just wanted to get your sense on how that channel has done over the last 3-4-5 months?

Manish Gupta: So, as you know, typically what's happening in the industry is that GT's obviously a step behind in terms of growth versus an MT and an e-comm channel. And there's a fair bit of interplay between the channels itself due to the nature of the channels itself. The good part for us is Khoj has been a big discovery and helping us grow fast in rural. The good news is that over the last

one year we have also taken steps. We were kind of facing a bit of a headwind in the urban GT channels which we were addressing via addressing the top end of the urban GT, addressing the pharmacy channel in GT, addressing upsell, cross sell and developing the distributors and the beat optimizations and stuff. So, there is a fair bit of action which is happening in the urban GT channels because that's where the growth is, that's where the consumer is and that's where we are seeing a lot of action. So, while Khoj continues to be a mainstay from a rural expansion perspective, there's a fair bit of attention that we are putting towards the urban GT now because rural is kind of, Khoj is now kind of stabilized. We can put our attention on the urban GT numbers.

Mohan Goenka: Now Harit and interestingly in the last 4-5 months you are right, we have increased a lot of focus on the urban GT, and we are seeing positive results coming in from there.

Moderator: Next question is from the line of Dhiraj Mistry from Antique Stock Broking.

Dhiraj Mistry: My first question is regarding can you break up current quarter sales between rural growth and urban growth for the quarter?

Manish Gupta: 7% and 8%. I am talking about because you see this number will not have channels like CSD, modern trade, e-comm and all that. I am saying this is just a split of the GT portion only because rest of the channels will not get added into this.

Dhiraj Mistry: So, can you help us the growth for modern trade and e-commerce for the quarter?

Manish Gupta: So, modern trade is about 17% and e-commerce 37%.

Dhiraj Mistry: And second question is regarding Zandu brand that we have open 3 EBO stores also extended that juices in online e-commerce channel. How do we see that going ahead that this category has particularly faced volatile growth rate since COVID time and how should we project going ahead?

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Gul Raj Bhatia: I would say that from a D2C perspective, we've done a number of digital first product launches over the last 3 years as you would be aware, and we are seeing growth happening year-on-year quarter-on-quarter. And the growth has been fairly steady and fairly good. Specific to the point you raised about juices and about EBOs, in juices I think the category in some segments of juices is performing very well online D2C, especially for products offering customized or specific health benefits for certain body parts or certain ailments where it's not possible to get a wide distribution in the GT segment and hence these tend to do well in a D2C scenario or in a D2c market. Re

garding the EBOs, we are doing a pilot test launch to see whether we can besides being present in online, besides being present on e-comm channels, besides being present in modern day and emerging channels, can we also see whether we can leverage the malls etc. So, it's still at a very test phase. It's still very early to say whether we would extend it on a large scale. So, it's not going to be a strategic growth driver for the D2C business in terms of the EBO channel perspective. Because while there is an opportunity there is a certain cost element also. So, from an ROI perspective it doesn't become as viable as an online channel.

Dhiraj Mistry: Next question is on e-commerce channel profitability. Leaving apart Man Company and Brillare, that is D2C products. Our core product, how would be the profitability for those products in online e-commerce channel whether it would be more or less similar to our general trade modern, trade channel or it would be slightly lower than that?

Rajesh Sharma: The profitability for e-comm is slightly lower than the overall profitability for GT obviously because of higher discounts and offers being offered to the consumers.

Dhiraj Mistry: And what would be that difference between those channels?

Rajesh Sharma: So, it is slightly lower I would say, difficult to give a specific number but slightly lower.

Dhiraj Mistry: Two bookkeeping questions, what would be the amortization amount going ahead and effective tax rate for FY25?

Rajesh Sharma: So, amortization would be roughly 100 crores. You can consider that for the next 2-3 years and Pacharia plant in Guwahati will enjoy tax benefits till FY26. For next 2 years our tax rate should be around 10%, considering MAT credit which would be available to us.

Moderator: Next question is from the line of Anurag Dayal from HSBC.

Anurag Dayal: So, first related to Zandu, basically I wanted to get some update on the toothpaste which you launched earlier. So, how has been the reception so far? Could you give me some update on the same?

Gul Raj Bhatia: We did the online launch about 2.5 months back of Dantever and the modern trade e-comm launch about a month and a half back. So, we are seeing good traction online regarding modern trade

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and e-commerce. It's probably still too early to say because we've done the sell in, and we started

the marketing programs. So, we will probably get to know in another month or two on how the responses in terms of how do we take it forward. But the overall very sort of early signals we are getting is that we are getting trials. What is important as you know in these categories is to see what the repeat purchases are and the repeat purchase cycle will take a couple of months more to see whether consumers come back or so, probably still a bit early to say. We will probably know by maybe July end on what the repeats are and how it scales.

Anurag Dayal: So, the end game is basically if it does well, we will get into GT to expand the market.

Mohan Goenka: We would probably evaluate it very closely in terms of what kind of consumer penetration we get, what kind of repeat we get, what kind of ROI we get. Because the GT market is as you know fairly competitive with fairly high media spends by most of the major brands. So, at this point of time, we've not really thought about getting into the GT market at least for a fairly extended time. We would want to be these. But if we see a very rapid scale up and we find that GT has a high potential we would obviously consider it

Anurag Dayal: Another clarification I need is a round the domestic volume of 6% and value of 8%. So, does it include the new age brands as well or just the core brands?

Mohan Goenka: By new age you mean online?

Anurag Dayal: Yes, online ones.

Mohan Goenka: Yes, it includes that also.

Anurag Dayal:

Excluding that what could be the volume growth, how much basis point lower?

Mohan Goenka: We would be in high single digits in terms of growth for non D2C for Quarter 4 because in Quarter 4 we've done particularly well. So, we hope to continue the momentum going forward in the current quarter and the next few quarters also, the coming years also.

Moderator: We have our next question from the line of Mr. Percy Panthaki from IIFL Securities.

Percy Panthaki: Just wanted to understand what is the increase in distribution over the last 3 years in terms of outlets as well as in terms of valuated distribution?

Manish Gupta: I will rather answer it in different way. As you know we have invested a lot in both in chemist expansion, Khoj expansion, rural expansion and all that. Rather than now focusing on the numerical as we discussed some time back, we are now focusing on the quality of distribution and the quality of inputs. I think going forward what you'll hear from us is that how do we not just rely on numeric increase but rather a quality of distribution bettering.

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Percy Panthaki: And how much is the numerical distribution right now?

Manish Gupta: So, our reach is almost in the range of 10 lakh outlets between urban and rural networks on a full year basis.

Percy Panthaki: So, that is the direct reach, 1 million?

Manish Gupta: Correct.

Percy Panthaki: And since you are focusing also in addition to rural on urban also in terms of the reach chemist and all that. Would you be able to share, or would you have any data on how the valuated distribution has gone up? Because it is possible that maybe your number of outlets have not gone up too much. But if you have chosen outlets which are relatively larger in terms of throughput then basically your valuated number would have gone up materially.

Manish Gupta: So, that's exactly what we wanted to address. Obviously as you know in FMCG industry the rate of principle is very sharp. The head is very strong, and the tail is very long for all the companies in all the categories. What we want to do is, diffuse the head a bit and have more participation of the big players in this market and avoid the risk of concentration because that's not good for us, both from sales as well as spends perspective. So, that's the reason to trim the tail, grow the head and elongate the head a bit so that we are more evenly poised to play with our large portfolio. Our portfolio is growing every year, so we need to be a little more savvy in how we reach these stores with the various portfolios.

Percy Panthaki: And can you explain in terms of distribution, what is the exact organization like? Is there a super distributor, sub-distributor model or is it that directly from your warehouse it goes to a distributor and then the distributor does a direct distribution to the retail? I am sure it will be maybe a combination of both. Maybe in rural areas you will have a sub-distributor kind of model. So, can you explain a little bit on that and if at all there has been a change in that? If let's say you have moved a little more towards a direct distribution and not through a super distributor if something like that has happened some flavor on that?

Mohan Goenka: Percy is it possible to take this offline because this is well established model, nothing has changed per se. If you really want to go into the details of it, I would request to take it offline with Manish.

Percy Panthaki: Absolutely, I will do that sir. That's all from my side. There are no further people in the queue. Okay, there's one person I see in the queue right now. So, maybe we can take the question.

Moderator: Next question is from the line of Nitin from Emkay.

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Nitin: I have two questions. First is on cooling oil , for the category we hav

e seen multiple traditional players entering the category. And given the summer is favorable , how do you see the competitive intensity in this category?

Mohan Goenka: There is competitive intensity we have seen last year. But we are not seeing it impacting our Navratna oil or the Na vratna Cool Talc. So, we are going strong. The summer is also this year. So, we have not seen any impact of competitiveness .

Nitin: And any sense on like the increase in participant has helped driving better growth in the category ?

Mohan Goenka: We haven' t seen much honestly. We will have to wait for one more season. .

Nitin: And the last question is with respect to pain management and healthcare which has grown 9 %-10%. So, we can see that there is a favorable base. So , can we attribute it largely to favorable base or like it is also the extended winter has helped this portfolio ?

Mohan Goenka: It is primarily because of the extended winters , you are right.

Moderator: Thank you . As there are no further questions from the participants , I would now like to hand the conference over to the management for the closing comments.

Rajesh Sharma: We thank all the participants for joining us today at our Quarter 4 results con-call. Thank you IIFL. Thank you , Percy for arranging thi s call. Thank you. Have a good day.

Mohan Goenka: Thank you everyone.

Moderator: Thank you . On behalf of IIFL Securities Limited , that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Disclaimer - The follo wing transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Aug 2024

regd. office : 687 Anandapur e. m. bypass Kolkata 700107 India
phone: 91 33 6613 6264 tele fax: 91 33 6613 6600 e-mail: investors@emamigroup.com website: www.emamiltd.in
CIN: L63993WB1983PLC036030

Date: 5th August, 2024

The Manager The Manager

The National Stock Exchange of India Ltd. BSE Limited

Listing Department Corporate Relationship Department

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Mumbai – 400 051 Mumbai – 400 001

Symbol: Symbol: EMAMILTD Scrip Code: 531162

Sub: Transcript of Investor Conference Call pertaining to the Unaudited Financial results of the Company for the First Quarter ended 30th June, 2024.

Dear Sir/ Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Investors' conference call held on 1st August, 2024, post declaration of Unaudited Financial Results (Standalone & Consolidated) for the First Quarter ended 30th June, 2024.

The said transcript is also available on the website of the Company at www.emamiltd.in.

This is for your information and records.

Thanking You,

For Emami Limited,

Ashok Purohit

Dy. Company Secretary

Membership No: F7490

(Encl: As above)

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"Emami Limited

Q1 FY'25 Earnings Conference Call "

August 01 , 2024

MANAGEMENT : MR. MOHAN GOENKA – VICE CHAIRMAN AND
WHOLE -TIME DIRECTOR – EMAMI LIMITED

MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER ,

INTERNATIONAL BUSINESS – EMAMI LIMITED

MR. GUL RAJ BHATIA – PRESIDENT , HEALTH

CARE– EMAMI LIMITED

MR. MANISH GUPTA – PRESIDENT SALES – EMAMI

LIMITED

MR. RAJESH SHARMA – PRESIDENT , FINANCE AND

INVESTOR RELATIONS – EMAMI LIMITED

MODERATOR : MR. PERCY – IIFL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Emami Limited Q1 FY'25 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy from IIFL Securities Limited. Thank you, and over to you, sir.

Percy: Hi. Good evening, everyone. Welcome to this Emami Conference Call for Q1 FY'25. I have on the call with me Mr. Mohan Goenka, Whole -Time Director and Vice Chairman; Mr. Vivek Dhir, CEO, International Business; Mr. Gul Raj Bhatia, President, Health Care; Mr. Manish Gupta, President, Sales; and Mr. Rajesh Sharma, President Finance and IR.

I'll hand over the call to Mr. Mohan Goenka for his initial comments and then we'll open up for Q&A. Over to you, sir.

Mohan Goenka: Thank you, Percy. A very good afternoon, ladies and gentlemen. Thank you all for joining us today. It's a pleasure to have you with us as we reflect on the performance of the past quarter. As we celebrate 50 years of Emami, commemorating five decades of delivering happiness to consumers across the globe, I am happy to announce that this milestone year has begun on a positive note marked by sequential improvement in demand trends and fructification of our strategic initiatives. Our resilience and innovative spirit has been the cornerstone of our success, driving us to achieve commendable performance and setting the stage for a bright and prosperous future.

Rural demand showed gradual improvement with slight green shoots emerging. As you are aware that the country experienced its hottest summer in 14 years, leading to robust demand for summer products. Discretionary consumption was, however, impacted due to increasing food prices and muted consumer confidence. In this context, the company achieved commendable profitability driven by volume growth.

Our consolidated revenue at INR906 crores grew by 10% over the previous year. The domestic business saw an 8.7% growth in volume terms and a 10% growth in value, led by our summer portfolio. Navratna and Dermicool grew by 27%, while our healthcare range grew by 11%. 7 Oils in One grew by 9%, BoroPlus grew by 4%. Additionally, The Man Company and Brillare continued to perform well, growing by 23%.

The Pain Management range faced headwinds declining by 7% due to heat waves but sales have begun to pick up since June. While the slowdown in discretionary consumptions continue to impact Male Grooming and Kesh King range, which declined by 5% and 15%, respectively, we are implementing various strategic initiatives, revitalize these portfolios and restore their growth trajectory in the coming quarters.

During the quarter, we launched the first prickly heat powder for women, Dermicool Her and Dermicool Soap with superior cooling effects in the modern trade and e-commerce channel to Emami Limited

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leverage the brand equity of Dermicool. Additionally, we also introduced various digital first products under Kesh King and Zandu care portal. Organized channels continued to perform well. The modern trade growing by an impressive 25% and e-commerce surging by 29%, both contributing 11% to our domestic business. Our institutional business also grew strongly by 23% and general trade also returned to positive territory.

International business grew by 11% in constant currency terms and by 10% in INR terms, led by MENA and SAARC regions. Despite facing currency depreciation in Bangladesh and macro issues impacting the CIS performance, we achieved double-digit growth, led by

key brands such

as Navratna, Creme 21, 7 Oils in One and Kesh King.

From the financial performance perspective, our gross margin at 67.7% grew by 230 basis points. EBITDA at INR216 crores grew by 14% despite a 21% increase in A&P spends with EBITDA margins increasing by 90 basis points. While profit before tax at INR128 crores surged by 19% with margins expanding by 160 basis points and profit after tax at INR153 crores also grew by 11%.

We remain committed to our aspiration of delivering sustainable and profitable volume-led growth. We continue to focus on our strategy to improve our distribution reach, invest aggressively in our key brands and drive market share growth across our portfolio. With the forecast of a normal monsoon and the government's continued focus on macroeconomic growth, we expect the improvement to further accelerate in the coming months. Thank you for your continued support and confidence in our company. We look forward to a promising year ahead. Thank you.

Now we open the floor for Q&A.

Moderator: The first question is from the line of Abneesh Roy from Nuvama.

Abneesh Roy: Congrats on the good set of numbers. My first question is on healthcare and Zandu care. So good 11% growth in healthcare overall with La Nina effect this time, which means generally harsh winter. Would you be extra aggressive in terms of the inventory buildup?

And in terms of Zandu care, if you could tell us what is the right to win here? You have done well. It seems a good double-digit growth in Q1 in Zandu care. Those five products which are being launched, for example, in the digital first, what is the competition here? How is your pricing versus the other large players? And what is the right to win here? Because digitally, many companies are launching. But ultimately, how do you get a good market share here? Will it be more of pricing-led only? If you could elaborate on that setting?

Gul Raj Bhatia: Yes, thank you for the very pertinent questions you raised. I think, and thanks for your compliments on the growth. I think from a Zanducare perspective, to answer the two, three questions you raised. As you're aware, the focus is on the online sales, whether it is through

Zanducare as the D2C platform or through the other e-comm platforms such as Amazon, Flipkart, et cetera and then the e-pharmacy change. And we were also launching many of these products in the modern trade space.

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So our pricing, obviously, compared to the regular products which are available in the GT space is as a premium. But it's more or less in line with some of our major competitors. So it's not that we are overpriced compared to competition.

Secondly, what is our right to win. One is the Zandu brand in itself. In the ayurvedic space, Zandu would be among the top leading players in terms of the consumer perception, consumer equity, brand equity.

And thirdly, the kind of product development capabilities we have from an R&D perspective would be unmatched. And the fact that we had two WHO GMP manufacturing units. WHO GMP certification is very difficult to obtain. We are probably the only player who has got two manufacturing units in the country.

So from a product quality perspective, from a product efficacy perspective, finally we are in the healthcare space, so we have to deliver on the efficacy. So from all that perspectives whether it is the price change, the marketing strategy, the product quality, the product efficacy, I think we have a right to win on each and every product which we are launching it.

Abneesh Roy: And which one...

Mohan Goenka: Just to add, we are the first mover advantage. See not many companies have their own platform. We had launched just post COVID and we are seeing good traction from Zanducare. Now we have robust data in the last 2, 2.5 years since we have launched. So we are also r

eaching now to

lakhs and lakhs of consumers. So though it is in the initial phase, but in terms of advertising, in terms of spend from healthcare, it's going to be significantly high compared to the CCD. So it - we will see a double-digit growth going forward in the healthcare.

Abneesh Roy: Understood. My second question is on the category, which was the most challenging this time.

So Kesh King minus 15% Y-o-Y. If I see the largest market share in hair oil, they are also being struggling in value added hair oil for many years now and Kesh King is also in the premium. So where is the customer going, is he just down trading? What will be your sense of growth for the other key player because they have also been advertising a lot? And when I compare this with the 9% growth in the 7 Oils in One, I understand it will be on a smaller base. How do you explain in one 9% growth and then in the more premium 15% decline?

Mohan Goenka: Abneesh, Kesh King has a pattern. In some quarters, it comes to growth, in some quarters, it declines depending on the consumer promotions and trade promotions that we offer. Overall, we will not see such kind of a decline going forward. This quarter, hopefully, we will get to growth numbers. So year-end, yes, I agree that it is in the range of about 3% to 4% decline. For that, of course, we are setting up a strategy through BCG. But I'm not very concerned that 15% decline would continue for surely it should not be the decline.

Yes. Overall, the market for hair oil, particularly the premium hair fall segment, hair oil market is on a decline for quite some time now. So that we will have to see when the consumer bounces back, not very sure. But rural, has the rural market is picking up, we are seeing some green shoots, hopefully, it should come to a positive trend.

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Abneesh Roy: One last follow-up and that will be my last question. So, when you say that hair promotions are very quarter specific and that's how growth is. Could you comment on the competitive intensity also and why promotions are so volatile? Is it a more push strategy which is working currently? And for Kesh King, will it be like the company average 50% from rural, 50% from urban more urban salient?

Mohan Goenka: Kesh King is more rural salient, Abneesh. And this has been a trend in the past also, nothing that we had changed. So depending on the consumer promotions, the market behaves like that. So in a year, we do two promotions. And whenever we do promotions, the sales picks up.

Abneesh Roy: And competition?

Mohan Goenka: Competition intensity honestly has come down a bit in this segment. We have particularly Indulekha and Patanjali are main competitors. There, we are seeing intensity coming down.

Moderator: The next question is from the line of Awais Bakshi from Sundaram Mutual.

Awais Bakshi: So my only question is pertaining to the digital and new entrant portfolio. While we have seen a steady growth across 20% this quarter, can you comment on what would be the size of these

brands now also on outside this? Any comments on the profitability of these then? And lastly, any guidance on margin contribution from these brands for overall EBITDA? These three broad points, if you can shed some light on would be helpful.

Rajesh Sharma : Overall, if you look at our portfolio, e-commerce and modern trade channels have done well over the last few years and we have also launched some D2C brands. We have also done some strategic investments in D2C portfolio via Helios and Brillare, which have become our subsidiaries in last 1 year or 1.5 years period of time. So we -- those margins are lower in these categories because of being a very smaller size compared to the larger core portfolio, but we see good growth potential and improving margins.

So when we acquired -- when we did investments in Helios, it was in investment

phase. But post

that, it broke even and started making profits. And others like Brillare is also into investment phase today because of the smaller size. But going ahead, we expect margins to improve on these fronts.

Awais Bakshi: And what would be the size of these brands now?

Rajesh Sharma : Like the brands which we have launched for our digital portfolio would be around INR 25 crores kind of size for us. And for The Man Company and Brillare is contributed to more than around 5% to 6% kind of revenues for us last year.

Awais Bakshi: Sure. In terms of profitability sir I mean they've been [inaudible 16:25] core portfolio but still better in terms of EBITDA margin?

Rajesh Sharma : Very small margins. Most of them are into investment phase. As I said The Man Company, which is the bulk of the revenues for this is breakeven. It is earning some profits, but others are into investment phase.

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Awais Bakshi: Perfect sir. Thank you.

Mohan Goenka: Overall everything put together it is still negative.

Awais Bakshi: Sure sir. Helpful. Thanks.

Moderator: Thank you. The next question is from the line of Binay Shukla PhillipCapital. Please go ahead.

Binay Shukla: One question on demand side. So how was the July month with respect to demand environment side, specifically in the rural market? If you can quantify how is the overall situation during the 2Q specifically for the July month?

Mohan Goenka: July was quite good Binay. So we'll have to wait for another because monsoon is good in most parts of the country. So we are seeing a good demand cycle.

Binay Shukla: Okay. And second question is on Kesh King side. Although we are taking the initiative to drive the growth such as you have launched all new products focusing on non-hair oil portfolio and providing continuous media support and that is reflected in your A&P cost. But what kind of sustainable growth run rate should we expect for next 2 to 3 years in Kesh King even though category headwind?

Mohan Goenka: As we are re-working on the strategy for Kesh King and we have roped in BCG to develop the long-term strategy. We expect to get to the growth, at least 5% plus growth on Kesh King.

Binay Shukla: Okay. And the PPT you mentioned that you are focusing on Maharashtra, Bihar, West Bengal.

So why are we focusing on only these three states, why not in other states?

Mohan Goenka: These are the primary states. These are the big competitors for Kesh King. So we're increasing our focus in these markets.

Binay Shukla: Okay. Sir, one just data point I'm looking for. Sir, how is the mix between when you are comparing with hair oil versus non-hair oil portfolio in Kesh King?

Mohan Goenka: Today shampoo would be roughly one-third of the overall portfolio.

Binay Shukla: Okay. And last question is on the guidance side because in your previous commentary, you did mention that you are expected to grow double digit revenue growth in '25, led by 2% to 3% price hike and balance [inaudible 19:12] from the volume growth. So are we still maintaining the same guidance or should we expect some better than what we have highlighted in the past commentary, given the improving metro trend and seeing the healthy recovery in rural market?

Mohan Goenka: So we don't give guidance overall. We have to see how the monsoon or the winter performs. But yes the momentum is good. The external factors like monsoon, the rural markets are shining. So we will have to wait and see how the market -- how the numbers come out. But we are optimistic that yes we will deliver better than our last numbers -- last year numbers.

Binay Shukla: Okay. If you allow there is one last question on the gross margin side. So on the rural gross margin expansion because it is led by the benign raw material prices or we are witnessing any

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upticki

ing of commodity prices? And just to follow up on the gross margin price. Should we also expect some GM improvement due to the change in product mix or just data point in terms of product mix, like how is the -- what percentage of revenue is coming from the premium portfolio?

Mohan Goenka: So we have seen expansion of gross margin this quarter and for the full year as a whole also we see some benefits on the gross margin front. And it is coming from benign raw material prices and also judicious price hikes whatever we have taken last year and this year and some amount of cost rationalization measures also which is there ongoing effort from our side.

Binay Shukla: So what is your revenue coming from the premium portfolio?

Mohan Goenka: Sorry which portfolio?

Binay Shukla: Premium portfolio, sir?

Rajesh Sharma : Premium portfolio as such we don't define our portfolio within premium and non -premium segment as such. So if you look at our core portfolio Emami is mostly everything is core and for mass market. You can say that the strategic investments which we have done in The Man Company and Brillare are premium ones which is roughly 5.5%, 6%, as I said earlier.

Binay Shukla: Okay. Any exploration to increase or improve of the [inaudible 21:34] what percentage in the next 2 to 3 years?

Rajesh Sharma : So our endeavour would be to focus on our core portfolio as well as the new venture which we have got into and the grow them larger ones. So it would all depend on the kind of growth trajectory we see for our core as well as the new areas. So whichever -- if everything goes in line we would be at a kind of a similar - revenues will be coming in a similar fashion, but obviously the strategic investments are pretty small today. So going ahead they have potential to deliver almost double digit kind of numbers to our top line. So their proportion should increase.

Binay Shukla: Okay. So one clarification on the volume growth, 8.7% volume which is except inorganic business or it is including TMC and Brillare?

Rajesh Sharma : So there is no inorganic portion in our numbers now. So these strategic investments have become subsidiary for more than a year now. So everything is in base today.

Binay Shukla: If I exclude the TMC and Brillare volume what will be adjusted volume growth for the quarter?

Rajesh Sharma : So without the strategic investments also our volume growth is over 7% kind of for the core business.

Moderator: Thank you very much. The next question is from the line of Harit Kapoor, Investec. Please go ahead.

Harit Kapoor: So just a few questions. One was you mentioned on the pricing side. So this quarter, pricing seems a tad lower. I just wanted to know do we expect incremental pricing actions in the balance part of the year or given the commodity environment there's no real need from that perspective?

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Mohan Goenka: So Harit, yes this year we will not be very aggressive with our price increases.

Harit Kapoor: Okay. Got it. Got it. And on -- you mentioned in your release as well as in your opening comments the expectation for growth to accelerate. This quarter is anyway has been quite a good quarter 9% volume growth is -- close to 9% volume growth is very healthy numbers, but there definitely has been the help of season. I'm just wondering this season being say neutral on a year-over-year basis for the next 2, 3, 4 quarters, do you still expect that the overall demand environment as well as your actions could lead to similar to accelerating growth? Is that the way to think about it?

Mohan Goenka: Sorry, that is, of course, our endeavour . And yes, this season, we benefited from summer no doubt . We could have done much better if you would had enough supplies. So a lot will depend on multiple factors, but let us enjoy what we are having right now, things are improving at the ground level. Rur

al markets are also shining. So hopefully, we expect anywhere between 5%, 6% volume; 1%, 2% value growth. So as I said, a lot depends on many external factors. Very, very difficult to really say what numbers we will achieve.

Harit Kapoor: Sure, sir. Fair point.

Mohan Goenka: But a lot is happening on distribution, Kesh King strategy, Fair and Handsome strategy, the brands which are not performing so well. Company is having increased focus on core portfolio.

Harit Kapoor: Great to hear. Great to hear.

Mohan Goenka: Advertising budgets have increased significantly over the last 2 quarters. This quarter also increased by 21%. And going forward also, we are going to be extremely aggressive in terms of trends, launches and lot happening honestly.

Harit Kapoor: Great to hear sir. And just you are saying let's enjoy a good thing . I was just wondering, July has

been a fairly -- from a seasonal perspective, it seems like it would have aided Pain Management. You had a rough room and I think July for a monsoon perspective has been strong. So is there a right way to read it that we should see a fairly quick turnaround if this one if the coming months are also okay?

Mohan Goenka: Yes, Pain portfolio is doing well in July because it's a peak season for this portfolio. So -- but we have another 2 months to go for the quarter. So let's see how it turns out to be.

Harit Kapoor: Great. Great. And one last question was you did mention on ground green shoots and things improving. I was wondering, are you seeing this at an all India level, this improvement on ground and there are certain markets, certain regions in rural that are doing better than others? Just your experience of how it's been doing sale is so strong?

Mohan Goenka: Manish, can you throw some light?

Manish Gupta: So overall, the uptick is everywhere, but I would especially call out for our business, at least North is a little ahead. East we're doing well. West, we are experiencing a lot of expansion of modern trade and hence, kind of channel shifts happening with general trade. And South has

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been pretty steady like always. If I were to call somebody out, I think at least our gains have been more in North.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: My first question is with regards to tax rate. If you look at the tax rate, it has been around 15%, I think last quarter was around 14% odd. And I think we have a guidance of around 10% tax rate for the next 2 years. So how -- is there any modification of tax rate is going up?

Rajesh Sharma: No, I think we have seen some higher tax rate in quarter 1, but we feel it should moderate down for the remaining part of the year. So for the full year, 10% to 11% should be maintainable.

Gaurav Jogani: And that will be a similar number for the next year result, sir?

Mohan Goenka: Yes.

Gaurav Jogani: Okay. And sir, my next question is with regards to The Man Company and the Brillare while the sizes are lower. But we have also seen the growth rates now coming around 20% to 25% off. So if there's a seasonal phenomenon where these trends continue to grow later in the quarter, then probably you could see a higher growth going ahead? Or any light that you can throw on the growth rate of these two brands particularly?

Mohan Goenka: It was not very audible what The Man Company and Brillare?

Gaurav Jogani: So the growth rates now given that the base is small, where we are growing 20%, 25% odd. So my question was whether we will be able to maintain these growth rates or there is some [inaudible 0:29:30] seasonality even in these brands as well?

Mohan Goenka: So there is no seasonality in The Man Company or Brillare. Brillare is growing faster than The Man Company because it is smaller but put together now they are almost in the team of INR225 crores. This year

we expect to reach to about INR 275 crores, so which will be almost 8% of our revenues. But we hope to grow at about 20%, 25% in these two products.

Gaurav Jogani: And sir, just a clarification on this way, when you say that it's now around 5% to 6% of the sales, I'm assuming that this will be consolidated?

Mohan Goenka: Yes, yes. Total sales.

Moderator: The next question is from the line of Kunal Vora from BNP Paribas.

Kunal Vora: What percentage of revenue came from summer-linked portfolio in this quarter? And what was the growth in the summer portfolio overall? And what was the growth for the rest of the portfolio?

Rajesh Sharma: So summer portfolio this quarter grew by almost 27%, which was primarily Navratna and Dermicool. So -- and revenue of this portfolio would be -- have been roughly 50%, half of the revenue came from summer portfolio.

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Kunal Vora: So the rest of the portfolio would have like say, not grown at all? Or what would be the performance, have not done the maths, sir?

Rajesh Sharma: No, I think Mohan ji mentioned in his opening remarks and also we have shared the presentation where you will see healthcare range has grown by 11% in double digits, BoroPlus range had grown. But Pain Management suffered because of the heatwaves during the first quarter. And obviously Kesh King and Fair and Handsome male grooming had their own issues this quarter as well.

Going ahead, we are taking actions to recover the lost count. And the other businesses like The

Man Company and Brillare grown strongly. Inter national business have done well. So we have seen categories of businesses have done well in this quarter apart from summer as well as some of the areas where we have been impacted.

Kunal Vora: But if I do the broad math, 50%...

Rajesh Sharma : This 50% I talked was for the domestic business for comparison.

Kunal Vora: It still implies that like the rest of the business almost did not grew because half the portfolio came 23% growth...

Rajesh Sharma : It's because Kesh King declined in double digits, Fair and Handsome, Male Grooming declined and Pain Management declined. So overall, you are right that it was the almost flattish growth for the rest of the portfolio for this domestic core portfolio.

Kunal Vora: In that case, in the coming quarters as you don't have the benefit of seasons, what gives you confidence that you can drive double -digit growth rate? Even 5 -6% volume growth; 1%, 2% value growth, which still implies high single digits. So as you don't have the benefit going forward, how do you expect close to double -digit growth to come?

Mohan Goenka: So just wait and watch Kunal, we are doing a lot of strategic initiatives. And as I said, there are green shoots in the rural markets and July also has done well. So you just wait and watch, we are doing a lot of activities. Just to add on that investing on A&P...

Rajesh Sharma : Only to add on that, the Pain portfolio which has suffered because of the heatwaves in quarter 1, we expect good recovery in Pain portfolio. Going ahead, winter should be have a favourable base which would help us. And as Mohanji said, a lot of initiatives are being taken on Male Grooming and Kesh King through which we should be able to arrest the degrowth and some growth should also happen on those fronts also.

Kunal Vora: Understood. Thank you. And second and last one is on Kesh King hair oil, what's the size now in terms of revenue? And like how has it done since the acquisition, what kind of CAGR have you seen in terms of hair oil. I'm not talking about the shampoos and other extensions which you have done but Kesh King hair oil how is it done?

Rajesh Sharma : So overall Kesh King portfolio is over INR300 crores kind of a size. And when we acquired, it was INR230 -odd crores kind of a size.

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Kunal Vora: But you did mention 1/3 is coming from shampoo. So hair oil since that portion is not growing at all?

Rajesh Sharma : So shampoo was there earlier also but with a lower share. So during that time also some bit of shampoo was there. So hair oil obviously yes for last couple of quarters, we are facing challenges. So it has degrown for last couple of quarters. So it has taken off.

But shampoo, we are pretty much excited and which we are focusing as a new brand itself only and that is showing encouraging response. So overall portfolio still looks interesting to us, as only said we are taking strategic initiatives and look forward to at least mid -single -digit kind of growth going ahead.

Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: I just had one follow up, Raj ji please help me understand the amortization schedule for this year and going forward?

Rajesh Sharma : Yes, sure Harit. So this year, amortization would be roughly INR92 -odd crores kind of. And going ahead it would be INR88 crores, INR75 crores for next 2 years.

Moderator: Thank you so much. The next question is from the line of Soham Samanta from Century Broking. Please go ahead.

Soham Samanta: Just wondering to one thing in A&P like this quarter, we have done almost 20.3%. So what will be the expected range for this year? So normally, you have seen last 6, 7 years, we have been maintaining 70% to 80%. But will we grow more than that, like 20% range will be there in this year?

Mohan Goenka: On advertisement you're talking about?

Soham Samanta: Yes. A&P.

Mohan Goenka: Yes. So if you look at our advertising pattern, it is slightly higher in quarter 1. So for the full year, we should be able to manage within that range. 50 basis points to 100 basis points can always increase depending on the need.

Soham Samanta: So in that case, we will expect that our margin level it will be around 26%, 27%. It will be in that case?

Mohan Goenka: So if you look at our numbers for this quarter, also we have gained on the gross margin front, and we expect some gains for the full year as well. So we should be able to increase some bit of margins EBITDA margins also for the full despite higher advertisements.

Soham Samanta: In second quarter Navratna like this quarter, we had done 27% growth. So do we expect for full year like the season has gone right now. But do you expect for a full year, can you expect a lower

double -digit growth in this particular plan?

Mohan Goenka: Sure.

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Soham Samanta: Like as you mention that this Kesh King and Male Grooming both are working under BCG and all. Like for Kesh King as you have guided for 4% to 5% like mid -single digit growth. Sir, do we expect the similar kind of growth you can get from Male Grooming range as well?

Mohan Goenka: Obviously, we should expect a higher growth coming from Male Grooming. Once the strategy is in place, it will take one more quarter for the strategy to be pulled out then we will have to wait for the results.

Soham Samanta: Okay. And sir, the last question from my side. Like the project KHOJ as we have already completed the project. And so what are the benefits now we're getting, if you can explain...

Mohan Goenka: I think you can take this question offline. This is a long question. You can always talk to Rajesh and discuss it with Manish.

Moderator: Thank you. The next question is from the line of Nillai Shah from Moon Capital. Please go ahead.

Nillai Shah: Sir, I just want to delve a little bit into this growth aspiration. And a lot of things were discussed on the call about how rural is doing very well for you. Zandu and the Pain Management part doing very well in July impacted by seasonality last quarter. And then you spoke about how The Man Company and Brillare is also doing.

The growth in the digital portfolio is also very strong.

We've had weak winter sales last 2 years. Monsoon has been good. With all these factors in place, you still sound a little bit conservative, if I can say so on the revenue aspirations for the financial year. What is it that you're looking for to fall in place to get more constructive?

Mohan Goenka: Nillai, this is only through our experience in the past, we can always sound very robust but there are a lot of external factors which come into play. There are the government initiatives, monsoon has been good this month, but we don't know how the monsoons. In some parts of the country, the monsoons are extremely weak. In the eastern parts of the country, the monsoons are very, very weak. So we had a Pan India -- at times, we have seen market suddenly going up and down. So it's not just that we sound optimistic. And at the end of the year, we could not deliver. That's not the way we look at things. So yes, there are some clear areas, which is digital front, on e-commerce, modern trade. Like this month, Bangladesh has been a disaster in the international business. So there are some external circumstances, which just keep on coming in. So how do you really guide on numbers.

Nillai Shah: Okay.

Mohan Goenka: So let us just wait as the things go by. If things improve, we will all come to know.

Nillai Shah: Got it, sir. This makes sense. Thank you very much.

Moderator: Thank you. The next question is from the coordinator, Mr. Percy. Please go ahead.

Percy: Can you just give us your thoughts on how you think about inorganic growth in terms of? What are the areas that you would want to look at? What kind of synergies would you sort of expect

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what you bring to the table? What is the rough size over 3, 4 years that you would be looking at and so on? I mean the general thoughts on inorganic growth, please?

Mohan Goenka: Percy, we don't discuss some inorganic growth on a con call.

Percy: No, sir, not asking about any specific targets. The overall thought process, how open you are to it? And if at all, in which areas you would be looking at and so on?

Mohan Goenka: Of course, we are open for inorganic growth. You have seen we have done Dermicool. We have done so many strategic investments in The Man Company and Brillare. There are a few more that we are looking for. So there is no doubt, we'll keep on looking for the inorganic opportunities. We have a strong balance sheet to look for inorganic opportunities. This is part of our long-term strategy, inorganic is part of our long-term strategy.

Percy: Correct. And this would be largely in India? Or would you look at international also as far as inorganic is concerned?

Mohan Goenka: The first choice is India, no doubt. But if we have some inorganic opportunities outside of India with very specific markets, then we will look outside India.

Percy: And how would you look at which areas to sort of prefer? Is it that you would look at inorganic in order to give you an entry into certain categories which you are not there? Or would you prefer to consolidate market share within current categories?

Mohan Goenka: Inorganic is a broad strategy per se, again, as I can't discuss inorganic strategy on a con call or

we don't discuss inorganic strategy.

Percy: Sure. Understood. Understood. I just wanted to understand on the weak parts of the business, which is the Male Grooming and the Kesh King you mentioned that you would sort of look at strengthening those aspects. Again, I know you cannot talk before something actually happened. But is it more in the line of diversification of the product portfolio? Or is it more in terms of re-jigging and getting the core products growth up first?

Mohan Goenka: It will be a mix Percy. There would be a lot of new line extensions in both the portfolios, both in Kesh King

and Fair and Handsome. The strategy we are working on it. Of course we are very unhappy with the numbers of Kesh King and Fair and Handsome. The brand teams are robustly working on the long-term strategy for both the brands. As I said, this month, this quarter was one-off for Kesh King. We would see growth bouncing back in this quarter. Same for Fair and Handsome. You will not see these kind of declines in both the categories.

Moderator: The next question is from the line of Binay Shukla from Phil lip Capital. Please go ahead.

Binay Shukla: One question on the oral care segment. We have launched Zandu Dantveer in natural segment a couple of quarters back. So have we rolled out this product to GT channel? Or is it still on organized trade channel? And if you comment on how the traction is so far on the Zandu Dantveer side?

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Gul Raj Bhatia: So yes, as you said, we launched it 2, 3 months back. The physical rollout happened about 2 months back. And we have been doing marketing inputs under trade marketing support. So we started to see the response. But we are still in the stage of testing the water here between e-com and between modern trade. As you know, this category has a certain usage time line at in-home. So what is important is to see what the repeats are and how many people or what passenger people do purchase and what is the ramp up we get. So it will probably take us a few more months to know and understand what the real response is. So at the moment, we plan to support the launch by way of inputs in the e-com and modern trade channel.

We'll probably take some more time to decide on the further extension into the retail market.

But the overall feedback seems to be good, whatever initial inputs we got from consumers and the trade. So we are still in a process. We had launched it in a couple of states. We are in the process of rolling it out into other states in margin trading.

Binay Shukla: Understood, sir. So how the toothpaste category growth during the quarter, if you can give any broad cut range in percentage?

Mohan Goenka: We don't have specific. We don't subscribe to Nielsen, etc. But my sensing is it would be in the region of around 10% for the category growth.

Binay Shukla: Overall, not the natural category talking about.

Gul Raj Bhatia: Yes. That's right overall.

Binay Shukla: And last question is on Dermicool. Are we planned to leverage our Dermicool brand via entering into the adjusting category like we are doing for pacing?

Mohan Goenka: We launched the Dermicool soap this quarter.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Mohan Goenka: Thank you, everyone, for joining us for today's call on quarter 1 results for Emami. Thank you IIFL for arranging this call. Have a good day. Thank you.

Moderator: Thank you. On behalf of IIFL Securities Limited, concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Nov 2024

regd. office : 687 Anandapur e. m. bypass Kolkata 700107 India
phone: 91 33 6613 6264 tele fax: 91 33 6613 6600 e-mail: investors@emamigroup.com website: www.emamiltd.in
CIN: L63993WB1983PLC036030

Date – 12th November, 2024

The Manager The Manager

The National Stock Exchange of India Ltd. BSE Limited

Listing Department Corporate Relationship Department

Exchange Plaza, Plot No. C/1, G. Block Phiroze Jeejeebhoy Towers

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Mumbai – 400 051 Mumbai – 400 001

Symbol: EMAMILTD Scrip Code: 531162

Sub: Transcript of Investor Conference Call pertaining to the Unaudited Financial results of the Company for the Second Quarter and Half Year ended 30th September, 2024.

Dear Sir/ Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Investors' conference call held on 8th November, 2024, post declaration of Unaudited Financial Results (Standalone & Consolidated) for the Second Quarter and Half Year ended September 30, 2024.

You are requested to kindly take the above on record.

Thanking You,

Yours Sincerely,

For Emami Limited,

Ashok Purohit

Dy. Company Secretary

Membership No: F7490

(Encl: a/a)

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"Emami Limited

Q2 FY '25 Earnings Conference Call "

November 08 , 2024

MANAGEMENT : MR. MOHAN GOENKA – VICE CHAIRMAN &
WHOLE TIME DIRECTOR – EMAMI LIMITED

MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER –
INTERNATIONAL BUSINESS – EMAMI LIMITED

MR. GUL RAJ BHATIA – PRESIDENT –
HEALTHCARE – EMAMI LIMITED

MR. MANISH GUPTA – PRESIDENT SALES – EMAMI
LIMITED

MR. RAJESH SHARMA – PRESIDENT FINANCE AND
IR. – EMAMI LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Emami Limited Q2 FY '25 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, you may signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Percy Panthaki from IIFL Securities. Thank you, and over to you, sir.

Percy Panthaki: Good evening, everyone. We are pleased to host the quarterly con -call for Emami Limited. On the call with me, I have Mr. Mohan Goenka, Whole Time Director and Vice Chairman; Mr.

Vivek Dhir, CEO International Business; Mr. Gul Raj Bhatia, President Healthcare; Mr. Manish Gupta, President Sales; and Mr. Rajesh Sharma, President Finance and IR.

I'd now like to hand over the call to the management for their initial comments, and then we will

open up for Q&A. Thank you.

Mohan Goenka: Thank you, Percy. Good afternoon, ladies and gentlemen. Thank you for joining us today for our earnings call for the second quarter and half year ended 30th September 2024. At the macro level, the quarter presented some challenges with demand trends similar to the first quarter. High food inflation has continued to impact mass consumers. On the international front, political unrest in key markets like Bangladesh posed some temporary hurdles.

Despite these headwinds, I am pleased to report that we delivered profit led growth this quarter, underscoring our resilience and strategic agility. Our consolidated revenues at INR891 crores in quarter 2 grew by 3%, while the first half of FY '25 saw a 6% growth, with revenues at INR1,797 crores. Our domestic business also grew by 3% in Q2, led by double -digit gains in some of our key brands.

Navratna and Dermicool grew by 10%, while the healthcare range grew by 11%, pain management range grew by 5%, and BoroPlus delivered a growth of 2%. Kesh King and Male Grooming declined by 9% and 13%, respectively.

As you are aware, we acquired the balance stake in our strategic subsidiary, Helios Lifestyles from the erstwhile promoters. Due to the transition and change of management at Helios, we experienced a one -off decline in revenues in the same in quarter 2. We are confident that the business is poised for a strong growth in H2.

Our pace of innovation continues with the launch of 2 new products under Dermicool under the brand HE and 3 new launches on the Zandu care portal. Further, we re -launched our light moisturizing cream under the name of BoroPlus Soft in a fresh new look. The light moisturizing cream segment is the highest growth segment in skin care currently, and we believe with the strong association of the BoroPlus mother brand, with moisturization, care and trust, BoroPlus Soft has all the potential to become a very significant player, not only in the segment, but also a significant value driver for the BoroPlus portfolio.

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Our channel play continues to evolve as sales contribution from organized channels, that is modern trade and e -comm and institutional sales at 26.6% of domestic business increased by 190 basis points in the first half of the financial year, growing by 14%.

Our international business showed resilience in the face of geopolitical challenges with sales growth of 12%, excluding Bangladesh. Overall, our international business grew by 6%, both in constant currency terms and in INR terms, led by a strong performance in the MENA region. In the first half, international business grew by 9% in constant currency and by 8% in INR terms. The situation in Bangladesh has improved from the lows of July and August.

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challenges like rising inflation, depleting forex reserves, along with political instability, continue to impact the business. However, we are confident of maintaining our market shares even in troubled times.

In the second quarter, our gross margins expanded by 60 basis points to 70.7%, while EBITDA grew by 7% to INR250 crores, with margins expanding by 110 basis points. Profit before tax rose by 13% to INR220 crores, accompanied by a 220 basis points margin expansion and profit after tax by 19% to INR213 crores.

For the first half of the financial year, gross margins expanded by 140 basis points to 69.2%. EBITDA at INR467 crores reported a 10% growth, while PBT surged by 15% to INR399 crores and PAT also rose by 16% to INR365 crores. These results highlight our ability to deliver solid financial performance even amid challenging conditions and set the stage for a promising second half.

Consequently, our Board has declared an interim dividend of 400%, amounting to INR4 per share for FY '24. As we look ahead, we are optimistic about a strong recovery in the coming months. With the re-launch of Fair and Handsome set for in Q3 and our focused interventions for Kesh King, we are confident that these brands will bounce back and start contributing to the growth in H2.

And with a good winter season forecast, we remain committed to our goals of high single -digit revenue growth and double -digit EBITDA growth for FY '25, and we are progressing steadily towards achieving these targets. We remain focused on driving sustainable volume -led growth by expanding our distribution reach, investing aggressively in our key brands, and capturing market share across our portfolios.

With this, I open the floor for Q&A. Thank you so much.

Moderator: We have first question from the line of Harit Kapoor from Investec.

Harit Kapoor: So just on the 2 brands that have struggled a little bit, Male Grooming and Kesh King, both have seen kind of 5 quarters of decline in terms of brand growth. Could you just highlight, Mohan Ji, about how you are looking -- what are the kind of key steps in this new phase of re-launch in

Fair and Handsome? Any light you can give on that? And secondly, on initiatives in Kesh King that you are taking to make changes in this brand?

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Mohan Goenka: So Harit, you're right that these 2 brands have been struggling for some time, Kesh King particularly the oil and Male Grooming for some time. So for -- I think I had mentioned in the last quarter con call that for Kesh King and BoroPlus, we have engaged BCG for the growth of these 2 categories. They started the work in August. Of course, they will come with some solutions in the next 6 to 8 months. Hopefully, after that, once we implement the strategies, we will see a significant growth in the Kesh King category.

As far as the Male Grooming is concerned, we have re-launched the Fair and Handsome just about -- in this month. There is a substantial change in our re-launch with a new brand ambassador, young brand ambassador. So hopefully, with all these changes, even Male Grooming will show signs of growth. We're very confident of these 2 brands going forward now. Harit Kapoor: Just a follow-up on each of them. Apart from changing communication and brand ambassador. Is there anything else? Is there a packaging, formulation, any other change that has been made on Fair and Handsome pricing, etcetera?

Mohan Goenka: So Harit, yes, there is a packaging overhauling, what we have done here. And yes, we want to go into a larger Male Grooming space from Fair and Handsome. So we are working towards that and you will see a significant new launches coming up in the fourth quarter or in the first half of next year.

Harit Kapoor: Understood. And just a follow-up on Kesh King, it seems like category growth is a challenge because you are dri

ving significantly -- so you're continuing to see market share improvement.

So how does one address the category growth challenges? Does one have to push -- move Kesh King out -- I mean extend the brand?

Is that the best way to drive? Because the category growth is -- if it's hard to mend the problem of category. So just wondered your insight -- initial insights on how you are thinking about what's the real challenge is the because category growth seems to be the problem on the oil side.

Mohan Goenka: So Harit, Kesh King is anti-hair fall, okay, category. It's an expensive oil, as you know. So -- and it sells in the mass consumers, okay? So because of inflation, of course, there has been a challenge as far as this oil is concerned. Shampoo is still doing better than the oil. Now the only way to grow hair fall is a big problem. And we don't see any reason that this category will not grow in future.

Of course, we have faced some challenges from some start-ups, so people are trying new products into the category. But whatever said and done, as I said, BCG is actively looking at this Kesh King strategy. And we have planned a significant growth in shampoo for the time being. Once we are ready with the Kesh King oil strategy, we will roll it out. And yes, I agree that it will -- we will be launching some extensions to Kesh King oil.

Moderator: We have a question from the line of Prakash Kapadia from Spark at PMS.

Prakash Kapadia: Two questions from my end. Can you give us some sense on what is happening in rural and urban markets? And going forward, what are your thoughts in terms of growth drivers for us?

And secondly, if we look at the journey of Emami, both in general as well, distribution, direct

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and indirect expansion, penetrating rural, then modern trade came in when e-commerce came in and now quick commerce has come in.

So how are we gearing for this change in evolution in terms of distribution changes happening in the industry? And where are we in terms of capability in terms of mix? What is happening in modern trade and e-commerce? And some thoughts on general trade and quick commerce?

Manish Gupta: Great question. So first of all, as Mohan Ji said in his opening address, modern trade and e-comm are now contributing a large good chunk and -- the fastest growing channel, like it's growing for most of the other companies and rightly so. We might have been a little late to the party, but currently, we are trending in line with the contributing channels, the quick, MT, e-comm. Within e-comm, quick-comm, of course, is the fastest-growing channel. Just to give you an idea, in quick-comm, over the last 6 months, we have kind of 2x-ed our number, and we're thinking that over the next passing quarters, which is coming -- this is going to grow faster. So -- and we are investing both in terms of resourcing and attention and investments to double down on that growth. Now having said that, as we said, the traditional strength of Emami has always been the GT side as well, and I'm happy to share that on the GT front, we have done a lot of

great stuff over the last many years, where rural continues to be a stronghold. And we have further tightened our resources there. We have also started looking at premiumizing our general trade channel via initiatives into the supermarkets, the marts and the stand-alone stores because they are becoming a big force and a shopping avenue for the urban consumers. So we are tackling each one of them. Our prime focus right now is to stay strong in rural, premiumize urban GT, stay strong in modern trade, double down on the quick commerce, right. So because the consumers have become multichannel, their shopping behaviours are changing very rapidly. And in tune with that, we are investing in each of the channel.

Prakash Kapadia: Okay. And modern trade and e-commerce

would be, what, 15%, 18% for us as added?

Manish Gupta: 25% plus.

Prakash Kapadia: 25%, 25% plus. Okay. And Mohan Ji on rural and urban in some thoughts?

Mohan Goenka: So as Manish said, Prakash, that rural has been slightly better than the urban markets, okay? But there is not much of a difference. Of course, in the third quarter, which is mostly led by BoroPlus antiseptic cream and majority of it comes from the rural market. So we will have to see how the third quarter pans out to be. We have a very, very robust distribution in the rural markets, so if the winters are strong, we will see a significant growth in the third quarter.

Prakash Kapadia: Okay. At least forecast seems to be of a very strong winter is what we've been reading.

Mohan Goenka: Yes, the forecast this year is a strong winter, yes. And we are seeing some signs of winter in the north now, so that's what we are -- our market is saying that our stocks are now moving from the market.

Prakash Kapadia: Okay. So the channel pipeline has started?

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Mohan Goenka: Yes, yes. Now it is getting.

Prakash Kapadia: And you alluded to Kesh King and you gave some insights into BCG. But some of this was tried earlier also because we changed the packaging, we tried smaller packs, we tried and expanded the market. We went to rural. But somehow that volatility or growth seems to be missing despite some of these initiatives which we have taken earlier also.

So what is surprising is despite it being a problem-solution area, it's facing such challenges despite not being such a large category. So what are we missing? Or what is the consumer thinking -- meaning?

Mohan Goenka: So Prakash, I see, honestly, you are right, we have been trying on this category. And we have a strong belief in Kesh King, because it is anti-hair fall. And see, our job is to keep on trying until the time they succeed. So -- it's a big, big category. We see a huge future in shampoo and also in oil. So -- and BCG is, as I said, hopefully, they should come up with some great solutions.

We are ready to invest any amount of money beyond Kesh King, very honestly.

Prakash Kapadia: Okay. And some of these initiatives should start reflecting from Q4 onwards? Or next year, we should see?

Mohan Goenka: No. So hopefully, from Q4 onwards, because actively the research is undergoing. So once they give some idea, we will roll it out quickly.

Prakash Kapadia: Understood.

Mohan Goenka: As I said, there will be disproportionate spend on Kesh King because we really see a big potential behind Kesh King.

Moderator: We have next question from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Yes. So just a few observations. So far, most of the companies have highlighted, to protect the channel, hygiene, companies have taken some inventory cut and taken a pause on the primary end, focus on secondary. Second, we also understand a few companies have highlighted there is urban slowdown in consumption. So in your lens, in your product profile, what is your observation, if you can give some depth?

Manish Gupta: As far as channel inventory is concerned, I mean we have issues in certain areas, but it's not as large an issue as some of our competition had to get into a stage. We are pretty decently well managed, well-oiled system. And to take care of our profitability of our partners and distributors, time to time we keep giving -- whether it's a credit support or other things, to ensure that the pipelines are right.

So you must understand that we are a seasonal business into 3 categories. So we do undergo shift of inventories and all that, but largely product concern that we have to go to the extent of cutting down big time of something. Contractions here and there, we keep taking month-on-month, quarter-on-quarter, wherever required.

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Now as far as the urban and rural mix is concerned, as we said earlier, for us, the story is quite uniform. We are, by far, the number 1 brand in most of the big categories that we operate in. So we pretty much, drive the growth force to urban and rural side. I hope it answers your question. Shirish Pardeshi: Yes. Manish, I understand what you're saying. But just to give you a point of need, pain management has grown only 5%, even BoroPlus has also grown only 2%, despite you have taken some new product launches. So -- I mean, the season has not panned out the way it was expected for pain management, especially for balm. And even BoroPlus side is expecting the loading would have started happening. So inventory is an issue or there is something else?

Manish Gupta: No, no. So BoroPlus is very simple. We are looking at quarter 2 numbers, which is July , August, September. Over the year, the loading for the winter season, most brands would like to do it from October, November onwards and not September onwards. As Mohan Ji mentioned earlier, we are taking a conscious call that with load in line with the season of it, rather than to talk about our pipelines for the distributor and the capital.

So October onwards, that story will start. There might be some little bits here and there, but that's fine. We're very confident on the BoroPlus side. As far as the pain management is concerned, the quarter half 2 perspective, that quarter 3 is our biggest season and as we get into winter s and onwards. And category is doing well, both in urban and rural, Zandu is doing very well there.

We don't see any major reason for an alarm there.

I mean even if we look from a share perspective, because either maintaining or growing our share, so that's good. In fact, the good point I would like to share is we are now seeing an increased participation from modern trend, quick commerce towards the OTC category, especially because this -- some of them, especially in quick commerce scenario or e-comm scenario , they lend themselves to a better category fit when it comes to impulse and emergency solutions. We are conscious of that opportunity, and we want to capitalize on them as the panoramic continues.

Shirish Pardeshi: Sorry to little harp on this point because over the last 4, 5 quarters, we have spent significant amount of money on Project Khoj. So -- I mean Project Khoj is -- primarily was -- to our understanding, was improving throughput. And if the category has been seeing this kind of input, the sales is not in tandem. So that's why I was -- I was a bit worried in asking this question.

Manish Gupta: No, I understand that. The Project Khoj was about creating our hubs and spokes into the rural market. Over the last 3, 4 years, that work has been done. We have expanded our villages, expanded our hub and spoke. And now Project Khoj has officially internal ly been called out because it has done its job.

Now we're in the process of gaining the fruits from that through our retail network through all these, right? But to say that we are not using the thing, I'm not sure that's the right way to do it. Market shares are growing on the category. I mean, that's a good proof of -- that we are gaining from it.

Mohan Goenka: Shirish, just to add on Manish's point, see any investments that you do, you don't know how the market s would behave. You all know that rural markets or whether urban, well, there is some

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level of stress as far as the consumer demand is concerned. So these are investments for a very, very long -term investment that we do in rural markets or growth -- or expanding outlets in the rural markets. Once the market bounces back, we would be preferably the companies who will benefit the most.

Shirish Pardeshi: I understand. I'm completely with you Mohan Ji, because you guys are spending more than the

industry average. Within the question is that it's not sufficiently getting us to the revenue momentum. That's the big challenge we see...

Mohan Goenka: I don't subscribe to what you're saying, Shirish, because honestly, if you see the challenge that is on a few brands, some of the other brands are still doing much, much better and growing faster than the category. So some brands are dragging the number down. Otherwise, we would have done much, much better, Kesh King and Male Grooming, and also, we did not load BoroPlus in the second quarter.

So that is -- these are the key reasons. International also was double -digit growth, if you would see in the last 5, 6 quarters. because of Bangladesh, we could not grow. Otherwise, our growth could have been easily 6% to 7%. And also The Man Company, because of the transition, you have seen the growth in The Man Company , and The Man Company has not grown. In fact, it has declined in the second quarter.

These are certain transitional things that we will have to take into account. I think the brands are

very, very robust in these tough times. Let me be very clear.

Shirish Pardeshi: Okay. My second question to Gul Raj Ji. What has driven this 11% growth? Is that the channel specific, if you can give colour, because Manish just said that the modern trade and e-commerce is showing a lot of momentum. So maybe if company's average contribution is 26%, is the modern trade is really driving the growth? Or GT has also been flaring? And some colour on the Chengdu online, what are the numbers?

Gulshan Raj: Yes. So thanks, Mr. Shirish. I'll answer both the focus on channel and the online contribution.

So from a channel perspective, the growth has been driven predominantly by the GT business in terms of having performed well on the OTC side and on the medical or ayurvedic medical business, the pharma ayurvedic business. Online has also done well, especially e-comm.

But since the contribution is relatively smaller yet for e-comm, modern trade, obviously, they've done better than the GT growth. I mean, for the last few years, and hopefully, over the coming years also, both e-comm and modern trade will perform better than the GT business. But the GT business has also done reasonably well in terms of driving this 11% growth.

Coming to the online part, the online business, we've done well both on Zandu Care and we now have a fairly robust product portfolio, which is doing well, both on Zandu Care, and we also, as you know, extended it into modern trade. We've also been selling it, obviously, on other e-comm marketplaces, and they're also doing pretty well.

So from an online perspective, we are focusing on 3 channels, our own portal Zandu Care, the various e-comm market places and modern trade and all 3 are doing reasonably well.

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Shirish Pardeshi: Okay. That's really helpful. Mohan Ji, my last question, you said that you are quite optimistic. So give us some 2, 3 parameters on which you are confident that things will change in quarter 3, quarter 4.

Mohan Goenka: So Shirish, as I said, see, one is Bangladesh is -- as far as international is concerned, I think it was due to the Bangladesh market that we'll grow in the third quarter. Again, The Man Company, which was doing exceedingly well because of the transition, it degrew in this quarter. But I'm hopeful that in the third quarter, it will again start growing. That is the second. Male Grooming is a complete re-launch we have done in the month of November.

So hopefully, maybe if in this quarter or in the next quarter, you will see a significant growth coming in from Male Grooming. Kesh King may take some time before we get the results from the BCG. And we are predicting a good winter this time. So if the winters are good, then hopefully, that should give us at least 1% or 2% additional growth. Net, we expect a

at least 7% -

- 7% to 8% growth in this quarter.

Shirish Pardeshi: No, I mean, in the presentation, I saw that there is a re-launch of HE and now we are getting into even the perfume and eau de cologne. So is there any strategy for this segment to look at? Or is -- this is just going to complement our Male Grooming portion also?

Mohan Goenka: So HE was always a Male Grooming. We only had deo, and these are only to target some upmarket consumers. If you have seen the packaging of HE, it targets to a very, very urban consumer. We are trying only in e-comm right now. If we see some momentum, then we will go into the modern trade.

Shirish Pardeshi: Do you have any particular target for the new product contribution for FY '25?

Mohan Goenka: We have a target, which is about 1% of our sales. So that is what is the target. But it all depends, some projects get delayed in launches, then the targets come down.

Moderator: We have next question from the line of Naveen Trivedi from Motilal Oswal.

Naveen Trivedi: Sir, my question is, again, on BoroPlus range. Last year, we had seen a weak revenue growth year. And on top of it, if I look at the first half number also, we had done around 3% growth.

You also used to talk about the second half sort of pickup should be there. Our base numbers are also favourable. But looking at the annual numbers, do you think this -- BoroPlus' range can do around high single digit to low double-digit range if the winter poised well for this year?

Mohan Goenka: Definitely, Naveen. I expect if the winters are good, we must see at least double-digit growth, high single-digit growth. Even if the winters are not so good, we will definitely expect about 7%, 8% growth in the BoroPlus range. You have seen the summer, what -- the summer was strong this time. We grew disproportionately in our summer brands, right? So if the prediction goes right, we expect better numbers for sure.

Naveen Trivedi: So this double digit, growth, you are saying for the second half? Or you are saying for the year, sir?

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Mohan Goenka: For the second half, basically.

Naveen Trivedi: Sure. And if you can also give us some sense about -- because we have done a lot of brand expansion under BoroPlus, soaps and sales portion of. So if you combine all expansions, what is the mix of the initiatives that we have driven? How much do they contribute to the brand?

Mohan Goenka: So BoroPlus antiseptic cream, then we have BoroPlus winter lotion, then we have BoroPlus soap, and then aloe vera gel, prickly heat powder, these are some of the categories under BoroPlus. And now recently, again, re-launched BoroPlus Soft, these are some of the categories.

So about 75% -- 75%, 76% is antiseptic cream, balance 25% is the rest of the categories.

Naveen Trivedi: Sure, sir. Sir. And just one thing on the Helios. You mentioned about the quarter we had some 9% decline because of the ownership change. Do you think the -- we will be able to recoup in the second half? Or you think that the -- now the second half will be as normal as we have seen in the first quarter?

Mohan Goenka: Sorry, which category you asked?

Naveen Trivedi: The thing with Helios, the names that we lost, 9%, yes.

Mohan Goenka: Okay. Yes, yes. So Helios, the transition is still on. So hopefully, it would be completed by mid of November. And then we expect the growth coming in. Hopefully, this quarter should grow, not so handsomely, but yes, we will see some growth in -- but fourth quarter should be better than the second and the third quarter.

Moderator: We have next question from the line of Vishal Gutka from HDFC Securities.

Vishal Gutka : I have just want 2 questions, first is on Kesh King. So how do you see competitive intensity in wake of Sesa being acquired by Dabur, given that it has much resource terms of competition. And on the other end, you have brands

like Adivasi oil, which you are selling at a very aggressive discount given that they're getting shelf space now. So I just wanted your view on that.

And secondly, on pain management, growth of 5%, although my thought process was that monsoon season on the second quarter is a very important quarter for the pain management portfolio. So just wanted to hear your thoughts that why growth has been subdued a little bit. Some -- winter also play an important role in driving the performance of pain management?

Mohan Goenka: So we will have to wait and watch, Vishal, how the competition does what they do. As far as we are concerned, we never take anyone lightly, and we are framing the strategy for Kesh King, I mentioned. So -- and I also mentioned that we will spend disproportionately on Kesh King because we are very, very bullish. Adivasi oil doesn't conflict with our consumer base. Adivasi oil absolutely goes in the new consumer. That will grow the market further, I believe.

And pain management, yes, 5% growth we had in the second quarter. But the third quarter, we have started handsomely, at least in the month of October. So -- and as Manish said that the categories are also growing. We are also seeing some growth coming in from quick comm and e-comm under pain management. So hopefully, you'll see better numbers in the third quarter.

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Vishal Gutka : Great, sir. Last question on my side on the urban demand, because most of the companies are -- I would like stress in urban demand. What is your assessment? How are you doing going forward urban demand with regards to the portfolio that you have?

Mohan Goenka: So, Vishal, now we are -- slightly, we are getting a new mix. You would see that 26% of our business now comes from MT and e-comm. That is primarily urban. And some of the new categories that we are coming in are also urban driven, whether it is HE, The Man Company or Brillare, some of these brands are mostly urban brands. So we will have a good mix of urban and rural going forward. We are still very, very bullish on the premiumization. We will keep on launching some of the brands or products under our existing brands. So yes.

Moderator: We have a question from Percy Panthaki from IIFL Securities.

Percy Panthaki: Just one question on the subsegments of hair oil. So this hair fall defense category, from whatever data you have from syndicated sources or consultants or whatever, do you find that this hair fall defense category is growing slower than the overall hair oil category? Or that is not the case?

Mohan Goenka: Percy, that's not the case. As I said, hair fall is a big, big issue, both in urban, rural, male, female everywhere, okay? And what we have seen is that some of the start-ups, there are multiple start-ups who have launched these hair fall oils, which is mostly sell-through e-comm. So that has, I think, slightly dented the sales of Kesh King. So I'm not seeing that the category is shrinking or the category will go down because this -- the problem is not getting solved, hair fall, in fact, it is increasing with stress levels being up.

Percy Panthaki: So sir, do you think that there is a case to have different variants within Kesh King with different ingredients like instead of til oil, you can launch a variant with Bringha oil or something like that, which would help sort of address different kinds of customers with different needs?

Mohan Goenka: Absolutely, Percy. So as I said, BCG is on it. Let us give at least 1 or 2 quarters to them. Let them come up with the right strategy. And then you would see a different Kesh King hopefully.

Percy Panthaki: Right. Right. Understood. Also wanted to understand, see, modern trade, quick commerce or e-commerce, etcetera, as you said, is like close to 25% of your sales now. which means, as a percentage of urban, it is probably close to half of your

sales. And obviously, this number is only going to increase as we go ahead because these channels are sort of gaining favor among customers.

So do you think that from a slightly medium-term perspective, like a 5 - to 10 -year perspective, if these channels are becoming very heavy, we need to also think of our portfolio from that lens as to what kind of products and what kind of categories would be more amenable to selling in those channels. I know we have now The Man Company and some of the other products like that. But do you think we need to do more on that as well?

Mohan Goenka: See, I don't have an answer very honestly. Five to 10 years is a long period. But yes, we definitely believe, as you said, e-comm, MT, quick comm are the new future distribution channels.

Whatever needs to be done, we will be successful in these channels.

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If you would remember about 5, 6 quarters or 7, 8 quarters back, no one believed that Emami can do 26% from e-comm and modern trade, because people believed we don't have the products for modern trade and e-comm. But that's not true. So whether it is Navratna or BoroPlus or Zandu Balm or any of these brands, they very well sell in modern trade and e-comm.

Percy Panthaki: Got it. Just the last question is you mentioned some time ago that 75% of BoroPlus is antiseptic oil and 25% is the other variant.

Mohan Goenka: Antiseptic cream.

Percy Panthaki: Sorry, antiseptic cream and other variants is 25%. Would you be able to give some idea as to what this ratio was, let's say, 5 years ago? And how do you think it can evolve 5 years from now?

Mohan Goenka: So exact numbers, I will not be having, Percy, but I think 5 years back, it would be almost 90%, 92% would be antiseptic cream, 7%, 8% would be the other brands. In the last few years, BoroPlus lotion, BoroPlus aloe vera gel and BoroPlus soap, these have gained significantly.

Percy Panthaki: And do you think this trend can continue, like this 25% can become sort of meaningfully larger over the next 5 years or so?

Mohan Goenka: Yes, definitely. So we also believe there is strong growth potential in BoroPlus and that's why we have given 2 brands to BCG. One is Kesh King and one is BoroPlus. It's a very long-term strategy, yes.

Moderator: We have a question from Nitin from Emkay Global Financial Service.

Nitin: First question is with respect to digital brand revenue, a decline of 9%. So when you are talking about transition and change in management, what exactly is it all about? Is there any change in the supply chain, which is leading to this decline? Or it's just the top management change that is driving the decline?

Mohan Goenka: It is the top management because the promoters are now out, and they have handed it over to us. So we are now managing The Man Company and Brillare. So it is just transition because we will have to take over, we will have to hire people, we will have to do all this. So it is taking 1 or 2 months. That's it. It is just the top people.

Nitin: So in terms of hiring more people...

Mohan Goenka: There were multiple promoters who were managing this business, all of them are out of this.

Nitin: Okay. So can we assume that, like, it was not planned well or it was bound to happen?

Mohan Goenka: Any transition, Nitin, takes a while. Of course, we plan before we do any transition, okay? But it is very, very difficult to know exactly what is going to happen. So this was a big transition, because start-up works very differently. And as I said, there were multiple promoters who are driving The Man Company. So now as it has come -- and hopefully, we'll see some growth from third quarter.

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Very recently, for these startups, we have hired a CEO, Mr. Vikas Mittal. So hopefully, he has just joined, and now he's going to take over and gro

w these brands. He's a highly seasoned guy,

Vikas. So of course, he has targets to grow The Man Company. So he also needs to settle down.

He has just joined, about 10 days back.

Nitin: Okay. And second question is with respect to this A&P spending. So there's a decline of 5% on a Y-o-Y basis. So can you consider this...

Mohan Goenka: Come again. Sorry, come again, it was not clear.

Nitin: I'm talking for the perspective of A&P spending, advertisement and promotion. So there is a decline of 5% on a Y -o-Y basis. So this is more related to like the re-launches or the launches we are planning in Q3, that's why there is a cut in Q2? Or how should we do it?

Mohan Goenka: So Nitin, if you see H1 -- if you see the H1, the growth has been almost 7.6% in the H1, because of some of the re-launches and we have cut on the Q2, but we will make it up in the Q3 or Q4, okay. But we are definitely not cutting down our advertising budget, okay?

Nitin: So my point is...

Mohan Goenka: Because our margins -- from day 1, I've been telling that our margins are expanding, and we want to invest behind our business. So we will do that.

Nitin: Okay. So that means that in the second half, we will have a higher A&P spending?

Mohan Goenka: Yes, definitely and despite of that, our margins will still expand.

Nitin: Okay. So second half, you are expecting EBITDA margin to expand?

Mohan Goenka: Yes. So first half also, it has expanded and it will continue to in the second half, yes.

Nitin: Yes, yes. And lastly, on other income, like, there is a jump, so any one-offs sitting here?

Rajesh Sharma : Yes, Nitin, the income has primarily gone up because of -- on account of higher interest income, higher mutual fund gains on liquid investments. And also we are having higher surplus funds this year compared to last year. So it is mostly in normal course of business.

Moderator: We have a question from the line of Ankit Shah from RK Advisory.

Ankit Shah: Sir, my first question is on since we are visible that the A&P spends on the 7 Oils in One. So are we planning to grow the brand size going ahead? If yes, then the target, if it's possible?

Manish Gupta: So I think 7 Oils in One is definitely a focus brand. The brand size is around INR45 crores in the domestic business. We have been focusing on this brand for the last few years. and it still remains under the focus. So there is not much change in the strategy of 7 Oils in One. It will continue the way it is.

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Ankit Shah: Okay, sir. Got it. Sir, my other question will be on -- if you could share the impact of the new product launches and the marketing campaign that we did in the H1 FY '25, you can just show - - throw some light on that.

Manish Gupta: So in my con call, I've said we have recently launched some new brands, which has happened in this quarter. We will have to wait and watch the results in the subsequent quarters. So I have been maintaining this that we will be aggressive in our new launches going forward also. And the total new launch contribution we expect at around 1%.

Moderator: We have next question from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Just a quick question. We have taken some MAT credit. So I just wanted to understand the tax rate for -- and how much match credit is available for the second half?

Rajesh Sharma : So for H1, the tax rate average tax exit is around 9%. So for the full year also, it should be in the range of 9% to 10%.

Shirish Pardeshi: Okay. That will remain at 9% to 10%?

Rajesh Sharma : Yes.

Shirish Pardeshi: Okay. And the second question is that with TMC coming under our belt, do you think we will do the in-house manufacturing? Or we will continue the manufacturing supplies from the outside?

Mohan Goenka: No, no, we'll continue the way it is, Shirish. We are not changing anything ri

ght now. It will

come from the existing units.

Shirish Pardeshi: Okay. No, I was just saying because now you have now control on the company. So if the profitability is going to be taken at some point of time in the future, what will the course of action?

Mohan Goenka: No. So right now, we don't have any plans to move the factories to move the operations. It will gradually happen if it happens.

Shirish Pardeshi: Okay. And just one more question on the TMC. Once now, we have -- so you said that now -- you're basically now trying to reorganize and get it merged. So initially, we have seen some feedback from the channel and trade. But if we build a number for the next 2 to 3 years, what kind of potential this brand can become? I mean, would this be visible then as per your estimate, you are saying about INR200-odd crores?

So how much, the growth, especially for TMC, can happen? And what are the growth drivers?

And what are the channel expertise we will try and establish?

Mohan Goenka: So Shirish, The Man Company is about INR180 crores. At least in the next 3 to 4 years, we

expect the sales to go to about INR300 crores, INR350 crores. That's what is the target given to Vikas. And of course, it sells mostly through e-comm, and we will roll it out in some other Emami Limited
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channels going forward. We're also seeing substantial reduction in costs and that would be deployed in advertising.

So how we operate other Emami brands, similarly, we'll also operate The Man Company. Of course, the contribution will be far more from digital or e-comm and MT.

Shirish Pardeshi: Okay. And any word on the Axiom? What is happening there? I mean last time we had the update, about 2 quarters before the plant is going to get scheduled. And is the production and the product has started going into the market?

Mohan Goenka: Yes. So Shirish, yes, the production is on from Jammu. Of course, this is an off-season for juices. Now the next year, we will be supplying from Jammu only.

Moderator: Thank you very much. As there are no further questions from participants, I now hand the conference over to management for closing comments.

Rajesh Sharma : So thank you, everyone, for joining us today for our Q2 earnings call. Thank you, IIFL. Thank you, Percy, for arranging this call for us. Thank you.

Moderator: On behalf of IIFL Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Feb 2025

regd. office : 687 Anandapur e. m. bypass Kolkata 700107 India
phone: 91 33 6613 6264 tele fax: 91 33 6613 6600 e-mail: investors@emamigroup.com website: www.emamiltd.in
CIN: L63993WB1983PLC036030
31st January, 2025

The Manager The Manager
The National Stock Exchange of India Ltd. BSE Limited
Listing Department Corporate Relationship Department
Exchange Plaza, Plot No. C/1, G. Block Phiroze Jeejeebhoy Towers
Bandra Kurla Complex, Bandra (E) Dalal Street
Mumbai – 400 051 Mumbai – 400 001
Symbol: EMAMILTD Scrip Code: 531162

Sub: Transcript of Investor Conference Call pertaining to the Unaudited Financial results of the Company for the Third Quarter and Nine months ended 31st December, 2024.

Dear Sir/ Madam,
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Investors' conference call held on 28th January, 2025, post declaration of Unaudited Financial Results (Standalone & Consolidated) for the third quarter and nine months ended 31st December, 2024.
You are requested to kindly take the above on record.
Thanking You,
Yours Sincerely,
For Emami Limited,

Sandeep Kr. Sultania
Company Secretary, Compliance Officer & VP-Sales Commercial
Membership No: A13546
(Encl: a/a)

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"Emami Limited
Q3 FY 25 Earnings Conference Call "
January 28 , 202 5

MANAGEMENT : MR. MOHAN GOENKA – WHOLE -TIME DIRECTOR
AND VICE CHAIRMAN – EMAMI LIMITED
MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER –
INTERNATIONAL BUSINESS – EMAMI LIMITED
MR. GUL RAJ BHATIA – PRESIDENT –
HEALTHCARE BUSINESS– EMAMI LIMITED
MR. RAJESH SHARMA – PRESIDENT – FINANCE
AND INVESTOR RELATION S – EMAMI LIMITED
MR. GIRIRAJ BAGRI – CHIEF GROWTH OFFICER –
EMAMI LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL CAPITAL SERVICES
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Emami Limited Q3 FY '25 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference call is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Capital Services Limited. Thank you, and over to you, sir.

Percy Panthaki : Hi, good evening everyone. I'm delighted to host the management of Emami Limited on the Q3 '25 call. I have with me Mr. Mohan Goenka, Whole -Time Director and Vice Chairman; Mr. Vivek Dhira, CEO, International Business; Mr. Gul Raj Bhatia, President, Healthcare Division; Mr. Rajesh Sharma, President, Finance and IR and Giri raj Bagri, Chief Growth Officer. Over to you, sir, for your results presentation.

Mohan Goenka : Thank you, Percy. A very good afternoon, ladies and gentlemen. Thank you for taking the time to join us today for our earnings call for the third quarter and 9 months ended 31st December '24. The macroeconomic environment presented a mixed bag of challenges and opportunities this quarter. Urban demand remained subdued. The urban demand remained subdued, impacted by rising food inflation and cash -strapped retail and wholesale trade. However, rural demand demonstrated resilience, supported by favorable monsoons and a good harvest. That said, delayed winters hurt seasonal categories, further adding to the complexities of the market dynamics. Despite these headwinds, I am pleased to share that we achieved a robust growth of 8.6% in our core domestic business with volume growth of around 6%. This marks the second quarter this financial year, where our core domestic business has grown in high single digits.

And this is after absorbing challenges in male grooming and Kesh King, which declined by 4% and 10% during the quarter. BoroPlus range demonstrated remarkable resilience, growing by 20% despite delayed and mild winters, primarily driven by strong performance of antiseptic cream. Our healthcare range delivered robust growth of 13%, led by 90% growth in Zandu Care, while both Navratna and Pain Management portfolios grew by 3% each.

After absorbing the decline in revenues by 13% in strategic investments and 3% in international business, our overall consolidated revenues for Q3 stood at INR1,049 crores with a growth of 5% in Q3.

As you would be aware, a significant milestone was the rebranding of Fair and Handsome to Smart and Handsome this month. The new identity will cater to a wider portfolio, emphasizing the brand's holistic approach to male grooming, offering effective solutions for face, body and Emami Limited

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hair care. We see a tremendous opportunity to address a broader spectrum of male grooming needs for today's dynamic young men. The rebranding is a strategic decision driven by consumer insights that highlight a shift towards individuality, diversity and confidence, focusing on natural skin health among today's young men. With exciting new product launches on the horizon, and Kartik Aaryan as the new face of the brand. We are confident that this refreshed identity of Smart and Handsome as a comprehensive grooming solution will further solidify our leadership in the evolving male grooming market. We also launched Mentho Plus Balm Total in the southern region in December '24, positioned as an aromatic balm, addressing all types of body pain, leveraging the equity of Mentho Plus Pain Balm in the southern region. On the distribution front, our organized channels continue to strengthen with modern trade, e-commerce and ins

titutinal sales, now contributing to 28.6% of domestic business, an increase of 160 basis points in Q3. These channels grew at nearly double the pace compared to overall domestic business. Importantly, this quarter, we continue to deliver profit-led growth with improved margins across the board.

Our gross margins expanded by 150 basis points to 70.3%. EBITDA grew by 8% to INR339 crores, with margins expanding by 70 basis points. And profit after tax also increased by 8% to INR279 crores. In 9 months ended December '24, gross margins expanded by 140 basis points to 69.6%. EBITDA grew by 9% to INR806 crores, and PAT increased by 12% to INR644 crores.

I'm pleased to inform that the Board of Directors have approved a second interim dividend of 400%, translating to INR4 per equity share for FY '24. This follows the first interim dividend of 400%, also amounting to INR4 per share declared in Q2. Cumulatively, we have distributed dividends of 800% equivalent to INR8 per share during FY '24, reaffirming our commitment to maximizing shareholders' return and aligning our dividend payout policy.

To sum up, FY '25 has been a positive year until now with our core domestic business

delivering 7% growth, including 5% volume growth for the 9 months ended December '24. We are confident of closing the financial year on a high note. Looking ahead, improving macroeconomic indicators and a sequential revival in demand signals a positive outlook for the FMCG sector.

With the successful rebranding of Smart and Handsome, focused intervention for Kesh King and the anticipated turnaround in our international business, we are well positioned for robust growth in the coming periods. Our unwavering commitment remains towards driving superior performance across all business segments, expanding market shares and creating sustained value through strategic brand building, profitable growth and long-term value creation. With this, I would now like to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Avnish Roy from Nuvama. Please go ahead.

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Avnish Roy: Congrats on good volume growth and overall momentum. My first question is on the two segments which have done well this quarter, one is BoroPlus 20% growth and healthcare 13% growth. That's a good number in the current slowdown and late winter also. So is it because of some base effect which is favorable or you have really seen market share expansion or the new product launches, which are doing well?

And would you say that this is something which can sustain within Q4 because winter is still there, and definitely, that should further help because it's a harsh winter, but then it becomes a bit late also in Q4 given when winter will withdraw? So how do you see Q4 for these two businesses?

Mohan Goenka : So, Avnish, yes, BoroPlus growth has been led by the core antiseptic cream, okay, where we have grown phenomenally in double digits, more than 20%. So yes, I would say the base was also low, but even though even at a lower base, growth of 20% was really exciting. Yes, this momentum continues in this quarter also, it looks like, because this month, BoroPlus has done exceedingly well, okay.

So same is for healthcare. Healthcare is also -- for the last few quarters, we are continuously giving double-digit growth and -- which is led by Zandu Care. And this quarter also, we expect a double-digit growth in both BoroPlus and healthcare. So, overall, yes, I think despite of challenges, which I said in my opening remarks, overall, some of the brands have done exceedingly well, and we see a good momentum also in this quarter.

Avnish Roy: Sir, and last question will be on The Man Company. So where do you see the recovery happening? I do understand the overall market there is a challenge.

But what are the steps

needed here? Will it be more of a base effect when that normalizes then the growth will come or something can be done before the base effect helps you? Could you talk about that?

Mohan Goenka : So, Avnish, we have, Giriraj Bagri, who is our Chief Growth Officer, he drives all the new start-ups and new ventures, The Man Company, Brillare, --etc. so he is also on the call.

Giriraj Bagri : Yes. Avnish, thanks for your question and glad to be on this call. As far as The Man Company is concerned, we are seeing a sequential month-on-month improvement in performance. And going forward, in quarter 4, we expect quarter 4 to be significantly better than quarter 3.

Avnish Roy : But what exactly were the challenges? Was it just a discounting by peers which you have mentioned in the presentation, for example? So is that just because overall urban slowdown is there, that's the reason or there was some any inventory pileup which you had, which is also driving this?

Giriraj Bagri : So there are two or three factors. One factor, obviously, last year, if you remember, we had festivities over 2 months. This time, we had festivities over 1 month, and therefore, all the activities of major platforms were compressed into 1 month. The second factor is that a lot of the businesses moved into quick commerce, and we have also started moving into quick

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commerce. We were a little delayed in our shift to quick commerce, but we have caught up with the rest of the market by the end of the quarter. So that is the second piece that we see.

And obviously, the overall urban consumption, as everybody has been mentioning, has marginally impacted us, but we are seeing a significant turnaround on that at this point in time.

Mohan Goenka : And transition also happened, Avnish. So transition also impacted some bit of it. But now it is in full control, Giriraj has taken full control. Hopefully, things should improve from this quarter.

Avnish Roy : Okay. Thank you.

Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor : So just two questions. One was on Kesh King. Mohan, I just wanted to get a sense of what changes now you're kind of looking to make in that brand and when -- and if any? And when do we start to see that play out in the market?

Mohan Goenka : So, Harit, we have continuously been mentioning that BCG is on it, okay? You have seen a big change. Fair and Handsome was also not going for some quarters, but we did a significant change in Fair and Handsome. Similarly, Kesh King is being evaluated by BCG. Let them come up with a robust strategy.

Once they come up with that and we start implementing, I'm sure the brand should revive. I think it will take another one or two quarters, but then surely, we'll come with a bang.

Harit Kapoor : Got it. Just one question on that. Do you think it's also a category issue or you think it's more internal which you can solve through the BCG changes?

Mohan Goenka : No, definitely, category issue is there. In the oil, we are seeing. It's not just Kesh King. All the other oils are also somewhere slowed down. So -- see, but we can't wait for markets to -- of course, market is one thing. If they revive, we will get extra benefit, okay? Whatever changes that needs to be done are for the brand.

Opportunities in shampoo and other hair care, there are multiple opportunities, which have been identified. So, as I said, a lot of working is going on. So, hopefully, in the next 1 or 2 quarters, you will see something.

Harit Kapoor : Okay. And on Smart and Handsome, so if you could just give a sense of from going from skin care to overall male grooming, when do we kind of expect this entire rollout in the market?

Have we already put it in the market, old stocks out, new stocks in? Could you give us a timeline of how we look at it

from the next quarter or two?

Mohan Goenka : The transition has happened for the base cream and face wash. So it started about a month back. And now the product that you will see in the market is all Smart and Handsome. In fact, the new advertising has also started from 15th of January for Smart and Handsome. And as far

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as the extensions or the entire male grooming range is concerned, that we will start rolling out in the next 3 months to 4 months.

Harit Kapoor : Understood. And any changes on the pricing standpoint or the pricing part as well? I think you maintain similar kind of pricing structures for the new launch?

Mohan Goenka : We haven't changed the prices.

Harit Kapoor : Got it. And lastly, Mohan ji, just on this rural versus urban kind of a mix, could you please give us a sense of how -- what is the kind of differential in rural versus urban for you in terms of growth over last quarter or couple of quarters or however you want to kind of quantify that? Just wanted to get a sense of how much faster is kind of rural growing for you, if you could just help us understand that?

Mohan Goenka : So, Harit, the BoroPlus is a mass brand, okay? And the growth that if BoroPlus has grown at 20%, of course, it is driven by the rural growth, okay? And -- so -- and as I said, this month also, we are seeing good growth coming in for BoroPlus and some of the other brands also.

Also, Smart and Handsome has revived because of the new launch. So we are seeing -- I would say that at least for us, there has been an improvement in the rural growth. I can only say that.

Harit Kapoor : I will come back Mohan. Thank you very much.

Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL Capital Services. Please go ahead.

Percy Panthaki : Yes. I just wanted to understand the drivers behind the gross margin expansion given that there has been no commodity deflation. Is it a mix effect or have you taken pricing in some of the products? What is the story behind this?

Rajesh Sharma : Yes, Percy. So both the price hikes which we have taken or the realizations improvement, which we have seen during the quarter and also lower input prices on some of the areas and some of the cost reduction initiatives which we have taken, so all this put together has helped us to get this margin expansion on the gross margin front.

Percy Panthaki : Understood. Just a follow-up on that. The pricing that you have taken, is it in some specific categories? And secondly, you mentioned input cost deflation in a couple of inputs. So which are those inputs where we have seen a deflation?

Rajesh Sharma : We have seen some on the packaging material mostly, and also, the pricing is mostly across. So not on the LUPs, but on the larger pack, some bit of pricing and on average 1.5% to 2.5% kind of pricing benefited there.

Percy Panthaki : Understood. Secondly, on Kesh King, we have already, I think, put some initiatives in place to improve the growth. Is there anything still in the pipeline which is pending in terms of

initiatives? I understand you might not be able to say what they are because it's competitive in Emami Limited
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nature. But just wanted to understand if there is anything sort of pending in terms of actions from our side or whatever we had to do we have already sort of put in?

Mohan Goenka : Sure. So, Percy, as I said, we will have to wait for the strategy to be firmed up, then only we can throw some light, because the category size is huge, opportunity is huge, okay? So -- and oil is just one category in the Kesh King. The shampoo is -- plus there are many other categories that we can get into, okay, under this brand.
So that has been worked upon. You will have to wait for another 4 months, 5 months for us to get back. But I can only say a lot of work is going on.
Percy

Yash Panthaki : Understood. Steve, we can move on.

Moderator: Thank you. The next question is from the line of Tanay from Investec. Please go ahead.

Tanay: Just wanted you to shed some light on the international business. Are you all looking at new products? What is the reason behind the growth over there and just in environment perspective if you could tell us a bit more?

Vivek Dhir : Good afternoon. International business, we couldn't do much in Russia with a very high inflation environment over there. And that is the prime reason. When we look at the quarter, we had a massive decline in that particular geography. But cumulatively, for the 9 months, still Russia has delivered double-digit growth. So that is one area where we had underperformed in this quarter.

Russia, Ukraine, this business, in this particular quarter, goes up significantly as a contribution to the overall business. And that is where the hurt has been. So, Bangladesh, by and large, has been under control, and many other markets have been under control. So this area due to high interest rate environment, we couldn't extend big credits into the market, which usually operates -- usually that market operates between 60 to 120 days over there.

Tanay: Got it. And how are we looking at this going ahead? Are you looking at expanding products in these segments? What is it like?

Vivek Dhir : Product expansion is happening with respect to different geographies. So we could manage to extend certain MP's in Africa, especially in the East Africa region. GCC MENA region being continue to expand in portfolios of Creme 21 and skin care. Most of them are doing well for us.

Bangladesh, we attempted to expand our leading brand, which is 7 Oils into shampoos as well over there. A little bit of, I think, mixed response, certain pockets of success, certain pockets we couldn't do much -- shampoos in Bangladesh. For bottle, we had clearly fared well over there. So it's a mixed response in Bangladesh. And the political instability with Bangladesh also, we have gone through in launches and investments over there.

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We also are very conservative as a business. We were conservative in extending any credit. We all operate on cash in this market. So after national distributor, the market is purely on the cash basis. So that is how we are operating. Still, we have been -- managed to deliver some growth in Bangladesh in this quarter.

Tanay: Got it. But you would see some revival, I think, in the fourth quarter?

Mohan Goenka : Yes. Yes. Almost in last 5 years, 20 quarters, there is 1 bad quarter due to very bad performance in Russia. We have been -- not been able to deliver the growth. But when we look at 20 quarters, we would have decent, and we'll see a good revival in quarter 4, again. We should have good revival in quarter 4. That's more an aberration which is happening.

Moderator: The next question is from the line of Ajay Thakur from Anand Rathi Securities. Please go ahead.

Ajay Thakur : Hi, thanks for taking my question. So I wanted to understand a bit more on the price increases. For the quarter, I believe we have like about a 1% kind of a price increase. So the price increases, which have been taken wouldn't have been reflected in the price increases, which we are there for the quarter. Will that be kind of a right assumption or how is it?

Mohan Goenka : Yes, Ajay, so there have been some price increases, which have happened, which if the sales has happened in this quarter, it has come in this quarter. So not that every product price goes up at one time, some SKUs in some products prices -- it's over a period, so some benefit has come in this quarter, more than 1.5% increase.

Ajay Thakur : So what kind of weighted average price increase can we factor for the coming quarter is what I

was trying to understand?

Mohan Goenka : It would be in the range of 1.5% to

2%.

Ajay Thakur : Okay. Secondly, I wanted to also understand a bit more on the tax rate. What would be the projected tax rate for the current year and for the year going ahead for FY '26?

Rajesh Sharma : So, Ajay, for FY '25, I think the current trajectory should be there around 8%, 9% kind of tax rate. And going ahead for next year also, it should be within the range of 10% kind of.

Ajay Thakur: Understood. Thanks. That is my two questions.

Moderator: Thank you. The next question is from the line of Shrish Pardeshi from Motilal Oswal . Please go ahead.

Shrish Pardeshi: Just one broad question. When we look back, most of the FMCG companies -- staple companies are struggling managing the channel conflict, whether it is quick commerce, modern trade, e-commerce. So I just wanted to understand, you have given me a number at Emami Limited

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28% contribution. But if you can specify how this channel looks like, the growth, the individual growth.

And how are you managing this conflict? Of course, we have been beneficiary because we have a very seasonality led consumption. But I'm just more interested how you look at it.

Mohan Goenka : So, Shrish , definitely, the channel conflict is not easy to manage because it still exists. And -- but these are emerging channels, so our presence is almost mandatory. Of course, there are different SKUs for different channels. For rural, they have -- yes, it's driven by sachets in modern trade e-commerce. It is, of course, driven by large packs.

And for GT, it is driven by mid pack. So this is one way of managing the conflicts, but still, there are some packs, which also go in GT and MT, e-commerce. So there, the conflict is a little higher. We are trying to solve it, but -- we have solved quite a bit, that's why we see these growths coming in, in these channels. So the only way is segregating the packs for individual channels because you can minimize the conflict.

Shrish Pardeshi: Just one observation. I mean, if I believe what you said, the small packs has done better, but they still -- you have shown a good improvement in the gross margin. So is the broad SKU mixes remained stable, standard or it is still tilted towards large pack?

Mohan Goenka : No. See, the margins have also increased due to the mix because BoroPlus antiseptic cream, the growth has been significantly higher, which is a high-margin product, okay? So due to that, we are seeing a significantly high growth in margins.

Shrish Pardeshi: Okay. My next question is to Giri. Giri, speaking to you after many years. On The Man Company, can you tell me how the distribution takes place today after when we changed the hand from the promoters? And which are the channels looks promising? I mean, yes, we know the modern trade is a bigger opportunity, and e-commerce is doing well, but how are you trying to manage the large accounts, say, A class outlets?

Giriraj Bagri : Shrish good talking to you after a while. So as far as The Man Company is concerned, at this point in time, it still remains a dominant online place. We don't have so much of an offline exposure as many of the other brands might have though we are present in EBOs and certain key modern trade accounts. And fundamentally, the way we look at it is that our share of the entire male grooming business is in a low-single digits at this point in time as CSD is concerned.

So from across the channels, I think we have a very significant headroom for growth as far as future is concerned. Now that the transition in the management is complete, and we are now trying to drive the whole business much more aggressively, done in the transition phase. So I think we should see a very broad-based recovery as far as CSD is concerned.

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Shrish Pardeshi: Giri, I'm asking this question from the context, about two quarters before when we changed the

hand, there was inventory and health issue. I hope that is behind. So my question is that how much TT contribution over next 1 year we can see?

Giriraj Bagri : Currently, the broad split in the business is roughly around about 75% is online, 25% is offline, and offline, all channels put together, including CSD, EBO, a little bit of modern trade and the institutional channels, all of that. I think the ratio will probably be broadly similar as far as the few quarters down the line is confirmed. In the longer horizon, obviously, as we start moving

into more of traditional trade, then you may see a mix changing a little more in favor of traditional trade than in terms of new channels.

Shrish Pardeshi: Okay. But inventory should not be an issue going forward. That's what you're confirming? Is it normalized now?

Giriraj Bagri : Yes, inventory is normal.

Shrish Pardeshi: Okay. Last question. Gul Raj ji, congratulations, good number. Can you share how this growth has happened, maybe sub segments, like Zandu Chyawanprash , juices, health cure, maybe Pancharishta, what are the growth rates you have achieved?

Gul Raj Bhatia : Across the board, whether it is health juices, cough syrup and Vigorex, we have had strong growth, including in our Generics and Ethical Medical business. So we had good growths across many of the brands in high double digits. The only challenge has been so far on Pancharishta, where we had a challenge in terms of the growth, basically.

And we are trying to address this issue by way of looking at some new campaigns, both digitally and off -line in terms of regular ATL . We are also looking at modernizing the packaging, the -- and making it more contemporary, more scientific. So besides Pancharishta, all other brands have or all other categories have done well for us, including Chyawanprash.

Shrish Pardeshi: Sir, last year, Pancharishta or maybe after COVID, Pancharishta was a hero product for us. But is there -- can you share a little more thoughts? Is the profile of the customers has changed, and that's why we are struggling or is it that the change, new modern look, something has to be done?

Gul Raj Bhatia : I think it's a mix of everything. So as you said, during COVID, we had seen very strong growth for the brand. And post -COVID, there has been a decline. I think -- so there is a factor of the higher base of COVID, but it's been now a couple of years after COVID. From what I've understood of the industry per se, and I'm not just talking Pancharishta, this format which is called as Arishtha or Asava as checked across companies.

So this whole format is seeing a bit of a pressure in terms of volume growth across organizations, across categories. We also know that some other companies which have large brands in this format are also struggling. So, like I said, there is a certain challenge which we Emami Limited

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may be seeing from a consumer perspective in terms of the more modern, the more millennial consumer is not wanting to accept it, and we are trying to address this issue also from a packaging and other perspective.

Shrish Pardeshi: Okay. Thank you. Thank you Mohan ji. All the best.

Moderator: The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.

Kunal Vora: Just wanted to understand the base effect. Can you highlight some of the base total let's say in the next few quarters you have a high base due to scheduled winter and good summer?

Mohan Goenka : Kunal, sorry, your voice is not very clear. Can you...

Moderator: The current participant has been disconnected. We will move on to the next question. It's from the line of Kartikey Kashyape from IndSec Securities and Finance . Please go ahead.

Kartikey Kashyape: I wanted to understand with the recent acquisition of Sesa by Dabur to strengthen their ayurvedic hair portfolio -- hair oil portfolio, do you see an

y impact on Kesh King?

Mohan Goenka : Sorry, impact on Kesh King from where ?

Kartikey Kashyape: Like Dabur recently acquired Sesa to strengthen their ayurvedic hair oil portfolio. So I just wanted to understand how do you see that ?

Mohan Goenka : No, we don't -- we haven't seen any impact of that as yet. The Kesh King category was not going for some quarters. It is to do with the category itself, not just Kesh King category, but the entire oil categories. So we don't see a big threat from that.

Kartikey Kashyape: Okay. All right.

Moderator: Thank you. The next question is from the line of Vishal Gutka from HDFC Securities. Please go ahead.

Vishal Gutka : Congrats on a good set of numbers. Two questions from my side. On BoroPlus portfolio, sir, what exactly you have done that has led to this kind of growth despite winter being delayed?

Definitely, you've changed the packaging, product quality might have gone up by notches ahead and distribution increase might have been. If you can broadly elaborate what you have done that has led to this kind of growth?

And second question is on the ethical portfolio. As per my understanding, from 1st April 2024, insurance policy, they have started covering ayurvedic medicines. So in that context, what are we doing to improve the salience of Ethical portfolio?

Mohan Goenka : Gul Raj, you can answer for the Ethical portfolio.

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Gul Raj Bhatia : Sure, sir. So as you know the -- as you rightly said, there has been this move towards covering ayurvedic products in insurance policies. So this obviously benefits inpatient departments in the ayurvedic hospital. We have in generics over the last 1.5 years, tried to improve our presence and coverage in ayurvedic hospitals. So especially in the larger hospitals, we had more regular visits. We are doing more detailing. We are serving more doctors.

And we've not seen much of a direct impact by way of change in the policy in terms of our business volumes. And it's a bit difficult to quantify that also. But as we gradually move forward as the industry accepts it and consumers and patients accept it, we definitely see some upsurge in patients getting admitted to ayurvedic hospitals.

And that's why not only ethical, but even the generics portfolio will benefit because a large chunk of the treatment also was the generic product. But that could be a gradual process. You may not see a dramatic or a sea change happening in the short term for the industry, for the category as a whole.

Mohan Goenka : And, Vishal, as far as BoroPlus is concerned, this was, of course -- I will not say that the season was too bad for us because 20% growth can only happen if there is a good season. So this time, the -- whatever was the season was, it was good, the dry winter, I would say. And we were also aggressive in terms of advertising and some very, very focused approach we took in some key states.

So that also helped BoroPlus Antiseptic Cream to grow in rural markets. We also changed our trade scheme approach this year. So that also helps some bit of it. So it was a combination of good dry skin and very aggressive focused approach in certain markets and change in our trade scheme.

Vishal Gutka : Got it. Thank you sir and wishing you all the best for future quarters.

Moderator: Thank you. The next question is from the line of Nitin Gupta from Emkay Global. Please go ahead.

Nitin Gupta : I just want to know like what is the salience of rural now given that we generate 29% from organized channels?

Mohan Goenka : Yes. So rural would still be -- if you exclude that, if you take the overall business, it should still be about 53%, 54% of the domestic business.

Nitin Gupta : 53% is rural and 29% organized channel and rest will be general trade urban. And when we include -- when we call out 29% organized channel, do we include CSD in this?

Mohan Goenka : Yes, we

include the institution, yes.

Nitin Gupta : And any sense like how much CSD would be now for us?

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Mohan Goenka : Around 4%.

Nitin Gupta : Okay. And second question is with respect to your opening remarks, and you have highlighted in urban, there's a cash strap in retail and wholesale. Can you throw some light into this?

Mohan Goenka : So see, that has been there since COVID, okay? When the demand cycle is poor, then, of course, you have to extend a little more credit to the trade, so that trend has still been continuing.

Nitin Gupta : And this also has an effect in terms of when we are doing the trade promotion. Incrementally, does the trade promotion looks difficult?

Mohan Goenka : No. So trade promotion is different. It all depends on the focus what you have and it depends on the demand for the product, but there is not much significant change.

Nitin Gupta : Sure. And my last question is with respect to Smart and Handsome and HE brand. So last quarter, we have expanded HE brand offering. And now with the name change, so like how we want to position both the brands? Will Smart and Handsome will focus only on the facial and HE will look after the other male grooming?

Mohan Goenka : Smart and Handsome is a widely distributed product. It's a mass product. It is available in almost 15 lakh outlets. The distribution channels are very different. And so any product that will come under Smart and Handsome will be mass priced.

Nitin Gupta : Yes, understood. In terms of category presence, I was -- basically, I wanted to gauge, will it be facial and like how do you look to extend this to other?

Mohan Goenka : We will extend it to many different categories.

Nitin Gupta : Okay. So HE will be the premium end and Smart and Handsome will be most of the mass product offerings in the similar categories?

Mohan Goenka : The pricing would be different, yes.

Nitin Gupta: Thank you sir. Thanks a lot.

Moderator: The next question is from the line of Rahul Agarwal from IKIGAI Asset Management. Please go ahead.

Rahul Agarwal : Sir, one question was the press release talks about liquidity constraints in retail and wholesale trade channels. Just wanted to get a sense, what has been your experience in the quarter in terms of the channel behavior? Does that mean that the channel filing was actually lower than what it should be, so the growth could have been better?

And secondly -- second part to the question is, how will this ease out? Like do you think this eases out like in 3 to 4 months and then it helps growth a head? That's the first question?

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Mohan Goenka : Sorry, what was the second question, Rahul?

Rahul Agarwal : When does this ease out I like do you think there is a timeline to this? Or do you think it's a general problem?

Mohan Goenka : No, it's a -- as I said, Rahul, this is a problem which has been going on since many, many, many quarters. It's not a new problem. Maybe we've just highlighted it in our con call, okay?

So that's why the credit cycles and everything has been consistent since the COVID. So at times when depending on your strategy, we may increase a little bit or we are not seeing a room where we are able to decrease it. That's the only thing.

Credit cycles are very consistent, and at times, you may have to increase it. That's it. I don't know when it will improve, I have no idea.

Rahul Agarwal : Got it. So just to quantify this, maybe, Rajesh ji can help, as of December balance sheet, like what is the receivable cycle right now?

Rajesh Sharma : So, Rahul, our receivables would be roughly around 16 days, 17 days which is slightly improved from the last year period or March quarter, but still that's what Mohan ji said is continuing for quite some time now post COVID.

Rahul Agarwal : Got it. And could you help me with the operating cash

flow number for 9 months if that's possible? That's my last question ?

Rajesh Sharma : So if you look at our 9 months profit is almost -- EBITDA is almost INR800 crores plus and profit after tax would be INR640 crores. So there is not significant capex till December. So I think around INR500 crores, INR550 crores, kind of would be the operating cash flows.

Rahul Agarwal : Got it. No, I was asking was because of tax adjustment, but I get the answer. All the best.

Moderator: The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.

Kunal Vora : So you had a soft seasoned quarter. In the next few quarters, you have had a little tougher base with delayed winter last time and harsh summer. So do you believe this growth trajectory which you have right now could be maintained or even improved?

Mohan Goenka : Kunal, see, as I said, we have started with a good note. I don't know how the summer will pan out to be. You're right. We have a good high base for summer products. We will have to wait and watch, but there is significant aggression in terms of new launches in distribution mixes, so SKU launches.

So we will have to see. We can't be bearish all the time. If the market improves, of course, it will benefit us. But the brands, I feel most of the brands are under solid ground other than Kesh King maybe. But, hopefully, we should do better than what we have done in this quarter.

That is my expectation at least.

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Kunal Vora : Understood. And second one is what's outlook for urban GT now? Because that number seems to be fairly small now, below 20% for you. Is it still viable via distributors? Or are you having any issues retaining the distributors? How is it -- how is the outlook of urban GT from here, especially as quick commerce and e-commerce continues to rise?

Mohan Goenka : No, there is no challenge at all as far as retaining the distributors. So -- sorry, are you expecting anything else .

Kunal Vora : No, I was expecting, what's the outlook? I mean, do you think it will grow, it will shrink? What happens in the next 2, 3 years for urban GT?

Mohan Goenka : So see the channel, of course, does not -- the distribution does not change much, channels may be changing. We may add some basket to our existing distributors even to cover modern trade or e-commerce to make them viable, but nothing significantly changes.

Kunal Vora : And do servicing the retail outlets still viable? Because their sales will keep on shrinking and the kirana sales could shrink. So is it still viable to service the retailers or direct reach could reduce?

Mohan Goenka : No, of course, it's viable to serve the retailers . Business size is also increasing, yes.

Kunal Vora : Understood. Okay. And lastly, bookkeeping questions, goodwill amortization, what should be the number for FY '26 and '27?

Rajesh Sharma : So for next year also roughly INR90 crores kind of amortization would be there, Kunal.

Kunal Vora: Okay. That's it from me. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for their closing comments.

Rajesh Sharma : Thank you all. Thank you all for joining our Q3 conference call. And thank you IIFL, thank you Percy for arranging this for us. Good day.

Moderator: On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: May 2025

regd. office : 687 A nandapur e. m. bypass Kolkata 700107 India
phone: 91 33 6613 6264 tele fax : 91 33 6613 6600 e-mail: investors@emamigroup.com website : www.emamiltd.in
CIN: L63993WB1983PLC036030

19th May , 2025

The Manager - Listing The Manager - Listing
The National Stock Exchange of India Ltd. BSE Limited
Exchange Plaza, Plot No. C/1, G. Block Phiroze Jeejeebhoy Towers
Bandra Kurla Complex, Bandra (E) Dalal Street
Mumbai – 400 051 Mumbai – 400 001
Scrip Code: EMAMILTD Scrip Code: 531162

Sub: Transcript of Investor Conference Call pertaining to the Audited Financial Results of the Company for the Fourth Quarter and Financial Year ended 31st March, 2025 .

Dear Sir/ Madam,

Pursuant to the provisions of Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, please find below the transcript of the Investors' conference call held on 16th May, 2025 , post declaration of the Audited Financial Results (Standalone & Consolidated) for the fourth quarter and Financial Year ended 31st March, 2025 .

The said transcript is also available on the website of the Company at: www.emamiltd.in

This is for your information and records.

Thanking You,

Yours faithfully,
For Emami Limited

Ashok Purohit
Company Secretary and Compliance Officer
Membership No: F7490

(Encl: a/a)

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"Emami Limited Q4 & FY '2025 Earnings Conference Call"

May 16, 2025

MANAGEMENT : MR. MOHAN GOENKA – VICE CHAIRMAN AND
WHOLE -TIME DIRECTOR , EMAMI LIMITED
MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER
(INTERNATIONAL BUSINESS), EMAMI LIMITED
MR. GUL RAJ BHATIA – PRESIDENT (HEALTHCARE),
EMAMI LIMITED
MR. MANISH GUPTA – PRESIDENT (SALES), EMAMI

LIMITED

MR. GIRIRAJ BAGRI – CHIEF GROWTH OFFICER ,
EMAMI LIMITED

MR. RAJESH SHARMA – PRESIDENT (FINANCE &
INVESTOR RELATIONS), EMAMI LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL CAPITAL

Emami Limited

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Moderator: Ladies and gentlemen, good day and welcome to Emami Limited Q4 FY '25 Earnings Conference Call.

As a reminder, all participant s' lines should be in listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from I IFL Capital . Thank you and over to you, Mr. Pa nthaki.

Percy Panthaki: Hi, good evening. Welcome everyone. I have with me the Management of Emami . I have Mr. Mohan Goenka – Whole -Time Director and Vice Chairman; Mr. Vivek Dhir – CEO (International Business); Mr. Gul Raj Bhatia – President (Healthcare Business); Mr. Manish Gupta – President (Sales), and Mr. Giriraj Bagri – Chief Growth Office r; Mr. Rajesh Sharma – President (Finance & IR).

Without further ado, I will hand over the call to the Management who will take you through the results and then we will have the Q&A . Over to you, sir.

Mohan Goenka: Thank you, Percy. Very good afternoon, ladies, and gentlemen. Thank you for taking this time to join us today for our Earning s Call for the 4th Q uarter and the Financial Year ended 31st March , '25.

Consumption demand trends in Q4 remained similar to the previous quarter. While rural markets continue d to perform well, mass urban demand remains subdued. In this scenario, I am pleased to report that our core domestic business continue d to deliver robust growth this quarter also, this time growing by double digit at 11 %, w ith volume growth of around 7%.

This growth was achieved across brands and categories , reflecting strong well -rounded performance throughout the portfolio. Navratna and Dermicool range grew by 16%. Boro Plus range delivered growth of 27% . Healthcare range grew by 13% . And pain management grew by 1%. In the male grooming category, our recent rebranding efforts are showing early success. The newly repositioned Smart and Handsome brand posted a 7% growth , and Kesh King delivered flatish growth this quarter.

After absorbing the revenue decline of 12% in our strategic investment portfolio, our overall domestic business grew by 9% in Q4 with a volume growth of about 5%. We are proactively addressing challenges in the Kesh King and The Man Company . We are sharpening Kesh King strategy on solving for both medium term strategic issues as well as tactical challenges, E-com
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pricing SKU mix and media effectiveness. We are confident that these steps will drive a turn around this year.

Similarly for The Man Company, we are targeting to ramp up growth this year , focused on scaling of marketplace share, quick commerce, a 360 revamp , and performance based spend optimization to drive profitability. We are very happy to inform that Mr. Zairus Master has joined as the Chief Executive Officer and Director at the Man Company. He brings with him over two decades of rich experience across multiple industries . In his most recent role as Chief Business Officer at Hon asa Consumer , Zairus played a pivotal role in managing brands like Mama earth, The D erma Co., Aqua logica, Dr. Sheth's , and BBlunt.

During the quarter, we also forayed into the brightening category with the launch of Emami Pure Glow, a skin care offering designed to address evolving consumer needs. The brand has been rolled out in select markets, and we have onboarded Rashmi Khanna as the face of Pure Glow . In FY '25 , we introduced over 25 new products in our domestic business, including 11 new launches on our D2C portal Zandu care. Our digital -first portfolio on Zandu care continues to scale rapidly going over 50% year -on-year and now co

ntributing. Over 80% of Zandu Care's

sales . Products launched in the last two years now contribute around 50% to total Zandu Care sales.

On the distribution front, our organized channels, modern trade, E-com and institutional sales continue d to perform strongly. In FY '25, these channels together contributed around 28% to our domestic revenue, a 140-basis points improvement year -on-year. While our overall domestic business grew by 7% in FY '2 5, the organized channels grew at almost double the pace at 13%. Turning to our international business , after the decline in Q3, we return ed to growth in Q4, posting a 6% increase despite geopolitical and macroeconomic challenges in Bangladesh, Middle East , and some parts of Africa. This growth was supported by strong performance in the SAARC, Southeast Asia, CIS, and Africa regions.

Our consolidated revenue for Q4 stood at Rs. 963 crores, an increase of 8%. Gross margins expanded by 10 basis points to 65.9%, while EBITDA grew by 4% to Rs. 219 crores , profit before tax grew by 14% to Rs. 194 crores. And profit after tax grew by 9% to Rs. 162 crores. For FY '2 5, consolidated revenue at Rs. 3,809 crores grew by 6.5%. Gross margins expanded by 100 basis points to 68.6%, EBITDA grew by 8% to Rs. 1,025 crores. And EBITDA margins for the full year improved by 40 basis points to 26.9%. While profit before tax grew by 13% to Rs. 894 crores , profit after tax grew by 11% to Rs. 806 crores.

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I am pleased to share that the Board of Directors have approved a special interim dividend of 200% translating to Rs. 2 per equity share while celebrating 50 years of Emami . Including the earlier two interim dividends of 400% each, that is Rs. 4 per share declared in Q2 and Q3 , the total dividend payout for FY '25 stands at 1000% or Rs. 10 per share, representing a payout ratio of 49% on adjusted PAT, f ully aligned with our dividend policy and committed to maximizing shareholders value.

Looking ahead to the next financial year, we are optimistic about delivering a strong performance across the board. Our market shares and household penetration across brands are trending upwards, giving us confidence of sustaining growth in FY '2 6. With strategic actions being taken for male grooming, range Kesh King and The Man Company , we anticipate positive momentum for these brands in FY '2 6.

We expect a gradual pickup in consumption, supported by easing inflation , recent income tax benefits to individual taxpayers , higher government CAPEX and a more accommodative monetary policy, including potential rate cuts . With our international business and strategic investments showing promising signs of rebound , we are excited about delivering robust all - round growth in FY '2 6.

With this, I would now like to open the floor for questions. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session. First question comes from the line of A bhneesh Roy with Nuvama . Please go ahead.

Abhneesh Roy : Yes. Thanks and congrats on the good numbers. My first question is on Zairus Master, so here my question is , what will be his key KRA from the next two to three years ' perspective ? In Man Company , in the past few quarters, your stake has almost become 100% and the numbers have been a bit volatile. And he has a excellent track record and excellent experience in Honasa , Unilever, Airtel, Nokia, etc . So what will be his main target over the next two to three years ' timeframe in Man Company?

Mohan Goenka: Yes, firstly, we are very excited to have him on board. We have been trying to reach out to him for quite some time. So this was absolutely part of our strategy to bring someone who understands this business very well. And of course , he has just joined a couple of weeks back , and he's a master in this. So , of course , the target is to get back to growth, to take The M

an

Company and other startups on the fast track , how can we get to substantial growth . Plus, at the same time, of course , the targets are to see that the brands get to profit in some time. I am not expecting profits immediately, but of course the long term target is to get these brands to profitability . These are the two goals what he has right now.

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Abhneesh Roy : And one follow -up here, Man Company was also a D2C startup only. So in terms of now this new leadership and the overall performance has been a bit volatile. So , is the original team now fully gone ? And in terms of anything weak in the business model, is there something weak or is it just the demand scenario which was weak, and the transition was there ? Anything you can call out where there was a change needed in terms of strategy ?

Giriraj Bagri: Yes. Thanks for the question. A couple of things. First, as Mohan ji mentioned, we are very excited to have the Zairus on board . And his mandate is essentially to be able to build a good team , to restore simulating growth rate this year itself. And also , a long-term path to profitability . As far as the original team is concerned and the volatility of management is concerned, I think

that is behind us now. The promoters have stepped away completely from day -to-day operations , including their presence in the office. So they are gone. There is a complete brand revamp which is planned very soon . So I expect a very significant rebound to happen in The Man C ompany in the months to come.

Abhneesh Roy : Sir, my second question is on the cooling products , those have done quite well in Q4. My question is , in Q1 the base is high , because last year in Q1 you had done really well. W hat we are picking up in April and May , lot of the other cooling categories have not done well because there was all this sudden rains in North India, thundershower and temperature became low. So for example AC sales, the cooler sales and even the beverages, all those are have cooled off. So from that perspective , and high base, how do you see this category in Q1 see tough comparables in that scenario?

Mohan Goenka: So Abhneesh, you are absolutely right. This quarter is slightly challenging as far as the summer portfolio is concerned . We saw a steep growth in Q4, so primaries happened. Unfortunately , southern markets and some parts of east and west have not done so well. So you are right, we are seeing sporadic rainfalls across India. So you are right, summer has seen a slight dent . I think let us wait for another two or three weeks , if we see some rebound, we have a higher base. So there would be slight challenge on our summer portfolio , and we will try to see if we can make it up with some of our other portfolios .

Abhneesh Roy : Thanks. I think the audio quality at the end was weak, but I got the gi st. Thanks a lot. That's all from my side. Thank you.

Moderator: Thank you. Next question comes from the line of Shirish Pardesi with Motilal Oswal Financial Services Limited. Please go ahead.

Shirish Pardesi: Hi, Mohan ji and team. Thanks for the opportunity and congratulations. I was little bit excited seeing BoroPlus range has grown 27%. Did you see any sudden spike? I mean , winter was extended, but is there anything new which has happened in that segment?

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Mohan Goenka: Not really , Shirish. W hen summer doesn't do so well, BoroPlus does slightly better and same trends is what we are seeing also in the first quarter, BoroPlus is doing , though it's a very, very small base , but April and May BoroPlus is shining better than our some of our summer items. So it is purely seasonal, honestly.

Shirish Pardesi: Okay . The other thing I wanted to check with you, this Smart and Handsome launch has happened over the end of quarter or early, say , Jan?

Mohan Goenk

a: Yes, we launched it in the second week of January.

Shirish Pardesi: Okay . So by and large, we would have now phased out the Fair and Handsome and everything is getting replaced ?

Mohan Goenka: Absolutely, absolutely .

Shirish Pardesi: But i s there any return which has happened on Fair and Handsome ?

Mohan Goenka: No, no, nothing at all. Nothing. Not even 1%.

Shirish Pardesi: Okay . The other question was , Pure and Glow, this is the entry into the Skin Care . What is the two, three timelines we should be monitoring for the next three to four quarters? I mean, yes, we are excited to see the new launch which has happen ed. But if you actually look at the skin care category with a lot of clutter less which is there, so what is it that we're talking different to the consumer?

Mohan Goenka: Actually, every category is cluttered. So, of course , we have right out in larger categories , that is part of our growth strategy . And whitening is a big market, almost Rs. 3,000 crores, Rs. 4,000 crore s market with monopoly of Lever. So we are talking it out in certain markets of South. Of course, it's based out of nature and science . We have some clinical results of 2 x brighter look plus extra moisturization. So let us see . As I said , it's a large , pretty big market . So this is the initial response. We will take it nationally . Right now it is on th e test market stage.

Shirish Pardesi: And we are manufacturing ourselves or it is --?

Mohan Goenka: No, it is in -house manufacturing.

Shirish Pardesi: On the Brill are and TMC, though we now understand last year was consolidation and there were some hiccups. But over FY '25 if I ask , FY ' 26, how do you look at this business ? I mean , obviously we have a business, and these all things will happen . But there are some aspirations what we have left when the consolidation happened .

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Giriraj Bagri: Yes. So when we look at F Y '26, both for Brillare as well as for TMC , we are looking forward to a high double -digit growth in both these businesses . And there is a significant investment that we are making in both these businesses to build the brand franchise, especially the top of the

funnel, as far as TMC and Brillare are concerned . And we are already seeing some green shoots when we look at certain channels and certain categories in the month of April and May. So , we should look forward to strong double -digit growth in FY '26, both in Man Company and Brillare .
Shirish Pardesi: That's helpful , Giri. Just one follow -up on here. Can you spell out what is the revenue we clocked for TMC and Brillare ? And what is the bit of loss we would have made on these two brands?

Giriraj Bagri: Specific, we will avoid.

Shirish Pardesi: But revenue if you can share .

Mohan Goenka: Yes, revenue is about Rs. 150 crores for The Man Company and about Rs. 50 crores for Brillare .

Shirish Pardesi: Okay . Thank you, Mohan ji. A nd all the best.

Mohan Goenka: We have excellent plans for healthcare . And Gul Raj is here , we have launched some significant brands in Zandu care and we have robust plans for healthcare growth. So Gul Raj , you can also pitch in and share some ideas, plans if you want for healthcare.

Gul Raj Bhatia : So I think we have done fairly well in the healthcare portfolio , as indicated by Mr. Mohan ji, where they grew by 13% annualized . And it was led by three, four categories. One was the D2C portfolio Zandu care, which had a growth of nearly 50% , and it was led both by new product launches and various initiatives led by crude marketing, better return on investments in the marketing space , and also more aggressive claims in terms of our product benefits and efficacy. We also did well on some of the other categories in the portfolio in the OTC space. On brands like Nityam, brands like Cough Syrup where we grew in strong double digits al

ong with the hair

juices also. And on the medic o business, which we reach out to doctors for, we had good growth there also , both in quarter four and for the whole year . Going forward, we are going to drive improved marketing campaigns , focusing on a better return on investment, considering the fact that consumer shifts are also happening . Post COVID consumers have by and large reduced spends on health supplements, immunity products, etc. And they are spending more on discretionary products , more on consumption outside the home in terms of restaurants, QSR's, etcetera.

So keeping these trends in mind, we are focusing on other categories besides health supplements which can drive incremental volume, market share gain and overall growth. So , we will also be focused on NPD s, but I think the focus will be compared to previous years more on consolidating and leveraging the NPD s we launch to see how we are able to scale them up in a profitable

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manner . We will also be doing a lot more initiatives on the Medico business by way of improved doctor c onnect , Medico marketing , and also reaching out to more A-class doctors , and focusing on certain therapies which should give us higher returns.

Moderator: Thank you. Next question comes from the line of Hari t Kapoor with Investec. Please go ahead.

Harit Kapoor: Yes. Good evening. I had a few questions. So one was, if you look at the pain management category for your business, it's been about seven quarters now of kind of single digit growth , obviously there was one de-growth quarter, but single digit kind of growth . Mostly from a slightly medium to long term perspective . is that the sort of trajectory that we should also kind of look at mid-single range , in a category that has got reasonable history , it should be kind of a normative growth ? Or do you believe in any way innovations etc . can also kind of add a little bit more additional growth to this space ? I ask because it's a high margin segment , so that was my first question.

Mohan Goenka: Harit, you are right, pain management is an important segment for Emami . It almost contributes to around 20% of our overall revenues. A nd it has got three products. One is Zandu Balm which is the mother brand, green color , and Zandu Ultra Power and Mentho Plus Pain Balm. These are the three. Ultra Power and Mentho Plus has consistently been growing , but unfortunately the green pack, which is the main product, is showing signs of some stress. But anyhow, we have a robust plan for new products in pain management. We have launched a couple of products under this Zandu, and this year again we are launching one or two new offerings. So we are relying heavily on NP Ds for growth in the pai n portfolio.

Harit Kapoor: Got it. And w e should see some of that into fiscal year '26, also the NPD ?

Mohan Goenka: Yes, yes, absolutely. This year you will see two new launches.

Harit Kapoor: The second was a short one. This Smart and Handsome growth of 7%, is that indicative of the secondaries as well that retail level secondary growth is also 6%. 7%, 8%?

Mohan Goenka: Absolutely. So after a long time we have seen some momentum in Smart and Handsome. You guys know that this band was continuously declining . And post the relaunch, we have arrested the de-growth. We are yet to see double digit growth what is targeted. But a s I had mentioned earlier also that now this is a male grooming segment , it's not just the cream and the face wash . So you would see very extensive male grooming products coming under Smart and Handsome. And of course we would see growth in this Smart and Handsome .

At the same time, I must say that the strategy for Kesh King is also ready by BCG. Hopefully

we will be rolling out in the second quarter. So , by and large, I think we have addressed most of the issues, whether it is the Kesh King, The

Man Company with Zairus we are very excited , with
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Brillare also I think should grow . Smart and Handsome , the decline has been arrested.

Healthcare, we are very optimist of double -digit growth . Other than pain management , I think we are expecting 5 % , 6% growth , others should do slightly better.

Harit Kapoor: Got it. The last question was on price growth. So this quarter looks like a 3% type of growth at an overall level on pricing. So , just wanted your outlook on what should be kind of pricing growth assumption for F Y '26? I know it's normally a 2% up and down a little bit, but just your sense on what it looks like for '26?

Mohan Goenka: Should expect in similar lines , Harit, around 2 % to 3%.

Harit Kapoor: Go it. I will come back for more. Thank you very much.

Moderator: Thank you. Next question comes from the line of Ajay Thakur with Anand Rathi Securities. Please go ahead.

Ajay Thakur: Hi sir, thanks for taking my question. So sir, I had two questions. One was, just wanted to get a sense on the summer products, how the volume trajectory had been for both Navratna and the Dermi cool, given the fact that their revenue growth has been pretty robust during the quarter ? And also , if you can share some outlook for Q1 for the rest of the summer season?

Mohan Goenka: This is a difficult one, Ajay. As I said, summer has not gone down so well , unfortunately . We had of course done some primaries in Q4 , so the secondaries are slightly on the lower side because of rains . So, we have yet another four weeks of summer left. L et us hope if some markets rebound, then we might see low single digit growth. Manish, do you want to add anything ?

Manish Gupta is here, so Manish, if you want to add any thing .

Manish Gupta: Yes. So, all I will say is that from a Q4 perspective what the change we did in our strategy was to streamline how we load up that trade and everything. So, we have been very disciplined in our loading and the results are showing in Q4 Results , and both the primary and secondary part was very nice. April is where the pain point is , as we have been discussing , as the consumer offtakes have not been in line with the preparation that all the brands have done across the categories. And it is more pronounced in talc. Oil is there not so much impacted , talc is the one which is facing the heat.

And within that, as Mohan ji mentioned earlier, it's south and parts of the lower Maharashtra and the parts of Odisha and all that. Now, f rom an outlook perspective all I can say is that talc is the one where we are right now keeping our fingers crossed. But having said that , mid singles should not be a problem , repeating the base is always tough , that's the current challenge we are having internally , oil so far looks robust. So, while we would have loved more, I would say that mid-singles still is not far away.

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Ajay Thakur: Quite helpful, sir. Sir, the second question was more on the correction in the crude oil prices and we given that have some bit of a correlation with both LLP and the packaging cost , have you seen some benefit accruing in both these segments ? And the outlook on the cost margin, t hat would be helpful.

Giriraj Bagri: So, Ajay, you have seen that our GC s have been at all-time high. And I have continuously been maintaining that I do not see any pressure on our GC s this year also. So , you are right, the costs are benign. And there might be slight benefit might be I think 0.5 basis points or something . So let us hope, let us see if the prices remain at the same level. Then we do not see any pressure on margins.

Ajay Thakur: Understand. Thanks sir. Thanks for that.

Mohan Goenka: We also have Vivek, who looks after international business and international now contributes to almost 20% of our total revenue. It's

a significant large business for us. So Vivek, would you want to say anything on growth or our plans for anything you want to?

Vivek Dhir: Sir, I think Bangladesh has improved quite a bit . When we had closed quarter three, we were in bit of trouble in line with industry over there. But Q4 we had seen a rebound , then we were still okay, February, March, we delivered very good numbers over there. GCC is still showing some signs of the growth and everything. Russia CIS is also decent for us. The only place of trouble is one or two countries in Africa which are decent for us, but by and large more places we are seeing more growth numbers over here.

Ajay Thakur: Okay . I am done with my question s. Thanks sir.

Moderator: Thank you. Next question comes from the line of Percy Panthaki with IIFL Capital. Please go ahead.

Percy Panthaki : Hi sir. Very glad to see Fair and Handsome back in positive territory. Can you give some more detail on exactly what was the work that went behind turning this brand around and sort of getting this performance back?

Mohan Goenka: So Percy, it was all round 360 ° plan, right from changing the brand name to very aggressive marketing, both urban , rural , TV, OTT, digital , so everything. I think in Q4 we went very aggressive on go to market strategy. So it was a well-planned rollout strategy for Smart and Handsome . We hope that the momentum continues , that is what we are seeing. We are more optimistic on the face wash category because that is a very fast-growing category. And on the other male grooming launches that we have planned for this year, we have plans in place, we will be rolling out in Q2. So , we have been working for the last two years now and you would see some aggressive plans for this year for Smart and Handsome .

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Percy Panthaki : Got it. Sir , has there been any change in formulation along with the relaunch ?

Mohan Goenka: Minute tweaks happen Percy, which is in line with what the consumer needs are. So , that is what it is. But overall I can say , the overall strategy what we have been planning for quite some time now has done well . Other than some dent in summer, I think most of the brands are in a very strong position . As far as manpower is concerned , with Zairus coming in, I think that is complete now. Second quarter, as I said, we will be rolling out with the strategy on Kesh King which is recommended. So with that, I think more or less all our brands relaunched are done. So we are going aggressive on advertising. We have done almost I think more than Rs. 690 crores of advertising this year, which is quite significant . And we will continue with that this year. That's it. I think if summers fares well for the next four weeks , hopefully we will see some good numbers.

Percy Panthaki : Got it, sir. Just another question is on your innovation rate, what is the contribution of new products for this fiscal FY '25 that is just closed? And what would that similar number be targeted at for FY '26?

Rajesh Sharma : So roughly it is around 4% kind of revenue what we have generated from the products launched in last two to three years.

Percy Panthaki : And will it similar going ahead or?

Rajesh Sharma : So it should be in the range of 3% , again depends on the success we get going ahead on that.

Percy Panthaki : Got it. And what is the thought process in terms of any new product launch , or not new product but I would say any adjacencies, any new categories that you want to get into ? I mean , you did mention that in Smart and Handsome it would be a broader male grooming place, so I am assuming some more subcategories would get launched there . But apart from that, do you think that your product portfolio is complete apart from the usual sort of variant thing, innovation, renovation that goes on in any FMCG company ? Or would you like to enter any

adjacent

subcategories over the next two, three years?

Mohan Goenka: So Percy, that is never complete. There are a lot of opportunities in Zandu . In pain I said there are a couple of launches planned , in mail grooming, in Kesh King also there are some D2C areas that we are going to come out with . This year itself we came with 25 new products , primarily Zandu C are. So this NPD momentum would continue. It is now a different strategy altogether for E-com, quick -com, they are very different offerings , for mass market there are different offerings, for MT t here are different offerings . So it's like there are a lot of opportunities identified , which would all be rolled out quarter wise.

Percy Panthaki : Got it, got it sir. So just announce it once and if nobody comes up then we can close the call.

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Rajesh Sharma: Thank you all. Thank you all for joining our Q 4 conference call. And thank you IIFL, thank you Percy for arranging this for us. Good day.

Moderator: Thank you. Ladies and gentlemen, as are no further questions, we have reached the end of the question -and-answer session . On behalf of Emami Limited , that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Aug 2025

4th August , 2025

The Manager – Listing
The National Stock Exchange of India Ltd.
Exchange Plaza, Plot No. C/1, G. Block
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051
Scrip Code: EMAMILTD The Manager – Listing
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 531162

Sub: Transcript of Conference Call with Analysts / Investors pertaining to the Unaudited Financial Results (Standalone & Consolidated) of the Company for the Quarter ended 30th June , 2025

Dear Sir/ Madam,

Pursuant to the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find the transcript of the Conference call with Analysts / Investors held on 31st July, 2025, post declaration of the Unaudited Financial Results (Standalone & Consolidated) for the quarter ended 30th June, 2025.

The said transcript is also available on the website of the Company at: www.emamilttd.in

This is for your information and record .

Thanking you,

Yours faithfully,
For Emami Limited

Ravi Varma
Company Secretary and Compliance Officer
Membership No: F 9531

(Encl: As above)
Page 1 of 12

Q1 FY26 Earnings Conference Call ”
July 31, 2025

MANAGEMENT : MR. MOHAN GOENKA – WHOLE -TIME DIRECTOR
AND VICE CHAIRMAN – EMAMI LIMITED
MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER –
INTERNATIONAL BUSINESS – EMAMI LIMITED
MR. GUL RAJ BHATIA – PRESIDENT –
HEALTHCARE BUSINESS – EMAMI LIMITED
MR. RAJESH SHARMA – PRESIDENT – FINANCE
AND INVESTOR RELATIONS – EMAMI LIMITED
MR. GIRIRAJ BAGRI – CHIEF GROWTH OFFICER –
EMAMI LIMITED
MR. MANISH GUPTA – PRESIDENT SALES – EMAMI
LIMITED
MR. ZAIRUS MASTER – CHIEF EXECUTIVE
OFFICER – THE MAN COMPANY

MODERATOR : MR. PERCY PANTHAKI – IIFL CAPITAL SERVICES
LIMITED

Emami Limited
July 31, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Emami Limited Q1 FY '26 Earnings Conference Call hosted by IIFL Capital. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Capital. Thank you and over to you, sir.

Percy: Good afternoon, everyone. Welcome to Emami's First Quarter Conference Call. From the management, I have with me Mr. Mohan Goenka, Whole Time Director and Vice Chairman; Mr. Vivek Dhir, CEO of International Business; Mr. Gul Raj Bhatia, President, Healthcare; Mr. Manish Gupta, President Sales, Mr. Giriraj Bagri, Chief Growth Officer; Mr. Rajesh Sharma, President, Finance and IR and joining us for the first time on the call is also Mr. Zairus Master, CEO of the Man company.

To take you through the results, handing over to Mr. Mohan Goenka and then we'll open up for Q&A. Over to you, sir.

Mohan Goenka: Thank you, Percy. Very good afternoon, ladies and gentlemen. Thank you for joining us today for our Q1 FY '26 Earnings Call for the quarter ended 30th June '25. As you are aware, the overall demand environment in this quarter remained challenging. Urban discretionary consumption continued to remain under pressure, while rural demand showed early signs of recovery.

However, the unusually soft and shortened summer season driven by unseasonal rain and the early onset of the monsoons adversely impacted consumption across our summer-focused portfolio. Despite these headwinds, we maintained a stable top line with overall revenue remaining broadly flat.

The talcum powder and prickly heat powder category, which is highly dependent on summer demand was significantly impacted and declined by 17%. Excluding talc and prickly heat powders, our core domestic business delivered a healthy 6% revenue growth and a 3 % volume growth, reflecting the underlying strength and resilience of our broader offerings.

It is also encouraging to note that Navratna Oil delivered a 6% growth despite the subdued summer season. It is important to contextualize the 17% year-on-year decline in talc and prickly heat powder range, which comes off a significantly high base of 54% growth in last year's same quarter.

So on a 2-year CAGR basis, this category continues to be healthy with a 13% growth. And when we look at the full summer season, that is from Jan to June '25, the category posted flat growth, despite weather-related headwinds, a clear reflection of consumer stickiness and a very strong brand equity.

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Our pain management range grew robustly by 17%, while BoroPlus antiseptic creams grew by 60%. Our health care range maintained a steady growth of 4%. Male Grooming range declined by 9% and Kesh King declined by 5%. And strategic investments declined by 4%, but we remain confident in the long-term fundamentals, supported by ongoing brand and distribution interventions.

Innovation continues to be a key growth driver. During the quarter, we launched Dermicool Prickly Heat spray and various other variants under Navratna and BoroPlus brands. We also relaunched Navratna Gold and Zandu Roll On. Further, 3 new digital-first innovations were rolled out via the Zandu care portal.

On the distribution front, we saw continued traction in our organized channels, which grew by 6%, with saliency improving by 190 basis points. Quick commerce remains a strategic growth channel, scaling up rapidly at nearly 3x Y-o-Y, further validating our omnichannel playbook. Our international business delivered a modest 2

% growth despite macroeconomic volatility and geopolitical uncertainty in some key markets. We have made meaningful progress in expanding

our footprint across some other Southeast Asian markets, where initial traction from a focused portfolio has been promising.

As this portfolio gains momentum, we plan to broaden our offerings to capture additional growth opportunities. We remain deeply committed to long-term value creation in our international markets. On the financial front, our gross margins expanded by 170 basis points to 69.4%. EBITDA stood at INR214 crores, a marginal decline of just 1% with a 20 basis point contraction in margins, primarily attributable to flat top line.

Profit after tax grew by 9% to INR164 crores. Looking ahead, we are excited about the next phase of our growth journey. Smart & Handsome is being extended into other Male Grooming categories in this quarter. Kesh King is undergoing a strategic transformation, reimagining the brand for sustained relevance and future growth. This change is going to take place in this quarter. The Man Company has returned to growth in June '25, and we are confident of maintaining this momentum through a sharper positioning and a 360-degree brand revamp. Our digital-first brands are gaining traction, and we are further amplifying growth on marketplace and Qcom platforms to drive reach and relevance among new age consumers. We remain confident on the margin front, and we do not anticipate any significant input cost pressures in the near term.

We believe the macro environment will gradually improve, supported by a buoyant monsoons, stabilizing inflation and ongoing consumption recovery. With our strategic levers of innovation, distribution, expansion, digital acceleration and cost agility firmly in place, we are well positioned to drive sustainable and profitable growth in the quarters ahead.

With that, I would now like to open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abneesh Roy from Nuvama. Please proceed.

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Abneesh Roy: My first question is a bit structural. We have seen last 5 years, most companies not very happy with the initial expectation on the Male Grooming. In your case, also, we have seen even this quarter, the decline is there in both the Male Grooming kind of segment, Man Company and Smart & Handsome. You have commented that in Man Company, July has -- June has seen growth. But yes, that's one month, ultimately, we have to see longer-term trend.

So my question is to the business head of Man Company and also to the overall Emami. What is the long-term expectation from this category? Because most companies have not really been able to crack this. Ultimately, this seems to be good on paper, but growth and explosive growth, in fact, growth itself is a challenge in this structurally. Could you comment on that?

Mohan Goenka: So Zairus. Why don't you talk about the Man Company? Then after that, I'll take on the Fair & Handsome.

Zairus Master: Sure. Yes. I think in my view, Male Grooming is still a very underexploited and an underdeveloped segment of the market, and we are seeing that -- we are seeing there is a huge potential for that. I think what is required is, especially in the case of The Man Company, we have not really worked on the brand and the top of the funnel for some time, and I think that rejuvenation is required.

We are already seeing a trend where if you look at sequential trends, and I completely agree with you that it has to eventually come alive in the long run. But even if you look at sequential trends over the last 2, 3 months, they are looking positive and month-on-month, it's looking better. So from that perspective, we strongly believe that this is a segment that will grow quite handsomely in the near

term as long as we work on the fundamentals.

Mohan Goenka: Sure. Abneesh, see, very honestly, in the last few years, the advertising spends have come down because of the overall market sentiments in this category. As far as -- because we were driving this category before -- if you talk of last 5 years, but unfortunately, Fair & Handsome has not been growing, which is a fact. But after this brand name change and we are seeing there is a lot of D2C competition, which has come in, in the last few years.

So overall, I think the market has grown for sure, for the Male Grooming, which is not being captured holistically somewhere. Coming specific to Smart & Handsome, this is an absolute new relaunch, and we are seeing some headwinds, I think, and we are launching a lot of new categories in this quarter.

We have a robust plan. Let us see how it goes. So we don't think very short term, Abneesh, yes, there may be some quarters, bad quarters. But I think as Zairus clearly mentioned, it is a very, very underpenetrated category, and there is a lot of scope in the Male Grooming.

Abneesh Roy: One quick follow-up here. Mohanji, I completely agree on the D2C impact. So my specific question here is launching adjacency and relaunching. Smart & Handsome you had relaunched even in Q4, but Q1, again, there is again a talk of more kind of relaunch, et cetera. So here, I

wanted to understand, is this the answer?
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So launching adjacency and launching relaunching, will it be enough to compete with D2C -- because if that was easy, I think you and other legacy companies could have cracked in. So I'm trying to understand, you do have Man company, which itself is D2C. But is that enough? I wanted to understand that bit.

Mohan Goenka: See, for sure, we are not competing with each other. There is a clear market. They are primarily on e-commerce and others. Their pricing is very different than what we are doing. So -- and there is market for both. I think both for the Man company, they are more into fragrances and other categories. We are more into some personal care and other categories and pricing is also different. So Abneesh, see, as I said, I think there's enough opportunity as far as Male Grooming is concerned.

We are definitely focusing after our relaunch big time. And let us see which brand we get traction, it is very difficult for us to say at this point of time. But we're not going to leave this, because it's a prime brand for us, both Man and Smart & Handsome.

Abneesh Roy: Absolutely. Last question on the demand side. Your comments seem to be a bit more cautious.

So if I see some of the other business updates, say by Godrej Consumer, Marico or say, even HUL results which have come. And when I also see paint company, India's #1 paint company call out the green shoots. Against that, your comments seem to be a bit more reserved.

My specific question here is on the urban demand. You're still not talking about green shoots or recovery. So if you could answer when do you see that coming green shoots in the urban side of the demand? And in terms of modern trade and quick commerce, if you could comment how the growth has been there and how the profitability is there in those 2 channels?

Mohan Goenka: So my commentary may sound a little muted only because we are struggling on our talc and that continues in the second quarter also. But excluding the talc, honestly, and with the relaunch of Kesh King in this quarter and some of the new launches in Smart & Handsome, I'm confident that we will be able to recover much better.

Definitely, there is some green shoots. I'm not saying a no in urban also. But unless the overall results, overall sentiment goes up, which in our case, is backed by the summer, unfortunately, and specifically talc. Other than that, I think we are very, very well placed, honestly. And on the m

odern trade and e-commerce, let me just hand it over to Manish.

Manish Gupta: See, on the MT and e-com front, again, the story is the same as for the rest of the business. The talc is something where we did suffer some headwinds. But as far as the non-talc business is concerned, we are growing pretty well. And the resiliency and the importance of these 2 channels has only grown up in quarter 1, as was stated by Mohanji.

Moderator: The next question is from the line of Nitin from Emkay.

Nitin: My first question is with respect to the pain management where we have seen high teen growth, so like is this more attributed to early monsoon that has helped? And I also wanted to check if the monsoon sort of extends then this portfolio will be equally be neficial for us in Q2.

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Mohan Goenka: Yes, absolutely, Nitin. This 17% growth in the pain management is attributable to early monsoons. This is the peak season for this portfolio. And we have seen the same results in the month of July also. If the monsoon continues, which is predictable that the monsoons are going to be good this year, hopefully, this category should do well.

Nitin: Second question is around the health care where we have seen 4% growth, which sort of has slowed down. So is it more of a transient or like a high base will limit growth ahead?

Gul Raj Bhatia: Yes. So essentially, it seems to be a one-off issue. As you can see, over the last many quarters, we've been having good growth in health care, but quarter 1 was somewhat challenging, especially for the OTC range, where I think there was a bit of sort of a bit of a downturn in the market.

And we also checked out with various other companies in the OTC space and ayurveda space. They have also seen a similar trend. But we are carrying out initiatives for quarter 2 to overcome the blip which has happened, and we are hoping for a much better performance in quarter 2.

Nitin: This is helpful. The last question is around your gross margin expansion like. If you can help me understand what exactly led to this gross margin expansion -- and aligned with that, I just wanted to check that other expenses have also gone up. So is there any shift in sort of line items between these 2 heads.

Mohan Goenka: So Nitin it is primarily driven by the mix, because normally, pain management has a higher margin compared to the talc. So it is due to the mix that the margins have gone up.

Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: So my first question was on the new launch pipeline. So just -- you put out a slide on the things you're doing. If you just kind of bifurcate this, it seems to be in the categories that we are either strong or already have a good hold on, if you look at, say, extensions in prickly heat or in oils or in Zandu Care.

I just wanted to get a sense from Mohanji that is this how we look at initiatives now for the next, say, 12, 24 months that really penetrate into the larger macro categories that we are into -- is that the innovation strategy that we should expect going forward as well and not really maybe venture into, say, newer subcategories or newer categories, just increase penetration in terms of new variants in the larger macro categories that we are in. Is that the way to think about it?

Mohan Goenka: So Harit, the strategy is two-pronged. I'm not -- it's not that we are averse of completely new categories, but the work is on in those also. But at the same time, see, we have to leverage our existing brands. So as much as we can leverage those, why not?

So as I said, this quarter, you are going to see a number of launches in the Smart & handsome range plus a lot in Kesh King range. So we really want to leverage our existing brands and make as strong as much as possible. Also, the Man company, Zandu Care will also see a lot of new lau

nches going forward.

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Harit Kapoor: In that context, Mohanji, do you see A&P spends kind of move up further? I mean as a percentage of sales this quarter, it's a tad lower, but from a full year basis, do you see that number getting stepped up as a percentage, given that we have some gross margin leverage also?

Mohan Goenka: Not really Harit. I think we will -- we're maintaining our A&P spends as per last year's trends.

Harit Kapoor: Got it. Got it. And the last piece was we've seen this decline, obviously, in Smart & Handsome, Kesh King and the Male Grooming portfolio. Do you see growth in these portfolios now to be expected in the second half of the year with all the initiatives that you're taking? Is 2H the right benchmark to look at for growth in these portfolios?

Mohan Goenka: See, hopefully, because see, we, as marketers, we keep on trying, right? And as I said, we are not never going to leave these opportunities because still the penetrations are low, and we are the leaders in these categories. So when the market will bounce back, it is very difficult for me to predict.

But yes, Kesh King is, again, a big relaunch in this quarter. Let's hope that it rebounds. Smart & Handsome was already relaunched. Now this -- from this quarter, we are launching 10, 12 new products under this new umbrella. So that should also bring some traction into the category. So a lot of activities are happening in every category, every channel.

Unfortunately, the talc has dragged us this quarter and same continues, unfortunately, in the second quarter. But otherwise, excluding talc, I think we are very well placed. It is very difficult for us to say which quarter the numbers will bounce back or which quarter -- which category will bounce back. But yes, I can say we are not losing consumers. But at the same time, we are not able to attract a lot of new consumers. So -- but as marketers this is our job, and we keep on doing that. We keep on trying.

Harit Kapoor: Good to know. And the last part was on pain management. I don't understand actually the dynamics from Q1 to Q2. So is it that the primaries were high in Q1 and that affects Q2 growth on the primary side for pain management because typically, Q2 is a larger quarter or that understanding is not correct.

Mohan Goenka: No, this time, Q1 was exceptionally good because of early monsoons. So of course, yes. But secondaries are in line with our primaries. There is no stock up in any of the channels for any of our brand.

Harit Kapoor: Does Q2 typically have a higher primary like, for example, versus base quarter? What I'm trying to say is that yes, is a bigger...

Mohan Goenka: Q2 is a bigger quarter for pain management than Q1.

Harit Kapoor: And given that sales has shifted a little bit into Q1, does that then impact our Q2 Y-o-Y growth this time? Or that's not the right way to look at it?

Mohan Goenka: No, no. I don't think that will have an impact, because July was quite good for pain management.

Moderator: Next question is from the line of Param Vora from Trinetra Asset Managers.

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Param Vora: I'm sorry, I missed a few part of the Q&A session. So excuse me if I repeat the question. So what I wanted to ask was that with international business showing a modest growth despite macroeconomic and geopolitical uncertainties contributing to 16% to overall sales, are we exploring to increase the exports and to increase the share in the revenue.

Vivek Dhir: Yes, Param. So international business showed around 2% growth by and large, only because of one country. So Bangladesh, where we had a very, very muted, in fact, decline over there. And rest of the business has grown by close to 14% for us. So one country where we have faced little headwinds, and we are trying to refresh those so that we are back on track.

ck. And hopefully, very

soon, we should be back on track even in that market. So the issue pertaining to largely one market.

Param Vora: Okay. So are you exploring any new geographies? Or will you stick to the nations we are serving right now?

Mohan Goenka: The new geographies are a continuous effort. That will keep on happening along with the development of portfolio and making the current portfolio relevant for the new geographies. So we have been able to scale up one new geography, which has given us some good results in last 5, 6 months. So I don't want to name the country at the moment, but it is showing some decent results to us. But during the course of this financial year, we will be opening new geographies as well. And that will be, I think, facilitated with launch of new portfolio.

Moderator: The next question is from the line of Percy from IIFL.

Percy: Yes, sir. So we have Kesh King relaunch this quarter that hopefully should take care of some growth issues in this brand. What about Fair & Handsome, we are still seeing sort of negative sales here? I mean, sales decline here. So what is the plan here to bring it back to growth?

Mohan Goenka: Sorry, Percy. Sorry, I missed your question, Percy, unfortunately.

Percy: Yes. So I was saying Kesh King is declining, but there is a relaunch planned for that. And hopefully, that should take care of the growth issues. Fair & Handsome, I think, is still not out of the woods. It's still weak. So what is the plan here for strengthening Fair & Handsome growth?

Mohan Goenka: So Percy, the Fair & Handsome is primarily the cream portfolio, the fairness cream, which is dragging down the business. Unfortunately, that is not growing despite of change in the brand name. So the only way is to grow the portfolio. And the idea of changing from Fair & Handsome to Smart & Handsome was also that, that we want to get into a larger space of Male Grooming. So the combined business should be much bigger because the opportunity has now become much, much wider. So that is the only way to grow. And our enhanced focus on the face wash category, which has become quite big compared to the cream. So we are formulating a strategy to win in the face wash market. So that hopefully should help in the H2.

Percy: And in cream what exactly is the issue? I mean, have you done some kind of market research focus groups or anything of that sort, which tells you why people are not using the cream and also related question...

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Mohan Goenka: I have been saying this Percy always that because of the beard keeping habit, the surface area is reduced. So young generation now is mostly keeping beards. That is...

Percy: But wouldn't that be already that issue being the base by now?

Mohan Goenka: Yes, but that is in the base, but we're not getting in new consumers because that is a challenge. So going forward, we have to have less reliance on this only one cream and get into face wash and adjacent categories.

Percy: Right, right. And any kind of friction issues in terms of the brand name change, sometimes the modern trade doesn't list you because the brand name has changed or sometimes the distributors are a little bit confused or rather the retailers are a little bit confused. The consumers might not know that this is the original Fair & Handsome, they might be confused. So have you done some kind of sort of intense communication drives to make sure that there is no lost sales in this transition process?

Mohan Goenka: Yes, yes, 100% Percy. Without that, we don't even go to the market. Entire research was done. And by and large, people have accepted it. There is no place where the new product has not been launched. And we are still writing both the brand names. So Fair & Handsome and Smart & Handsome, both are on the packaging. So there is no chance of confusion.

P

ercy: Got it. Got it. And sir, with this relaunch, was there any sensorial change in the cream in terms of the perfume or in some other case. Sometimes these changes don't go down very well with consumers also.

Mohan Goenka: No. So we keep on improving products Percy, whether with the change in the brand name or despite of that also, if there are any improved formulations, which happens in almost every

category. So one formula doesn't stick forever. Because there are changing needs, the consumer trend changes, the consumer behavior changes. According to the research, we tweak a little bit of formulations.

Percy: Got it. Got it. And coming back to Kesh King, I know that you have a sort of relaunch pending, and therefore, you might or might not be able to give certain details. But like is it that the brand has fallen out of favor? Or what is the problem diagnosis as to why it is not growing? Then we can understand what the interventions are to be done, right? So have we found out the reason behind the brand not growing?

Mohan Goenka: No. Of course, Percy, the brand team is constantly doing consumer research and understanding the reasons. The key reason has been the D2C players. There have been a lot of new D2C interventions in this category. So that is the key reason. Of course, BCG has looked into every possible options. And the new strategy will take care of that also.

Percy: Okay. Understood. So I guess when we have this call next quarter, we'll be able to talk a little more freely as to what exactly has been sort of tackled in the relaunch. Yes. Okay, sir, we can go back to the question queue.

Moderator: The next question is from the line of Rahul Agarwal from IKIGAI asset.

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Rahul Agarwal: Sir, 2 questions. One is, obviously, talc, I understand it's impacted, but ex of talc, we've grown about 6% value growth. I would imagine this year, second half looks better. So we'll retain our value growth of 8% to 9% for the full year. Is that a fair understanding?

Mohan Goenka: Rahul, I can't really comment at this point of time on 8%, 9% of growth. A lot will -- because first quarter, unfortunately, overall growth was not there and second quarter also has a high base of talc. So July has been pretty muted for talc. So overall numbers may be slightly challenging.

But ex of talc, I don't see any challenge. I see good numbers.

As I said in my opening remarks, I don't see any challenge on margins. But top line can be slightly challenging because last year base was very high for talcs. But profitable growth should come because Kesh King, pain balms and antiseptic cream, those are profitable brands.

Rahul Agarwal: Right. Got that. And secondly, on consol margins, obviously, you have said don't foresee much of input pressure. It should be profitable growth for the full year. Because we're seeing a lot of new product launches on Man Company as well as Zandu Care,

I think that will also expand. I was actually thinking that in case we can reduce some cash burn from those 2 brands and maybe that can also add up to overall margins. Should we expect them -- the cash burn to remain flat? Or should we expect them to like a bit of increase because of a lot of new products in the pipeline?

Mohan Goenka: Sorry, what the cash?

Rahul Agarwal: So what I meant was Man Company and Zandu Care, I think they have EBITDA losses, right? I was saying I was expecting that to decrease in fiscal '26, '27, that would add to overall consol profitability. Is that the case? Or how would the trend be?

Mohan Goenka: Yes, yes, absolutely. I think both the Man company and the Zandu Care will definitely have lesser losses compared to the last year.

Rahul Agarwal: So that should add to the EBITDA margin right?

Mohan Goenka: So that should add to some EBITDA margin. See, it's a large portfolio. It is very difficult for me to say which portfolio

will fire when, okay, because mix makes a lot of difference. If BoroPlus doesn't fire, then there is an impact if some cuts. So it's very difficult for me, Rahul, to say which product will fire. But overall, I'm saying if we see the trends, we monitor it almost on a regular basis. If we see certain trends, then we, of course, change some internal mixes, reduce some advertising somewhere. Margin has never been an issue as far as Emami is concerned.

Rahul Agarwal: Got it. Got it. And lastly, the idea behind the rebranding in the new logo, I obviously read the press release, but just in terms of thought process, how does it go in terms of communication in the trade channel and on the packaging? Does it -- any commercial sense on that, please?

Mohan Goenka: Commercially, no, this is more of a corporate logo. So it doesn't have an impact at the consumer or the trade level, very honestly. Because we don't use this logo impacts or in any communication. It was just to celebrate 50 years of Emami and make it more modern, yes.

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Moderator: The next question is from the line of Shirish from Motilal Oswal.

Shirish: Sir, I have a few questions on TMC and new age brand. Last 2 quarters, we have been struggling. We had a higher inventory. We try to rationalize the inventory. What exactly we are trying to do

here? Have we changed any go-to-market strategy or any changes in the brand positioning, something like that? And maybe now we have a control. So how we should look at this brand next 2 to 3 years in terms of growth margin perspective?

Zairus Master: Yes. Okay. So I think to your question, what we have done in the last quarter is that we have improved our efficiency and effectiveness in each of the channels that we operate in. And of course, predominantly, we operate in the online space and in organized trade as far as offline is concerned. So in both these places, we've tried to improve our efficiency, focus on secondaries so that's the true test of demand.

The second thing that we've done is that right now, we've worked on our media mix. Objective, again, is to drive top of funnel. So we've driven media consumption and spend in terms of influencers, in terms of product like advertising. But that's -- it's just been a start given the fact that it's just been 3 months into the year and me being here. So that's Phase 1. In the long run, of course, look, all growth in terms of all profitability, et cetera, has to come out of growth. And like I mentioned before that the market is extremely underpenetrated, and therefore, there's a lot of potential.

So if you look at the next 3 quarters, our endeavor is to continue to look at sequential growth. The trajectory has to be positive month-on-month. I think that's our endeavor. We are currently relooking at our brand mix, our brand positioning, etcetera, to see if there is an unlock out there and how we can drive that forward.

At the same time, also looking at how the category road map is evolving going forward as new categories emerge, which are better. So how do we take advantage of that? So all these things put together is our -- is what we are saying that how we will grow in the near future as well as become more efficient at our CM2 level and therefore, flow that into profitability.

Shirish: Just one quick follow. What is the channel mix here right now?

Zairus Master: Look, if I were to just roughly say 80% of our business will be online.

Shirish: Yes. But is there any attempt to improve MT and GT?

Zairus Master: No, we're not -- so as far as modern trade, I call it organized trade because a large part of our business comes out of alternate channels like lifestyle stores, etcetera, the fashion and lifestyle stores. So yes, I think that's an area where we want to continue to focus, and we are seeing handsome growth coming out of that space.

GT is not something

that we intend -- we will not intend it in the near future to look at that. We'd love to see our brand grow to a much larger size for us to then start looking at general trade as an opportunity. But right now, again, given the fact that we are dealing with top of the pyramid consumers who are largely shopping in either modern trade or in e-commerce.

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Shirish: Okay. So the reason why I'm asking because online is profitable, but the moment you get into the different channel, the profitability will be impacted. So just wanted to pick up your thought whether the growth is going to be important or the margin also is going to be important in the medium term?

Zairus Master: Look, I don't think it's one or the other. If we grow at a margin that's not good, then we will further destroy value. So we are, in fact, working on both fronts where -- and if you look at an online business, I would say it is revenue and CM2. That's what we need to focus on. That's the unit margin that we extract. And quite frankly, as our brand presence improves, we do expect that our channel spends will come down going forward.

So we will grow, but we have to constantly improve CM2 also. So I don't think we are -- of course, in terms of percentages, our growth will be much higher than the efficiency improvement that we bring around. But we will have to work on both. And that's what our plan is in the next 3 quarters also, where we drive growth as well as a reasonable CM2.

Shirish: Okay. My next question is to Vivek. Excluding Bangladesh, what is the Bangladesh decline, which has added this quarter? And if you strip out Bangladesh, what is the international growth we have reported?

Vivek Dhir: So that is -- except Bangladesh, it is close to 14%. I think to be precise, it is around 13.6% exact number. Bangladesh in primary terms, yes, we have steeper decline. But in market sales have variably declined by around 2% in British terms.

Shirish: Okay. My last question, was there any update on Axiom and Cannabis Lupus? Is there any consolidation? What is the strategy there?

Giriraj Bagri: So right now, as far as Axiom is concerned, we have a significant minority stake at this point in time. So in terms of channel consolidation, there isn't any intent to do any channel consolidation in the short to medium term. Longer term, as our entry into the healthy food and beverage space expands, then there could be some synergies.

However, on the side of the digital channels, we are exploring some opportunities where how

we can leverage our group understanding and network to see how the digital channels can and the organized trade can help drive Axiom.

Moderator: As there are no further questions, I now hand the conference over to the management for the closing comments.

Rajesh Sharma : Thank you all for joining us today for our Q1 results conference call. Thank you Percy. Thank you IIFL for arranging this. Thank you.

Moderator: Thank you. On behalf of Emami Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Nov 2025

14th November , 2025

The Manager – Listing

National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, Block - G

Bandra Kurla Complex, Bandra (E)

Mumbai – 400 051

Scrip Code: EMAMILTD The Manager – Listing

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai – 400 001

Scrip Code: 531162

Sub.: Transcript of Investor's Conference Call of the Company for Q2 FY 26 – Financial Results

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith the transcript of the Conference Call with Analysts / Investors held on 10th November, 2025, post declaration of the Unaudited Financial Results (Standalone & Consolidated) for the quarter and half -year ended 30th September, 2025. The said transcript is also available on the website of the Company at: www.emamilttd.in

This is for your information and record .

Thanking y ou,

Yours faithfully,

For Emami Limited

Ravi Varma

Company Secretary & Compliance Officer

Membership No .: F9531

(Encl: As above)

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"Emami Limited

Q2 FY26 Earnings Conference Call "

November 10 , 202 5

MANAGEMENT : MR. MOHAN GOENKA – WHOLE -TIME DIRECTOR
AND VICE CHAIRMAN – EMAMI LIMITED

MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER –
INTERNATIONAL BUSINESS – EMAMI LIMITED

MR. GUL RAJ BHATIA – PRESIDENT –
HEALTHCARE – EMAMI LIMITED

MR. MANISH GUPTA – PRESIDENT SALES – EMAMI
LIMITED

MR. GIRIRAJ BAGRI – CHIEF GROWTH OFFICER –
EMAMI LIMITED

MR. RAJESH SHARMA – PRESIDENT – FINANCE
AND INVESTOR RELATION – EMAMI LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL CAPITAL SERVICES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Emami Limited Q2 FY26 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after

the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Capital Services Limited.

Thank you, and over to you, sir.

Percy Panthaki: Hi, everyone. Good evening. It's our pleasure to host the 2Q FY '26 conference for Emami. On call with us, we have Mr. Mohan Goenka, Whole -Time Director and Vice Chairman; Mr. Vivek Dhir, CEO, International Business; Mr. Gul Raj Bhatia, President, Healthcare; Mr. Manish Gupta, President, Sales; Mr. Giriraj Bagri, Chief Growth Officer; and Mr. Rajesh Sharma, President, Finance and IR. I'll now hand over the call to Mr. Goenka, who will take you through the results. Over to you, sir.

Mohan Goenka: Thank you, Percy. A very good afternoon, ladies and gentlemen. Thank you for joining us today for the Emami Limited Q2 FY '26 Earnings Call for the quarter and half year ended 30th September '25. This quarter, we have seen a transformational policy development by the Government of India to reduce GST rates across key FMCG categories. This is a landmark reform aimed at enhancing affordability, improving consumer purchasing power and ultimately stimulating broad-based consumption across both urban and rural India.

For Emami, this reform is structurally positive, as nearly 88% of our core domestic portfolio benefited from the reduction in GST, from 12% or 18% to now 5%, taking our total 5% rate GST portfolio coverage to around 93%. In keeping with our consumer -first philosophy, we swiftly passed on the benefits of this rate cut, reinforcing our commitment to value -driven affordability and accessibility.

While this reform lays the foundation for long -term demand acceleration, its implementation caused temporary trade disruptions in September. Trade channels and consumers deferred purchases in anticipation of lower MRPs, while distributors forced on liquidating higher cost inventory, resulting in a short -term moderation in sales.

The timing of the GST rate change also coincided with the peak winter pipeline buildup, leading to a deferment in our winter portfolio loading. Additionally, our summer portfolio faced the second challenging quarter due to heavy rains, which significantly impacted category demand, particularly for talc and prickly heat powders.

Given that we had recorded our highest ever sales in the second quarter for talc and prickly heat powder category last year, the combination of a softer market and a high base resulted in a steep year -on-year decline this quarter. As a result, consolidated revenues at INR799 crores declined by 10% this quarter, led by a 15% decline in domestic business.

However, excluding the GST rate affected categories, some of our non -GST rate impacted portfolio delivered encouraging growth with Medico range up by 8%, Zandu cough syrup by Emami Limited

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43%, Honey by 36% and Zandu Care growing by 17%. Our strategic investment portfolios also rebounded with a 16% growth on a year -on-year basis and 36% on a sequential basis, reflecting improved performance across key focus areas.

Our strategy of purposeful innovation and premiumization continues to gain traction. Last year, we took a bold step by transforming Fair and Handsome into Smart and Handsome, positioning it as a complete men's grooming brand. This quarter, we deepened that journey by launching 12 new products across different categories. Our initial rollout

across modern trade

and e -commerce platform has been encouraging.

We also recently undertook the strategic relaunch of Kesh King as Kesh King Gold based on deep consumer research, which revealed a shift in expectations. While our ayurvedic heritage continues to be our biggest strength, today, consumers also seek the added assurance of science and proof of efficacy. This insight inspired us to evolve Kesh King proposition to Ayurveda plus science to build on our legacy while enhancing credibility and relevance among modern consumers.

Our international business delivered a steady 8% growth despite persistent macro and geopolitical headwinds.

Our approach remains one of strategic focus, combining portfolio relevance, market -specific innovation and localized execution excellence to drive sustained value creation globally. On the financial front, gross margins remained stable at 71%, underscoring our cost discipline and input price stability. EBITDA for the quarter stood at INR179 crores, declining by 29% and PAT at INR148 crores declined by 30%, reflecting the temporary impact of lower top line.

The Board of Directors also declared an interim dividend of 400%, amounting to INR4 per share for FY '26.

Looking ahead, I am pleased to share that October has witnessed a healthy rebound in trade

sentiments with the deferred winter loading being recovered, placing us on a strong footing for the second half of the year.

We remain optimistic about a robust and profitable second half, supported by a favorable winter season, the normalization of the trade post -GST reform and the positive impact of our strategic interventions. The continued expansion of organized channels, combined with our operational agility and cost leadership, further reinforces our confidence. Together, these levers position us well to deliver sustained profitable growth in the second half, while strengthening the foundation for long -term value creation and market leadership.

With that, I would now like to open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Percy Panthaki from IIFL Capital Services.

Percy Panthaki: Can you tell us a little more about the Navratna re -launch? Apart from the name change, what else have you changed in the marketing mix?

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Mohan Goenka: It is not Navratna Percy. It is Kesh King.

Percy Panthaki: Sorry, Kesh King, yes.

Mohan Goenka: Yes. So Kesh King is a -- was a pure Ayurvedic -based product. Of course, we added science to Ayurveda. We upgraded the formulation with some ingredients like Gro Biotin and plant Omega 369, which are scientifically proven ingredients to enhance the results. So it is a pure now Ayurveda and science -backed formulation. So that has benefited. We launched it last month. I think it has been well received in the market. And of course, it will be backed up by a huge advertising campaign. So because of the GST disruptions, the launch got a little delayed, but now we are absolutely on it.

Percy Panthaki: So the new formulation will be part of the communication message?

Mohan Goenka: Absolutely, 100%.

Percy Panthaki: Got it. Yes. Operator, I think we can take questions from the queue.

Moderator: The next question is from the line of Nitin Gupta from Emkay Global.

Nitin Gupta: First question is around this GST -driven destocking of 4% in Q2. So like I just wanted to gauge like is it full -- can be fully recovered in Q3? Or do you expect it to take some time?

Mohan Goenka: Nitin, we are very confident that it will be recovered in Q3. We have seen a bit of recovery in October itself because we could not load it in the last days of September, which got loaded in October.

Nitin Gupta: And based on your initial comment around the Kesh King, so you have highlighted shift in expectations. So

like across multiple companies reporting results like HUL has highlighted that we are sort of driving the growth in FMCG where they are looking to align the portfolio. And given we have the higher salience of our portfolio in rural, would you like to offer any comment like how the consumption trends are shaping up in rural market?

Mohan Goenka: Definitely, Nitin, I think recently, we have seen good demand coming up from the rural side for all our categories. And as far as Kesh King is concerned, we are really focusing on the shampoo sachets, particularly drive the growth of the sachets. So that was part of the strategy, and we are seeing excellent results from that, driving growth in rural markets for sachets in shampoo, particularly.

Nitin Gupta: Okay. And with respect to Smart and Handsome, so we are extending to multiple categories.

So do we see the core face cream categories under structural pressure? And additionally, I just wanted to gauge like given we are positioning this brand in modern trade and e -commerce so are we going to see any cannibalization risk for TMC?

Mohan Goenka: Not really. These are absolutely at different price points and different categories altogether. It will not compete with the TMC. Definitely, yes, there is a structural shift that's why such bold steps are being taken. Face cream demand is not as high as it used to be. But with these new offerings, I'm sure overall, we are going to gain.

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Nitin Gupta: Sure. This is helpful. And lastly, if you can throw some comments around your winter loading now and how you think the winter is shaping up?

Mohan Goenka: Winter has set in exceedingly well across, particularly the North , Eastern and also the Western Central side. So the loading has been, of course, more than expectation because we could not load in the month of September, but October has been an excellent start. This year, we are expecting good winters. So we are well prepared and geared for that.

Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: So my first question was on the H2. So if you look at quarter 3, you have a couple of elements which affected you in quarter 2, almost entirely coming back, which is the minus 4% on the GST impacted portfolio and another minus 4% on the winter loading. Just wanted to get your sense about do we see this kind of strong double-digit growth number because of some of these impacts in Q2 straightaway coming in Q3 itself? That's the first question. And just an addition to that is, in this minus 10% number for the consolidated revenue, how much would have been the volume decline? So that's my first question?

Mohan Goenka: So Harit, definitely, we see -- in the second quarter, we lost significantly for our summer portfolio also, which I mentioned. This was roughly around 4%, 4.5%, okay? And almost 4% and 4.5% was because of we could not load the winter products. That what we have lost in the summer, of course, can't be made up in the quarter.

But the winter loading has -- as I said, has -- we have tried to do as much as possible in the month of October and distributors have received it quite well. So I'm very confident that the third quarter will -- definitely we will see a better results, much better than what we have seen in the past. But I'm definitely expecting close to double digit, but definitely high single digits is 100% on the cards.

Harit Kapoor: Got it. Got it. And on the volume growth, what would be volume decline, what would be that number broadly or if you can just tell me the pricing impact in the total revenue in the way?

Mohan Goenka: Total volume decline in the domestic business was roughly around 16%. This was Harit a one-off quarter, okay? It should not be -- because there are multiple reasons. I'm very sure we'll be able to bounce back in the second half other than the summer

portfolio that everyone has lost.

Harit Kapoor: Got it. The second thing was on the strategic investments...

Mohan Goenka: Sorry, I can't hear you. I can't hear you.

Harit Kapoor: Yes. Can you hear me now? Is this better?

Mohan Goenka: Yes.

Harit Kapoor: Yes. The second thing was on the strategic investments portfolio. It's been a strong growth recovery in this portfolio. Just wanted to get a sense of quarter-on-quarter also, have you seen this improvement? Is it driven by a little bit of a low base also which would have benefited?

And if yes, this on-ground improvement, I mean, what's really driven it? I remember the last Emami Limited

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quarter, you all were speaking about significant competitive intensity, discounting, et cetera.

So if you could just break that down into what are the green shoots you are seeing there?

Giriraj Bagri: Answering your first part of your question, which is from a sequential basis, sequentially, we've seen the highest growth and the highest sales in the last 6 quarters, and we see that momentum accelerating in the upcoming quarter, which is the O&D quarter. So that is as far as the growth trajectory of the strategic investments is concerned.

In the second half, we expect the business to grow at even a higher rate than the first half, strong double digit. On what's led to this growth, fundamentally, there are a couple of things that have led to this growth. One part is that we have increased our investments behind both the brands, which is Brillare and TMC.

So with new communication, we have a new influencer flywheel, which is kind of taking effect at this point in time. Some of the channel gains which are notable as far as this quarter are concerned is quick commerce, modern trade as well as our own D2C websites have delivered strong growth.

The marketplaces have also delivered strong growth. It could have delivered even better, but for the GST disruption with Mohan ji mentioned, especially in one of the large players who could not take stocks into their warehouses because their warehouses are totally choked. So all in all, I think across product categories and channels, I think we are seeing -- except for a couple of channels, we are seeing very remarkable growth, and we expect this momentum to accelerate in the second half.

Harit Kapoor: Got it. And lastly, from a low unit pack perspective where you probably would have taken grammage increases rather than price cuts. Is that a material part of the portfolio? If yes, how much? And which categories would this be?

Mohan Goenka: This is across the category, Harit and as I said, almost 90% of our portfolio, there was a change in the GST rates. So in every small SKU, we have increased the grammage.

Harit Kapoor: And the contribution...

Mohan Goenka: About 20% or so.

Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: Mohan ji, you have mentioned about the winter loading getting recovered in 3Q, but what about the GST impacted portfolio where there was also destocking? Is that also you feel likely

to recover or that may take some more time for the pipelines to come back there?

Mohan Goenka: Arnab, we have seen a good recovery in October, okay, and even the first 10 days of November. So if the trend continues like this, I hopefully see it to get fully recovered in the Q3. If it flows on, then I'm sure second half, we are going to fully recover.

Mohan Goenka: Luckily, winter has started with a good note. I'm very happy with that.

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Arnab Mitra: So Mohan ji, my second question is actually related to that. So if you look at like you will recover for winter loading, you'll recover part of the pipeline, the winter is good, and you also put in these initiatives on Kesh King. So should we not very confidently see double-digit growth in

third quarter? I'm just trying to understand, is there any other concern why you said that we could get to high single digit, but not surely into double digit. Just wanted to understand how you're thinking of the overall growth in the third quarter and second half overall?

Mohan Goenka: I'm just being a little conservative, Arnab, because winter, as I said, has started with a very fine note, but it's yet to get into the winter season, okay? But you are right, I'm confident of double digit, not that I'm not. If the winter goes on like this, then nothing can stop for double digit for sure.

Arnab Mitra: Got it. And my last question was on the GST cut, wherever you've seen a GST cut price reduction. Any category where you feel fundamentally it can help growth improve in terms of unorganized, organized or actual elasticity of demand?

Mohan Goenka: I'm sure, Arnab, it should work across categories, whether it is the balms, whether it is oils. See, overall, we have seen almost only in Emami domestic business, the reduction on MRP is roughly INR260 crores. So that benefit is going to go to the consumers. So it should definitely help. Now where it helps, how much it helps, very difficult for me to say, but things should start improving soon.

Arnab Mitra: Got it. And my last question was on margins. Of course, this quarter, you were impacted because of operating deleverage. Now going ahead, if you could just help us understand on gross margins, how is the input cost scenario? And how should we think of second half margins year-on-year based on input costs as well as growth that you think you could deliver?

Mohan Goenka: So Arnab input side, there is absolutely no pressure. It's well under control. And margins are definitely going to improve. As I said, the Q2 is -- we can write off. It's not the best Q2 to -- you can remove that. But I'm sure there would be expansion in margin. There would be a high growth in our EBITDA margins and net margins in Q3. Other than the summer, we are going to recover everything in this quarter.

Moderator: The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities.

Tejas Shah: Mohan ji, I joined a bit late, so apologies if this has been explained or answered before, but any distribution expansion or distribution reform, if any, are we undertaking as we speak?

Manish Gupta: So I think we have explained in the last few quarter calls as well that from a distribution perspective, the modern trade and e-com and QC channels continue to be the focus area because that's where the behavioral shift in consumers is happening. We are already onto that bandwagon.

And as the results are also sharing from time to time, we are experiencing nice steady growth in these channels. These are the channels where the young consumer shops today, and we are

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very conscious of that and significant investments, both in terms of effort and people are continuously happening there.

On the traditional channels, we are a strong system. We have a strong network. We continue to maintain our presence. I mean, all our numbers in terms of presence, distribution and all the stuff continue to hold very strongly. And we continue to invest that on ground our presence of the products is expanding in line with the category growth.

Tejas Shah: Got it. And what would be our current saliency from quick commerce?

Manish Gupta: It's about 14% of the e-com.

Tejas Shah: And sorry, then e-com will be how much and how much would be empty?

Manish Gupta: About 11% each. For the -- I'm talking about the domestic consumer business.

Tejas Shah: Got it. And second, pertaining to distribution, we have always seen in the past that we start winter on a good note, but then volatility or delayed winter has been a very regular feature of late. So are we ready to capture -- let's say, if winter has to be v

olatile or delayed, are we ready

to kind of capture it in fourth quarter as well?

Manish Gupta: Yes. See, if you see last year, I think we had a fantastic winter. We are hoping -- and this year, winter has set in -- by our own internal estimates, the winter in North, for example, is almost about two weeks earlier. So we should be capitalizing it. As Mohan ji explained earlier, we are already witnessing the trade buoyancy around it, and we are well prepared because even in Q4 these days, winter extends a bit. So it's not about just Q3, it's also about playing well in Q4.

Tejas Shah: Got it. And last one, Mohan ji, you spoke about the changes that we have done in Kesh King.

Just wanted to know what consumer insights we would have got because of late, if we see last 5, 7 or 10 years also, there was a phase when Ayurveda was thick of things, then we moved to naturals. And then suddenly now off late, it is more efficacy science -based products.

So when I look at brand like Kesh King, my expectation as a consumer would be around Ayurveda largely on naturals. So when we kind of move to science -based, is it like kind of shifting the core of the brand or is it like it's very much your survey or your insight say that it is very much acceptable for the brand score as well.

Mohan Goenka: I think this was a very important move because Kesh King faced significantly challenge from the D2C brands, particularly for hair fall categories, okay? And most of the D2C brands are science packed. So that is the need of the young consumers. That is where the trend is going. And consumers keep on trying these D2C brands as far as the hair fall category is concerned. So after doing all this research for the last 9, 10 months, we found that Ayurveda is, of course, there. We are not getting away with Ayurveda. But if you back up with Ayurveda and science, it will make a significantly difference in the long run. So that was the call we took. And the market has accepted it. I think even the packaging or the ingredient story, advertising, we are Emami Limited

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going to start very soon. So I'm very confident that all the 360 plan we have for Kesh King should work.

Tejas Shah: And even on the efficacy that has been proven, let's say, as a consumer, I will vouch for it and I'll recommend to others as well?

Mohan Goenka: Every product is clinically tested. Every product. Any claims we make is clinically proven.

Moderator: The next question is from the line of Kunal Vora from BNP Paribas.

Kunal Vora: I think you mentioned, but can you clarify what proportion of portfolio have you increased grammage or MLH and what proportion you have lowered MRP?

Mohan Goenka: 20% is increased grammage and balance is all reduced MRP.

Kunal Vora: Okay. And what is the contribution...

Mohan Goenka: Sachets are all grammage increase.

Kunal Vora: Okay. So 20% comes from sachets, is it ?

Mohan Goenka: Sachets, yes, absolutely.

Kunal Vora: Yes. I mean, let's say, now you will have more ML in sachet, so would the number of units which you sell, would that go down a bit or that should not have any impact?

Mohan Goenka: I don't think that should have any impact, Kunal.

Kunal Vora: Okay. So that's all like that completely...

Mohan Goenka: Yes, Navratna and all are single use. So I don't think that will have any significant impact, yes.

Kunal Vora: Okay. And wherever you have lowered prices, what kind of elasticity do you expect? How do consumers respond to the lower prices in your view?

Mohan Goenka: So still there are mixed bag in the marketplace. So old stock is already there. Some of the old stock is there, which is, of course, now getting liquidated. Once completely the new MRP stock goes in the entire GT and the rural markets, we will -- we are very hopeful. As I said, just in our portfolio, domestic business, the MRP reduction is almost INR250 cror

es, which is quite

significant as far as consumers are concerned. So let us see. We will have to wait and watch where the consumer spends actually goes wherever they save money, but just wait for one more quarter and see, okay?

Kunal Vora: But in -- let's say, in next two, three quarters or let's say, four quarters, if you don't see the consumers responding to lower prices in terms of higher volumes, would you look at rolling back or let's say, at least take the prices back higher slightly?

Mohan Goenka: That we can't decide right now. We have just reduced our prices.

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Kunal Vora: Understood. Understood. And lastly, your early thoughts on FY '27 sales. I mean, I understand second half should be strong, but do you expect the benefits of GST rate cut to continue going

forward? Like any early thoughts on how FY '27 could look like?

Mohan Goenka: Yes, 100%, Kunal. Why -- as I said, why the consumers would not spend more on our categories. New consumers should definitely come in from unorganized. We have strengthened all our pillars. Of course, we are going to start next year with a lower base of summer also because we lost significantly in the summer portfolio. So FY '27 should definitely be much better than FY '26. There's no doubt in it.

Kunal Vora: Okay. That's it from me. Thank you, sir.

Mohan Goenka: Anything, Vivek, you want to share on the international business?

Vivek Dhir: Hello. Good evening, everyone. International business, we had seen, I think modest growth almost everywhere. Primary sale growth is around 8%. But certain markets have started improving for us.

And we hope to have better improvements in coming quarters in most of the geographies. And many new NPDs are happening, which should also see light of the day, which will build the future portfolio in the international markets for us. Nepal did almost 100%. Despite the disturbances, we had growth of more than 100%.

Moderator: The next question is from the line of Akash Shah from UTI Mutual Fund.

Akash Shah: Yes. My question was on the international business specifically. So sir, if you can broadly help us understand how the growth has been SAARC, MENA region and C IS, broad range would also help?

Vivek Dhir: SAARC has done exceedingly well for us. SAARC markets, including Bangladesh, we had delivered over 22% growth over there. So GCC and MENA markets have been flattish for us, primarily because of one major market, Egypt, where we couldn't do much, but rest of the markets have also shown decent growth in the marketplace. So we are facing issue in one or two markets, Egypt and Bahrain, which we try to address and things should be better soon in those markets. So the entire growth in the international market has been across markets mostly.

Akash Shah: Okay. And just last bit on the domestic, I mean, Smart and Handsome range. Basically, with this foray into new categories, so broadly -- I mean, how is the initial feedback? Any feedback -- or I mean, any initial signs that you have received from the market?

Mohan Goenka: This is mostly on a test marketing stage right now. We have just launched it in one platform to see what is the response like. And it's just about last month, we launched it in a platform. Let us see. We'll have to wait. We are going to roll it out, of course, in other e-com sites and MT. It is yet to be done, but we are very optimistic.

Akash Shah: Okay. Sure. Thank you.

Mohan Goenka: Gul Raj, can you throw some light on the health care?

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Gul Raj Bhatia: Yes. So in the last quarter, we had good growth coming in from the Medico business, which is the Ayurvedic business catering to the ayurvedic doctors and other doctor segments. So we grew by around 8% there. And then we also did well in some focused brands like cough syrups, honey and even our D2C site

, Zandu Care had reasonably good growth considering the challenges faced across businesses on the GST reductions, et cetera.

So we are fairly buoyant about -- bullish about how the current quarter will go. We have taken initiatives to scale up our business in some of the focus categories, which would be in the Chyawanprash range. It will be continued focus on some of the growth driver categories such as cough syrups, such as supplements, such as some of our D2C new launches.

And even in the OTC business, we would do a better performance in quarter 3. At the same time, across most of the categories, we are looking at growing our market shares compared to the other Ayurvedic players across categories. And we are taking many initiatives to even expand our coverage among doctors and among retailers.

Akash Shah: Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Rajesh Sharma: So thank you, everyone for joining us in our Q2 earnings call. Thank you, IIFL. Thank you, Percy, for organizing this. Thank you. Have a good day.

Moderator: Thank you. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: Feb 2026

9th February , 2026

The Manager – Listing

National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, Block - G

Bandra Kurla Complex, Bandra (E)

Mumbai – 400 051

Scrip Code: EMAMILTD The Manager – Listing

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai – 400 001

Scrip Code: 531162

Sub.: Transcript of Investor's Conference Call of the Company for Q 3 FY 26 – Financial Results

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 , please find enclosed herewith the transcript of the Conference Call with

Analysts / Investors held on 4th February , 202 6, post declaration of the Unaudited Financial Results

(Standalone & Consolidated) for the quarter and nine months ended 31st December, 2025.

The said transcript is also available on the website of the Company at: www.emamilttd.in

This is for your information and record .

Thanking you,

Yours faithfully,

For Emami Limited

Ravi Varma

Company Secretary & Compliance Officer

Membership No .: F9531

(Encl: As above)

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"Emami Limited

Q3 FY 26 Earnings Conference Call "

February 04, 202 6

MANAGEMENT : MR. MOHAN GOENKA – WHOLE -TIME DIRECTOR
AND VICE CHAIRMAN – EMAMI LIMITED

MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER –

INTERNATIONAL BUSINESS – EMAMI LIMITED

MR. GUL RAJ BHATIA – PRESIDENT – HEALTH

CARE– EMAMI LIMITED

MR. MANISH GUPTA – PRESIDENT SALES – EMAMI
LIMITED

MR. RAJESH SHARMA – PRESIDENT – FINANCE

AND INVESTOR RELATIONS – EMAMI LIMITED

MR. GIRIRAJ BAGRI – CHIEF GROWTH OFFICER –
EMAMI LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL CAPITAL SERVICES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Emami Limited Q3 FY '26 Earnings

Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Capital. Thank you, and over to you, sir.

Percy Panthaki: Good afternoon. It's my pleasure to host Emami for the 3Q FY '26 Conference Call. Online with me, I have Mr. Mohan Goenka, Whole -Time Director and Vice Chairman; Mr. Vivek Dhir, CEO, International Business; Mr. Gul Raj Bhatia, President, Health Care ; Mr. Manish Gupta, President Sales; and Mr. Giriraj Bagri, Chief Growth Officer; and Mr. Rajesh Sharma, President, Finance and IR.

I'll hand over the call to Mr. Mohan Goenka for his initial comments, and then we will open up for Q&A.

Mohan Goenka: Thank you, Percy. Good afternoon, ladies and gentlemen. Thank you for joining us today for Emami Limited's Q3 FY '26 Earnings Call. I'm delighted to share our results for the quarter and 9 months ended 31st December '25. I must say this has been a quarter of strong broad -based performance that is fully aligned with our expectations and strategic priorities. We have witnessed a sequential improvement following the GS T 2.0 disruptions that continue d to affect the early parts of the quarter. The favorable winter season played to our strengths, driving stronger offtake across our winter portfolio and health care.

On a consolidated level, net sales grew by double digits at 11% with revenue of INR1,152 crores, growing by 10% during the quarter. Our domestic business delivered an 11% growth, led by a robust 9% volume growth. All major brands performed well in Q3, led by BoroPlus, which grew by 16%, Kesh King grew by 10%, Pain Management grew by 8% a nd health care range grew by 7%. The Male Grooming range grew by 4%. Navratna and Dermicool grew by 1%.

Our strategic subsidiaries, that is The Man Company and Brillare together delivered a robust growth of 31%. Our strategy of purposeful innovation and premiumization continues to gain traction. During the quarter, we launched several exciting products and v ariants that addresses evolving needs of new age consumers.

Our omnichannel strategy continues to perform well with quick commerce doubling its sales and now contributing 20% to our e -comm business. Overall, organized channels contributed around 32% year -to-date, increasing their contribution by 280 basis points ov er the previous year. We have engaged KPMG to drive a future -ready supply chain transforming across omnichannel operations.

On the international front, our sales grew by 9% with double -digit growth in 7 Oils in One, BoroPlus, Creme 21 and our pain management range. We saw steady growth led by SAARC and CIS regions.

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On the financial front, gross margin expanded to 70.6%, an improvement of 30 basis points, underscoring our rigorous cost discipline, judicious price hikes and benefits of input price stability. EBITDA for the quarter stood at INR384 crores, growing by 13%, while EBITDA margins improved to 33.4%, an expansion of 110 basis points.

During the quarter, we accounted for INR10.1 crores towards the impact of changes in the new labor code, which is represented under the exceptional items. Our profit after tax at INR319 crores grew by 15%. Our digital spends now account for almost 50% of our overall media spends in line with evolving consumer media consumption trends, enabling sharper targeting and higher engagement.

I'm also delighted to announce that our Boar

d of Directors have declared a second interim

dividend of 600%, amounting to INR6 per share for FY '26. The total dividend declared in 9 months FY '26 amount to INR10 per share, reflecting our confidence in our business performance and our commitment to reward the shareholders of the company.

Further, I would also like to inform you that as per the recent proposed amendments in the union budget, our applicable income tax rate for the stand -alone entity would reduce to around 25% from 35% for FY '27 onwards. Looking ahead, we remain optimistic a bout Q4 and beyond.

There's a better consumption momentum building in the environment, and we are positioned to capitalize on it.

We remain focused on our core brands as well as new age opportunities. With strengthening demand trends, consistent portfolio actions and a clear strategic road map, we are increasingly confident in our ability to deliver sustained profitable growth and cr eate long -term value for our stakeholders.

With that, I would now like to open the floor for Q&A. Thank you so much for your continued

support.

Moderator: Thank you very much. The first question is from the line of Prakash Kapadia from Kapadia Financial Services. Please go ahead.

Prakash Kapadia: A couple of questions from my end. So post the GST disruption in Q2, we were confident of growth coming back. So that has happened during the quarter. So from here on Mohan ji, how and what do we build for growth as we move towards FY '27? What I was trying to understand, given the base we have, most of the products are under the 5% GST slab now. So earlier, in most of our power brands, new user addition was missing. So is that going to be a big driver for growth? What categories could benefit. If you could comment on the sales trajectory, that will be helpful?

Mohan Goenka: So Prakash, you are right. So our endeavor is always to get to double-digit growth. Of course, some of our brands are seasonal. A lot depends on that. But nevertheless, every brand has got a lot of opportunity because penetrations are still on the lower side for most of our brands. And because you rightly said that now the GST is at 5%, we are confident that the brand should get to close to double-digit growth. That is the target that we have given to the brand teams.

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Depending on the seasonality here and there, the numbers depend mostly on that. But still, our targets are to get to double digit.

Prakash Kapadia: Okay. And any specific categories you want to call out in terms of the power brand? Or given some of these changes which has happened, we should see growth momentum across most of our categories. And on the new user addition because that piece was really missing earlier. Is that now a big, big driver for growth?

Mohan Goenka: Sorry, what was missing?

Prakash Kapadia: New customer additions, new users to the...

Mohan Goenka: Yes. So each brand, as I said in my con call that right now, our 50% of our communication is digital. So we are targeting the new consumers, particularly the youth consumers. And also now our contribution from modern trade and e-commerce has reached to almost 30%. So all this growth, whatever you see today is coming through these new age and young consumers. That has always been a target for us.

At the same time, rural, which was not performing, we are seeing some growth coming in from rural areas. And with this reduction in GST rates, we are very hopeful that the rural should get to some momentum going forward. So brands which were growing to -- at 4%, 5%, they should get to about 8%, 9% growth. That is the first target that we have.

Prakash Kapadia: Understood. Understood.

Mohan Goenka: The new age brands, that is The Man Company, Brillare, they are anyway firing, and we expect a higher growth coming in from there.

Prakash Kapadia: Yes. Yes. And lastly, one bookke

eping question. Rajesh, the amortization figure of INR23-odd crores every quarter, how long should that continue? And what is the balance sheet figure as on date, which is still left for amortization, if you have that ready?

Rajesh Sharma: So that will continue for another 3, 4 years, and the rate would come down gradually to INR80 crores, INR70 crores and INR60 crores kind of. So gradually, it will come down. In the next 4 years, it will completely be done.

Moderator: The next question is from the line of Mr. Siddhesh Desmukh from IIFL Capital.

Siddhesh Desmukh : My first question is with regards to Smart and Handsome. So we have made entry into new categories of sunscreen, deodorants, body wash, et cetera. Can you highlight how the initial response has been to these NPDs? And also, what is the strategy here? Is this a specific geographic or a channel-specific launch? How do you see this scaling up pan-India?

Mohan Goenka: Yes. So we have just done a test market that is on specific channels. It's only digital right now. This is the response coming in from there. We will roll it out nationally. There are great learning from the initial launch. So we are again trying to revamp from there to roll it out nationally.

Maybe in the second half of this year, we will roll it out.

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Siddhesh Desmukh : Okay. Got it. Sir, my second question is with regards to the demand trend. Can you highlight how the trends are shaping in rural as well as urban. Now that 88% of the portfolio has seen a GST rate cut to 5%, which are the categories which have seen a pickup in demand post the rate cut and which are the categories which are yet to see an uptick?

Mohan Goenka: So see, most of the brands, particularly the winter has shown some signs of growth. And we are

entering into the summer season. We will have to wait and see how the summer season because, as you know, the winter is extended in most parts of the country. So yet we are yet to see the loading of the summer season for now. But hopefully, in the next 15, 20 days, we will start loading our winter -- summer products.

But as far as the demand is concerned, I don't see any challenge to get to 8%, 9% growth because we are increasingly focusing on our small SKUs. Next year, our big focus is on the shampoo sachets plus some other small SKUs for most of our brands. Even Smart and Handsome, we are increasingly focusing on our small SKUs now because we see a good revival in the rural markets next year. Because we have mostly addressed the needs of the modern trade and e-com and -- but now the fire has to come from the rural areas. And the next few quarters, that is our focus.

Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: The first thing is could you just give a sense of grammage increases that could have happened on account in the lower end in the LUPs that you have because of these GST rate cuts. Is that a sizable number that you would have put in?

Mohan Goenka: So depending on the SKUs, whatever -- because the -- it was not possible to reduce the prices in the small SKUs. So whether it was 10%, 12%, accordingly, we have increased the grammages, different products...

Harit Kapoor: Sorry, sorry, sorry. And what part of the portfolio would be how much percentage of the portfolio would that -- how much -- what percentage of the portfolio would that be where you've taken this 10% odd reduction?

Mohan Goenka: Around 20%.

Harit Kapoor: And should that volume fully reflect into quarter 4 rather than quarter 3, where some changes would have still been made? Is that the right way to think about it?

Mohan Goenka: I don't think the full impact has come in quarter 3.

Harit Kapoor: You don't think it's come in quarter 3?

Mohan Goenka: Yes, Navratna is still not factored in.

Harit Kapoor: Yes. Okay. Perfect. And the second thing

was on hair oil. So Kesh King has done well for you.

So obviously, it's a portfolio play now in terms of number of products there. But you've seen 7 in One also where -- which had an amazing few years and then a slight weakness and now again, growing very fast. But it seems like value-added across companies is actually doing quite well.

Just -- could you just -- your sense of what's driving this? Is it a low base? Is it something else

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that's kind of driving up this value-added market. Because even your -- even the other players are actually doing quite well. So your prognosis of what's happening here?

Manish Gupta: Sure. So to answer your question, as you know from the previous calls, we had mentioned about BCG working with us to refresh and rejuvenate brand Kesh King. So those results have started. We relaunched it around August, September. There was a bit of a disruption due to the GST and stuff.

But October onwards, the relaunch is in full flow. So you're seeing the first impact in the quarter already. 7 Oils has a similar story as well, and it's on a good growth path. So we hope the momentum to continue. But there is a long way to go because we did decline for the last few quarters sequentially. So I guess with every passing quarter, we should start climbing back.

Harit Kapoor: And Manish, you see this as a market phenomenon because everybody else around is also reporting fairly stellar numbers in mid-premium and above hair oil portfolio. So I just wanted to -- like do you think it's a base thing also because not only you but others also would have declined in same period as last year. Is that a factor at play as well?

Manish Gupta: You're right. See, last year was a different story. I'm talking about 3 things. One is, of course, in the last couple of years, let's say, there was softness in the numbers of both these brands. So yes, that has played a role. GST disruption had a role, but the bigger story is what is the organic growth. The organic part is about relaunching it, redeploying it, putting the new plans, new communication, addressing the consumer concerns which came out, that's the hope for the future. So far, it looks good. And I guess as we get into Q4 and then Q1, we'll be able to build further credentials on it.

Harit Kapoor: Right. And last thing from my end, you kind of spoke about rural. Obviously, rural is an important part of the overall strategy. So are you saying that compared to maybe last year or the last few quarters, the initial -- the sense that you're getting now is that rural is seeing an incremental kind of pickup. Is that what kind of your teams on the ground are hinting at?

Mohan Goenka: Yes, Harit. So absolutely. And we have seen some good demand for our sachets in the rural markets. And all the focus for the company was also to build e-comm, modern trade and the new age brands. But because of the GST cuts, at least internally, we have said that the next growth drivers should come from rural and our focus would be increasingly going into rural markets.

We will, of course, keep our eye on the modern trade e-commerce, quick commerce. That is always there. But rural also can fire, I think, going forward. And now as I said, summer, we have to build now the summer portfolio. And it's -- rural is a big play as far as the summer is concerned, both for talc and Navratna oil.

Moderator: The next question is from the line of Amnish Aggarwal for PL Capital.

Amnish Aggarwal: A couple of questions. First being that given the fact that the GST transition got completed in the month of November only. So is there a probability that next quarter, again, we will have strong momentum with likelihood of, say, close to double-digit kind of a top line growth?

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Mohan Goenka: That is what we expect that hopefully, we should

get to double-digit growth. The only caveat is winter is extended, and we have to get to the summer. Navratna Oil and Navratna talc and Dermicool are big summer brands. And we have to load these 3 products now in the month of February and March. Yes. And last year basis were very, very high as far as the summer brands are concerned.

But see, these are just numbers. If it doesn't come in this quarter, it will come in next quarter because -- anyway, for the summer brands, we are at a lower base. But the momentum is what we will have to capture. As I said, that the momentum looks good as far as the rural is concerned. And our dealers are holding very less stocks. So I don't see any reason that we can't build on the summer portfolio as soon as the season starts.

Amnish Aggarwal: Okay. So my next question is on the tax rate because as I think it is being indicated that the MAT credit changes have happened. And now we will be having, I think, 70 -- 80, 70, 60 and 40 as MAT credit. So the effective tax rate, which currently is around, say, adjusting for everything around 10, 10.5. So what should we pencil in as tax rate for the coming 2, 3 years?

Rajesh Sharma: So Amnish, before this budget announcement, union budget announcement, our tax rate was expected to go to the normal tax rate of 35% from next year. But with this recent announcement, now it is going to be 25% tax rate. So in fact, it has come down with the recent proposed amendments in the union budget. So going ahead, we should be at a 25% tax rate and also utilize 25% of our tax liability from MAT credit, which will continue for 5, 6 years minimum.

Amnish Aggarwal: Okay. So it means that we should look at 25.5% kind of a tax rate and then the MAT credit number, which you have indicated, so that will get deducted from...

Rajesh Sharma: Yes, right. So that would be for stand-alone entity. And we have some subsidiaries which are still in investment stage. We have international subsidies. So overall tax rate for the consol entity should be below that level. around 20% kind of.

Moderator: The next question is from the line of Naveen Trivedi from Motilal Oswal Financial Services Limited.

Naveen Trivedi: Sure, sir. And post this quarter 3, how should we look at our trade inventories? Are we -- have we -- because October would have been kind of unfavorable from GST point of view. So can we expect that after like completion of quarter 3, now our trade inventories are in similar lines?

Mohan Goenka: Sorry, I'm not clear, Naveen, what is your ask?

Naveen Trivedi: My ask was that since we have seen GST restocking, destocking in the last 3, 4 months, have we reached to a level where our trade inventories are now normal? And...

Mohan Goenka: Absolutely. I think we have great -- we have no excess inventories as far as the trade is concerned.

Naveen Trivedi: Sure, sure.

Mohan Goenka: And they're very well, I think. We have migrated very well.

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Naveen Trivedi: Fair point. So because 9 months, we were kind of flat on revenue side. I just thought maybe any specific brands where we kind of...

Mohan Goenka: That was primarily because of the summer. You know this year, summer was extremely poor. And it was primarily because of summer, we lost almost 5%, 6% of our growth.

Abneesh Roy: Congrats on good numbers. My first question is on the profitability of each distribution channel.

Yesterday, one large FMCG company said that the new age channels, modern trade, e-commerce, quick commerce, those are more profitable than general trade because the distribution layers of intermediaries are not there in the new age channel, plus I think more premium packs, large packs may also sell more on those channels. Could in your categories also, this be largely true or there is some kind of aberration here?

Mohan Goenka: No, Abneesh, I have maintained always that in our ca

se, it is the reverse. In our case, the GT is more compared to the modern trade. The lowest is the e-commerce.

Abneesh Roy: And what is the reason for that. Why it's different? Because intermediaries, you will be saving costs. But yes, the promotions are higher on ?

Mohan Goenka: Yes, absolutely, only because of the promotions that we offer there.

Abneesh Roy: Okay. Understood. And in terms of the last point which you mentioned in the answer to previous question, FY '26, summer categories have seen the brand, so beer players, soft drinks and carbonated drinks and your categories. So here, specific question is, generally, when we see such aberration next year generally is favorable because last year, La Nina effect was there?

But specific question is, how does trade behave? Do they stock up inventory because last year, they must have burned some fingers there. So is that a pushback? And what is your expectation of whatever you could gather from the weather forecast? Is it going to be a bumper summer season for you this time?

Manish Gupta: I think it's a pretty valid question. So what happens is, in this case, obviously, the sentiment changes because of the recent history. Last to last year, in FY '25, the summer was really, really bumper. The pipelines go dry. So you have a very great start next summer, which we had last year. So this year, the situation reverses a bit.

But thankfully, because of GST and other things, it's not such an unsurmountable challenge.

Having said that, what happens is in the beginning, trade becomes a little cautious. And we are cognizant of that. Our pipelines are nice. We are playing accordingly. Over the next 2, 3 weeks, I think once as the weather starts opening up, things will start flowing.

Abneesh Roy: And you expect the bumper summer season this year based on whatever scientific data is available?

Manish Gupta: My job is to expect a bumper summer every year. I would pray for that, but you know like summer and winter is something we've seen recently in the last 4, 5 years, the whole country is erratic when both summer and winter can shock you.

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Mohan Goenka: Abneesh, you are right, we are sitting on a small base. And so I think looking at a 3-year CAGR, we are taking aggressive numbers. Why not. At least in the beginning of the season, the fourth quarter, for summer, we have a high base, as Manish explained. Last year, it was very good. So every dealer stocked the product in the fourth quarter.

But this year, we have slightly challenged that our winter is extended, and they are being a little cautious. But this is every year, we see this. It doesn't matter to us. But hopefully, this year should be much better than the last year. There is no doubt in it.

Abneesh Roy: Understood. Last quick question on the macro. So one is on GST benefit to FMCG, based on the results, at least, it seems food companies, noodles and biscuit companies seem to be the big winner based on Q3 numbers, whatever has come out. And hair oil companies also seem to be reasonable beneficiary. If you could comment on your take on GST benefits on FMCG in general and for your categories? That is my first question.

And second, on rural consumption, the G RAM G scheme in NREGA scheme, the outlay seems to have reduced sharply at least headline number. Would you be worried given it's an on-demand kind of a scheme plus this time, the central and state government both have a role there. So what would be your take on NREGA capital support for this year?

Mohan Goenka: Abneesh, honestly, our penetration is not that these schemes matter so much. What really matters is always the seasonality, what we have seen in the past. So I don't see any impact of those schemes going down or up. Our products are available at INR1, INR2, INR5, INR10 pack. That doesn't have much major impact.

What we will have is th

at overall, as I said, our focus in the last few quarters was very much on

MT e-comm and quick comm, that is still there, but we have deployed a good amount of people in the rural for our sachets. If the season is with us, then I don't see any reason why should we not get to close to 8% to 10% growth.

Abneesh Roy: And GST benefit, where are you seeing maximum in your categories and overall?

Mohan Goenka: Abneesh, all our products have now come to 5% other than just the Smart and Handsome portfolio. So we are seeing benefit across. It depends on the product. Again, it is very difficult for me to say sometimes what fires, sometimes what doesn't fire. It is very difficult to pinpoint.

Moderator: The next question is from the line of Raman KV from Sequent Investments.

Raman VK: Congratulations on good set of numbers. I just have one question on the rural aspect. If you can quantify the growth figures which you saw during this quarter. And also if you can give a ballpark contribution towards -- from rural business towards your entire consolidated revenue, that will be helpful?

Manish Gupta: Could you be a little more specific around it so that I can...

Raman VK: I just want to understand like in terms of quantification, can you just quantify the rural growth

that you witnessed during this quarter?
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Manish Gupta: So we'll have to wait a little bit because the Nielsen results will come out only in a while. See, what we do is right now, we have the primary input numbers. The rural offtake numbers will take a bit of a while. But usually, I mean, this would be obviously a better quarter than the previous one.

Raman VK: If you can -- can you provide -- was it a low single digit or high single digit or mid double -digit that kind of?

Manish Gupta: No, so it's a double -digit number, of course, right? I mean, considering that the overall numbers are in that space. And the middle and the rural part will be better than the upper India, let's say, the top India.

Raman VK: Understood, sir. And sir, from the entire portfolio, what percentage is consummated by rural demand?

Manish Gupta: About -- it's about 48 -52 split in favor of rural from an offtake perspective.

Moderator: The next question is from the line of Nitin Gupta from Emkay Global.

Nitin Gupta: My first question pertains to digital brands. So just wanted to check on the areas he had worked on and how are we placed now with the digital brands growth?

Giriraj Bagri: Quarter -on-quarter, we've seen growth strengthen in the digital brands. And this quarter, we've seen a very robust 31% growth over last year. And this growth in the coming quarters, we expect to sustain this robust growth. Have I answered your question?

Nitin Gupta: Yes. So can you -- I was basically looking to -- in terms of action we have taken in the portfolio, would you like to highlight any specific action which sort of has helped us sort of revive the growth in the digital brand portfolio?

Giriraj Bagri: Yes. Given the very nature of the brands which are digital in nature, we are seeing very strong growth coming through quick commerce and through our D2C websites in a broad basis and some marketplaces on a selective basis. We're also seeing significant growth coming from some of our new innovations is the Rosemary Oil Shots, some perfumes that we are seeing strong growth under The Man Company. And we have done a lot of renovation work as far as our grooming category is concerned, which is just about to hit the market towards end of December, and you will see some more additional benefits accruing in the coming quarters.

Nitin Gupta: My second and last question pertains to this ayurvedic portfolio. What is the ayurvedic export share in our health care business? So government has announced to take some steps around improving the outlook for the ayurvedic offering. So do you

u see this as a potential driver of business for us?

Gul Raj Bhatia : Thank you for the question. As of now, the ayurvedic portfolio for exports is very, very low, predominantly because of registration issues in most of the countries where we could probably see potential. I know that government through the business -- the Rexel organization is working
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towards getting registration sorted out, but it's still a long process. So it will take some time for ayurvedic medicines to be scaled up. It will take a few years in my view.

There may be short -term opportunities or medium -term opportunities coming in from certain countries through the supplements route where certain products are allowed to be registered as health supplements. But then that market again needs to be developed and invested upon for the local people. Where there are Indians, there is an opportunity for products like Chyawanprash, et cetera. And there is a market for a product like Ashwagandha in the U.S. But beyond that, it needs a lot of investments to grow that market. So it's not a short -term or a medium -term game. It's a long -term game to be played.

Moderator: The next question is from the line of Ajay Thakur from Anand Rathi Securities.

Ajay Thakur: So I had 2 questions. One was more on the growth in the Male Grooming segment. It's at around 4-odd percent. It looks slightly subdued despite the fact that we have revamped this like last -- maybe last year itself. So I just wanted to get a sense on what is kind of the issues or what are the major factors which is kind of impacting the growth over here?

Mohan Goenka: So Ajay, you are right. The Male Grooming, particularly the Smart and Handsome range has not been growing for some time despite of the best effort. .

Ajay Thakur: Okay. Understood. Sir, second question was on the Bangladesh market. How has the performance been in that market given the turmoil we have seen, has that had any implication on our sales or any impact on our business over there?

Vivek Dhir: Yes. Bangladesh per se, in market sales, we have registered a good double -digit growth, but somehow we were correcting certain pipeline. But in the primary sales, you will reflect a very low single digit growth. So the market performance has been pretty impressive, and we have seen a very good revival in Bangladesh in last quarter.

And something similar is continuing in this quarter as well. But we are going to witness the elections on around 12th of February this year. And then Bangladesh is getting into long holidays in March due to Ramadan and Eid vacations. So let us see. Let's hope for the best. But otherwise, our demand is showing very robust growth in the marketplace.

Ajay Thakur: Understood. Secondly, if I were to look at it in terms of the international business, the overall growth at 9% versus the headline growth in most of the markets like be it SAARC, be it MENA has shown a very decent growth. So what is the segment or what is the market which is kind of pulling it down?

Vivek Dhir: So we have faced certain pressures in what we call as other MENA like Iraq and some lukewarm response in certain North African markets. So that is where we have with a lukewarm. But most of the other markets, even our business spans in Southeast Asia, SAARC, Russia, CIS, parts of Africa have all shown very good double -digit growth. Certain markets have not been able to perform and in fact, Iraq has declined. So that is the reason to have an overall growth of around 9%.

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Moderator: The next question is from the line of Prashant, an Individual Investor.

Prashant : So my first question is how many retail touch points did we have as of 31st December. What is our target for 31st March and FY '27 exit?

Manish Gupta: This is Manish here. So I'll speak for the India numbers. Indir

ectly, we are present in over 5

million stores, Navratna being the deepest penetrated brand for us. And other brands could be in the range of anything from 5 lakh to 30 lakh depending on the brand.

As far as March is concerned, I mean, we have no special initiatives to expand this coverage. I mean, if you've been following our calls over the last few quarters, we want to consolidate and grow more lines in the stores, grow more assortment, grow more depth and develop the mart stores and other stuff. So the idea is to focus and chew well what we have.

Prashant : Okay. The reason is, I mean, in one of the earlier questions, I heard that, I mean, quite a few of our products in the smaller price range, I mean, like INR1, INR2, INR5 pouches. So aligned to the numbers you gave out, I mean, are we seeing a traction for these smaller sized products in the e-commerce also or those are largely flowing through the traditional route?

Manish Gupta: Yes, it's mostly traditional. I mean most of the LUPs in the small packs below INR100 are not e-comm and MT friendly for viability reasons. In fact, they actually seek products above 150 to 200 usually, especially in the personal care side.

Prashant : So in light of that also, I mean, you would like to keep the retail footprint at this level and consolidate?

Manish Gupta: No, no. See, this is a very good reach. This is a damn good reach for a company of our size and staff. The brand pulls in. And we -- like for most FMCG companies, anything from 50% to 60% sales comes in through the wholesale channels, which India is very well developed on. And through the multilayer wholesale, the brand reach is more than 5 million stores. So we -- there's not a dearth of pull on our hinterland. I mean our network is present in over 8,000 towns. So in terms of ability to reach our hinterland of India, we have no problems.

Prashant : Okay. Fair enough. My second question was in terms of hair oil. I mean, some of your competitors have like one North Chyawanprash famous company, another almond oil company, they have moved into coconut oil. Your -- any plans from your side to move into that category?

Mohan Goenka: Prashant, right now, we don't have plans.

Prashant : Any particular reason or that's not a viable because it's not viable or if anything specific you can?

Mohan Goenka: That I can't be very specific, Prashant, but right now, we don't have plans.

Moderator: The next question is from the line of Sameer Gupta from IIFL Capital.

Sameer Gupta: Congratulations on a good set of numbers. Sir, firstly, just wanted to understand how do we read this performance? So 2Q was impacted by channel destocking. And this quarter, we would have

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restocked the channel and that benefit is there. Now if I look at 2Q plus 3Q, which basically offsets for this destocking and restocking, it is a flat performance. 1Q, I understand was impacted

by a poor summer, but 2Q plus 3Q adjusted for this phenomenon is also flat. So our secondaries and tertiaries growing in line with primaries. How do we read this performance?

Manish Gupta: Again, Manish here. I'll speak for the domestic India business. So you're right. I mean, from a secondary perspective, excluding talc, we are in mid -single higher digit side. Talc is what the issue was in Q1 and Q2. But otherwise, from a tertiary secondary perspective, the pipeline is very nice. We are very clean, no issues on that front.

Sameer Gupta: So mid - to high single digit for the 9 months, excluding talc, that's what you're saying?

Manish Gupta: Correct.

Sameer Gupta: Not this quarter. This quarter would have been...

Manish Gupta: This quarter, the talc wasn't there. So this is -- this quarter is like practically talc is almost nil. So the entire thing is...

Sameer Gupta: But this quarter, you would have seen an upstocking benefit in primary. So what would be the s

econdary growth for this quarter?

Manish Gupta: No, no, there is no upstocking in this quarter. There's no upstocking. That's what I said. See, the secondaries for us in a 9 -month period are ahead of primary. There is no upstocking in the 9 -month period or in this quarter.

Sameer Gupta: But Manish, if 2Q had got impacted because of destocking because of GST cuts and channel was basically not buying, waiting for the new GST rates to be applicable, it is natural for them to upstock to a normal level of inventory in the third quarter?

Manish Gupta: No, no, no. But channel did -- by the way, we also couldn't sell. We also suffered losses as you've seen in the quarter 2 results.

Sameer Gupta: Second question is on winter. So there has been a mixed feedback across companies on how the winters have been. So some companies have called out a harsher winter this time. Some companies have called it a harsher, but the onset was very delayed. In Northern and Western part, there was virtually no winter until the second week of December. So what has been your feedback? I'm just trying to understand that.

Manish Gupta: It's very simple. In hindsight, it's very simple. The winter/summer cycles are getting erratic. For us, for this year, October, November were damn good. The winter set in very early. November was superb. December, first half got warm. December, second half was again very good. January, first half, especially in the Hindi Heartland got warm. January, second fortnight was very good. Right now, it's on the colder side. So it's like -- yes.

Sameer Gupta: And the disparities geography -wise, North, South, East, West would be similar or there are varied differences there?

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Manish Gupta: Most of it is dominated by the North, of course. But overall, from a number perspective, I think we had a pretty good winter brand outcomes, and that's what matters.

Mohan Goenka: Sameer, to also answer on Manish's question, you are right. So the winter was very harsh. But in winter, some portfolios have done exceedingly well, like BoroPlus Lotion has done exceedingly well compared to the BoroPlus antiseptic cream. So it is -- again, it is not like just because the winter was very harsh. So all the brands of winters fared. There is also a difference in our portfolio's growth, okay.

Sameer Gupta: Got it, Mohanji. That's very helpful. Last question, if I may squeeze in. What would be the blended price decrease for Emami at a portfolio level for the consumer? So there is a GST cut for 80%, 90% of your portfolio, different buckets of GST cuts for different products. But at a consumer, at a portfolio level, what would be the price decrease effective post the GST cut from 23rd September?

Mohan Goenka: Yes. Roughly about 8%.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Rajesh Sharma: Thank you, Sameer. Thank you, IIFL, and thank you all the participants for joining us today for our Q3 results conference call. Thank you. Have a good day.

Manish Gupta: Thank you.

Giriraj Bagri: Thank you.

Moderator: Thank you. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call

Call: May 2026

25th May, 2026

The Manager – Listing

National Stock Exchange of India Ltd.

Exchange Plaza, Plot No. C/1, Block - G

Bandra Kurla Complex, Bandra (E)

Mumbai – 400 051

Scrip Code: EMAMILTD The Manager – Listing

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai – 400 001

Scrip Code: 531162

Sub.: Transcript of Investor's Conference Call of the Company – Audited Financial Results

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed herewith the transcript of the Conference Call with

Analysts / Investors held on 21st May, 2026, post declaration of the Audited Financial Results

(Standalone & Consolidated) for the quarter and financial year ended 31st March, 2026.

The said transcript is also available on the website of the Company at: www.emamilttd.in

This is for your information and record.

Thanking you,

Yours faithfully,

For Emami Limited

Ravi Varma

Company Secretary & Compliance Officer

Membership No.: F9531

(Encl: As above)

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“Emami Limited

Q4 FY '26 Earnings Conference Call ”

May 21, 2026

MANAGEMENT : MR. MOHAN GOENKA – WHOLE -TIME DIRECTOR

AND VICE CHAIRMAN – EMAMI LIMITED

MR. VIVEK DHIR – CHIEF EXECUTIVE OFFICER –

INTERNATIONAL BUSINESS – EMAMI LIMITED

MR. DHIRUV AGGARWAL – CHIEF GROWTH

OFFICER – EMAMI LIMITED

MR. GUL RAJ BHATIA – PRESIDENT –

HEALTHCARE – EMAMI LIMITED

MR. MANISH GUPTA – PRESIDENT SALES – EMAMI

LIMITED

MR. RAJESH SHARMA – PRESIDENT – FINANCE

AND INVESTOR RELATION – EMAMI LIMITED

MODERATOR : MR. PERCY PANTHAKI – IIFL CAPITAL SERVICES

LIMITED

Emami Limited

May 21, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to the Emami Limited Q4 FY '26 Earnings Conference Call hosted by IIFL Capital Services. As a reminder, all participant lines will be in

the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Percy Panthaki from IIFL Capital. Thank you, and over to you, sir.

Percy Panthaki: Hi. Good afternoon, everyone. It is my pleasure to host the management of Emami for their Q4 FY '26 results con call. I have with me from the management, Mr. Mohan Goenka, Whole Time Director and Vice Chairman; Mr. Vivek Dhir, CEO, International Business; Mr. Dhruv Aggarwal, Chief Growth Officer; Mr. Gul Raj Bhatia, President, Healthcare; Mr. Manish Gupta, President, Sales; and Mr. Rajesh Sharma, President, Finance and IR.

I'll hand over the call to Mr. Goenka for his initial remarks, and later, we will open up for Q&A. Over to you, sir.

Mohan Goenka: Thank you, Percy. A very good afternoon, ladies and gentlemen. Thank you for joining us today for Emami Limited Q4 and FY '26 Earnings Call. I am pleased to share our results for the quarter and full year ended 31st March '26. I'm extremely pleased to share that Mr. Dhruv Aggarwal has recently joined us as Chief Growth Officer and is joining the con call today.

In this role, he will lead the growth agenda across our investee companies while also driving new investments and partnership opportunities. Dhruv comes with over 2 decades of rich experience in growth strategy and transformation, consulting, including 13 years at Bain & Company, where he was a partner in the consumer and retail practice.

Now let me begin by setting the context for the quarter. Q4 '26 presented a challenging operating environment. The onset of summer was significantly delayed with inconsistent temperatures across some key markets and unseasonal rainfall further impacted category demand.

Added to this was a high base from the previous year and ongoing geopolitical headwinds in the Middle East affecting our international business. In spite of these headwinds, I am pleased to share that the underlying momentum in our business remains firm, and we enter FY '27 with confidence and clear strategic intent.

Our domestic business ex of summer portfolio demonstrated healthy resilience, growing strongly in double digits at 11% in Q4 '26, reflecting the underlying strength of our core brand equity and our strategic efforts. The summer portfolio was the principal drag declining by 22% with talcum powders alone declining by 40%.

I would, however, like to highlight that we consciously reduced our receivables by over INR100 crores during the year, a 10 days improvement in the working capital cycle as part of our ongoing focus on distributor, hygiene and channel health.

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On a consolidated basis, revenues for Q4 stood at INR925 crores, reflecting a decline of 4% over the previous year. This decline was primarily driven by weak summer rather than any structural or competitive weakness in our business.

Rest of the portfolio, like Pain Management grew by 11%. Kesh King grew by 14%, delivering its second consecutive quarter of double-digit growth. Healthcare range grew by 7%. Strategic investments grew by an impressive 34% and 7 Oils in One grew by 34%. Bo roPlus other than talc grew by 4% and Male Grooming range declined by 4%.

Our channel strategy continues to evolve positively. Trade pipelines remained healthy throughout Q4. Organized channels remained strong momentum and further increased their salience to approximately 32% of our domes

tic business in this quarter. Wholesale channel dependency has reduced to 27% of total domestic sales, reflecting the structural improvement in our channel mix. Quick Comm continued to be a standout performer, posting an outstanding 70% growth, while GT Marts also delivered a robust 25% growth.

Our international business declined by 5% during the quarter, primarily due to geopolitical disruptions in the Middle East, which impacted shipping routes through the Strait of Hormuz, disrupted supply chains, increased freight costs and affected operations across the GCC, Middle East, CIS and South Asian markets.

On the financial front, I am pleased to report that our gross margins expanded to 68.4%, an improvement of 250 basis points over the previous year, reflecting our rigorous cost discipline and judicious pricing actions. EBITDA for the quarter at INR187 crores declined by 15% due to operating deleverage and despite which we invested behind advertising and promotional spends, which grew by 12% in this quarter.

Profit after tax stood at INR143 crores, a decline of 12%. For the full year FY '26, revenues stood at INR3,780 crores, a decline of 1%. Gross margins at 69.9% expanded by 130 basis points. EBITDA came in at INR964 crores, declined by 6% and PAT stood at INR775 crores, a

decline of 4%.

While these numbers reflect the impact of challenging macro and seasonal environment, we navigated through the year, we believe the resilience of our portfolio and strategic investments made during the year have strengthened our competitive positions meaningfully. We remain focused on strengthening our core brands, deepening our omnichannel capabilities and continuing to innovate for the evolving Indian consumers.

With healthy margins and debt-free balance sheet and a portfolio that spans both across essential and premium growth categories, we are well positioned to deliver sustained growth in FY '27 and beyond. We look forward to sharing more with you as the year progresses.

Before we open the floor for Q&A, I would request Dhruv, who has joined as Chief Growth Officer, to share some plans on the recent acquisitions and strategic investments. And post Dhruv, I would also request Vivek to share challenges in the international market and how we plan to mitigate some of those.

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Thank you so much. Over to you, Dhruv.

Dhruv Aggarwal: Good afternoon, everyone. Very happy to be part of the group and excited about the growth opportunity for our strategic investments and portfolio companies with the support of the Board. We're present in this portfolio in exciting high gross margin businesses in high-growth categories and demand spaces. This has given us an opportunity to invest in brand building over the last 3 years.

We're also building in the right high-growth channels like Quick Comm, which I think are still underpenetrated. So our advantage is both strategic and structural. A quick overview on some of these companies. So, The Man Company is now witnessing healthy traction across key categories which grew versus last year. And we've had strong growth in perfumes and non-gas deodorants. The business has benefited from sustained momentum across digital-first channels. The idea going forward across the portfolio is to sustain growth at 30% year-on-year while improving the bottom line as well. So Brillare, for instance, which does haircare and skincare products, brands like that, we expect them to grow much faster, and I think they're on the right trajectory.

This year, the intent is to increase the absolute EBITDA by about INR15 crores. That strengthens our position and puts us in a clear path going forward ...

Dhruv Aggarwal: So that's what I wanted to cover. I've covered Man Company and Brillare.

Mohan Goenka: Okay. And anything on the new strategic investments like Axiom and IncNut?

Dhruv Aggarwal: So

Axiom, we are very excited about. I think it marks our foray into the fast-growing fruit juice category. I do want to point out to everyone that Axiom is already a profitable entity, unlike many of the new age start-ups. So this is especially a value-accretive addition to our portfolio, and we have significant plans for growth here itself. I think the headroom is extremely high. Lastly, we've acquired IncNut, which consists of 2 brands. There is Vedix and there is SkinKraft. Now as consumer preferences increasingly shift towards efficacy and customization, the company basically is viewing personalized beauty as a significant long-term growth opportunity in India and globally.

And with this acquisition, we have presence in both of these businesses. Again, the idea is that extremely high gross margins, very modest EBITDA losses. And so this reflects really continued investments in growth and customer acquisition. And we have a very high long-term aspiration for this business over the next 5 years.

Mohan Goenka: Okay. Thank you, Dhruv. Vivek, would you want to share anything on the international front?

Vivek Dhir: Yes, sure, sir. Sure, sir. So good evening, everyone. Regarding international, as you are all aware, we had gone through a lot of stress in the month of March, in fact, starting 28th February.

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So prior to that particular date, we are growing at a very decent pace, almost like double-digit growth.

In most of the markets for us. But starting 20th February, we got a big jolt in the month of March, where the entire Hormuz and supply chains were shut. So entire Middle East is dependent on supply chains from different parts of the world. It's more like a transnational supply chain. We produce 50% of our goods within UAE, which are also dependent on raw material and packaging material requirements from different parts of the world. 30% of the goods are

imported from Europe and another 20% are imported from India and other parts of Asia. So that got impacted very badly in the month of March. But come April, we have been able to streamline quite a bit of the disruption of supply chains despite costs going up and other things. Come April, we have been able to reset and we are almost like a little 2% growth in the month of April.

So we are also expecting things to get stable in May and June as well. And from second quarter, we should be able to deliver good double-digit growth. So quarter 1 should also remain close to single-digit growth types only. So that is how the situation is.

Mohan Goenka: Thank you so much, Vivek. Now we can open the floor for Q&A.

Moderator: Thank you. We will now begin the question and answer session. Our first question comes from the line of Avnish Rao with Nuvama Wealth Management.

Avnish Rao: My first question is to Mohan ji. Sir, you sounded quite confident on FY '27. And if you see Q4 commentary by every FMCG company, paint company, adhesive company, it has been quite positive. So you are in sync with that. My specific question is El Niño generally, summer categories do well.

So how do you see Q1, Q2 for Navratna Dermicool, taking into account there have been a few days of rains in many parts of the country. But currently, Delhi is at 45-degree temperature and most parts of North and East India are at very high temperature. What will be your realistic growth outlook in this part of the business?

Second bit on legacy business is BoroPlus had a tough Q4, minus 8% and tough FY '26, 2%.

Generally, in El Niño year, which is FY '27, winter can be weak. So given this unfavorable scenario, how do you see BoroPlus growth in FY '27?

Mohan Goenka: Yes. So Avnish, as far as the summer is concerned, we have seen delayed summers. You are right that some parts of the country, we are seeing amazing double-digit numbers. Overall, we are very confident in the first half.

If the summer brands definitely growing at double digits, both

Navratna and Dermicool. We are very, very confident.

That's what we see as of now. I can't predict for BoroPlus for now. Of course, it is on a lower base. So that will help. But how the season pans out, it is impossible for me to say anything. But summer is going strong, and you will see great numbers as far as summer is concerned.

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Avnish Rao: Understood. My second question is to Dhruv. I wanted to understand what made him join Emami, I'm sure you would have a good reason. So I just want to understand that. Second is, when I see...

Avnish Rao: I want to understand, if I see Marico, Tata Consumer, Pidlite, etc., group, they have almost 20%, 30% of the portfolio growing at explosive rate, which makes the entire company start with a high single-digit kind of a growth rate. In your case, now if I see new and mainstream portfolio is almost 21% of the business.

So are you confident that at least this part of the business, we can grow every year, say, at 25%, 30%. Now coming to IncNut, last few years, the sales have been stagnant. So what is the reason and what can change that? I understand first year can be a bit easy, but what was the reason for stagnation last 3 years?

Dhruv Aggarwal: So I think the answer to the first and second question is pretty much the same. I think the portfolio, I'm pretty confident of growing this 30% plus year-on-year. And it is largely because of the demand spaces we are in, plus the -- I see the difference in the Q4 performance. I think you see that in the materials as well. We've grown at a faster pace in Q4 compared to the rest of the year.

And the high gross margin basically gives us an opportunity to now invest -- still continue to invest in marketing while pull back in the form of efficiencies that we are delivering and deliver a higher margin as well. So I looked at the businesses in detail, and I feel now pretty confident that each of these businesses has a way to grow.

Specifically on IncNut, with your question on slow growth over the last few years, I think from a margin perspective, they've actually turned the trend completely, and that gives us the confidence because, yes, they didn't sacrifice growth but with a much higher, much better margin.

And so we see some opportunities to immediately improve efficiencies in the business. I think our portfolio and the way we deal up with our portfolio has also helped. And the opportunity in specific spaces like international, like with Vedix, which is one of their core brands. I think there's a lot that can be done with the brand. So that's why we are confident of this growth.

Avnish Rao: Understood. One last follow-up, and I'll end there. Mohan ji, on Axiom, you have increased the stake, I understand that. But if you see from your entry into the company and now would you be happy with the performance, the space has become very crowded. So entry of Campa Cola has

changed game of the entire space because ultimately, everything customer sees as one set. So I wanted to understand, is there a right to win for you in this part of the business, given you are still small and now the competition has changed dramatically?

Mohan Goenka: Avnish, so this is not like a cola drink. It is aloe vera-based fruit drink. So that is absolutely differentiated product. And so we are extremely hopeful, as Dhruv said, that this is a very profitable business for us. We almost do INR40 crores, INR45 crores of EBITDA in this business.

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So we have no reasons not to invest here more. And very few companies, beverages company makes such kind of EBITDA. So that will also change our completely the investee company's outlook. So we have some strong plans. We have a new CEO who has joined in from Dabur -- Dhruv, right?

Dhruv Aggarwa

I: That's right.

Mohan Goenka: Yes. He was the Head of Nepal business for Dabur. So he has joined as the CEO for the beverages company. So we have some high talent who have just recently joined, Avnish. Don't ask why he has joined. They see great future in Emami.

So I always wanted to -- we had always wanted to build a great team. And seeing these people around, we are very confident that the investee companies have great future. And with great summer, I think going forward, you will see some great numbers. That's what I feel.

Moderator: The next question comes from the line of Shreyans Jain with Sv an Investments.

Shreyans Jain: Sir, I had one question. If I look at your hair oil portfolio, the 2 brands, Kesh King and 7 Oils in One, last 2 quarters, they've done really well and whereas H1 was pretty weak for them. So I'm just trying to understand, has something changed for the whole industry? Because when you look at companies dealing in the hair oil space, all of them have sort of reported good strong numbers.

So I'm just trying to understand, could you spell out what has changed in the industry because you also have actually changed your portfolio slightly. So I'm just trying to understand the reasons for the growth that we've seen in the last 2 quarters for yourself and the industry. Has something changed fundamentally and we're seeing hair oil as a category come back into fashion or what is happening really unorganized to organized GST rate cuts? Could you just help us understand broadly what's happening in that space?

Mohan Goenka: So Shreyans, what we understand, see, at least as far as we are concerned, both these brands were relooked by the BCG, and we have implemented that strategy. But you are right, the overall portfolio has done well for most of the companies. One of the reasons what we get to understand from the market that the unorganized trade, which because of the disruptions and costs going up, they have become unviable.

So that is one of the reasons why suddenly there is a spurt in organized hair oil businesses. And coupled with our strategic moves given by BCG, that has also helped. And we also see that momentum going on for 7 Oils in One, even Navratna and Kesh King in this quarter as well. So unorganized has suffered quite a bit because of cost, yes.

Shreyans Jain: And now that we've seen copra prices falling off, so do you see this trend kind of reversing? Or we think that this market share gain should continue and we all organized players should stand to benefit going forward as well?

Mohan Goenka: I don't track copra prices, very honestly, because we don't use that.

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Shreyans Jain: It. And my second and last question is, sir, obviously, organized and new channels seem to grow really well for you. I'm just trying to understand in terms of profitability, where are we versus GT or our traditional businesses. Obviously, we're kind of growing there, but are we actually operating at a lower margin versus our base business or how should we look at this space?

Mohan Goenka: Shreyans, we have improved significantly as far as these new channels are concerned. We had focused on our margin front. Now we are quite close to our GT margins. Our total contribution from these channels are now almost 32%, so which is quite healthy. And even the margins are very healthy now.

Shreyans Jain: And any sort of category which tends to do well in the new age channel, if you can call that out or all product categories and all segments?

Mohan Goenka: Most of the categories. Most -- 7 Oils has done exceedingly well. Kesh King, even skin creams. The large packs, we have introduced significantly large packs in these MT and e-com.

Moderator: The next question comes from the line of Percy Panthaki with IIFL Capital.

Percy Panthaki: Just wanted to understand a little more on the ad spends this quarter. They're at about 22%, 23%

of sales. If you can give some idea as to -- I mean, how are these ad spends distributed across brands? How many are for the core 4 or 5 brands that we have? How many are for the growth initiatives?

And given that some of these brands are like fairly old and growing at sort of normal FMCG growth rates, if you look at BoroPlus, Navratna, etc., why is it -- and those brands form a large part of our sales also. So why is it that we need such high ad spends as a company compared to several other FMCG companies that we look at?

Mohan Goenka: So Percy, this particular quarter, the significant increase has happened in Brillare. They launched Rosemary oil shorts and a significant amount of budgets went there. That's why you are seeing the disproportionate increase in advertising budgets. But as far as our traditional brands are concerned, it is absolutely in line, whether it has come down a bit. It is purely on investment on Brillare.

Percy Panthaki: Got it. Got it. And if I just look at the core brands, which is your Kesh King, Navratna, BoroPlus and so on, those 4 or 5 main brands that you have, Smart and Handsome, etc. If I look at the ad spend only of those core 5 or so brands as a percentage of sales, would it be -- not for this quarter, I'm just talking about generally for the year as a whole.

Would that be like close to about a 10% and we are actually spending like approximately half of our ad budget on some new initiatives, which right now are probably giving like a single-digit or low double-digit contribution to sales, but there is hope that they will actually grow much faster in the future.

Mohan Goenka: Yes. So it would not be -- like if you see our total yearly budget, it is almost 20%, right, 19.6%. So from our existing portfolio, the budgets would be roughly, I think, should be about 14% or so, yes, right? And from the investee companies, it should be about 6%.

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Percy Panthaki: Got it. Got it. Secondly, can you give some idea on your distribution initiatives? What is your total -- sorry, what is your direct reach currently? How much you have grown this year? And what are your targets for the next 12 and 24 months?

Manish Gupta: You remember that the company had taken a large initiative on Project Khoj a couple of years back, which was closed. And we are currently reaching about 500,000 -odd outlets between urban and rural India, and we have a very deep reach network reaching 100,000 -odd towns as per census.

So currently, the space we are investing in big time is to -- in urban India on the GT Marts and upgraded stores, premium stores and all that because that's where the new focus is. And otherwise, we are working towards improving the current reach with more lines and efficiencies and stuff built in. So currently, as far as this year is concerned, that remains our focus, and that's producing results because we are addressing the premium portfolio and the premium customer.

Percy Panthaki: And how do we manage this growth in GT because see, if I just try and calculate the GT growth, I mean, if I take your overall growth and then in the last few years, the non-GT portion, which is the e-commerce, quick commerce, modern trade, etc., has come up to like 30% plus, which means that as a derivative, GT is probably sort of marginally declining.

So how do you sort of win in this kind of a situation where your distributor is sort of seeing that his sales is flat or maybe even marginally declining, etc. So how do you keep the trade happy?

Manish Gupta: Well, surely, this is a fact of the country that shopper behavior is changing. So we have to honor that and play as per the channel needs. So GT, yes, you're right. I mean there are -- what we are doing, it's a large portion of our business anyway, especially in the consumer business that I'm talking about from a domestic

perspective.

And our distributors, we are taking care, as Mohan ji said in his opening remarks, that we have been consciously keeping the distributor hygiene and channel health clean, maintaining the stock hygiene, maintaining the credit hygiene because the game is -- one is about the growth.

Second is about taking care of your partners in a clean, hygienic way on the return of investment from their perspective. So that's what we are working on, and that's what we continue to do. And that's why these initiatives like Mart stores and other things to grow their local businesses on the urban and rural perspective. I mean, we understand the growth part. But from a distributor's stability perspective, I think we are in a very solid ground within the FMCG industry.

Percy Panthaki: Right. I think I'll come back. Can you just announce if anyone wants to be in the queue?

Moderator: The next question comes from the line of Harit Kapoor with Investec.

Harit Kapoor: Just wanted to check on this talc impact for the year. So if you could just highlight how much

has been the impact for the year of the summer portfolio of the talc? What is the share of that business now in fiscal year '26? That's the first question.

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And the second was that can we see some abnormality in that number again if the summer drives up again this year with almost 2 months done of the summer, is that a likely outcome as well that you see another spike in growth as you saw in fiscal year '25? And lastly, on this is that how is the margin structure for that category? Is it similar to what our average margins are?

Mohan Goenka: So Harit, if I exclude the talc / summer portfolio, then our growth is around 5%. And definitely, we are seeing some spurt in April and May for the summer brands. And the margins, as far as the talc particular is concerned, it's a slightly lower margin compared to some of our other products that we have.

Harit Kapoor: Got it. Got it. Mohan ji so talc now as a percentage of the business for '26 is how large now? Is it like -- is it...

Mohan Goenka: Talc for the total business should be roughly at about 10%. Total revenue for talc would be -- what about INR400 crores? INR300 crores. So total, yes, the revenue is INR3,700 crores, the talc business is roughly INR300 crores.

Harit Kapoor: INR300 crores in FY '26, which is much lower than what it was in '25?

Mohan Goenka: Yes. We lost almost INR100 crores of business in talc last year.

Harit Kapoor: INR100 crores.

Mohan Goenka: Before last year, it was INR400 crores.

Harit Kapoor: Got it. And the other thing -- last thing was on profitability. So assume you have a normal-ish kind of a summer this year, not saying talc grows by 30%, 40% again, but it's generally a normal kind of a summer this year. Do you see that -- and obviously, that some of your investments are generating positive EBITDA, especially on the D2C side.

Do you see this profitability piece coming back to that 26% to 27% range of consolidated EBITDA, the same way as you saw in '24 and '25. Is that the way to think about it? Because as you are saying, the core portfolio ex summer has been doing okay?

Mohan Goenka: Yes. Let's wait and see, Harit, still there is some pressure as far as the input costs are concerned because you know how the crude is behaving, okay? So we will have to just wait and watch. But definitely, you would see some improvement as far as our margins are concerned.

Harit Kapoor: Got it. And one last thing, if I may, was the pricing that you have put in, in the last 1.5, 2 months, any price increase -- weighted average price increase or something you could help us with?

Mohan Goenka: Yes. It's around 3%.

Moderator: Ladies and gentlemen, as there are no further questions for today, I would now like to hand the conference over to the management for the closing remarks.

Rajesh

Sharma : Thank you all. Thank you, all the participants for joining us today for our Q4 earnings call. Thank you, IIFL, for arranging this. Thank you, Percy. Have a good day.

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Percy Panthaki: Thank you. Bye -bye.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of IIFL Capital and Emami Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Disclaimer - The following transcript has been edited for language, errors and grammar and therefore, it may not be a verbatim representation of the call